India Shelter Fin. (INDIASHLTR)

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Date: February 16, 2024

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal
Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra Kurla
Complex, Bandra (E),
Mumbai – 400 051
NSE Symbol: INDIASHLTR

Sub: Transcript of the Earnings Conference Call for the quarter ended December 31, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcript of the earnings conference call for the quarter ended December 31, 2023 , held on Friday, February 09, 2024 is available on the website of the Company.

The transcripts can be accessed from the link given below.

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

You are requested to take the same on record.

Thanking you.
Yours faithfully,

For India Shelter Finance Corporation Limited

Mukti Chaplot
Company Secretary and Chief Compliance Officer
Mem. No. 38326

"India Shelter Finance Corporation L imited
Q3FY24 Results Conference Call "
February 09, 202 4

MANAGEMENT : MR. RUPINDER SINGH -- MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHISH GUPTA – CHIEF FINANCIAL OFFICER
MR. RAHUL RAJAGOPALAN – HEAD INVESTOR
RELATIONS

This is a transcription of the earnings call conducted on 9th February 2024. The audio recording can be accessed using the following link, India Shelter Finance_Q3FY24_Earnings Call Audio.mp3
DISCLAIMER :
Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Moderator: Ladies and gentlemen, good day and welcome to India Shelter Finance Corporation Limited Q3FY24 earnings conference call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul, Head of Investor Relations. Thank you and over to you, sir.
Rahul Rajagopalan : Thank you, Aditya. Good morning, everyone. I take this opportunity to thank ICICI Securities for hosting the call today. I extend a warm welcome to all the participants on our Q3FY24 earnings conference call. I hope everybody had an opportunity to go through our investor deck and press release uploaded on the stock exchanges yesterday. We have also uploaded the excel fact sheet on our website.
With me today, I have Mr. Rupinder Singh, MD and CEO, Mr. Ashish Gupta , our CFO. Before we proceed, I would like to draw your attention to the forward -looking statement contained in this presentation. During the call, we may make forward -looking statements regarding our expectations or predictions about the future. Because these statements are based on current assumptions and factors that may involve risk and uncertainty, our actual performance and results may differ materially from our forward -looking statements.
With this, I now request our MD and CEO to brief you all about the company's performance. Thank you and over to you, sir.
Rupinder Singh: Thank you. Good morning, everyone. On behalf of the company, I extend a warm welcome to all of you. Thank you for joining us on the first call post -listing. The company got listed on 20th December, 2023 on the NSE and BSE. Before I take you all through the performance for 9MFY24 , I would like to thank you all for supporting us in the IPO and making it a grand success.
The total size of the IPO was Rs. 1,200 crores, of which primary was Rs. 800 crores. This infusion of equity will allow us to meet our future capital requirements. Since this is our first call post -listing, I would like to share a brief overview on India n Shelter , its journey so far and growth strategies going forward. This will be followed by the operational and financial performance for the quarter and 9 -month ended financial year '24, post which we will open the floor for questions and answers.
To start with, India n Shelter commenced operations in Rajasthan in year 2010. The company is being run by professional m anagement team, backed by Marquee Private Equity Investors. We are led by diverse board with extensive experience in banking and finance. India n Shelter provides affordable home loans and loan against property in Tier 2 and 3 geographies in India. We focus on providing home loans to customers from low and middle income segments, who are building or buying their first homes. This segment is highly underpenetrated , but rapidly growing with future growth expected to remain strong. We have extensive pan -India distribution network with 215 branches across 15 states with low A UM concentration risk.

On the business side, 50% of the book is home loans and 42% is loan against property with an average ticket size of Rs. 10 lakhs. Our focus is on the unde rserved customer base. 71% of our loans are to self -employed category of customer with 90% of the book in Tier 2 and Tier 3 cities. In 98% of our loans there are women borrowers . Our focus is to service customers in this segment, which range between a ticket size of Rs. 5 lakhs to Rs. 25 lakhs. We follow

conservative practice and hence the LTV on the book, is around 51%.

Moving on to business model and operations, we have consciously adopted the in -house sourcing model. 98% of our sourcing is in -house, starting from lead generation, to credit, to legal, to technical, operations, and collections. We have well -staffed and structured teams for all key processes with separate hierarchy of key functions.
Since the commencement of business, we have been actively incorporating state -of-the-art tech processes. As a matter of fact, we have been using Salesforce , since 2013 and we were one of the early adopters in the mortgage space. Our technology -led operations helped us in delivering turnaround time of six days from login to disbursements.
We have five unique in -house developed applications for customer acquisition, credit underwriting, collateral evaluation , collections, and customer service . 92% of our collections are through digital medium. We have an e -nach mandate for 99% of the base and 98% of the customers use e -signing. This uniquely positions us as a technology -driven company with scalable operating model.
Moving on to the liability side, liquidity pipeline is very strong with positive ALM . The c ompany has access to diversified and cost -effective long -term borrowings. Our rating upgrades have been consistent over the years. Our current rating stands at A + positive from CARE rating and A + stable from ICRA.
On the result s of the quarter, we are pleased to report a good quarter. A UM stood at Rs. 5,609 crores, which grew 42% year on year and 8% quarter on quarter , driven by disbursement growth of 36% year on year and 6% quarter on quarter to Rs. 679 crores. We continue to deepen our presence in locations we are present in, d uring this quarter, we added 12 new branches. As branch vintage increase s, productivity starts improving and that gives us scope of playing out the operating leverage.
To sum up, we will work towards :
1. Deepening branch penetration in adjacent markets and improve branch productivity .
2. Diversify and optimize our borrowing costs .
3. Continue to leverage technology for scalability and productivity, and
4. Overall enhance brand visibility and focus on creating positive work culture.

Now I would like to hand over call to Ashish, who is our CFO, to take you to the financial metrics. Ashish, over to you.

Ashish Gupta: Thanks Rupinderji. Good morning friends. I will start with the key financial highlights. Total income for the quarter is up by 40% year on year basis and 4% up on quarter on quarter basis. Total income for 9 months is up by 44% year on year basis. Our portfolio yield is at 14.8% year on year stable, quarter on quarter up by 10% basis point . Our disbursement yield for 9 months is at 14.9%. We have diversified source of borrowing with more than 30 counterparties. Our cost of fund is at 8.8%, year on year up by 30% basis point due to increase in the market interest rate. Quarter on quarter our cost of fund is stable. Our marginal cost for 9 months and Q3 is at 8.5%. NHB funding share is at 16%, year on year it is up by 3%. We sti ll have undrawn lines of Rs. 210 crores from National Housing Bank. Margins are at 6% in line with our guidance for the medium term.
Net income for the quarter is up by 47% year on year basis and 4% up on quarter on quarter basis. Opex for 9 months has grown by 29% against 42% growth in AUM and 47% growth in income resulting in operating leverage. Opex to AUM in Q3 is at 4.4%, year on year down by 40 basis point. Cost to income for the quarter is at 41%, year on year down by 50 0 basis point. Quarter on quarter it is stable.
Credit cost fo r the quarter is at 30 basis point. There is no material change year on year basis and quarter on quarter basis. This is in line with our guidance at a

round 40 basis point. DPD 30
is at 3.5%, year on year it is stable. Stage 3 assets are at 1.2%, year on year down by 110 b asis point. PCR for stage 3 assets is at 26%, there is no material change year on year and quarter on quarter basis.
PAT for the quarter is Rs. 62 crores , this is year on year up by 55% and quarter on quarter up by 4%. PA T for 9 months is at Rs. 169.7 crores , year on year up by 66%. ROA for the quarter is at 4.7%, year on year up by 50 basis point. Quarter on quarter it is down by 40 basis point due to increase in asset base on account of unutilized proceeds in the IPO.
With this we can open the floor for Q&A.
Moderator: Our next question is from the line of Harshavardhan Agrawal from Bandhan AMC. Please go ahead.
Harshavardhan Agrawal: Hi sir, good morning. Thanks for the opportunity. So just wanted to understand some movement in gross stage 3 assets and gross stage 2 assets , sequentially they seem to have spike d up a bit

although the numbers are very low given the base, but there is some seasonal movement which
seems between September '23 and December '23 quarter. So if you could please explain as to
what has happened there ?
Rupinder Singh: So stage 3 for December '23 is 1.2% and stage 3 in September '23 was 1% and obviously this
was reduced from March '23 number of 1.13% . So this is a little cyclical. You might have seen
that during the year generally there is a 10 -15 movement. But it is within our control and
guidance given. So as you see the March number, there is a hardly a gap of 5 bps, 7 bps.
Harshavardhan Agrawal: Okay, fair point. So I just wanted to understand another thing is , what would be the impact on
our yield at least for this quarter because of this movement of let's just say this gross stage 3

moving from Rs. 43 crores to Rs. 57 crores . Does this also have some impact on our interest
income or it doesn't have?
Rupinder Singh: So I doubt there will be any impact on the yield particularly. Yield is very well maintained across
the quarters. So we are maintaining yield of around 14.6 %, 14.7%.
Harshavardhan Agrawal: Okay, fair enough. Thanks.
Moderator: Our next question is from the line of Raghav from Ambit Capital. Please go ahead.
Raghav: Yes, hi. Thanks for the opportunity. I have a few questions. So one is , what is your average ticket
size on disbursements for the third quarter?
Rupinder Singh: So consistently our average ticket size remains around Rs. 10 lakh s. So even for across the year
and for the 9 months it is around Rs. 10 lakh s and same for the third quarter. So there is no
change in average ticket size.
Raghav: Okay, thanks for that. What will be your branch expansion plan for 4Q? And if you can guide
on an annual basis how many branches would you look to open for the next 2 -3 years?
Rupinder Singh: So for next financial year we have a plan of opening around 42 new branches. So these branches
get divided quarter by quarter depending upon requirement needs as we keep progressing in
respective states. So since we are operating in 15 states, every state we identify which are the
locations we can roughly see the business coming along.
For this financial year we are supposed to have another 6 -7 branches. Today we are at 215. We
will end up around 222 or 223 branches.
Raghav: Understood. And any geographical color where which all states would you be expanding in or
where would you want to focus?
Rupinder Singh: So currently we are in 15 states. Out of 15 states, 12 states we have a vintage of more than 5
years and consistently building our force there . There are 3 states where we have opened around
3 years back, t here again we are improving our penetration. We continue to grow in these 15
states in coming years. So we don't have any plans to expand into any new state as of now but
continue

to diversify in these 15 states systematically.
Raghav: And just on asset quality, so I think even Harsh was asking that when I look at your net slippages,
that has increased quite a bit for this quarter. It comes to about 0.3% of the opening book. Your
peers are somewhere around 0.1%. Why would that be the case?
Rupinder Singh: So I think it is largely due to the seasonality of the business . So when we compare to the March
numbers which is always optimistic for everyone, we were able to curtail it further in month of
September, which is a little unusual because of the traction which was happening around. But
yes, this quarter there is a slippage of around 10 bps and I think we will be able to cover it.
So it is not something unusual. So when you are into a business and you are into market and
there is a lot of seasonal factors which comes around , so 5 bps -10 bps goes here and there

sometimes. We are very much aware of this fact and taking proactive actions around that. It is
not a worry around us in that case.
Raghav: Sure. So how much could you bring it down by, say by quarter or what would be your steady
state GNPA guidance?
Rupinder Singh: So our range remains between 1.1 % to 1.3 % that we keep projecting around internally even in
budgetary matters and in models also. Yes, nothing is out of control and I think quarter 4
generally gives a better traction than quarter 3, which everyone knows about.
Raghav: And so just last question from my side, when I look at your number of employees per branch,
that is about 15 for FY23 and you seem to be the second highest, so there is another company
which is highest. How would you look at branch addition or how would yo u look at improving
productivity from your existing set of resources? And a follow -up question is that would you

expect that this 15 employees per branch remains at this level or would it come down going
forward? That's all from my side. Thank you.
Rupinder Singh: Yes. So since we have expanded into almost 94% of the mortgage market, so while building the branch network , we must keep in mind multiple factors including the hierarchy need s to be developed across that piece. And as you enter the new geographies, you have to create a multiple layer around that piece. Now most of that work has already been over, so whatever is going to come up is the new branches, I mean any new branches, the new people which is going to add up. Any new branch which we start, we require not more than 7 -8 resources around that piece. So this will get automatically sublimed as we keep progressin g on that piece.
So whatever we create, there is an incremental improvement in the productivity branch by branch as well as manpower improvement in terms of ratios . So today we are around 14 or 15 employees, we will realize after one year it will be around 12 or 13 and eventually it will be a little over.
As I mentioned, the hierarchy is very well set. What we are adding is only the branch and the people at the ground. That needs to be added around as we keep progressing in the tier 2 -3 market.
The cost to income ratio also has come down in one year by approximately 500 bps. So these are the common objectives that we keep working in the future also.
Moderator: Thank you. Our next question is from the line of Rajiv Mehta from Yes Securities. Please go ahead.
Rajiv Mehta: Hi, good morning. Congrats for good performance and thank you for taking my question. So firstly, it can split this disbursement, average ticket size, you said Rs. 10 lakhs, but can you split it product -wise, home loan and LAP ?
Rupinder Singh: So Rajiv, there is not much difference between home loan and LAP. So both have a same ticket size of INR10 lakhs. In fact, we are working in the same geography, same vicinity , almost same set of customers. So customers who alr

eady have houses to mortgage, we are offering a mortgage

loan and customers looking for a new house, we are giving a home loan or if someone has a plot then for building a house.
Rajiv Mehta: Sure, sure. Got it. And this LAP will be a typical LAP, it will not be a business loan, right?
Rupinder Singh: So it is a typical LAP , basically a mortgage is created around the property with clear title. LTV here is around 45% -48%. End users particularly is for their business use. 82% of the LAP customers are for the business use and the remaining 18% is for consumption.
Rajiv Mehta: Understood, sir. Thanks. And what will be the fresh loan rates for home loan and LAP? I mean for a fresh home loan right now and for a fresh LAP. Yes, maybe if you can quote the disbursement blended yield, what you did for home loan and LAP in Q3, what was the blended yield for the incremental origination?
Rupinder Singh: It is 14.8% basically for LAP and HL blended.
Rajiv Mehta: Okay. Okay. And sir, when I'm looking at your portfolio yield of 14.8 %, this December as well as last December, it's pretty similar . So the question is, we would have taken some increase rate hikes in the last 12 months for the back book. We would have also raised rates for the incremental origination. And ideally, as of this December, that 14.8 % should have been a higher number, but it is not the case.
Rupinder Singh: So if you have seen our cost of funds, there is no drastic change there also. So we are able to control it. Yes, there are some measures that we took. And this is the reason that we have not unnecessarily passed to the customer. This is a set of customers which is o n the ground, considered to be self -employed. And we are maintaining a margin of 6% in any case. That is our guidance around that piece.
Since it is maintained very well, there is no point of passing to that extent. So even for new customers, we are maintaining the same yield .
Rajiv Mehta: Got it. Just last two things. On the bank borrowings, you can split the bank borrowings as per the benchmark. The linked benchmark, which is REPO, EBLR, other EBLR and MCLR. And NHB sanctions, if you can comment, if there is a sanction in hand or in the pipeline?
Ashish Gupta: So our bank borrowings are at a mix of the benchmark. A few of the borrowings are at a one - year MCLR. A few of the borrowings are at a three -month MCLR or linked to TBIL. So generally, it is a mix of that. We have an un-drawn sanction from National Housing Bank to the extent of Rs. 210 crores, which we expect to utilize in Q4 and Q1 of the next financial year.
Rajiv Mehta: Got it. Thank you and best of luck.
Moderator: Our next question is from the line of Shubranshu Mishra from PhillipCapital. Please go ahead.
Shubranshu Mishra: Hi, good morning, Rupinder. Glad to hear you on a call long after Chola. Congratulations on the new position as MD and on the listing of the stock. Two or three questions. The first one is if

you can speak about the zero plus in LAP as well as HL. And what are the flow forward rates

from bucket zero to bucket one and flow backward rates from bucket one to bucket zero? That's on the asset quality.

The second question is around the branch expansion. We did speak about the branch expansion. But then when we look at a branch, what are our top parameters? Is it the credit quality that exists in that particular area? That would be the top most parameter or the potential of that area and the competition in that area? How do we look at expanding the branch? Which one would be our top most parameter? Thanks.

Rupinder Singh: Thank you, Shubranshu, for commenting and asking a set of questions . DPD zero stands around 5% as we see the quarter 3, and this remains the same from the las

t one year , in-fact, it may be

a few bps lower than the last year. DPD 3 0 stands around 3.5% and DPD 90 stands around 1.2%. These are the numbers as we close the quarter 3 for this financial year.

Secondly, if we see the business side, we have a plan to open 42 branches next year. Normally, we try to segment the branch where the productivities are quite high, and we feel that there is a scope of improving business particularly. For example, any branch in any geography where the potential is growing, and we see that there is a scope of expanding on that side to the next level where we are trying to test around before opening the branch. Once you start getting this growth and disbursements starts coming, then we start opening the branches on that piece. Since we already have 15 states, we have no plans to go to any new state as of now in the next 7 to 8 quarters at least. We have a thought to go deeper into these geographies. So the potential keeps coming in the respective geography. With 215 branches and 15 states, I think still there's a lot of work to be done in these 15 states where we can deep dive further for the exploration of new businesses on that side.

Shubranshu Mishra: I understood that point. You didn't speak about the flow forward rate and flow backward rate to and from bucket zero to bucket one. If I were to ask the branch expansion question in a different fashion, what percentage of the KRA of the branch managers would be collections? Or is it just disbursements and business growth right now? A larger portion of the KRA of the branch managers are just disbursements and business expansion?

Rupinder Singh: Every resource in the frontline, which is branch manager, branch credit manager, and branch collection manager, they have a KRA for the health of the portfolio. Having said so, every branch, we have a branch collection manager if there are more than 200 accounts in any of the branch. That is a resource which we have created so that the sourcing team continues to focus on building the portfolio.

Whereas for branch manager, i f there any kind of eventuality in terms of DPDs or NPAs then that has also been taken care while forming these KRAs . But yes, to improve the productivity, the resources have been given in such a way that there is enough of tools available, enough of manpower available to collect .

Shubranshu Mishra: Flow forward and backward rates from bucket zero to bucket one and bucket one to bucket zero?

Ashish Gupta: So our collection efficiency on current bucket is close to 99.3%. So around 0.7% of the customer every month go into the DPD 1 bucket and parallelly we pull back about 50 -60bps backward. So on a net basis, 10 -15bps flow get into the DPD 1 bucket and it is more of a cyclical in nature. During the beginning of the year, the flow rate remains 10 -15bps higher, but as we progress the year, the pullback rate goes higher and be able to pull back more clients than the flow rate.

Shubranshu Mishra: Understood. And if I understood it correctly, essentially 200 customer accounts are mapped to one collection gu y?

Rupinder Singh: No. If any branch has 200 accounts already sourced, then we allocate a collection manager there basically for any kind of future planning in that sense. If you talk about per collection guy, then the average would be around 50 -55 accounts.

Shubranshu Mishra: Understood. Thank you so much, Rupinder. This was very helpful. Best of luck.

Rupinder Singh: Thank you.

Moderator: Thank you. Our next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Hi, Rupinder. So thanks for taking the question. So firstly, again, slightly touching upon in terms of the productivity, so a larger part of the branches have again got added over the past 18 to 24 months. And would it be fair to assume

that in terms of the sa les staff, we would be at
around about 1,700 to 1,800 -odd people now? So out of 3,100 -odd employee base, would that be the fair number to assume on the sales side?

Rupinder Singh: So if you include entire sales hierarchy, yes, there are more than 1,700 people now.

Kunal Shah: Okay.

Rupinder Singh: Sales hierarchy, there are multiple levels. One is loan officer at the frontline, then the branch manager, above them area, and respectively zonal heads who handle that basically.

Kunal Shah: Yes. So I just wanted to get a sense in terms of when do we try to reach the optimal productivity given that a larger part of the additions have also happened over the last 18 months and how the traction in the disbursement would actually build up because if we look at it in terms of the disbursements per sales officer, that is still somewhere around 1.2 per month. So that's the only thing maybe there is still some more activity left to be utilized and that will reflect. So how long would it tak e to actually reflect in terms of the overall disbursement?

Rupinder Singh: So if you see for the loan officer, we drive productivity around anywhere between 1.75 to 2 . And every branch manager is expected to deliver at least 9 to 10 units monthly in terms of disbursement count because the disbursement count is more important. As you improve the processes and with time also, if you improve the number of counts, automatica lly the output in terms of absolute volume is going to come. So this is the current set.

What we feel there is always a scope of improvement. Giving a good tool on the customer side, sale application that we are giving and even for the remaining process now recently credit application has been given so that the better turnaround time can be given, the process can be

improved. Those are the parameters that we are utilizing day -in and day -out. What I feel there is a scope of improving year -on-year. If you talk about loan officer per se, they have a scope of improving more than two. But yes, that takes time. I can't commit it that it has to happen in a quarter but that's what we are working day -in and day -out.

On the branch side particularly, if any branches reach to the level of 18 to 19 units of disbursement per month, I think that is the highest level that we feel that is peaked out. There is a point of fragmentation that we keep in mind. So any branch which reaches that number, I think that's the highest level that we consider because rest of the folks which are the processing folks including the operation manager, the credit manager, and all the technical manager reach the peak and now it becomes time to fragment that branch.

So if you feel that what is the maximum it can go, I think it is for any given time, the maximum as of now, the kind of parameters that we use, the kind of technology that we use, maximum 17 to 18 units can be disbursed at the pinnacle of any branch .

Kunal Shah: Sure. And I just wanted to get in terms of even like a few of the employees who would have joined recently, particularly in the frontline sales staff, they would also be under training and they will get out of it and start adding on to the productivity. So what you highlighted maybe in terms of 1.75 to 2, not all of them would be at that level of productivity and that should also build up over the period, maybe over the next three, four quarters?

Rupinder Singh: Absolutely. So as the vintage of employees keeps increasing, for six months, it more goes into training time. So ultimately sometimes if they are able to disburse one file, sometimes they may not be able to. So that's more on the hand -holding side. But as they become trained well, trained enough, and they come into the main phase, then automatically the target remains aroun d 2.

Kunal Shah: Sure. And secondly, wit

h respect to the branch expansion, particularly Tamil Nadu, again, so
there have been almost like six odd branches which have got added. We are at almost 18 now. So what would be the plan in that market because that's again quite pen etrated market with respect to the housing finance and how we are positioning out there.

Rupinder Singh: So we have considered entire South as a one zone . So last year it was Tamil Nadu. We are going to open a few branches in Tamil Nadu, obviously. But the focus will be more on AP, Telangana this year because that's the latest territory that we opened three years back. So Tamil Nadu is in existence with us from almost six years, same like Karnataka. AP, Telangana is around three and a half years. So number of branches in those states are a little lower. There we have a scope of building up. But it's not like Tamil Nadu is enough for us. I think still there's a lot of scope. AP is very small when we compare to any competitor.

Kunal Shah: Okay. So overall maybe we have to look at it in terms of Karnataka, Tamil Nadu plus AP plus Telangana?

Rupinder Singh: Yes, yes. That ’s how you should look at and we’re going to increase presence in coming times.

Kunal Shah: Okay. Okay. Yes, thanks and all the best.

Rupinder Singh: Thank you, Kunal.
Moderator: Thank you. Our next question is from the line of Umang Shah from Kotak Mutual Funds. Please go ahead.
Umang Shah: Yes. Hi, good morning and thanks for taking my question. And Rupinder and team, congratulations on a good quarter. Two questions. One is related to what Kunal was asking, right? So see, ideally I do see we still have bulk of our branches which are into the lower vintage category now. I do understand that we are growing at a fairly rapid pace. But how should we see the equilibrium coming in terms of branch productivity, opex to asset ratios and assuming a more steady state sort of a number in terms of our op ex ratios? Because I mean, at this base as well, I mean, we are talking about adding quite a few branches. So just wanted to understand that.
Rupinder Singh: Yes. So as the vintage of branches grows, Umang ji, the productivity automatically goes up. You have seen in our case also. So today we have 95 branches which have a vintage of more than three years. There's 75 branches between one to three years and 45 br anches which are around one year in terms of vintage.
So automatically there's 45 branches where there's a scope of getting to the next level, which is the bucket of one -three years where the productivity automatically increased by 50% -60%. And once these branches which are in the bucket of one -three years , as they cross the three -year mark, automatically productivity further get enhanced. So there's a lot of scope typically in these 120 - 125 branches which are still building up, still coming up in th ese geographies which are on the verge of improving productivity. But since there's a scope in market and it takes time to build the branch and to come to the optimal level of the productivity. So instead of waiting for that, it's always better we continue to keep progressing in terms of building and increasing our strength around each respective ge ography where we exist.
Having said so, the oepx is the point which you have raised up. So we have a clear understanding that as we grow, the opex has to come down. So today we are operating at 4.5% of opex approximately. So year -on-year you can see around 20 -25 is coming down.
Umang Shah: And directionally that trend will continue is what you're saying?
Rupinder Singh: Yes. So basically if you see today on the base of 220 branches, you add 40 branches, that percentage comes lower compared to what we opened last year where the base was a little lower and we're still opening 40 -45 branches.
Umang Shah: Understood. And the seco

nd question that I have is now, given that the IPO is through, we also have been getting regular rating upgrades. Now how should we look at the growth split into, AUM growth split into on -balance sheet and off -balance sheet? Clearly the balance sheet leverage remains fairly lower. So is there a view that going forward we start retaining a lot more onto our balance sheet, given that the overall balance sheet construct has improved materially? Because that will also be fair ly crucial in terms of expanding the ROEs for the company?
Ashish Gupta: If you look at the off -balance sheet products like direct assignment transactions and co -lending transactions, they are not just a part of capital protection , they are also a good source of long -

term funding . And we will continue to maintain a ratio of about, for DA perspective, we will maintain around 15% -18% kind of number of book. That is something which we believe is a sustainable number and we will continue to maintain it over the medium term.
Umang Shah: And from a liability perspective, is this source of funding more competitive in terms of rates vis - a-vis let's say a normal term loan or NCD that we would be doing?
Ashish Gupta: Pretty much similar, not much difference between the term loan and the direct assignment transaction. However, on the direct assignment transaction, you are pairing your credit risk.
Umang Shah: Understood. All right, perfect. Sorry, you said 15% -18% would be just for DA or DA plus co - lending both put together?
Ashish Gupta: 15%-18% will be for the DA transactions. Co -lending is something which is at the evolving stage at this point of time. So we have built a book of around 1% -1.5% at this point of time. We are still at the evolution stage in terms of co -lending. So, probably as we grow in terms of our experience on this particular product, we will be able to give some guidance on that. But at this point of time, co -lending will not be a very material as a percentage of our total balance sheet.
Rupinder Singh: We are into testing phase as of now. Umang ji.
Umang Shah: Okay, and just one last clarification. So conceptually, the profitability on co -lending book and our own book will be largely similar or co -lending would be slightly lower in terms of eventual profitability?
Ashish Gupta: So co -lending has a marginally higher profitability. But so as we have said, it is still an evolving product. So we have to see that how much this can be scalable. So once we determine that,

probably we will be able to better answer in the future.
Umang Shah: Okay, all right, perfect. This is helpful. Thank you so much and wish you all the best.
Ashish Gupta: Thank you.
Moderator: Thank you. Our next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.
Mona Khetan: Yes, hi, sir. Good morning. So my first question is on the incremental yields that you have across HL and LAP Book. I understand you shared the blended yields, but I just want to understand the yields across each of these products that you're lending at incrementally.
Rupinder Singh: For home loan, our yields are around 14%, and for loan against property, the yields that we generate are around 15.5%. These are the type of yields that we're doing. And then blended, as I mentioned, is around 14.8%.
Mona Khetan: Sorry, HL was 14 % that you mentioned?
Rupinder Singh: HL is 14%, and loan against property is 15.5%, and blended is 14.8%.

Mona Ketan: Got it. And just on the floating versus fixed share, both on the asset and liability side, if you could share, or rather the fixed book across both assets and liability side, that is borrowings and loan book?
Ashish Gupta: So recently we have started our variable rate lending. So o

ur variable rate lending is primarily restricted to the business loan that we gave in the LAP segment. So out of the LAP , whatever we disbursed, 80% goes towards the variable rate product. That is roughly around 30% -32% of our total disbursement. If we look at our borrowing side, our borrowing is having 20% of the liabilities in the form of fixed rate funding. Then on top of that, we have a contribution coming from capital. So on a total basis, around 50% of our funds are at a fixed rate. While our lending, if you look at around 70% of our loans are at a fixed rate . So we are gradually increasing our variable rate book. So that's how the situation is.
Mona Ketan: Got it. So 70% is fixed rate loans from a disbursement perspective. On the loan book, where would it stand today?
Ashish Gupta: We are at this point of time close to 14%. So we started a year back from zero and we have reached to 14%. So down the line, 12 months, we should be able to reach around 25% kind of balance sheet percentage in terms of floating rate book .
Mona Ketan: So floating rate at the AUM level is today 14%.
Ashish Gupta: Yes.
Mona Ketan: Got that. And during this cycle, if I look at the last one and a half years, what sort of rate increase have we passed on to our customers, if anything?
Ashish Gupta: So we have recently in the month of November passed on around 25 basis points to variable rate customers. Earlier, the variable rate book was not material itself. So there was not much impact. But now as the book is building up , so any change in the rate of interest will impact our portfolio yield as well.
Mona Ketan: Okay, and nothing on the fixed rate book that you have sort of incremental basis that you have passed on?
Ashish Gupta: We always endeavour to maintain 6% spread on our book. So, as you can see, our portfolio yield in last quarter was around 14.7 %. And with the incremental disbursement at 14.8%, we have been able to bring up our portfolio yield to around 14.8%. So we keep monitoring our disbursement yield to ensure that our spreads remain around 6%.
Mona Ketan: Okay, got that. And just finally, two quick thoughts. Firstly, what sort of growth guidance that you are giving right now? And on Opex/assets, you mentioned about 20 to 25 bits reduction every year. But where could it settle at eventually? Any thoughts around that? Thank you.
Rupinder Singh: Yes, On Opex/Assets that's the drive what we are making, 20 -25 bps is what we want to take it off. So it's a growing business, and as you know, the point is not about settling to certain levels, but yes, lower the better for us, that is a thought. So every business has their own nuances. This

is a business which we source directly, which is people -centric business. And we need to drive the teams down the line . So this is the continuous process that we want to guide for next two, three years for sure . So this is more imperative in that sense, instead of, say, we're going to come, and this is the benchmark . So it's a continuous endeavour which we'll keep working towards as the time that progresses, as, you know, technology continues to improve.
In terms of growth, I think affordable housing is something which has a lot of scope. The industry

is evolving. The reach is building up. Earlier it was tier two, tier three markets. Now people start entering tier four markets. I feel the scope is enormous. How much we can scratch the surface, that is important. It's a business of execution. So we would like to continue this journey in the same fashion that we have been building. So we're not giving exact some guidance number, but you can see even at a dec ent base, a decent number, you can see 30%, 35% growth coming around .

Mona Ketan: Got it. Thank you. Thank you and all the best.

Rupinder Singh: Thank you.

Moderator: Thank you.

Our next question is from the line of Sonal from Centrum Broking. Please go ahead.

Sonal: Yes, thanks for the opportunity, sir. I have two questions. One was on the maturity level. So at what level do you expect that the branch reaches the maturity? And, I mean, if I look at your employee per branch or if I just divide employees by number of branc hes, there are about 15. So how would they be deployed across functions, if you could talk about it?

Rupinder Singh: So any branch, when it reaches to the level of disbursement of around 17 to 19 units of monthly disbursement, we see that branch is getting mature. It is not a time bound . It is because of the opportunity, the market, how that responds. Few places that can happen very early, but yes, it depends upon, timing, location and multiple things in that case. But the capacity of any branch where they are able to execute properly, giving due justice to customer in terms of turnaround time, ensuring th at there is not much deviation in processes and the quality is also well maintained and the productivity also reaches at the right time . So when 17 -18 units of disbursements is reached t hat's the time when branch will try to fragment it into two . So that can be considered to be maturity. The next question, sorry, what do asked , Sonal?

Sonal: So I was asking about your per branch has about 15 employees and the total employees by average branches. How much will be deployed across functions?

Rupinder Singh: So we, in any given branch, we have a branch manager. There are four to five loan officers under him which directly reports to him. Then there is a parallel function which is a credit manager. In every branch we have one credit resource who does the job of underwriting and evaluating the customer. Then every branch we do have one operation executive, who serves the customer and he's a, a fellow who is responsible for entire process of the file from the branch side particularly. So this fellow generally helps in ensuring good customer service and ensuring the process is well maintained . So these are the bare minimum team members which you will find

in any of the branch. Additionally, if the branch has more than 200 accounts already disbursed, then we add up one collection resource in that branch. That's again an independent resource. So for us, all the functions, whether it's the sales, credit, collection, all are independent to each other and they generally get converged at the head office at my level. The same distribution head reports to me, same is the underwriting and same is the collection fellow. So this is the way hierarchy keeps working.

Sonal: Sure. Thank you.

Moderator: Thank you. Our next question is from the line of Shashank Agrawal, an individual investor. Please go ahead.

Shashank Agrawal: Yes. Sir, I would like to ask, like how you see the customer mix, like you will entirely focus on the unorganized informal business customers or going forward, or will be also looking for low - income salaried customers ?

Rupinder Singh: If you see the kind of customers which we are sourcing, the average ticket size of Rs. 10 lakh , which is in the vicinity of Tier-2 or Tier -3, they are serving that vicinity particularly. They may be, most of them are self -employed, ensuring their rozi roti through that . So they have an income range anywhere starting from Rs. 25,000 to Rs. 60,000. That is their monthly income. And having a family, need an inspiration to build a house or someone want to expand a business around in the same vicinity. That's the kind of customer that we do. Since it's an affordable segment, we have, we feel that is a model where we have been building expertise from last 13 years. We want to continue with this field as we keep, building our experience on this customer. So we feel that we are not going to chang

e any kind of customer persona. And there's a lot of going forward advantages in terms of expansion plans and multiple things around that side. So I think we have a very clear understanding we want to continue in the same segment going forward also.

Shashank Agrawal: Thank you, sir. It helps.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Rupinder for closing comments.

Rupinder Singh: Thank you, everyone, for taking your valuable time for attending our first earnings call. We will keep you posted for any of the further updates. Also an audio recording and the transcript of this call will be uploaded on our website in the due course.
Looking forward to hosting all in the next quarter. Further, if you have any questions or require additional information, please feel free to reach out to us. Thank you and have a very wonderful year ahead. Thank you so much.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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CIN: L65922HR1998PLC042782, Phone No +91 -124-413180 0
E-mail: customer.care@indiashelter.in , Website: www.indiashelter.in

Date: May 15, 2024

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal
Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra
Kurla Complex, Bandra (E),
Mumbai – 400 051
NSE Symbol: INDIASHLTR

Sub: Transcript of the Earnings Conference Call for the Financial Year ended March 31, 202 4

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcript of the earnings conference call for the financial year ended March 31, 202 4, held on Thursday , May 09, 2024 is available on the website of the Company.

The transcripts can be accessed from the link given below.

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

You are requested to take the same on record.

Thanking you.
Yours faithfully,

For India Shelter Finance Corporation Limited

Mukti Chaplot
Company Secretary and Chief Compliance Officer
Mem. No. 38326

"India Shelter Finance Corporation Limited
Q4FY24 Earnings Conference Call "
May 09, 202 4

MANAGEMENT : MR. RUPINDER SINGH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. ASHISH GUPTA – CHIEF FINANCIAL OFFICER
MR. RAHUL – HEAD INVESTOR RELATIONS

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES

This is a transcription of the earnings call conducted on 9th May 2024. The audio recording can be accessed using the following
link, https://www.indiashelter.in/investor -relations
DISCLAIMER :
Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Moderator: Ladies and gentlemen, good day and welcome to Q4F Y24 Earnings Conference Call of India Shelter Finance Corporation Limited, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance du ring the conference call, please signal an operator by pressing star, then zero on a touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Renish Bhuva from ICICI Securities Limited. Thank you and over to you, sir.
Renish Bhuva: Yes, thanks Muskan. Hi, good morning everyone and welcome to India Shelter Q4F Y24 Earnings Call . On behalf of ICICI Securities, I would like to thank India Shelter Management for giving us the opportunity to host this call.
I will now hand over the call to Rahul for the introduction and then we'll proceed. Yes, over to you, Rahul.
Rahul Rajagopalan : Thank you, Renish. Good morning, everyone. I take this opportunity to thank ICICI Securities for hosting the call today. I hope everybody had an opportunity to go through our investor presentation and press release uploaded on the stock exchanges yesterday. We have also uploaded the excel fact sheet on our website. With me today, I have Mr. Rupinder Singh, MD and CEO, Mr. Ashish Gupta, CFO, and myself, Rahul, Head IR. I now request Mr. Rupinder Singh, our MD and CEO, to brief you all abou t the company's performance. Thank you and over to you, sir. Thank you.
Rupinder Singh: Very good morning, everyone. On behalf of the India Shelter Finance Corporation, I extend a warm welcome to all of you. Thank you for joining us on the call today. For the company, the financial year 24 has gone well. We have been able to maintain our investments in branch, people, and technology to help us grow sustainably. We have been able to navigate well during the rising interest rate cycle and maintain our margins, yields, and profitability as per the plan.
Moving on to the results for the quarter, we are pleased to report a good quarter. AUM stood at Rs. 6,084 crores, which grew 40% year -on-year and 8% quarter -on-quarter, driven by disbursement growth of 10% quarter -on-quarter to Rs. 747 crores. Full -year disbursement stood at Rs. 2,645 crores, registering a growth of 35% year -on-year. We continue to deepen our presence in the location we are present in. We added 40 new branches during the full year and 8 new branches in the quarter, totaling our presence to 223 locations in 15 states at the end of the financial year. We continue to source internally with in -house sourcing at 98%.
Moving on to the liability side, liquidity pipeline is very strong with positive ALM . The company has access to diversified and cost -effective long -term borrowings. Our rating upgrades have been consistent over the years. During the quarter, India Rating & Research assigned us our rating to AA- (Stable).
In terms of asset quality, 30 + DPD improved sequentially to 2.4% from 3.5% and continues to be stable on year -on-year basis. Gross Stage 3 and Net Stage 3 improved to 1% and 0.7% respectively as of 31st March 2024 as against 1.1% and 0.8% as of 31st March 2023.

Our expectations for the year continue to be the same what we indicated last time.
• Branch addition of around 40 -42 for this year
• Maintaining the spread at around 6%
• Credit cost of 40 bps
• Loan growth of around 35%.
Now I would like to hand over call to Ashish Gupta, our CFO to take you through the financial metrics. Over to you Ashish.
Ashish Gupta: Thanks, Rupinderji. Good morning friends. Let me take you through the key financial numbers. Total income for the quarter is up by

38% year -on-year basis and 12% up on quarter -on-quarter
basis. Total income for FY24 is at Rs. 861 crore s up by 42% year -on-year basis. Portfolio yield

is at 14.9%, year -on-year it is up by 20 bps, quarter -on-quarter it is up by 10 bps. This is primarily driven by improvement in our disbursement yield for FY24, which is at around 14.9%.
We have diversified source of borrowing wi th more than 30 counterparties. Our cost of fund quarter -on-quarter is stable at 8.8%, year -on-year it is up by 10 bps due to increase in market interest rates. Our marginal cost for FY24 is at 8.6%. Share of NH B funding is at 15%. We have undrawn sanction of Rs. 210 crore s from National Housing Bank to be utilized in Q1 of current financial year.
Our margins for the quarter is at 6.1% , which is in line with our guidance of 6% for the medium term. Net income for the quarter is up by 40% year -on-year basis and 18% up on quarter -on-quarter basis.
Opex for FY24 has grow n by 30% against 40% growth in our AUM and 42% growth in our income resulting in operating leverage. Opex to AUM in Q4 is at 4.4%, year -on-year down by 30 bps. Cost -to-income for the quarter is at 38%, year -on-year down by 200 bps.
Credit cost for the quarter is 40 bps in line with our guidance. Sequential uptick in the credit cost is on account of our policy to write off old age NPA accounts annually in the March month.
DPD 30 is at 2.4%, year -on-year it is stable. Our Stage 3 assets are at 1%, year -on-year down by 15 basis points . Our provision coverage ratio for Stage 3 assets is stable at 25%.
PAT for the quarter is at Rs. 78 crores , year -on-year up by 47%, quarter -on-quarter up by 25%.
PAT for the FY '24 is at Rs. 248 crores , year -on-year it is up by 59%. RO A for the quarter is 5.4%, year -on-year it is up by 30 basis points , quarter -on-quarter it is up by 70 basis points . Our ROE for the quarter is 13.8% at a leverage of 2.5 x. ROE for the year is 14%, up by 60 bps year-on-year basis.
With this I conclude and now we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah: Hi sir. Congratulations for good set of numbers. Firstly, if we have to look at it overall in terms of the NIM trajectory, given that larger part of the growth has come with respect to interest on loans, just broadly I want to gauge in terms of what has le d to, I would say on a calculated basis it comes to more than 40 bps kind of increase out there. So what would have ideally led to this kind of rise and how much of this is sustainable? Maybe in the other line items obviously there would be an element of IPO funds, but interest on loans just broadly want to get the delta on a quarter -on-quarter basis ?
Rupinder Singh: Thank you Kunalji. If you see, yes, there is an impact of IPO equity. And again along with that if you see that our spread, what we are maintaining in the tune of the guidance as given earlier of around 6%, this time it was 6.1%. Yes, focus was there on th e ground and we sustain ourselves. If you see going forward, we feel that we are in position to maintain it to the level of 6% and we want to continue in coming time also.
Kunal Shah: Yes, but in terms of any rate action, anything was there which would have led to this?
Rupinder Singh: Most of the book is on fixed rate of interest. So , for the new customer which we are acquiring, yes, we have ensured that we have this upt ick for getting the rate as per the spread of 6%. But for the rest of the customer, we have not changed in this quarter anything.
Kunal Shah: Okay, nothing is changed. And secondly, overall with respect to the ECL provisions on AUM, that is maybe marginally down. No doubt there is an improvement on 30 plus

as well to 2.4 %.
But what would be the levels wherein we would be comfortable? Would we want to make some provisioning on this Stage 1 and take that or keep it at somewhere around 1% or would that be the indication or we would be comfortable at this level looking at the collection efficiency and the trends in GS3 and GS2?
Ashish Gupta: So given the strong recovery trend in this affordable housing finance space , we believe that stage 1 asset provision will remain around 40 -50 business point as a percentage of Stage 1 and Stage 3 asset provisioning will remain around 24% to 27%. You will see marginal improvement in our LGD. Last year it was around 26% this year it is around 25%. This is primarily on account of improvement in the recovery trend that we have seen in this particular year. That's why it has improved. Our PCR has come down from 26% to 25% this year. It will remain broadly in the similar range.
Kunal Shah: Okay, so we will keep it around 24 -25. No plans to take it to 26 -27 and o verall ECL to somewhere around 1 -odd percent?
Ashish Gupta: Yes, it will remain in the range of 24 % to 27%. And if you look at ECL as a percentage of AUM, it is also a function of your Stage 3 asset proportion. Since our Stage 3 asset proportion has come down. That's why you are seeing a marginal dip in ECL as a percentage of AUM.
Kunal Shah: Sure. And write -off would be hardly Rs. 5-odd crores, during the quarter like 0.1%?
Ashish Gupta: Yes.

Moderator: Thank you. The next question is from the line of Umang Shah from Kotak Mutual Fund. Please go ahead.
Umang Shah: Yes, hi, good morning. Thanks for taking my question and congratulations on a great quarter. Just a couple of things. One is on the yield front, just continuing from the previous question. Now I do understand that at this point of time, I mean, you have been able to hold your spreads and yields per se. But let's say if we were to look at some of your competitors who have reported numbers, obviously, slightly larger in terms of size, are some how witnessing some bit of pressure on yield. So maybe more from a medium -term pe rspective, how should we look at this whole dynamics between your AUM mix, your yield , and also if you could just give some perspective from a competitive intensity perspective, that would be really helpful ? Thanks.
Rupinder Singh: Yes, thank you, Umang ji. Frankly, we are able to hold this yield. What we are looking at is focusing majorly on direct sourcing, which is 98% for us, which is in -house sourcing. So this gives an impact that instead of depending upon third party, you give a better service turnaround time to customer, and then automatically this can be maintained in that sense. Till now, if you see, our fixed rate book is around 83% -84%. For the new customer, we always maintain that spread has to be 6% , that’s what we had mentioned on the last call and even now. In future also, we want to maintain from short to medium range. This is the point which we always keep in mind.
So first, always being self-sourcing, which is in -house, that is going to work and keep improving, and secondly, maintaining the 6% of yield. In case there is trends coming down in terms of cost of funds in coming days, we would still like to pass it on to customers and maintain the same level of 6%. So, our objective is to stick to the se metrics.
Umang Shah : Okay, understood. S ir, the second question was more from your overall profitability perspective. Now clearly at this point of time, there are some tailwinds given that the leverage on the balance sheet is lower. We just recently concluded an equity raise. So our reported ROAs are looking surely healthy. Now as we scale the balance sheet over the next two to three years, where should be the more steady state sort of ROAs? And also from an opex line perspective

, I mean clearly
our exit quarter op ex ratios have been lower compared to our full year averages. So how should we look at, again, the whole mix between margin opex and eventual ROAs?
Rupinder Singh: Umang ji, you understand this business is a long term and business of longevity. And what is important in this business is a large ly persistence . If you see on the Opex side, this is something which has to keep coming down as the time progress because most of the cost, whether the tech cost, other things have been already absorbed. We are already available in 15 states, and what we need to do is penetration in these all states instead of spending somewhere else. So this is one thing which we have a focus on. As m entioned in the last call also, we would like to reduce this Opex to AUM by another 15 -20 bps as the year gets progressed.
If you talk about ROA per se, this is an advantage as of now, but on a focused and sustainable pace, we always projected and pitched to be around 4%. So, 4% of ROA from current level to mid-level whenever the coming times, which we are going to maintain.

Umang Shah : Understood, sure. And just last question is on our cost of funds. I believe last quarter is when we got our rating upgrade. Has there been any meaningful benefit which has started coming through on a marginal cost of fund basis, or broadly that is kind of already built -in and we should not expect a material improvement in our cost of funds going forward?
Ashish Gupta: We have just got our rating upgrade in the last week of March 2024. So, we are in discussion with our lenders for our fresh funding as well as reduction in spreads for our existing borrowings. But discussions are since it's just a month since we have got this thing, so discussion will materialize over the period of time. And we expect 15 -20 basis point improvement in our cost of fund by end of this financial year.
Umang Shah : Okay, all right, perfect. Thank you so much. Those were my quest ions and wish you all the best.
Moderator: Thank you very much. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe: Yes, so Ashish just mentioned that we are looking at 15 to 20 basis point s improvement in cost of funds. Now is this driven by rating upgrades or are you also assuming that interest rates come down in the economy towards the second half of the year?
Ashish Gupta: So, this is assuming the stable state of interest rate environment. So , in case repo rate comes down then obviously the benefit will be larger.
Nischint Chawathe: Got it. Just a little bit on growth. You gui ded for around 30%, 35% growth. So, if you could

spell out a little bit more descriptively in terms of how much growth we are looking at from existing branches like SSG types growth and how much is because of new branch addition and maybe a little bit of an annual plan for branch spread out that you will do in this year s ort of a little more qualita tive color for us to understand?
Rupinder Singh: Yes, we are present in 15 states, and we have a plan to open around 40 branches, 42 branches in this financial year a nd these branches will be staggered across the quarters. It is not at a one particular point . Every quart er there will be additions of 8 to 9 branches . So the new branches definitely when we open them they have a certain gestation time to reach a certain number v is-a-vis for the existing branch there is always a productivity drive. So this productivity drive is on basis of the current set of people what the numbers they have to produce. If the branch is working and performing well then maybe we have to add a couple of more relationship office rs in that way. So one is branch opening which I mentioned 42 branches in a year.
Secondly is the productivity drive whi

ch will keep harping on and in case wherever we find the market is quite bullish we can add resource in those particular branches also. So this way we want to build up. So on these parameters which we confidently are able to produce the numbers in the last many years and we want to sustain the same metrics the same way.
Nischint Chawathe: So let me put this differently. What is the typical AUM or disbursement target for a branch manager?

Rupinder Singh: So if you see we don't give a target on an AUM basis for the branch because it's a continuous business. And if you reach a certain level then you realize that this AUM has been achieved maybe before time also in many cases. So what we give a target is on t he basis of what is the branch sustainability in the number of files what they can process.
So any branch if that reaches to 16 to 17 disbursement in a month there we feel that this branch has reached the pinnacle . On an average if we see the number of branches what we have today average unit what they are disbursing is in tune of 11 to 12 units in a month . So any new branch will start -- it start with a humble number of 6 units, 7 units. Eventu ally it starts moving and reach to the level which is mid -range level of around 11, 12, 13 units a nd eventually when it reaches to the pinnacle it goes to the level of 17 units, 18 units. Once it reaches to 17 units, 18 units then it's the time to focus on that branch and maybe fragment it into two pieces so that the numbers can be accordingly set with the next level of division.
Ultimately all the se process, all the se file output has not to depend upon sales team , but also the processing team basically. So without having undue pressure on the team and getting the right output we believe 17 units, 18 units in the maximum which we try to produce f rom one branch. So any market geography which gives the right output in that direction then we try to further penetrate it by adding one more branch in that vic inity. So this way these are the three important levels. The first level the st arting level, the second level is mid -level with 12 units, 13 units and the next level which is the wish list -- all the branches take up immediatel y, but, substanti ally the time it goes is the 17 units, 18 units per branch basically t hat we try to achieve.
Nischint Chawathe: And how long is the journey from 5 units, 6 units to 17 units, 18 units which is like 4 years?
Rupinder Singh: So, again, it depends upon geography, market response, our resources, b ut what we have seen averagely the branch becomes sustainable to the level of 11 units, 12 units in the year of around one and a half years approximately a nd another one and a half years of journey to this level of 16 units, 17 units particularly.
Nischint Chawathe: Got it. If I look at the repayment rate there was an expectation at the beginning of the year th at because of withdrawal of CLSS the repayment rate would go down A nd I guess that's visible in some of the peers. So, for us it's almost been stable. So, is it something that the BT out rate has gone up this year o r is it something that repayments have been higher this year?
Ashish Gupta: In fact, our repayment rate has improved by about 3% as compared to the previous year. Earlier it was, higher in the range of around, if you look at this as a percentage of opening AUM, this was at around 22% in FY23. And at this point, it is around 19%. So, there is 3% improvement. And 2% is driven by the withdrawal of the C LSS. And 1% is on account of our reduction in the BT rate in this particular year. So, BT rate last year was at around 6.5%. This year, it is around 5.5%.
Management: Nishant, this answers the question?
Nischint Chawathe: Yes, I think this answers my question. Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Raghav Garg from Ambit Capital . Please go ahead.
Raghav Garg: Thanks for the opportunity. I don't know if this questio n has been asked before or not. But if I look at your NH B funding, that's about 15%. Do you plan to take this up? Because generally, when we look at other affordable housing finance companies, they tend to operate somewhere around 20 %, 25%. So, to that extent, would you say that you have room to increase this share? And how would you look at ramping up your NH B funding over a period of time? That's my only question. Thank you.
Ashish Gupta: So, at this point of time, we were having around 15%, as you have rightly said. And on top of that, we have around Rs. 210 crores of undrawn sanction , which we will draw in Q1 of this current financial year, which will improve the NH B funding ratio. And just to emphasize here that NH B funding ratio is also a function of your credit rating, as well as your scale. So, as we have got a rating upgrade as well, so we expect in the coming time, we should be able to improve the NH B funding ratio furt her, to around 18 %, 20%.
Raghav Garg: So, I think you had guided for a 15 to 20 basis point reduction next year in cost of funds. Does that assume that you would increase your NH B funding to 18 %, 20%?
Ashish Gupta: So, it is a blend of both. The reduction that we get on our new funding as well as increase in the proportion of NH B funding.
Raghav Garg: Okay. So, that cumulative benefit would be around 18 to 20 basis points.
Ashish Gupta: Yes.
Raghav Garg: Right. And at what rate would you be drawing your NH B fund? That's one question. And another one is, what is the share of affordable fund within this total NH B pool that you have?
Ashish Gupta: So, out of the total NH B pool, we have affordable housing fund to the tune of 50% earlier. But now we are seeing some reduction from the government side or from the NH B side in this affordable housing pool. So, earlier this used to be around 50 %, 60%. Now, this has come down to around 30 %, 25% this particular year. So, earlier the spread between the regular borrowing cost and the NH B fund was around 200 basis points. Now, this spread has slightly reduced to around 150 basis points.
Raghav Garg: So, you are essentially saying that the allocation from the government has reduced towards the affordable housing fund. Is that what you are saying?
Rupinder Singh: It cannot be assumed that this has been reduced from the government side. It is something that they have to plan and impute. Sometimes it goes to the level of 50% and accordingly sometimes it also comes down . There are expectations of schemes after this election get over. So, what that comes, I think it is still under discussion. So, it can go, either way in that sense. So, assumption will be difficult to create out of this answer what Ashish has given.

Ashish Gupta: This is a part of annual budgetary exercise of the government. So, we will see how the budget for this year goes once this election will be over.
Raghav Garg: Understood. Tha nks a lot. That is all from me. Thank you.
Moderator: Thank you. The next question is from the line of Sarthak Malhotra from Think Investment s. Please go ahead.
Sarthak Malhotra: Hi. I just want to check. Is there like any plan around the mix of LAP and affordable housing? Because LAP seems to be a little bit on the higher side.
Ashish Gupta: So, our home loan LAP ratio is broadly stable at around, 58 %, 42%. 58% is housing loan and 42% is LAP. And just to reiterate from the principal business criteria perspective, we keep to selling, our LAP portfolio to banks in the form of direct assignment transactions, which help us maintaining, our on -balance sheet

H L-LAP ratio in a much better fashion. So, at a balance sheet level, our home loan ratio is more than 70% and LAP is close to 30%.
Sarthak Malhotra: Got it. And any, like, can you give me some update on, like, how the co -lending piece is progressing?
Ashish Gupta: So, co -lending is something which we have started last year in the month of March 2023. Over the year, last 12 months, it has seen some good shape. We have been able to disburse around Rs. 150 odd crores of funding in co -lending. And this number may improve in the coming time. But this is an evolving subject still. We are still working on like, a couple of things. And we'll see some uptake in the co -lending volume in the coming years.
Sarthak Malhotra: Sure. Thank you.
Moderator: Thank you. The next question is from the line of Sanket from Dam Capital. Please go ahead.
Sanket: Yes. Hi, sir. Congrats on strong set of numbers. My question was on in -house sourcing. So, 98% of the sourcing is in -house for us. And maybe, say, to reach a certain size of AUM, we can continue this 35% AUM CAGR. But some of our peers not having the alternate sourcing channel, have faced difficulties in terms of growth after reaching a certain size. So, are there any thoughts that maybe not out -and-out underwriting from, say, corporate DSAs, but individual

DSAs or connectors, which some of our peers use? Is there any thought process to tap that sometime in future or how you think on those lines to keep up the growth even after we reach a certain size or certain threshold?
Rupinder Singh: Yes. Thanks, Sanket. Actually, the point is the joy of this business is more into evolving in a fashion, which brings some innovation on that side. So, instead of doing what market is doing, India Shelter always believed to be a little focused on the tech side. And I think on the field, we always have to prioritize to get the best output by ensuring ease of doing business at the field side. So, when we put our resources, give them the right technology, right equipment to o perate in the marke t, they become more confident and that ease of doing business helps them to score better in the market sense.

I think our focus is more on improving the productivity at that level instead of focusing on the third -party channels. Those channels are always available anyway . They were available in past and future also . And it's more on a trade -off basically what you want to focus on. We believe that this is something which we want to create a niche around for coming times also. Giving that choice is always available. So that's not something we have a focus as of now. So, if it has to come up, I think that is not in p lan immediately as of now.
Sanket: Sure, sir. And lastly, on this stage 2 plus stage 3, which is currently 30 plus DPDs around 3.24 for us , you think it's a steady -state number or where should we put our hooks on in terms of seeing this number on a sustainable basis?
Ashish Gupta: So at this point of time, we have around 2.4% which is in line with our last year. But if you see the journey of last year, that will give you like enough indications that our DPD 30 remains in the range of 2.5% to 3.5% largely during the year.
Rupinder Singh: So, there are some seasonal ity factors as well. But when you see year on year, we know that this is very well in control . So, if there are any season ality factor, our collection teams are very well - equipped . All 400 collection resources are available across these 220 branches, and we have a good control on that.
Sanket: Okay. Sure, sir. Ye s, those were my questions.
Moderator: The next question is from the line of Bhavik Dave from Nippon India M utual Fund, please go ahead.
Bhavik Dave: Hi. Good morning, sir. Congratulations on a good s et of the numbers . Sir, just one question and you allude

d to your BT rate c oming down from 6.5% to 5.5% if I got the number right. I just wanted to understand this trend, right? And if you could just elaborate a little more on what is leading to this improvement? Is it we are offering lower rates to these customers and getting them on board or not letting them go? And what is the process that you are following to keep this pool, like indicating this pool that we understand that they want to go for a BT out and we are trying to curb them? So interest rates, top -ups, what are the two, three top reasons that we are able to help the customer with or services in some form that helps the customer to stay back versus bidding out? So what led to this improvement and how can we do this consistently over the next couple of years?
Rupinder Singh: So BT rate normally depends how the market rate trends are there basically. So last couple of quarters there has been always a trend which is on the upper side. So people don't like to go out just getting a top -up or something like that. They also look for an interest cut in one way or another. So if interest cycles are going up, then automatically BT rate also comes down. That is an important piece.
On the other side, if you are going deeper markets, which are tier 3, tier 4, then you'll obviously find that BT rates are lower than the larger markets basically. So as we are penetrating the current set of markets where we are operating it, so the BT rate will have this trend where it will not go substantially as it goes in the larger market on that side. Otherwise, these are a set of customers,

normally they go for BT after a certain time where they feel that it's the time to take a top -up or maybe a very large duration cut, which is not a trend as of now basically.
Bhavik Dave: And if you could just highlight where these customers go, are these smaller NBFCs or HFCs, they try to be aggressive and take our customers? Or is it like more banks, SFBs, where are these customers going, if you have a trend of these 5% or customers that go out?
Rupinder Singh: So this includes public sector banks, which are spread across the country. People, once they have a good track record, they start filing ITRs regularly and they reach to a level where they realize that they can have a decent rate cut. They approach to the public sector banks also. And in few of the NBFC who are quite aggressive on the LTV side, they look forward that if they are getting

a very large chunk of top -up on that side, they also go there basically. So when we see for us the top 5 -6 institutions who do the BT out for us that includes PSBs and a few of the large NBFCs .

Bhavik Dave: Last question on this is, at what vintage does a PSU bank or an aggressive NBFC come to? Is it like 2 -3 years of track record with us and then they come and come in or is it like 1 year a nd they jump into the customer?

Rupinder Singh: Normally 2 -3 years of track record, they look forward around that side. So that happens in this category particularly. And again, I am saying that most of these balance transfer which happens are in the tier two or the bigger towns compared to in the smaller places basically. So, what we are seeing as trends also, the markets where we are deep inside, we don't have any of these trends coming around. But yes, today these National Bank and large NBFCs have a presence in tier 1, tier 2 in a very sustainable way. So, they always opt for these kinds of opportunities which is easy to get. But yes, before that these guys have to create a track record of 2 -3 years and regularly filing the ITRs.

Bhavik Dave: Perfect. Thank you so much.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus . Please go ahead.

Shreepal Doshi: Hi sir, good morning and thank you for giving me the opportunity. So , my que

stion was pertaining to the vintage of our branches. So , in one of the slides , you have shown how the AUM of our branches have been doing since FY ’21. So, I just wanted to understand for more than 3 year branches, where do you see that number stabilizing? And how do you see this 1 -3 year vintage branches seeing the improvement on the AUM per month? So I just wanted to understand that metric and what is the scalabilit y there?

Rupinder Singh: So AUM is something which you don't feel that it has to stabilize at one point. It is a continuous journey which has to keep improving as the vintage and time progresses. For us the stabilization which comes is the number of units each branch is disbursing. So take an example of any branch. If sustainability it is disbursing 18 units in a month, which means approximately 200 units in a year. And if it is existing from last 7, 8, 9 years, then the AUM can go to any. So it has to be sustainable to say Rs. 25 crores or Rs. 30 crores. We have branches which are with us from almost 10 -12 years. And they are fully sustainable and give an output of around 18 -19 units month on month. And their AUM anyway costs Rs. 60 to RS. 70 crores also. So it depends upon

what level you have to take it to the branch in terms of output and productivity. And for us that metric is this 1 7-18 unit monthly disbursement.

First of all this customer is picky. So they don't have a tendency to close loan in 1 year or 2 years of time. The expected life of customer in the system is around 6.5 years, 7 years. So for 6 years, 7 years there is a consistent growth in that side. And eventually as we have seen that the branches which opened in 2013 when the ticket size was hardly Rs. 3.5 lakhs has gone to Rs. 9.5 lakhs . That inflation factor also works on that piece. So instead of focusing on AUM it is something like how the branch is sustainable and how monthly output they can give it. That's a metric that we mea sure and that's a metric that we are realistic picture of on the ground how it has to work basically.

Shreepal Doshi : Got it and sir typically how much radi us does one branch cover and at what -- so do we have a strategy that if a branch is of certain size or of certain customer base we split it given that the business in that particular geography is pretty strong or the opportunity in that geography is pretty strong?

Rupinder Singh: So the point is normally when we open any new branch we see that from the existing branch to start with it should be around 50 kilometers, 60 kilometers a way basically from the existing branch. So that both of the branch can cater a certain fragmented geography near to them. But as the time progress if there is a lot of potential in that market then we don't mind even opening one branch in between these two branches maybe 30 kilometers, 40 km away from there. So in few states where the penet ration is quite deep and there are cases where two bra nches are just in a range of 35 kilometers, 40 kilometers also. But normally whenever we try to open a new branch we try to maintain a distance of 60 kilometers 70 kilometers from the existing one.

Shreepal Doshi : Got it, got it. Thank you sir, thank you so much for answering all my questions and good luck for the next quarter sir.

Moderator: Thank you. The next question is from the line of Jigar Jani from B& K Securities. Please go ahead.

Jigar Jani: Hi sir, thank you for taking m y question. Just wanted to check if self -employed to salaried minute has been moving over the last 4 years more towards self -employed. Do you think this is the ratio where it will settle overall in terms of the mix or do you see it moving more towards the self -employed side? I have two more questions I will ask them after this.

Rupinder Singh: We are into affordable housing, and we cater the segment which is

a part of LIG largely, Lower
Income Group and the markets what we operate, Tier 2, Tier 3 and Tier 4. So we have with time built the expertise around underwriting them internally for the self -employed and that is the reason that's the focu s area for us. The kind of yield what we maintain, the kind of profile what we take up on the book. I think that expertise need to be built and we have to hone those skills which our underw riting is able to do in last 12 years, 13 years. So as the time progressing the ratio of self -employed is improving. As we see today it's a round 72%, 73% of the self -employed on the book.

Slowly steadily it is going to go up only because that's a major focus area also for us. So even in these markets, the salaried people you will find majorly the cash salaried basis or salaried people who don't have a very secure job in that sense, but as you see the self -employed people they have good sustainability, they have evolved themselves to a certain level that now they can put their equity to get their new home and there they need the support from India Shelter, they will get sustained alon g with them basically.
So with this thought and psychology and this philosophy our focus is going to continue to remain more on the self -employed side. So 4 years back self -employed ratio was around 65%. In 4 years it has come to the level of 72%. If you see next 3 years, 4 years you look i t's going up to the level of 75% to 78% .
Jigar Jani : Understood sir. And sir just to understand in your presentation you have mentioned 30 plus DPD as 2.4%, but if you add this stage 2 plus stage 3 numbers that comes out to be 3.2%. So can you explain what is the discrepancy or I am not ab le to understand something here?
Ashish Gupta: So, there is no discrepancy as such like Jigar. So, there are two functions. One is that there is a restructured portfolio that we have done during the COVID restructuring time. So whatever accounts that we have restructured at that point of time that pool was around Rs. 30 Crores . In fact, over the last 2 years this has come down to around Rs. 20 Crores . So out of this Rs. 20 Crores, Rs. 2 crores is NPA which is there in stage 3 and Rs. 18 crores is there in stage 2. We have classified them at stage 2 asset irrespective of their DPD. So even though these accounts are paying their regular EMIs and all that but considering high risk in this particular class of customers we have classified them as stage 2 for the ECL perspective.
Jigar Jani: So restructured is in stage 2 which is why it is higher.
Rupinder Singh: And they have a decent track of more than 18 months where they are paying regularly.
Jigar Jani: Right sir. And on the co -lending side given that we have now started it last year and we are building it up. What impact do you see? Do you see any impact on yields b ecause I am assuming this would be at lower yields than what we would normally do because with banks we will be doing higher ticket sizes per se o r is it at similar yields as compared to your normal book?
Ashish Gupta: So even if we do slightly lower yield to the end customer even in that case, in our share of like co-lending we will get higher proportion of yield because our agreement with the co -lending partner will remain in the range of 9% and even if the ultimate customer is getting slightly lower than what we are currently offering we will make higher yield on 20%. So that will not impact our yield downward side.
Jigar Jani : Okay. Understood. And sir lastly could you share the one plus number if you share?
Ashish Gupta: Our one plus remained in the range of 4 % to 5%. In March 2024 it was at around 4.2%.
Jigar Jani : 4.2%?
Ashish Gupta: Yes.

Jigar Jani : Okay. Than k you. That's all my quest

ions. Thank you so much.
Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from Philip Capital . Please go ahead.
Shubhranshu Mishra: So this split of LAP and home loans can be given in terms of salaried and self -employed and the tier of cities. That's the first question.
The second is that though we speak about own sourcing, if we look at our cost to income or Opex to assets is too high. Cost to income is at around 45%, Opex to assets at around 4.5%. So , what's going inside that Opex that makes it so high if we are sourcing on our own?
The third question is what are the various risk management tools that we are taking at the onboarding for LAP? Because if we are doing lower city LAP, the liquidity of that property remains low. And given the fact that the ticket size is low, we can't invoke invest SARSESI . So is there a mix of income levels, industries, if w e can speak about that in LAP? These are my three questions.
Rupinder Singh: So, Shubhranshu , we are a housing finance company. And housing finance company have a

SARSESI right from Rs. 1 lakh onward. So yes, other financial services which includes NBFC and all, that starts from Rs. 20 lakh s. But particularly housing finance company have this advantage of having SARSESI tool at Rs. 1 lakh.

Now coming to the next question, our loan against property ticket size remains around Rs. 9 to Rs. 10 lakh s. Here we look for properties which are purely a self -occupied residential property. So on our book, there are more than 99% SORPs, what we call self -occupied residential property. And there again the LTP which stands is in tune of 45 % to 46%, which is lower than 50% even. Most of these customers for us, they are self -employed. In fact, for loan against property, the customer which are with us is more than 95 % self-employed. And there when you see the ticket size of Rs. 9 to 10 lakh s, LTP of 45% and the property of SORP, for most of them the end use if for the same requirements they have. And here they can have requirements not only for business, sometimes they require the money, since they are a sustainable business also, for consumption loan also, sometimes in marriage or sometimes for sending kids around. But that portion is also very, v ery low. So , most of them if you find, this is into the business expansion on that side, which is self -occupied with 45% LTV . And the se are the important risk parameters. And we do have an assessment where every customer is being met at his premises of operation, where he is running a business, as well as his property . Any customer before getting disbursed , there are at least four touch points at his premises.

And then on basis of the evaluation, where we try to capture at least 70 to 80 points, which gives them information about the customer before the evaluation. Then on basis of the BRE rules, what that gives the output, the customer sanction is given.

So, this is a blend of touch with customers, as well as using technology , some uses of data science and scorecards and giving the credit norms which help us out into that piece. And that's the reason if you have seen the trend of the delinquency of India Shelter for the last 8 to 10 years, they are sustainable, though we are in the same business from last 12 years.

Ashish Gupta: And your question of Opex AUM is higher. So , there are two functions, one is obviously scale. So, as we go in terms of our scale, you see that our Opex is coming down. Secondly, since we are in the business of direct origination, our cost is in the form of salaries that we give to our loan officers, our branch people and all that. So whatever salaries we give, those salaries come into our P&L . While in case of prime housing, whatever origination they do through DSAs and all that, all those cos ts get amortized over

the tenure of the loan. So, this is a challenge in affordable housing wherein upfront income that you get, that gets amortized, and your expenses come into your P&L. So , over the years, as we scale, our Opex will come down.

Shubhranshu Mishra: Understood. And if I can just squeeze in one last question to our guidance of 35% growth, that's on AUM . So, a ballpark 6 %-7% should be inflationary growth in terms of ticket size. There should be some amount of growth with some degree of our branches maturing and breaking even. So that should occupy almost like 10 %-12% of the growth. So , the actual organic gro wth is somewhere closer to 20%. Is that a fair understanding?

Rupinder Singh: Well, if you see what the ticket size has not grown from last three years, in fact that remains in tune of Rs. 10 lakhs . So that inflation is not overnight which happens 6 %-7% year on year. We are catering the set of customers who are purely affordable, and they require a loan to make sure that they have a home or create a mortgage and all that side. So , we don't look at growth keeping in mind these aspects of just increasing our ticket size. We believe in ensuring that we have more number of customers on b ook. And that is the reason whenever the question is being asked on the AUM side and our answer and representation is more on that how the productivity can be improved in branch and how we ensure that the branches go to the level of 17 -18 units per month basically. So , what we indicate is something which has to be given surety that this is a number that we are intact on. And if we meet this number, go beyond that or around that, I think it is a matter of execution which as we progress , we will keep giving t he output on that side.

Shubhranshu Mishra: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Omkar Kamtekar from Bonanza. Please go ahead.

Omkar Kamtekar: So, the first question was with respect to how the branch addition will happen. So, as we told in the presentation, we have 15 states that we have designated. So , are we going to go deeper in these specific states where the vintage is higher or say 3 years or more? Or are we going to expand into more states? And which specific region are we looking at? Are we looking to expand northwards towards maybe UP further and increase our percentage of AUM there? Or we go southward where maybe the income profile of the applicants is much better?

Rupinder Singh: So Omkarji , we have to open these 40 -43 branches across the country. And only in these 15 states, where we feel the demand is picking up quite well, instantly we can gratify that thing basically. So , these branches will be expanded across, starting from South, Rajasthan, MP and some part of North also. So, if you see between 15 states, if you see average of each state will not be more than 3 or 4, that is the number of branches you c an open. But in a few states, we'll be opening maybe up to the 4 and in a few states, we will stick to the 2 or 3 level basically. So, if you talk about particularly the ratio between them, then this year I think the number of

branches which will be opening in South will be a little more compared to the rest of states, if you go state by state particularly. But otherwise, we are opening across the country these 40 -43 branches.

Omkar Kamtekar: Understood, understood. And with respect to the AUM breakup, 50% of the AUM is coming from Tier -3 cities. So , it looks like we are making a conscious effort to go deeper into the more rural and inner parts of the country. So, is this fair to assume that as we go deeper, this will go further higher? And as a consequence, maybe the yield might also jump up because again, because the riskier profile of the applicants there, the yield might also go up?

Rupinder Singh: The point is, for us,

Tier -3 is not a rule. These are the towns, places, and most of them are district headquarters also where the population is more than 2 lakhs basically. So , for me, Kishangarh is a Tier -3, Alwar is a Tier -3. So , these are not rural markets. The economy is booming up and numbers are intact, property rates are quite decent, and you get a customer where they are looking for getting a house in range of Rs 18 to 20 lakh s and looking for the loan of Rs. 10-12 lakhs. So this is not a rural segment particularly, and they are quite conscious about what is the loan and what are the things on that side. So , our thought is to maintain a spread of 6% and maintain the quality on that side instead of pushing for high yields and taking the risk which we feel that we don't want to build on that side basically. So , the penetration is going because this is the market which are getting developed more than the rest of the country. So, if you see the growth trajectory which is coming in Tier -1 market, I think you will find the growth in Tier -2, Tier-3, or beyond is much better and much progressive.

Omkar Kamtekar : Understood. And finally with respect to the buckets -- which specific buckets. So, we have our peers some who are speci fically concentrated on the sub Rs. 10 lakh some are specifically targeting the Rs. 15 lakhs to Rs. 20 lakh bucket of applicants in the affordable housing segment. What is our target range of applic ants that we are trying to see b ecause I can see the share of the Rs. 5 lakhs to Rs. 10 lakhs is increasing very steadily and even up to Rs. 15 lakhs is also increasing. So , is there where we see the largest amount of growth both on AUM side and on volume side?

Rupinder Singh: So, our maximum focus remains between Rs. 5 lakh s to Rs. 25 lakhs and out of that you are absolutely right that Rs. 5 lakh s and Rs. 15 lakhs had more concentration as our average ticket size stands around Rs. 10 lakh s. So, this is a segment which we cater , which comes and fit into our bill in the right fashion. And we want to continue on that side. With time if inflation goes up and thi s category inches up towards Rs. 10 lakh s to Rs. 11 lakhs or Rs. 12 lakhs that is a progre ssive journey around that side, b ut what is the current state of affair Rs. 10 lakh s is the average ticket size that we keep running around.

Omkar Kamtekar : Understood, understood. And just on the co -lending side a small clarification. How much of the total AUM do you see envisaged say over 3 years, 4 years, 5 years the co -lending business to contribute to the total AUM? Do we have something in our minds with respect to that?

Rupinder Singh: We have just start ed building this book. It's too early to comment on what part of AUM will be co-lending. We are with certain banks where we have tied up, we are just trying to understand how the synergies are getting built. So , this is too early to give an output in terms of that this is

the kind of p ercentage you want to maintain, b ut if this business is picking up and giving the right output for us then definitely, we will not shy away from it.

Omkar Kamtekar : Understood. And finally, just on the NHB spread, what is the spread that we get b ecause some of our competitors from what I have se en what they get funding from NHB is approximately 5 % to 5.5% for their funds and they get approximately a 5% to 5.5% spread that is GSEC plus 30 bps. So, what is the spread that we occupy on the NHB funding?

Ashish Gupta: So NHB has two schemes. One is the regular refinance scheme, and another is affordable housing finance scheme. So , on regular refinance scheme, you can see that fund is coming at around 8% wherein you lend, and you mak e margin of around 550 to 600 b asis point. Then there is affordable housing finance scheme wherei n funding comes at around 5.5%, b ut there is a

cap on lending wherein you generally end up lending at around 10.5 % to 11%. So at
the end of the day you make similar spread on both the schemes. So technically, it doesn't matter
that whether you are drawing in affordable housing fund, regular housing finance plus your P&L
remains broadly similar.
Omkar Kamtekar : Understood. So , 500 to 600 b asis points would be the range overall. So , is it not mate rial difference between the two?
Ashish Gupta: Yes.
Omkar Kamtekar : Okay, Understood. T hank you.
Moderator: Thank you. The next question is from the li ne of Vignesh Iyer from Sequent Investment. Please go ahead.
Vignesh Iyer: Congratulations on good set of numbers and thank you for the opportunity. My first question is related to what is the total co -lending that has percentage of AUM as of now and w hat is the
percentage of the AUM, we have an internal estimate maybe 3 years down the line that we are
looking on for the co -lending part?
Ashish Gupta: So, as we have said so at this point of time co -lending is at evolving stage. So , at this point of time AUM is closer to around 2% in this co -lending. And as we progress, we have a better
experience with our partner s, their policies and all that. We can give a guidance at a later date
on this.
Vignesh Iyer: Okay. But can you tell me which are the banking tie -ups or other tie -ups that we have for co - lending as of now?
Ashish Gupta: So, we have two tie -ups wherein one is private bank, and another is PSU bank that we are doing at this point of time. And that is primarily for loan against property. Home loan is something
which we are doing on our own book entirely.
Vignesh Iyer: Okay. S orry, I missed the part. Sorry. It is for which property?

Ashish Gupta: So loan against property is something which we are doing i n co-lending like as a product a nd home loan is something which we do entirely on our own balance sheet.
Vignesh Iyer: Okay. Got it. And on the ROA part of it what is the steady state ROA that we could achieve li ke say 3 years down the line 2 years, 3 years down the line?
Ashish Gupta: So, at this point of time, we will see ROA is upwards of 5%, b ut at this point of time we have recently raised our equity. So , benefit of equity is coming. So, as we reach a leverage of 3.5
times broadly, we expect that ROA will stabilize to around 4%. And that is a steady state we
believe.
Vignesh Iyer: Okay. So, debt-to-equity as of now – so after raising the fund the debt -to-equity is at a very good level and we got quite a headroom. What is the amount of debt -to-equity that I mean we are
comfortable reaching up to say 4.5x, 5x of the book?
Ashish Gupta: So, at this point of time, we are at around 2.5x of our debt -to-equity. And given the discussion with the Bankers, rating agency we believe 5x is also quite achieva ble. But that's a long journey.
Even for reaching 3.5x it will take around 18 months, 24 months from here. So it's a journey that
will keep evolving.
Vignesh Iyer: Right. That's all from m y side and all the best.
Moderator: Thank you. As that was the last question for the day, I now hand the conference over to Mr. Rupinder Singh for closing comments.
Rupinder Singh: Yes, thank you everyone for taking your valuable time, for attending our earning call. We will keep you posted for any further updates. Also, audio recording and transcript of this call will be
uploaded on our website shortly.
Looking forward to hosting you all in next quarter. Thank you so much.
And if you have any further questions or require additional information, please feel free to reach
us out. Thank you so much. Thanks once again.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this confer ence. Thank you
for joining us. And you may now disconnect your line. Thank you.

Call: Aug 2024

India Shelter Finance Corporation Limited
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CIN: L65922HR1998PLC042782, Phone No +91 -124-413180 0
E-mail: customer.care@indiashelter.in , Website: www.indiashelter.in

Date: August 13, 2024

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal
Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra
Kurla Complex, Bandra (E),
Mumbai – 400 051
NSE Symbol: INDIASH LTR

Sub: Transcript of the Earnings Conference Call for the Quarter ended June 30 ,
2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcript of the earnings conference call for the quarter ended June 30 , 202 4, held on August 08, 202 4 is available on the website of the Company.

The transcripts can be accessed from the link given below.

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

You are requested to take the same on record.

Thanking you.
Yours faithfully,

For India Shelter Finance Corporation Limited

Mukti Chaplot
Company Secretary and Chief Compliance Officer
Mem. No. 38326

“India Shelter Finance Corporation Limited
Q1FY25 Earnings Conference Call”
August 08, 202 4

MANAGEMENT : MR. RUPINDER SINGH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. ASHISH GUPTA – CHIEF FINANCIAL OFFICER –
MR. RAHUL RAJAGOPALAN – HEAD INVESTOR RELATIONS

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES

This is a transcription of the earnings call conducted on 8th August 2024. The audio recording can be accessed using the following link, https://www.indiashelter.in/investor -relations

DISCLAIMER :

Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Moderator: Ladies and gentlemen, good day and welcome to India Shelter Q1FY25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signa l an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Renish Bhuva from ICICI. Thank you and over to you, sir.

Renish Bhuva: Yes, thanks Sumit. Hello, good evening, everyone and welcome to Q1FY25 India Shelter Earnings Call . I would like to thank the India Shelter management team for giving us the opportunity to host this call. I will now hand over the call to Rahul. Over to you, Rahul.

Rahul Rajagopalan: Thank you, R enish. Good evening, everyone. I take this opportunity to thank ICICI Securities for hosting our call today. I extend a warm welcome to all participants on the Q1FY25 Earnings Conference Call . With me today, I have Mr. Rupinder Singh, MD and CEO, Mr. Ashish Gupta, CFO and myself, Rahul Rajagopalan. I now request Mr. Rupinder Singh, our MD and CEO, to brief you all about the company's performance. Thank you and over to you, sir.

Rupinder Singh: Thank you. Very good evening, everyone. On behalf of the company, I extend a warm welcome to all of you. Thank you for joining us on the call today. We delivered another quarter of consistent performance with sustainable growth in our AUM. The continued performance in this quarter is on the back of volume growth, improved productivity, consistent margins, sta ble credit costs, and improved return ratios.

I would like to start with the budgetary highlights impacting the affordable housing sector.

PMAY was introduced in 2015 with the aim of providing affordable housing. The increase in the target by three core houses in this budget goes well for those who wi sh to avail the benefits of the scheme, particularly in EWS and LIG. The reintroduction of credit -linked subsidy schemes is expected to support housing loan growth as well. The scheme provides subsidized home loans to buyers of affordable homes under PMAY. We are waiting for fine prints, which is expected in some days.

Some of the key operational highlights include s:

- India Shelter AUM crossed Rs. 6,500 crores
- We have 86,000 plus customers on our book
- We continue to source internally with in -house sourcing at 98 %
- 100% of our book is secured.
- Basis our conservative approach , LTV on the book is 52 %
- 90% of our AUM is from Tier 2 and Tier 3 cities
- More than 72 % of our customers are self -employed

Moving to the result of the quarter, we are pleased to report an AUM growth of 37 % year-on-year to Rs. 6,509 crores, supported by a disbursement growth of 23 % year-on-year to Rs. 715 crores.

As discussed during the previous call, we plan to add 40 -42 branches during the year. On that note, we have added 30 new branches during the quarter . In this quarter, we added three branches each in Rajasthan, Uttar Pradesh, and South, followed by two branches in Haryana and one branch each in Uttarakhand and Maharashtra.

Moving on to the liability side, liquidity pipeline continues to be strong with positive ALM. The company has access to diversified and cost -effective long -term borrowings. In a rising interest rate environment, our cost of funds was maintained at 8.8 %.

Operating efficiency continues to play out as our opex to AUM remains stable at 4.4 %.
In terms of asset quality, Gross Stage 3 came in at 1.1 %, 30-plus inch ed up to 3.5%.
On profitability metrics, PAT came in at Rs. 83.5 crores, registering a growth

of 77 % year-on-
year. ROE improved to 14.3 % from 13.9 % in Q3FY24, t hat is the period when we did our capital raise and got listed.
Business environment continues to be the same as witnessed during the last four quarters. We continue to maintain our guidance, what we indicated during the last call .
• Branch addition of around 40 -42 for the year
• Maintain m argins at around 6 %
• Credit cost of around 40 bps,
• Loan growth of around 30 %-35%
With this, I would like to hand over the call to Mr. Ashish Gupta, our CFO, to take you through financial metrics. Over to Ashish.
Ashish Gupta: Thanks, Rupinderji. Good evening, friends. Let me take you through the key financial numbers. AUM as on June 24 is at Rs. 6,509 crores. Year -on-year growth in AUM is at 37 %. Quarter -on-quarter growth in AUM is at 7 %. Total income for quarter is up by 39 %, driven by increase in AUM and improvement in yields. Quarter -on-quarter it is up by 7 %. We have concluded a DA transaction of Rs. 137 crores during the quarter. DA as percentage of AUM is stable at 16 %. Portfolio yield is at 14.9 %, year-on-year up by 20 bps, in spite of improvement in HL share in AUM from 57 % to 59 %. Quarter -on-quarter yield is stable. Disbursement yield for Q1 is at 15 %. We have diversified source of borrowing with more than 30 counterparties. Quarter -on-quarter cost of fund is stable at 8.8 %. Our marginal cost of fund is also at 8.8 %. During the quarter, CARE rating has upgraded our credit rating from A + to AA -, this will help us to bring down our cost of fund by 25 to 30 bps over the medium term. Our lending margins are stable at 6.1 % quarter -on-quarter, in line with our guidance of 6 % for the medium term . Opex for the quarter has grown by 27 % year-on-year, as against 37 % growth in AUM and 39 % growth in incom e. Opex to AUM for the quarter is at 4.4 %, down by 40 bps year -on-year, with improvement in scale. Quarter -on-quarter it is stable at 4.4 %. Cost -to-income for the quarter is at 38 %, which is stable quarter -on-quarter. Year -on-year it is down by 800 business points .
Credit cost for the quarter at 40 bps, which is in line with our guidance. DPD 30 is at 3.5 % and Stage 3 is at 1.1 %. Marginal uptick is on account of seasonal factors. PCR for stage 3 assets is

stable at 25 %. Our total ECL is Rs. 51 crore s against the regulatory threshold of Rs. 31 crore s. So, there is adequate provision buffer is in place.
PAT for the quarter is Rs. 83.5 crore s, year -on-year up by 77 %, quarter -on-quarter up by 7 %.
ROE for the quarter is at 5.4 %, quarter -on-quarter up by 20 bps. ROE for the quarter is 14.3 %, at a leverage of 2.6 x. It is up by 40 bps quarter -on-quarter.
With this I conclude and now we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Raghav Gar g from Ambit Capital. Please go ahead.
Raghav Garg : Hi, thanks for the opportunity. My first question is on the on -book yield. There seems to be a quarter -on-quarter decline of about 30 to 40 business points in your on-book yield. That is your interest income divided by on -book loan. Why is that happening in this quarter?
Ashish Gupta: That may be purely on account of averages that you may be looking at in terms of P&L divided by average AUM. Otherwise, there is no movement in the yield assets. Broadly, we are stable at 14.9% in terms of portfolio yield. Our DA to AUM ratio is similar at around 16%. That may be purely because of averages.
Raghav Garg : I think the one that we are looking at in 4Q, that is probably an inflated number. Is that understanding, correct?
Ashish Gupta: I do not see an inflated number. But there may be some ab errations in the averages of the denominator that you are using.
Raghav Garg :

Understood. And on your cost of funds, you are stable at 8.8%. But when I look at the borrowing, the share of NHB has gone up by about 300 business points. So, it seems that there has not been really any benefit of higher NHB borrowing. Why is that? And also, can you give us the marginal cost of funds without NHB borrowing?
Ashish Gupta: We have drawn down NHB funding under the regular refinance this time. Because we have already drawn down under the A HF scheme in the month of November last year. So, the residual drawdown of around Rs. 210 crores that we have done in this quarter is on regular refinance

scheme, wherein the interest arbitrage is limited to around 30 -40 bps. And having said this, either
we draw in HF scheme or in the regular refinance scheme, it does not impact our margin as such.
So, in case we draw in AHF sche me, our cost of fund you may see coming down, but parallelly
our yield will also come down. Technically, we endeavour to make about 6% margin over the
cost of fund that we have.
Raghav Garg : Understood. That's all from my side. Thanks a lot.
Moderator: Thank you. The next question is on the line of Nischint from Kotak Institutional Equities. Please
go ahead.
Nischint : Hi. I think I am just kind of going back to the question on margins. If I look at your NII growth
on a sequential basis, it's around 1.7%. Your loan growth on a sequential basis is somewhere

close to around 7%. So, definitely, I think there is something which is not adding up. If your
spreads are stable, then your NII growth should ideally be equal to your AUM growth.
Ashish Gupta: So, NII growth is, I don't know how you are looking at, NII is better than the previous quarter
that we have.
Nischint: I am looking at sequential quarter -on-quarter NII growth and quarter -on-quarter loan growth to
get a sense of how the spreads have moved sequentially because optically it looks like your NII
growth on a sequential basis was just around 1.8%, 1.7%. And obvi ously, your loan growth has
been much more than that.
Ashish Gupta: We'll have a look at it and come back to you after this.
Nischint: No problem. The other thing is, I think there was another question on your incremental cost of
funds. I am not sure if you answered that. What is your incremental cost of funds today?
Ashish Gupta: Incremental cost of fund is, if you talk about the non -NHB source, it is running at around 8.9%
versus about 9% in Q4. And if you include the NH B funding as well, then our ma rginal cost of
fund is at 8.8%.
Nischint: That is not incrementally making any difference. And any view or outlook in terms of where
you see this cost of funding heading? Do you see this really heading up? Are you diversifying
because of which the cost of funding is going up? Or do you have any MCL R kind of transition?
Ashish Gupta: So, even if we assume the market rate of interest remains stable and RBI do es not reduce the
repo rate, we are seeing pressure on the cost of funds from the bank side. You are aware that
what is happening with the bank CASA. So, we are seeing some pressure coming from the
MCLR link ed borrowing s that we have. But having said this, we have our rating upgrade in
place. So, that will help us to maintain our cost of funds. So, we believe that in spite of MCLR
adjustment that will happen over the next nine months, our rating upgrade should help us to
reduce our cost of funds by about 10 basis point this financial year.
Nischint: You know, in the sense of spread over MCLR is kind of going up. Is that what you are trying to
address?
Ashish Gupta: So, spread over MCLR is gradually coming down. With the improvement in our credit rating,
we have been able to negotiate lower spreads with our lenders. So, though the MCLR will go
up, we will be able to negotiate lower spreads, resulting in overall lower m

arginal cost of fund
than like what we have currently.
Nischint: Sure. The second question is on disbursements. We are kind of somewhere closer to 23% for
this quarter. Is that what we would probably look at for the next nine months or if you could give
some color on that?
Rupinder Singh: Well, quarter one is normally a little low on the disbursement side. This has been the trend with
most of the financial institutions in this segment . This time we have shown 23% growth, we
believe that there is still a lot of scope going forward and normally upticks happen in H2 and
quarter two is actually also helpful sometimes. So, we are optimistic about that and this

percentage growth what you are looking on year on year basis of 23%, 24%, it has a little uptick
over that side. But if you want the exact number, I think I can only give the optimistic picture
on that side .
Our guidance remains constant in the range of 30 %-35% of A UM growth. 1% here and there
can always happen . But yes, we are optimistic about the se things.
Nischint: And just on the business mix, we have kind of growing home loans faster. So is 60 -40 is the

optimal mix of what we are looking at or do you think we sort of really exceed that as well?
Rupinder Singh: So, Nischint ji, even in previous call, I mentioned there may be 1 %-2% here and there. So our focus remains in the range of 60 -40. The 60 can go to 61 , 62. That 40 can come down to 38 , 37 at the max basically. But ratio of 60 -40, which is important to maintain the PBC guidelines will continue to remain in the same range. So irrespective of the mix, I think business was supportive enough to maintain the spreads which we have been guiding of 6%. So this quarter also we maintain ed the spread of 6.1%.
Nischint: So, just sorry, if I can ask, what proportion of loans are top -ups for us?
Rupinder Singh: Nischint ji, we actually are in a segment, which is very low ticket size. And we always keep in mind 2 -3 things aspects. First of all, it is a self -employed customer and end use has to be for the business side. We take Udyam Certificate from these customers. Ticket size for us remain around Rs. 10 lakhs . These segments of customer who we charge a rate of average yield of 14.8 %- 14.9%, rarely come for these kinds of top -ups. Still, if you ask the numbers, it won't be more than 2 %-3% of the book .
Nischint: And ticket size, when you say INR10 lakhs, it is on the book or is it on the incremental disbursements?
Rupinder Singh: Both on the book and disbursement remain around the same range.
Nischint: Got it. Thank you very much. Those were my questions. All the best.
Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: So the first question is on collection efficiency. If we look at that number, that's down 300 bps quarter -on-quarter. And even maybe because of the seasonality, when we look at on a year -on-year basis, that's also down almost 80 -odd basis points. S ir, any reason for that or any state -specific trend which we are seeing in this collection efficiency? And that has led to slightly higher 30 -plus as well at 3.5 -odd perce nt. So how should we rate this?
Rupinder Singh: So if you see the five quarters of trend, there's definitely a seasonality effect which comes into that piece. In fact, quarter three of the last year was also on the same set of number of 3.5 % of 30 D PD. And eventually, when we landed into quarter four, we were able to sustain. Obviously, the effect was both. One is quarter four and one is what we, you know, able to deal in terms of collecting it well. We have taken certain initiative in this quarter, particularly more on the digital side. So, you might have noticed that our digital collection, which used to be, say, 93 % has gone up to the level of

96 % in this quarter particularly. And yes, there's also an impact of certain

seasonality. There are many things you can count on, but there's no point of counting things which are leading to drop of collection efficiency . I think we'll be able to cover up in coming quarters . So this is more like a seasonality, and it is very much range -bound as per us, and we'll be able to maintain it.
Kunal Shah: Okay, sure. And secondly, on the fee income side, any one -off element out there? It seems to be quite high, even on a quarter -on-quarter as well as year -on-year. So it doesn't seem to be more volume -related, but there's any one -off.
Ashish Gupta: So in fee income, there are a couple of things. One is that our insurance agency is now active, so that some of the fee income is coming by way of that. Secondly, we have done some tweaking in our fee structure in case of co-lending. So, some part of the additional fees is coming from that structure. In Q1 generally BT is slightly higher by 50 basis points as compared to the previous quarter so some prepayment income coming from that side. So it's a mix of all these three factors, nothing beyo nd that.
Kunal Shah: Okay, sure. And lastly, with respect to disbursement, the impact of RBI circular, if you were to look at it, how much would that have been in this number which we had reported? Was there any disruption out there because of the cheque circular which has been there? And maybe on a normalized basis, how should we look at the overall disbursements?
Rupinder Singh: Well, quarter one normally is a little leaner than the quarter four of the previous year. This has been a trend with us particularly. But having said so, there's a slight impact of the circular also, which happened with us. If you see per se, there may be a drop of 3 %-4% here and there . I think we were quite effective in responding on time . Otherwise, we don't see any impact around that side. Quarter one is normally a little leaner, and this is a trend in our India Shelter history from not o ne or two years, but from ages.
Kunal Shah: The only thing was maybe in terms of the cheque , how much was the proportion of the cheque issuances ver sus the online transfer earlier?
Rupinder Singh: So that's what I'm saying , the gap will not be more than 3%-4%.
Kunal Shah: 3%-4%. Okay, got it. Thank you.
Moderator: Thank you. The next question is from the line of Omkar Shinde, an individual investor. Please

go ahead.
Omkar Shinde: Hello. Thank you for giving me the opportunity. The point was you had said that you will be adding 40 -42 branches in current year. Will this continue for the next two, three years also? So runway for the next two, three years, what would be that?
Rupinder Singh: So, Omkarji, we are present in 15 states across country, including North, West, and South. And in these 15 states, we have enough of depth, which we can capture. And I feel 40 -42 branches, you know, quite comfortable that we have taken up. So I feel not only two to three years, but beyond that also we'll be in position to maintain that number if we want. Obviously, we have to kick off the productivity aspect also. There may be a little bit change here and there. But largely for next year, at least I can confirm there'll be 40 -42 branches ...

Omkar Shinde: So, three years, we can assume it is 40 -42 branches. What I wanted to understand then, the steady state Opex to AUM that is currently at 4 .4%, I think that would remain steady in the current levels, or will we see some impacts of seasoning? So what I want to also understand is once the branch, say, for example, the branches that's open ed current year, two, three years down the line, they will season and they will get productivit

y. So how will that impact going ahead?
Rupinder Singh: So one thing is very important to understand is 40-42 branches were on previous years base of 183 branches . And three years, this 40-42 branches will be on the number of 320, basically, if you add up the number. So automatically, the percentage -wise this opex is bound to come down , because percentage -wise the number of branches which you are adding up is a on the lower side. Secondly since we have already maintained our supervisory cost very well and what we need to do is only open new branches and that also into Tier 2, Tier 3 branches which is in the same geography largely. So effectively you can easily find out with these impetus maybe 20 -30 bp s of opex on A UM benefit you're going to get in the next two -three years.
So this year what we started with 4.4%, you will find out we'll be landing somewhere 15 -20 bps lower than the previous year and eventually the next two -three years also.
Omkar Shinde : Okay. So on an average we might get 15 to 20 bps operating leverage every year for the next two, three years?
Rupinder Singh: Yes.
Omkar Shinde: Okay. And lastly what are the average number of log -in and the final disbursement? So, for example, what are the number of log -ins per employee? I'm trying to understand per employee productivity because our number of employees have been increasing as we are also expanding per branch. So I'm trying to understand how will that per employee level productivity improve going ahead? So say, for example, what are the number of sanctions files and the number of files that are disbursed that way per e mployee or even on an overall basis if you can?
Rupinder Singh: So if we see when we drive our business purely 98% of business comes from the self -sourcing. We don't depend upon third -party DSA or channel parts . So per employee last year it was in tune of a round 5 to 5.5 this year has reached a level of 6 . And obviously as you're driving this productivity, it has to go up in a sequential way. Apart from addition of the people and the branches there'll be some spurt which is coming from the per employee productivity also. So, if we see the trend of last say three years or four y ears you'll find that every year there's a n incremental starting from 4.5 to 5, 5 to 5.5 and now touching around 6 a nd next level what we'll be targeting for the next year will be around 6.5, 7 .
Omkar Shinde : 6.5, 7 will be for FY25, 26. I did not get that?
Rupinder Singh: For 25-26 yes.
Omkar Shinde: 25-26 is 6.5 .
Rupinder Singh: Yes.

Omkar Shinde: Thank you. I will join back in the queue.
Moderator: Thank you. The next question is from the line of Renish from ICICI Securities. Please go ahead.
Renish: Sir just two questions from my side. One on this CLSS scheme being announced by the government. Do you foresee any upside risk to our growth targets now being that is just implemented after a lag of two years?
Rupinder Singh: I think any kind of scheme which come is good for the industry . So, in our business plan we have not included any part of the scheme coming around. So whatever growth trajectory which

we keep that is irrespective of whether the scheme comes or not, b ut yes if scheme is coming in right spirit a nd we are able to implement definitely we'll find some kind of improvement in terms of overall numbers.
Renish : Got it. And sir secondly on this NHB refinance scheme so far we are sti ll waiting for the final papers, b ut what's the discussion going on?
Rupinder Singh: I think it will be a little hurry to take some indication on that piece. There's a lot of discussion going on, but I'm not in a position to give you the exact idea how it's going to shape up as of now.
Renish : But in whatever form that scheme comes, does that will have any impact on our

cost of funds
increment ally? I mean, of course, the NHB lines will have impact, b ut the new scheme do you foresee that will have a material impact on cost of fund going ahead?
Ashish Gupta: So it may have a cost of fund impact, but it will not impact the margins. So like that's what we are saying that even if NHB come out with a AHF scheme wherein we draw the fund at like 5% cost of fund come down by about 20, 30 basis point from that, b ut parallelly the yield also come down because those schemes will have a capping on the yield rates. So, at the end of the day we target our margins. So, even if NHB is lending us at 8% if we are driving around 6% margin we are happy. In case NHB is lending at 5% and we are driving like 11% yield we are happy with that. So we don't fram e our business plan. Basis NHB schemes rather we frame our business plan basis the margins that we target.
Renish : No, completely agree with you, b ut the limited point is, let's say, whatever the spread cap has been there previously if there is a increase in that spread cap in the new scheme, does that will have impact on our margins is what I am trying to get a sense?
Ashish Gupta: Obviously, in case NHB came out with some scheme wherein cost of fund is lower margins like allowed is higher, obviously that will have a positive impact on the cost of fund .
Renish: Okay. And my second question is to Rupinder Sir. Sir with steady growth what we are expecting over the next couple of years why do you see the opex ratio settling down?
Rupinder Singh: I think, R enish Bhai you assume at least 15 to 20 bps coming down year -on-year that's how we have been trending.
Renish: From Q1 levels?

Rupinder Singh: Yes.
Renish: And in a steady state business where do you see it settling at around 3% or more than that?
Rupinder Singh: Look there's always scope of improvement. When company is doing a lot of initiative about digitization, the proces s is getting tweaked, improved. I think we should not get settled at any point of level. Every time there's always a scope of improvement. So, we have not come up with a target that after 3 years we have to be around 3% or 3.5%. We'll continue to work towards reducing it as the time progress . So I think there's still a lot of scope, and we'll continue to keep working towards that .
Renish : Got it. Okay, Sir. That's it from my side.
Moderator: Thank you. The next question is o n the line of Jigar Jani from B& K Securities. Please go ahead.
Jigar Jani: Yes, hi. Thanks for taking my question. A couple of them could you share your 1 DPD number?
Ashish Gupta: Our 1 DPD remains around in the range of 5% to 6% normally. At this point of time it is around 6%.
Jigar Jani: If you look at your off book AUM, could you share this quarter what is the spl it between DA and co -lending. I have the Q3 numbers, it was about Rs. 82 crores I guess co-lending. Would it be possible to share the Q4 and the Q1 numbers split between DA and co -lending?
Ashish Gupta: So, if we, if you look at the total off -balance sheet portfolio, so DA is considered as off -balance sheet, wherein that, that proportion is around 15.7 % for Q1. And if you look at Q4, this was again at 15.6%. So broadly we target ff -balance sheet portfolio as a percentage of AUM at around 16%. If you look at Co-lending, we did about Rs. 52 crore s this particular quarter. And at this point of time that is around 2.9% of the total AUM. And in March, it was at around 2.4%.
Jigar Jani: Understood, Sir. And Sir, lastly, could you also share your borrowing absolute numbers in terms of borrowing, total borrowings?
Ashish Gupta: So, if you look at our total borrowings, our total borrowings are in the tune of around Rs. 4,700 crores including direct assignment.
Jigar Jani: And the same number for Q4 coul

d be similar?
Ashish Gupta: Q4 was around Rs. 4,300 crores.
Jigar Jani: Okay. Thank you so much for answering my question. Sorry, just one more. Can you also share

what kind of disbursements we had done in the CLSS scheme when it was there last time around? What was the subsidy disbursed under the CLSS scheme?
Rupinder Singh: So, this scheme got discontinued around two years back and effectively the percentage of disbursement which has to happen through this scheme was not more than 7 %-8% that time when we are doing it, in that frame of scheme, whatever it was. Today, our AUM in CLSS scheme would be lying somewhere around 4 %-5%. Okay.

Jigar Jani: Okay. Thank you so much, sir and best of luck.
Moderator: Thank you. The next question is from the line of Chirag from RatnaTraya Capital . Please go ahead.
Chirag : Hi. Good evening, sir. Thank you for the opportunity. Just one question. The top three states for our top three states, is there any trend that you see in terms of collections or in terms of repayment or in terms of over -leverage of the customers that has been above normal? Is there any trend? That's just a qualitative comment. I understand that it hasn't had any impact on us but in those particular states have you seen any issues? Madhya Pradesh, Maharashtra, Rajasthan. Thank you, sir.
Rupinder Singh: So, Rajasthan is the biggest state and then followed by Maharashtra, Madhya Pradesh and then south state of Karnataka. In every state, there are certain pockets you'll find a little up and down. This obviously happens because of multiple factors. Sometimes local way over collection resources may not be up to date in terms of resource allocation and things around that piece. Overall, if you see, same was the situation when we talked about quarter three last year and when we see the quarter four, we have bounced back. So, normally, I feel it's more of a seasonal factor. It's too early to think about a trend around because within a quarter, it's very difficult to come up with a certain trend . But yes, there are certain pockets in every geography where we always find that there's small challenges that we have to cover up with time. So, Rajasthan, which constitutes 31 %, their numbers almost remain intact. Maharashtra, number two, which is 17 % there's a little spike in few of the territories. And same is in a couple of more states like that.
Chirag : And Madhya Pradesh, was that also unusual?
Rupinder Singh: Yes, there are certain pockets where delinquency has spiked off, which is not related to the market per se. I think internally, we have seen the people and resources around that that will take time to settle down.
Chirag : Understood. Thank you so much. That was my only question. Thank you.
Moderator: Thank you. The next question is from the line of Omkar Shinde, an individual investor. Please go ahead.
Omkar Shinde: Hello. Thank you for the follow -up. What I wanted to understand the disbursement that we have done split for it with respect to HL, NHL, I think would be the same just a clarification, HL, NHL, home loan and loan against property.
Ashish Gupta: So like home loan disbursement for this particular quarter is at around 61 %. And LAP or business loan disbursement is around 39%.
Omkar Shinde: Understood. And with respect to the ticket size, so most of our ticket loans are below Rs. 10 lakhs and that bucket. Are we seeing any trends with respect to other buckets seeing higher growth?
So why I'm asking this at the current size, we are growing good on the lower ticket size and we are getting the benefit of higher yields for the smaller ticket size loan. But as we grow, is there

a possibility because one of our peers also is in the same direct sourcing

model, so they are facing issues and they are diversifying. So do we see a hurdle beyond which this direct sourcing case will have its limit?
Rupinder Singh: So, Omkarji, we are maintaining this ticket size of approximately Rs. 10 lakhs from last three, four years. And we have an opportunity to deep dive into the locations, geographies where we still exist. So a presence in 15 states gives an opportunity to go deeper into geographies, which leads to manage this ticket size to a large extent. Thankfully the which we are using, which is again supporting and making the process more easier and convenient around that case. So I think for the next couple of years, you 'll not find that ticket size spiking up to a certain level. There may be some impact of inflation little bit here and there, 10 can be 10.5 or at the max 11. But

we don't have a thought to change this drastically up in the coming time because we feel ther e's still a lot of juice, a lot of opportunity in these markets. And I think we have enough opportunity to ride over thi s.
Omkar Shinde: Understood. And I wanted to understand the breakup of our borrowing specifically of the banks. So approximately 53% is banks. How much is linked to external benchmark like repo link? So if the rate cut scenario does start although in RBI meeting today, there was no indication. But can we, can I understand what is the MCLR, EBLR link split?
Ashish Gupta: So like if you look at about 50% of our total borrowing are linked to MCLR or like NHB PLR. And about 35% of the borrowings are linked to external benchmark likes of repo, EBLR. Then about 15% of the borrowing are at fixed rate.
Omkar Shinde: Okay. Fixed rate is how much?
Ashish Gupta: 50% is linked to MCLR. 35% is market linked like T -bill or repo rate. 15% are at fixed rate.
Omkar Shinde: Okay. And the total loan assets that we have, how much is that split? How much is the split of that fixed and floating?
Ashish Gupta: So you can say about 25% of our total assets are either at a variable or semi -variable rate. And then 75% of our total assets are at fixed rate. Then, but, a significant portion of our total asset at this point of time are also funded by way of equity. And we have started our variable rate of funding about a year back, and g radually it is picking up well. So down the line, 2 years from here, we expect that our variable rate or semi -variable rate book will significantly pick up from here, from 25 to a bout 40 %, 45%. And portion funded by equity will remain around 25 %, 30%. So overall residual risk at the portfolio level, interest rate risk will be around 15 %, 20% at max.
Omkar Shinde: I was going to ask that same question. Thank you. And finally, to understand the part with respect to your DA, so 22% is approximately borrowing funded from DA. And we are at the brink of the 60, 40 regulatory mark. So whatever DA that we do, I think should be more towards the non - housing. And I think we must be getting good amount of spread from that. And consequently, the DA upfronting income that we see would remain elevated. Will that be understanding correct?
Ashish Gupta: So if I understand your question correct, so we do direct assignment transaction for our LAP portfolio primarily, which is business loans, wherein our yield are slightly higher than our

portfolio yield. So that is in the range of around 15 % to 16%. So this entire 22% of direct assignment transaction is towards this particular portfolio of LAP , that we try and do to ensure our P BC compliance as per the RBI guidelines, which is 60 -40 that you have referred.
Omkar Shinde: So the entire DA transactions are fully LAP , there is no home loan c omponent that is being defined?
Ashish Gupta: Exactly.
Omkar Shinde: Okay. And can you just give me the breakup of the yield in home loan and lab?
A

shish Gupta: Home loan remain in the range of 13.5% to 14%. And LAP remain in the range of 15.5% to 16%.
Omkar Shinde: This is on AUM or disbursement?
Ashish Gupta: This is both at the AUM as well as disbursement.
Omkar Shinde: There is no material difference between the two?
Ashish Gupta: Yes. So 14.9%. So as we have said, 14.9% is our portfolio yield and 15% is our disbursement yield. So mix between the portfolio as well as disbursement is 60 , 40 in terms of home loan and lab. So our yield mix is also similar.
Omkar Shinde: Thank you very much. That was very helpful.
Moderator: Thank you. The next question is from the line of Chinmay from Prescient Capital . Please go ahead.
Chinmay: Hi, sir. Good evening. Thank you for taking my questions. Firstly, could you provide some sense around how asset quality differs between LAP and home loan?
Ashish Gupta: If you look at the overall asset quality, our GNP A is at 1.1%. If you split it between home loan and LAP , so home loan, you will have around 0.9% and LAP will have around 1.3%. So that is a broad split between home loan and LAP . But having said this, in case of LAP , we have our LTV at a very conservative level of around 45%. So, if you look at the difference between in terms of credit cost, in terms of home loan and LAP , in terms of credit cost, that is at around 40 , 45 business point. There is no difference in the overall credit cost that we incur in home loan and LAP .
Chinmay: Secondly, could you share the SMA1 and SMA2 numbers if you do that?
Ashish Gupta: So, our DPD 30 is at around 3.5% and our NP A is at 1.1%. So you can, arrive at your SMA1 and SMA2 based on this number.

Chinmay: Okay, sure. And the third thing is, do you, from a 3 years to 5 year s perspective or from a medium term perspective, what do you think about the leverage and the ROE profile going forward?

Ashish Gupta: So in terms of leverage at this point of time, we are at around 2.6 times. So down the line, 2 years from here, we could easily achieve a number of around 3.5, 4x kind of leverage from here. And we believe that as we touch 4x kind of leverage, we will be delivering around 4% kind of ROA resulting in ROE of around 16%.

Chinmay: And lastly, could you talk about any post -disbursement monitoring processes that you might have? So do you do regular bureau scrubs after your loan dispersals or do you keep a track of if any other, if your customers are taking on any other loans, any microfinance loans, involving in any such activity?

Rupinder Singh: So we do have a due diligence process internally, which is being taken care by a separate data science team through bureaus and other activities which are possible. We keep, identifying the customer who may be in a high risk, medium risk or low risk. And o n the basis of that, the strategy is also defined, whether it is, in form of collection and things around that piece.

Chinmay: Okay, sir. Got it. I'll fall back in the queue .

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for the closing comments.

Rupinder Singh: Thank you, everyone, for taking your valuable time for attending our earning call. We will keep you posted for any further updates. Also, an audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to hosting you all in the next quarter. Further, if you have any questions or require additional information, please feel free to reach out to us. Thank you so much.

Moderator: On behalf of ICICI Se curities , that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2024

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CIN: L65922HR1998PLC042782, Phone No +91 -124-413180 0
E-mail: customer.care@indiashelter.in , Website: www.indiashelter.in

Date: October 30, 2024

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal
Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra
Kurla Complex, Bandra (E),
Mumbai – 400 051
NSE Symbol: INDIASHLTR

Sub: Transcript of the Earnings Conference Call for the Quarter ended September
30, 202 4

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcript of the earnings conference call for the quarter ended September 30, 202 4, held on October 25, 2024 is available on the website of the Company.

The transcripts can be accessed from the link given below.

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

You are requested to take the same on record.

Thanking you.
Yours faithfully,

For India Shelter Finance Corporation Limited

Mukti Chaplot
Company Secretary and Chief Compliance Officer
Mem. No. 38326

"India Shelter Finance Corporation Limited Q2FY25
Earnings Conference Call "

October 25 , 202 4

MANAGEMENT : MR. RUPINDER SINGH – MD & CEO
MR. ASHISH GUPTA - CFO
MR. RAHUL RAJAGOPALAN - HEAD, INVESTOR RELATIONS

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES

This is a transcription of the earnings call conducted on 25th October 2024 . The audio recording can be accessed using the following link, https://www.indiashelter.in/investor -relations
DISCLAIMER :
Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Moderator: Ladies and gentlemen, good day and welcome to the India Shelter Q2FY25 Earnings Conference Call hosted by ICI CI Securities.
As a reminder, all participant line will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Renish Bhuva. Thank you and over to you , sir.
Renish Bhuva : Welcome to India Shelter Q2FY 25 Earnings Call. On behalf of ICICI Securities, I would like to thank India Shelter Management Team for giving us the opportunity to host this call .
Today , we have with us the entire top Management Team of India Shelter represented by Mr. Rupinder Singh – MD and CEO ; Mr. Ashish Gupta - CFO and Mr. Rahul Rajagopalan – Head, Investor Relations.
I will now hand over the call to Mr. Rupinder for "Opening Remarks " and then we will open the floor for Q&A . Over to you, sir .
Rupinder Singh : Thank you, Renish. Very good evening, everyone. On behalf of the Company , I extend a warm welcome to all of you. Thank you for joining us on the call today.
We delivered another quarter of consistent performance with sustainable growth in our AUM. The continued performance in this quarter is on the back of improved volume growth , stable productivity, sustained margin , stable credit cost and improved return ratios.
Let me start with some broad macro updates :
We see demand and growth potential is there in Tier-2 and Tier-3 cities. Government policies are supporting. The New Pradhan Mantri Awas Yojana scheme will help in maintaining the growth momentum in future also. Calibration made in the Interest Subsidy Scheme with regard s to the payment of subsidy over 5 years will help in a better attention of quality customers. On the other hand, in case of balance transfer, such beneficiary will not be eligible to claim the benefits of Interest Subsidy scheme if it moves from one bank to other bank . Further details on the scheme are expected shortly in a month or so .
Though we are not directly exposed, we are hearing that stress is building up an unsecured lending market. We are keeping our eyes and ears on ground and monitoring situations carefully . At overall portfolio levels, we are tracking the tradelines of our customer regularly. Our predictive risk models are helping us in elevating the collection efforts well in time, wherever required.

In our portfolio, DPD 30 plus have now stabilized around 3.5 %-3.6%. We expect to remain around this level in Quarter 3 before s eeing a reduction in Quarter 4 . Rise in delinquency is limited to a few geograph ies like Madhya Pradesh in our case . Issues were internal ly to our manpower. We have strengthened our team in these areas and results are expected to kick in in 3 to 6 months.
On the liquidity side, we are comfortably placed given the recent equity rates and rating upgrade. However, given the overall liquidity position and market, we feel that interest rates will remain elevated for some more time before seeing some softening as we reach 2025.
There are some regulatory punitive measures for NB FC sector in recent time, but we feel that may be good for long term as it will make the NB FC sector stronger and resilient to face macro headwinds, if any in coming times . We were strong governance , risk and compliance team to

make sure that business is compliant with regulatory expectations.
Moving on to the Operational Highlights :
Our AUM crossed Rs. 7,000 crores. We have 93,500 plus customer on book. We continue to source internally with in-house sourcing

of 98%. 100% of our book is secured with only two products, which is home loan and loan against property . Basis our conservative approach , LTV on the book remains 52%. 90% of our AUM is from Tier-2 and Tier-3 cities. 78% of our fresh disbursements are towards self -employed customers.
Moving to the Results for the Quarter:
We are pleased to report an AUM growth of 36% year-on-year to Rs. 7,039 crores supported by disbursement growth of 30% year-on-year to Rs. 828 crores. As discussed during the previous calls, we plan to add 40 -42 branches during the year. On that note, we have added 24 branches during this quarter. We opened 6 branches in Maharashtra , 4 in Chhattisgarh , 4 in Rajasthan , 4 in South and one branch across other states. Majority of our branch opening was done in the first half of the ye ar as this will help us to achieve break even levels by the end of the year and operating leverage starts picking in soon.
On Profitability Metrics:
PAT came in at Rs. 90 crores, registering a growth of 50% year-on-year. Return on equity improves to 14.8% from 14.3% in Quarter 1 Financial Year '25. We continue to maintain our guidance what we indicated during our previous calls that is branch addition of around 40 -42 for the year f rom which we have already opened 37 in the first half of the year , maintain margins at around 6%, credit cost of around 40 bps and loan growth of around 35%.
Now , I would like to hand over a call to Mr. Ashish Gupta - our CFO, to take you through the Financial Metrics .

Ashish Gupta : Thanks , Rupinderji . Good evening , friends.
Let me take you through the Key Financial Numbers:
AUM as on September 24 is at Rs. 7,039 crores, year -on-year growth in AUM is 36%. Quarter -on-quarter AUM growth is at 8%. Total income for quarter is up by 35% year-on-year d riven by growth in AUM . Quarter -on-quarter , total income is up by 9 %. Portfolio yield is at 14.9% year-on-year up by 20 basis points. Our disbursement yield for H1 is at 15%.
Our cost -of-fund is stable at 8.8%. Our marginal cost of funds for H1 is at 8.9 %. We have an undrawn sanction of Rs. 450 crore s from National Housing Bank which we are planning to draw in H2. The same will help us to improve the proportion of NHB funding in our borrowing mix.
During the quarter, we have got a rating upgrade from ICRA . Now , we have AA - rating from all three rating agencies that we have. Our lending margins are consistently above 6%, in line with our guidance for the medium term . Our year-on-year growth in OPEX is lower than the growth in AUM, resulting in better cost ratios. OPEX to AUM for the quarter is at 4.4% down by 20 bps year-on-year.
The cost to income for the quarter is at 37% down by 340 basis point year-on-year. Credit cost for the quarter is 50 basis point s, which is broadly in line with our guidance. DPD 30 is at 3.6% , Stage 3 assets are at 1.2 %, m arginally up by 10 basis point as compared to the last quarter. PCR for Stage 3 asset is stable at 25%. Our total ECL is Rs. 56 crores as against the regulatory threshold of Rs. 34 crores. Thus, the adequate buffers are in place. PAT for the quarter is Rs. 90 crores year-on-year up by 50% , quarter -on-quarter u p by 8%.
The ROA for the quarter is 5.6%. It is stable quarter -on-quarter basis. ROE for the quarter is 14.8% at the leverage of 2.7 x. It is up by 50 basis points quarter -on-quarter .
With this , I conclude and now we can open the floor for Q&A.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg : My first question is on MP I think you partly answered , there were some trouble in Madhya Pradesh if I heard it correctly, can you elaborate a little bit more on that a

s to what exactly was the issue? I think you highlighted something around manpower .
Rupinder Singh : So, there was a transition change which happened in that particular geography. We had divided our geographies into 6 various zones that depend upon the size , team that with the zones has been created among which has been who th ese six zones takes care of the 1 5 states which we are operating around . So, Madhya Pradesh is one of that state s. We saw attrition which happened around a year back and I think some impact because we couldn't find a right set of leaders and

that collection implications also happen ed because of some senior folks moving out and some branches not meeting the expectations number . And that way there was some buzz around because of which now we have taken corrective action, and we had a senior leader along with some quite a few senior folks who are having a good understanding of collection piece as well as a few people getting moved internally who will be going to take care of this piece . So, now thing is any course correction and should take 3-6 months to resolve. We tried to stabilize 30 DPD to 3.5% -3.6% which we were able to in the month of September. Now , going forward we will plan to take it back to the same place where we want to .
Raghav Garg : So, out of this, I think after my estimate, your net slippage for the quarter was around Rs. 14 crores , how much of this was because of Madhya Pradesh or whatever this transitional problem that you are seeing or how much would it have contributed to this Rs. 14 crores ?
Rupinder Singh : So, I think 60 %-70% comes from there.
Raghav Garg : So, ideally, adjusting for this , net slippages have reduced and that is what I think you are referring to that by Q4 things would be back to normal ?
Rupinder Singh : Yes, that is prerogative . As we put the operation piece properly, there is always challenges when you work in market about the portfolio , team and people and I think we are quick to understand and do course correction and whatever these implications have come to , I think we are confident to take it up on time and we would be able to manage it out.
Raghav Garg : And your securitization margins seem to be pretty high compared to the peers. Is it because that you securitize a lot more of the non -housing loans or is there some other reason to that?
Ashish Gupta : Yes, y ou are correct. So, we do securitize only non -housing loans wherein the yields are in the tune of around 15.5% and our cost of fund is close to 9%. So, we are getting around 6 .5% kind of yield which we are upfronting , but that is if you look at year-on-year basis, quarter -on-quarter basis, those margins are broadly stable.
Raghav Garg : And just the last question, the cost of funds is still flat, right? Generally, we have been hearing from you that there should be 20 -25 bps benefit because of the rating upgrade , so that and then the cost of funds will be flat. How should one look at it? How should we model the cost of funds going forward?
Ashish Gupta : So, Raghav, earlier we have like assumed that the market rate is going to remain stable. But if you l ook at the trend of MCLR of few of the large banks you will see that in the last 12-month kind of time banks have increased their MC LR by around 40 -50 basis point . So, that is offsetting the benefit that we are getting because of our rating upgrade and in fact our rating upgrade from ICRA has just came in the month of August. So, technically we have got a full rating upgrade from all three rating agencies now. So, I believe that by the end of the year, we should be able to see about 10 -15 basis point cut in the overall cost of fund .

Moderator : Thank you. The next que stion is from the line of Varun, Company is Kotak Securities. Please go ahead.
Varun : My question was regarding the fee income. It appears to be a little high this quarter. Is this going to be the normalize d run rate, or do we see it normalizing to a different level? And the ne xt one is on the assignment income, s o is there any hike in volumes or is just this is what we can expect going for ward?
Ashish Gupta : So, on the D A income, the hike is broadly in line with growth in our AUM. So, in fact, if you look at our DA percentages as a percentage of total AUM that is broadly similar at around 16% year-on-year, quarter -on-quarter basis. So, there is no change in the overall volume . The growth is just with respect to the business growth like only. Secondly, coming back to your question on the growth in the fee income, there are two key drivers for that. One is co -lending. So, in this co-lending business , we have 10 0% share in the fee income. So, whatever processing fees that is coming from this business , we are 100% retaining that. So, co-lending at this point of time is around 6% of our total disbursement. So, that is helping us getting better fee income year-on-year basis as the volumes are picking up. Secondly, we have got our corporate agency in the mid of this first half. That is also helping us get some better fee income and we believe these numbers are sustainable from here.
Varun : So, that 6% is on disbursements or on AUM right now , the share of co-lending?
Ashish Gupta : Share of co -lending is 6% is on disbursement and that AUM it is at around 3.4%.
Moderator : Thank you. T he next question is from the line of Aditya pal from MSA Capital Partners. Please go ahead.
Adityapal : So, I am a bit new to the Company and wanted to understand the unit economics of our branch. If you can quickly explain when does the branch breakeven ? At what AUM, what is the OPEX of a mature branch and how long does it take for a branch to mature? And I see that you are presenting more than 3 years , so at more than 3 years vintage what will be the OPEX to AUM

of a branch if you can quickly help me explain that ?
Rupinder Singh : So, any branch when we open, we generally have a set of team which is bare minimum team which is required to set up a branch. So, normally a Branch Manager with 3-4 Loan Officers supported by Credit Manager as well as Branch Operation Executive, wh at we call Operation Manager or called C ustomer Service Manager. So, these are the bare minimum set of people who start the branch , we open it in any of the geography. So, as the branch goes there is addition of the people in terms of the business team as well as once it reaches a certain level there is addition of people in terms of the collection team. If the branch is large , there is also an addition in terms of a technical manager. Having said so, if there is a new branch and there are a couple of branches around him which are also equally new or small, then there is some sharing of resources in terms of Technical Manager or Legal Manager. This is the basic structure of any

branch . Branch breakeven comes anywhere between 8 -9 months from the start of the branch . So, OPEX of any branch is around Rs. 25 lakh annually, which we spend, that is on average , somewhere it will be little low , somewhere little more depending upon size, location, geography, rentals and things around that piece. So, 8 to 9 months , branch starts getting breakeven. So, we have divided three categories , in the first year of operation, they disburse anywhere around Rs. 75-80 lakh monthly disbursement. As they go to the next level between 1-3 years, they stabilize anywhere between Rs. 1-Rs. 1.1 crores of monthly disbursement and once they sta bilize, which took almost 3 years, they cross the number of around Rs. 1.2 C r monthly. This is the

way the
branch works on that piece and instead of focusing more on what is the AU M they produce , we always focus on what is the capacity the branch can run with in terms of getting a new acquisition, new customer month on month. Our expectation from any average branch is that they should disburse at least 10 units in a month basically on the disbursement side and a good decent branch should disburse 12-13 and once branch reaches to the stable number it should do 17-18 units , then it is a peak time for the branch and beyond that we try to segment the branch and open a nearby branch to this exis ting branch to give up more penetration in that market and get a more use from that market. This is the way largely our operation operates on that side.
Adityapal : And so if we exceed 17 -18 units per month, we try to divide the branch into two teams, correct?
Rupinder Singh : Yes. So, what we do for example is a branch and one geography and demand is coming very high, then we see in the nearby vicinity maybe 40 kilometers or 50 kilometer away from that branch. We come with the new setup, so this way we meet the requirement demand of the market there as well as what you said the processing activity is also being diverte d in such a fashion. So, there is not a burden on one single branch for a heavy processing side because in any branch we will have a one Operation Executive or Credit Manager.
Adityapal : And sir, just last couple of questions. So, do we dis burse close to Rs. 828 crores this quarter , what would be the split across our three vintages of branches, one year between 1 -3 and more than 3?
Rupinder Singh : So, largely in this quarter, we have sourced monthly 3 ,000 fresh customer , if you talk about which we added here basically . If you talk about on the vintage side since our more than three years branches are 126 , so major ratios which is almost 60% of business comes from them, then 1-3 branches that will be around 20% and remaining comes from up to one-year branches.
Adityapal : And sir, as on date, if I were to look at the split between employees, what would be, how many RM do we have, how many branch credit office rs do we have and in terms of the central credit team, what is the team size and sir, additional question to that will be that when we have a central credit team, what is the capacity of that team that it can do a disbursement per month?
Rupinder Singh : So, every branch we have a dedicated branch Credit Manager. So, today we have 260 branches, then our credit team across will be more than 260 because some larger branches may have more than one branch Credit Manager and same is the number of branch operation executive in each

branch. That is one piece . If we talk about the centralized team , the centralized team h as one dedicated operations team which is centralized operation team which processes the disbursement when the things happen and one hindsight team which are majorly having a role of checking the proposal once they g et approved. So, this hindsight team constitutes around 19 -20 people as such, which are focused on basically verifying all the checks and balances there to maintain what is getting processed from the branch s ide. Once they give clearance on the form of sanction, then the role of the operation team comes in form of disbursement. That is again a team of around 50-60 in the head office to do that process.
Adityapal : So, I didn't get , how many RMs do you have as on date out of the 3704 employees that you

have?

Rupinder Singh : Almost 1700 people are team people since we sourced directly in market over 98% of sourcing is a direct sourcing. So, we have a pretty large people across these 260 branches. So, if you take out the average of 4-4.5 that comes up to 1600 people.

Adityapal : And are you seeing any increase in competitive in

tensity in terms of BT out s?

Rupinder Singh : So, I think our BT rates are consistent from last 7 -8 quarters in it, around 6% that is being maintained even now this quarter also we maintain the same level approximate ly.

Moderator : Thank you. The next question is from the line of Renish Bhuva from ICI CI Securities. Please go ahead.

Renish Bhuva : Sir, just a couple of questions from my side. One on the small ticket LAP loans, right? So, I am referring to Slide #18 wherein we have shared the cuts as per the ticket size. So, less than Rs. 5 lakh loan exposure stands at 8% and I am assuming this will be the customer segment wherein some of the customers might be overlapping with MFI or any other unsecured business loans. So, what a re the trends in this portfolio with respect to collection or early package DPD?

Rupinder Singh : There are no specific trends in terms of the ticket size . In fact, we have observed in our case the larger ticket has shown some stress compared to the smaller ticket size . That is number one. Largely , it is a set of customer s which anyway have collateral which is free from any encumbrance before taking a loan from us. The ticket si ze is low, but please appreciate that the LTV of 40 %-45% with a property value of Rs. 14 lakhs to Rs. 15 lakhs. So, they have small business activities , they are largely in Tier-3 market and Tier-4 where we operate into that. But seeing with the lens of M FI will be difficult because they are something which has clear title of the property and they are looking for loans for small activities . In fact, i n our case, we found the credit culture in these kind of customer to be almost at par with what is the average ticket size of Rs. 10 or Rs. 12 or Rs. 15 lakh.

Renish Bhuva : And in general, let us say 40% of o ur LAP portfolio is also behaving in a similar manner how HL portfolio is behaving?

Rupinder Singh : LAP portfolio ha s a little higher delinquency than actual portfolio if you ask me . That is the trend which I have seen currently , but this we have seen because of multiple seasonality factor . As season gets changed festivity start coming up, business activity picks up. The trends also seem to have changed across because same was the trend last year , same was the trend last to last year . The LAP has this kind of distinction . There will be always a gap of some basis points between |LAP and HL in that case .

Renish Bhuva : So, there is no sign of any stress buildup or anything in LAP as such?

Rupinder Singh : I won't say it is because LAP or because HL as products per s e, but yes currently if you say we require more efforts to do the collection, this has been a trend which has been observed . But the good part is that LTV is comfortable here. So, there is always a propensity to cover it quicker .

Renish Bhuva : And sir, just last question on the yield side, right , so we have been sort of sustaining this 15% odd yields, how confident we are about sustenance of this kind of yield going forward, given now our base is also for relatively higher , let us say a year back ?

Rupinder Singh : Renishji , we always believe in maintaining the spread of 6% . We are maintaining 6 %-6.1%. So, I think if there will be benefit of cost of fund in future, then definitely would like to pass on to this customer. So, these are the levers that we have to keep operating , but yes, I think as you are going more into Tier-2, Tier-3 markets beyond Tier-3, Tier-4 markets, there is always a scope of sustaining this kind of piece . That is the answer which you might be looking for.

Renish Bhuva : I mean follow up on that. So, I am just asking because since we run a pretty large , fixed book, right, and hence if one has to assume a rate cut maybe over the next 6-8 months , ideally we will be in a better position to sustain y

ields as compared to industry, right? And hence our spread could be higher than let us say, the guidance range of 6% , is that the fair assumption ?

Rupinder Singh : So, one thing is that this transition is happening, de finitely that would be benefit for some time . So, you will always feel that the margins will be maint ained. But overall, as we progress, we always try to take advantage to give back to the customer in terms of maintaining those prices.

Moderator : Thank you. The next question is from the line of Aditya pal from MSA Capital Partners. Please go ahead.

Adityapal : Wanted to double check on the previous participant ’s question , so this 1.2% Stage 3 assets, w hat would be the split between our home loans as well as the loan against property product?

Rupinder Singh : Normally , we don't split in terms of product, but yes if you want to know broadly then I think it will be between 1.1 % to 1.15% would be HL and 1.35 % to 1.4% would be the LAP .

Adityapal : And also going a bit more granular , so in Madhya Pradesh, the pain point is coming more for LAP customers or more for HL customers ?

Rupinder Singh : Both side. It is not because of customer side; it is because of a propensity to execute in that side.
Adityapal : And it is a more macro related issue?
Rupinder Singh : It is more on the operational side that we have to activate ourselves where there are some changes which we built up and that result is there to come around that side.
Adityapal : And s ir, broader question would be, you highlighted this in your opening remark , so RBI has come a bit strong on at least the unsecured lending space , do you see a nd more importantly there is a v isible slowdown as well in the macro scenario . When we look from the consumption perspective, do you see any instances of our disbursement growth slowing down from here?
Rupinder Singh : I think if you see the affordable housing particularly talk about India Shelter , 18%-20% are new to credit also. That is the kind of customer that we fund into. And this set of customer , they prepare to take this loan not a month or two months back , but they have this wish or dream to have the home and they keep building their equity base till the time they reach that point and once they decide to take this property which they call home , they look for a support in terms o f home loans from th e companies like us. So, when we are maintaining the LDs of 55 %-60%, which means there is a lot of say from customer side in terms of equity infusion there basically. So, largely it is not a matter with a month or two months they will divert from their plans or think around that piece. So, I don't think unsecured plays any role in the growth trajectory or in taping the growth in the home loan market per se. This is altogether different segment. They behave independently to each other. Yes, overall financial institution s are considered keeping these products under single basket. That is there . The rest of things are not being linked to that extent.
Adityapal : No, because I completely understand that you are very well capitalized to achieve this growth rate, but more importantly, the demand is not going down that you are seeing on the ground ?
Rupinder Singh : Not exactly , demand is not going down. That is in fact this quarter , this has been the highest ever disbursements for many of the housing finance Company , including us.
Moderator : Thank you. The next question is from the line of Omkar Panchal , an Individual Investor. Please go ahead.
Omkar Panchal : What I wanted to first ask was the split between the self-employed customer , so what is the split between self -employed non -professional and self-employed profess ional ?
Rupinder Singh : We hardly have a self -employed professional. We are actually catering to the set of custom

ers
when they are not normally a part of larger financial inclusion. They have a small business activity in the Tier -2, Tier-3 market and to fulfill the dream of having their own homes, we are there to support them. That is the first thought on which we work around basically. So, self-employed professionals, we talk about they are being catered by the prime customer in the prime

markets . In this category of customers you deal, t hey are on the outskirts of larger peripheries. So, you will not find self -employed professions around that side. You hardly have anyone.
Omkar Panchal : And with respect to branch expansion and your strategy, so what I can see from your branch expansion from March to now , most of the branch expansion are in Rajasthan, Maharashtra , Uttar Pradesh . So, are we concentrating on the North and Western region or are we going to be spread out across states ? How is that looking?
Rupinder Singh : We have more than 40 branches in the South , and they are coming out in a very promising way and both numbers growth wise and everything is giving a very good output in that sense. So, we don't have this concept that we have to be North based, or West based . We feel that we have to have our strong distribution presence across the country that we are driving around basically, and we are getting the results around that side.
Omkar Panchal : But are we focusing on any specific reason or just you need to be broad based across wherever you see opportunities because ?
Rupinder Singh : Opportunities are there wherever we find that is always there. We definitely do some market study, understanding whether it i s viable to open branch as of now, immediately or we will have to take some time around . Those things are internal strategic point, but for wherever the opportunities are there in 15 states, we are not expanding be yond these 15 states as of now , but we look forward.
Omkar Panchal : No, what I wanted to understand was, are we going into areas which is for example in Rajasthan the 7 branches that we added were they deeper expansion branches or were the y the new locations in areas where competition was not there or we are in competing with others that is what I was trying to understand, broad based expense that is going to happen, is that going to be focused on new areas or competing areas ?

Rupinder Singh : So, largely where the mortgage possibility exists , so there is a market response that is the first and primary focus. Again, the structure is largely being created among these 15 states. So, we don't have much of logistics challenge. We see that the market has been tested already in terms of vicinity of already existing branch that always gives more comfort in that sense, basically. So, we evaluate those markets and accordingly open. So, we don't distinguish that we have to capture certain market as the only Rajasthan or North or only South or West. That is not the game plan a ltogether. That is all together where we find the opportunity in the areas of operation we already exist, we try to experiment ourselves.

Omkar Panchal : And finally, on the OPEX to AUM, where do you see that because if you say that you are going to add the 40-45 branches every year, where do you see it stabilizing over the next 2 , 3, 4 quarter s down the line ?

Rupinder Singh : So, every year we are adding 40 -42 branches. Earlier the base was small on which we were adding 40-42 branches. So, a year back we were adding may be on the base of 180 branches , we are adding 40 -42 branches this year, we are adding on the base of 220 branches, 40-42 branches next year. Next year, again the 265 numbers will be added on this piece. So, as the base is going which means this is going to taper down when y

ou talk about OPEX , particularly because the major investments have already gone into the structures and other things. So, you can easily see every year-on-year you can find 20 -25 bps of OPEX support into that side. So, we started this year at probably 4.5 % and you can see coming up 4.25 % as we close the year.

Moderator : Thank you. The next question is from the line of Man av, an Individual Investor. Please go ahead.

Manav : Sir, what do you think about the ROE numbe r shaping up for the next 3-4 quarters?

Rupinder Singh : Manav, we raise d equity in December 2023 . Because of that, our leverage today is quite low. We are having a leverage of around 2.6. We are going at a rate of 30 %-35%. So, at the closure of Quarter 4 last year, we were at 13.8%. Previous quarter we were at 14.3 %. Today, as we closed September number, we are 14.8%. I think this is going to be definitely an improvement that is there. But if you talk about the next four quarter s or maybe something like that, you will find it is going by quarter -on-quarter , maybe some 10 -15 bps improvement quarter -on-quarter . So, this is the game which has to play a little long. So, what we see is the long horizon of 2-3 years. If once we reach that level with the leverage which is stretching 4 %-4.5%, almost same number which is coming around the ROA you can expect that time from 16 .5%-17%.

Manav : And for the disbursement, sir, any guidance?

Rupinder Singh : So, you can assume , we look forward 30 %-35% of annual growth on the AUM side. So, that is something we should look forward.

Moderator : Thank you. The next question is from the line of Ajeesh J L from the Company of Investor Things. Please go ahead.

Ajeesh J L : Sir, my question in affordable housing finance sector in long term risk could be there? Like we are seeing a little bit of risk in microfinance so in the long -term what kind of risk can we assume?

Rupinder Singh : The biggest risk which can come up is that the demand is not coming from the market, that is which I don't think is going to come very soon, at least not for the next 3, 4, 5 years . Demand is picking up , typically the kind of product and kind of segment we are in is affordable . Anyway , anywhere for the business that can be long term risk what I see . The s econd risk is liability side, once you reach certain scale, how important that is the biggest risk and third risk is the people risk, which is always there in any kind of l arge operation setup which is there. These are the important risk s which you can come around. Otherwise , if you are prudent in terms of corporate governance and the regulations, know -how very well while operating it, you should not worry about this because this business actually has a lot of longevity on that side.

Ajeesh J L : If there could be rate cuts from the RBI side how is this going to impact our Company ?

Rupinder Singh : Cost of fund will come down, that will have a positive impact.

Ajeesh J L : Where do you want to see the Company in the next five years in terms of AUM ?

Rupinder Singh : So, we grow by rate of 35% for the next 5 years, so you can estimate where th is AUM can actually go .

Moderator : Thank you. The next question is from the line of Omkar Panchal , an I ndividual Investor. Please go ahead.

Omkar Panchal : So, currently , we have a monthly run rate of Rs. 270 odd crores . How long do you think that wi ll it take for us to reach Rs. 300 crores and how are we thinking to scale it up? That was the first one?

Rupinder Singh : So, we have two major levers, one is productivity on the ground for the existing branches which

we open. So, every year since we are adding 40 -42 branches, their productivity is going up as
we mentioned earlier also that every year there is improving productivity in such branches, on ce
they s

tart stabilizing. So, there is one big gear to it. And definitely we have planned to open for
next few years, 40 branches year-on-year. That is the other leve r which is going to affect us. So,
last quarter the productivities was in tune of around Rs. 250-255 crores , this quarter it is Rs. 270
crores . So, we would like to catch up as early as possible on that side also.
Omkar Panchal : Is it possible for you to share what is the per employee productivity or maybe per branch
productivity, the number of files that you do?
Rupinder Singh : So, monthly , if you talk about per branch, the number of customers which are being approached
for the loan are around 25 -30 customers . What we are able to typically disburse is 10-11 units
per branch on a month basically . These are the two important parameters that we work and judge
on terms of what is the output coming around. So, I think that gives you some idea exactly how
this productivity drive happens . In any given branch , there are 3-4 average loan officers with
one branch manager and one credit manager and operation manager. This is a team size in
branch.
Omkar Panchal : Approximately 50% conversion rate will be correct to understand .
Rupinder Singh : Little less than 50%. So, it is not touching 50%, but it is around that .
Omkar Panchal : And with respect to credit cost, the credit costs have more or less been stable at 40 bps, 50 b ps.
Do you see it continuing from the same over the next 2 -3 years or will it drop?

Rupinder Singh : So, that is our prerogative. That is the key what we are striving and driving around to maintain
it.
Omkar Panchal : So, the credit cost will remain at 40 -50 bps over the next two years and then before?
Rupinder Singh : Yes, that is the thought all about.
Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to
Mr. Rupinder Singh for closing comments.
Rupinder Singh : Thank you everyone for taking your valuable time for attending our Earning Call. We will keep
you posted for any further updates. Also, an audio recording and transcript of this call will be
uploaded on our website in due course. Looking forward to hosting you all in the next quarter.
If you have any further questions or require additional information, please feel free to reach out
to us. Wishing you all a Happy and Prosperous Diwali in advance. Thank you so much.
Moderator : Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining
us and you may now disconnect your lines.

Call: Feb 2025

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E-mail: customer.care@indiashelter.in , Website: www.indiashelter.in

February 13, 2025

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra Kurla
Complex, Bandra (E),
Mumbai – 400 051
NSE Symbol: INDIASHLTR

Sub: Transcript s of the Earnings Conference Call for the quarter ended December 31, 202 4

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcript s of the earnings conference call for the quarter ended December 31, 202 4, held on February 06, 2025, is available on the website of the Company.

The transcripts can be accessed from the link given below :

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

You are requested to take the same on record.

Thanking you.
Yours faithfully,

For India Shelter Finance Corporation Limited

Mukti Chaplot
Company Secretary and Compliance Officer
Mem. No. 38326

"India Shelter Finance Corporation Limited Q3FY25
Earnings Conference Call "

February 07 , 202 5

MANAGEMENT : MR. RUPINDER SINGH – MD & CEO
MR. ASHISH GUPTA - CFO
MR. RAHUL RAJAGOPALAN - HEAD, INVESTOR RELATIONS

MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES

This is a transcription of the earnings call conducted on 7th February 2025. The audio recording can be accessed using the following link, https://www.indiashelter.in/investor -relations
DISCLAIMER :
Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Moderator: Ladies and gentlemen, good day and welcome to the India Shelter Finance Corporation Limited Q3FY25 Earnings Conference Call hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Chintan Shah from ICICI Securities Limited. Thank you and over to you, sir.
Chintan Shah: Thank you, Tejal. Good morning, everyone, and welcome to the Q3FY25 Earnings Conference Call for India Shelter Finance Corporation. I would like to congratulate the Management for good set of numbers and giving us the opportunity to host the quarterly earnings call.
We have with us from the Management , Mr. Rupinder Singh – M.D. & CEO, Mr. Ashish Gupta – CFO and Mr. Rahul Rajagopalan – Head, IR.
So, now without further delay, I would now like to hand over the floor to the Management .
Thank you. And over to you, Rupinder, sir.
Rupinder Singh: Thank you, Chintan. A very good morning, everyone and wishing you all a very happy new year. On behalf of the Company , I extend a warm welcome to all of you. Thank you for joining us on the call today.
We hosted our first earnings call around same time last year post listing and we stayed committed to our words. We remain steadfast on our focused approach of providing home loans and mortgages in Tier 2 and Tier 3 geographies.
Let me reiterate what we communicated during our IPO , in our First Earning Call and our current state.
• We shared how we have done our horizontal expansion and focus on deepening our presence in existing geographies. I am happy to hear that we are progressing as per the plan.
• We guided for 40 to 45 branches each year for the next few years , on that note, we opened 42 new branches in the first nine months of this financial year.
• We g uided for an AUM growth of 30% to 35% for the next few years and continue to grow as per the plan.
• There is a reduction in Opex to AUM and it currently stands at 4.3% for Q3 FY25.
• On the asset quality front, we guided for a credit cost in a range of 40 to 50 bps and is maintained at this level.
• Our spread continues to remain in the range of 6% as per the guidance.

• I am happy to share that in the last one year, we got a rating upgrade and in the rising interest rate environment, where bank s hiked MCLR and there was no rate cuts we were able to contain our cost -of-funds at a similar level. Further, we were able to reduce the gap in our cost of fund versus peers from 0.7% in Q3 FY24 to 0.4% in Q3FY25.
On that note, let me move towards some broader updates.
• We continue to see strong growth potential in Tier -2 and Tier -3 cities particularly for home loans and mortgages because of various government initiatives like PMAY II.
• We continue to monitor the situation on ground and are keeping close tab on our customer behavior.
• We witnessed a marginal uptick in 30 + to 3.7% in Q3 FY25, f orward flow stabilized

in December and traction looks positive going forward.
Moving on to the quarterly updates .
We are pleased to announce that the Company delivered strong performance in Q3FY25 driven by strong demand environment in an affordable housing sector.
• Our AUM crossed Rs. 7,600 crores .
• Our N etworth crossed Rs. 2,500 crores .
• We continue to source internally with in-house sourcing of 97% to 98%.
• 100% of the book is secured.
• Basis our conservative approach LTV on the book stands at 52% .
• 90% of AUM comes from Tier-2,

Tier-3 cities .
• Average ticket size continues to be in a range of Rs. 10 lakhs.
Moving to the results for the quarter , we are pleased to report an AUM growth of 36% YoY to Rs. 7,619 crores supported by disbursement growth of 29%, this quarter, we clocked Rs. 879 crores of disbursement.
In this quarter, our branch network expanded to 265 branches by adding five new branches in this quarter itself.
On profitability metrics, PAT came in at Rs. 96 crores, registering a growth of 54% YoY , RoA stands at 5.5% and RoE further improved to 15.1% in this quarter.
We continue to maintain our guidance what we indicated during our previous calls .
• Branch addition of around 40 -45 for the year.
• Maintain margins at around 6% .
• Credit cost in a range of 40 to 50 bps .

• Loan growth in a range of 30% to 35%.
Now I would like to hand over call to Ashish Gupta – our CFO, to take you through the Financial Metrics. Over to you, Ashish ji.
Ashish Gupta: Thanks, Rupinder ji. Good morning, friends.
Let me take you through the “Key Financial Numbers.”
AUM as on December '24 is at Rs. 7,619 crores, a YoY growth of 36%, while QoQ growth in AUM is 8%. Total income for the quarter is up by 39% YoY , largely driven by growth in AUM. Total income is up by 7% QoQ. The portfolio yield is at 14.9%, YoY up by 10 basis points, our disbursement yield is running at 15%. Our cost of fund is stable at 8.8% in spite of increase of about 30 basis points in the MCLR by banks in the last 12 months. Our marginal cost of funds for the quarter is 8.8%. We have an undrawn sanction of Rs. 450 crores from National Housing Bank as well. Our margins are consistently above 6% in line with our guidance for the medium term.
Opex to AUM is down by 10 basis points QoQ , while for nine months it is down by 20 basis points. Credit cost for the quarter is stable at 50 basis points, which is broadly in line with our guidance. DPD 30 is at 3.7%. Stage -III is stable at 1.2%. PCR for Stage -III assets is stable at 25%. Our total ECL provision is Rs. 61 crores against the regulatory threshold of Rs. 37 crores. We have adequate provisioning buffer is in place.
PAT for the quarter is Rs. 96 crores YoY up by 54%, QoQ up by 7%. The ROA for the quarter is stable at 5.5%. ROE for the quarter is 15.1% at a leverage of 2.8 times. It is up by 40 basis points QoQ .
With this, I conclude and now we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press “*” and “1” on their touch tone telephone. If you wish to remove yourself from the queue, you may press “*” and “2” . Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.
V Ramakrishnan: Sir, congratulations on steady performance. My questions are on asset quality. You said you are watchful of your customer segment and the 30 DPD has gone up and of course in the market now overleveraging is the theme of the day. So, I want to know how is your customer behavior there , do you see any trouble spots and is the LAP as well as home loan portfolio behaving in line with the path of where the extra 30 DPD is coming from?

Rupinder Singh: Good morning, Vivek. Yes, I think you mentioned very clearly this is a flavor of the time when we talk about asset quality largely. So, when we see in a market the propensity of calls has increased towards the customer side to follow up more than what used to be say a year back in terms of collection and all. So, there's a 10 bps higher when compared to the last quarter.

But what we see, things are not beyond control. That is the first thing. This is a tough time for the entire industry larg ely, but seeing the process that we put on, the collection mechanism that we put on, I think that's working decently well. So, this blip I think not for long days anymore. I think we'll be able to control in the coming quarters. So, normally you have seen that Q4 is better than Q3 and we can see the traction coming around. So, yes, this is a time where everyone has to be on toes, we are also there and closely watching each and every activity at the branch level . Wherever we need to take a certain action, we are taking it so that everything is steadfast.

V Ramakrishnan: Sure, sir. Are LAP and home loans exhibiting the same behavior?

Rupinder Singh: They are largely exhibiting same behavior, the same trend what used to be a one year back we see, no difference around that piece basically.

V Ramakrishnan: Excellent, sir. And I wish you all the best.

Rupinder Singh: Thank you, Vivek.

Moderator: Thank you. The next question is from the line of Sonal from Asian Market Securities. Please go ahead.

Sonal: Yes. Congrats on the steady performance, sir. I had a couple of questions. So, the first one was in fee income and other income. So, your disbursements have grown broadly 6% QoQ, but the increase in fee income and other income is higher. So, just wanted to understand how do we see this line item going ahead and how should we build it as percentage of disbursals or as percentage of AUM?

Ashish Gupta: So, if you look at the overall fee and commission income, so broadly it remains at around 1.7% to 1.8% of the total average AUM, and it broadly consists of three, four parameters which include cross -sell, foreclosure income or loan servicing income and loan ap plication fees, and it is well distributed across all these four heads. So, as you are aware that we have got our corporate agency license in Q1, and as the process and products are getting stabilized, our income for Q3 is slightly higher than Q2. Secondly, our co -lending arrangement with banks are gradually picking up. So, our co -lending disbursement is about 8% of the total disbursement. So, as that particular business is picking up, that has higher proportion of fees to the India Shelter. So, that is also contributing to the growth in fees income. I believe that in Q3 and Q4, this income percentage should get stabilized at around 1.7% of the AUM and should continue there for some time.

Sonal: Sure. Also, if you could just let me know what is the write -off for the quarter, and any change in the write -off policy? And again, a related question would be, what would be the overlap like what proportion of our customers would also have MFI loans, if you could just give out those numbers?

Ashish Gupta: We have a very consistent write -off policy that whenever an NPA account crosses the age of two years, we do a technical write -off, while our recovery actions continue. So, during the nine month period, we have done a technical write -off of about Rs. 6-odd crores and parallelly we have also recovered about Rs. 4 crores from the NPAs that we have written off in earlier years. So, largely, the credit cost is driven by the incremental provisions that we have made.

Sonal: Okay. And sir, the repayment rates, I think across the industry the repayment rates have come down. So, if you could quantify what is the BT out rate for the quarter and how should we look at it going ahead?

Rupinder Singh: So, BT rate remains the range of 5.5%. That is consistent from quite a few quarters and that looks trends as of now basically. So, most of these BTs are going to the large Financial Institutions and some time to banks also . So, that is a trend what we observed.

Sonal: And any divergence on your on -book yield and incr

emental yield, because some players alluded that the on -book yield is higher than incremental yield, so anything that you're seeing and how do you see your spreads would kind of remain over the next two, th ree years?

Rupinder Singh: We are in a range of 14.9% to 15%. At least for a year or so, we feel that we are going to maintain it. But as time keeps changing, there may be rate cuts or things around that piece. So, we can tweak out. But we consistently try to maintain spreads of 6% .

Sonal: Sir, data keeping questions. Fixed and floating rate books on asset and on borrowing side?

Ashish Gupta: So, on asset side, we have around 40% of the book at variable rate and if you look at our borrowing profile, about 90% of our borrowings are variable rate. So, there is some gap of overall variable rate book in terms of borrowing and asset, but largely that ga p is filled by the equity at this point of time. But still there is a gap of around 15%, 20% that is unfulfilled at this point of time. So, we are gradually doing incremental disbursement in variable rate product. If

you look at our curre nt disbursement run rate, around 85% to 90% of the monthly disbursement are happening in variable rate book. Given the high growth rate, that book is increasing at a steeper pace, and we should be able to fulfill this 15%, 20% gap .
Sonal: Okay. And so say two years down the line, should we expect that 30% would be fixed rate and 70% would be on floating rate, is that a fair assumption?
Ashish Gupta: At this point of time, 50% fixed rate, down the line 12 months, you can expect that we should be able to bring down the fixed rate book to around 40%.

Sonal: Okay. Okay. And sir just in case if a repo rate comes in, how do you expect the benefit on your cost of funds say over the next three months and six months?
Ashish Gupta: I believe as the repo rate down comes in, so we will have to wait for the reaction of the banks how they react to it, how much benefit they like ultimately pass on to us. So, if you look at our borrowing profile, around one -third of the total borrowings are linked to repo rate, which may come down in a quarter period of time. But the larger part of the borrowing is linked to MCLR wherein we will have to remain dependent on when the bank will pass it on and what kind of frequency we have in ter ms of reset. So, if you see a larger part of the MCLR linked borrowing is at a one year reset. So, that will have some lag in terms of the rate cut benefit that we'll have. So, down the line six to eight months kind of period of time, we can expect there will be some benefit that we can see in terms of whatever the repo benefit will come, will start getting reflected in the cost of fund.
Sonal: Will you be able to quantify like how much is linked to six months MCLR, how much is linked to one year MCLR?
Ashish Gupta: Quantification will depend on how the banks will pass on the repo cut in the form of MCLR cut. So, if the RBI cut repo rate say like by 25 basis points, banks will cut the MCLR by only 10, 15 basis points gradually over the period of time, then obviously the benefit that will come will be delayed and it is tough to quantify at this point in time.
Sonal: Okay, okay, sir, that answers. Thank you so much.
Moderator: Thank you. The next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg: Sir, I wanted to ask about this fixed rate book which is 60% of the total. This would be entirely the home loan pieces, is that understanding correct?
Ashish Gupta: So, you are right, like the larger portion of this is coming from the housing loan book, but if you look at about two years back, we were doing entirely home loan and LAP book at fixed rate. So, we have started gradually doing variable rates starting from LAP book and then moved on to the

housing loan book as well. So, obviously, the proportion of fixed rate book is there larger in housing loan and slightly lesser in non -housing loan.
Raghav Garg: Assuming that there is a rate cut, do you think that your customers could come in or from a balance transfer point of view at least from the larger ticket size loan say threshold is 15 lakhs where you have 15 lakhs or above where your exposure is about 25 % of the total book, do you think that in case of a rate cut scenario, your customers could come and ask for a BT unless you lower your rates?

Rupinder Singh: Well, Raghav, our major chunk of customer that lies in the range of between 5 to 25 lacs ticket size, which is more than 95% customers . Secondly, when we talk about the book which we created in loan against property in the last two years, that is largely variable basically. That's almost all these cases are in variable category if we talk about loan against property. There if you also hav e a scope of cutting the rate back, that is a one piece. Plus, we have an internal mechanism which takes care of engagement with the customer. You might have seen that on quarter -on-quarter basis our BT rates are consistently in the same range -bound and this is not a story of a quarter or two quarters, this is what we are executing from last almost 10 -12 quar ters. So, anything which is happening in the market , we always have a caution around that piece , and we accordingly raise our bars to evade that thing. So, if anything happens, we are very well prepared.
Raghav Garg: Understood. No, sir, my only reason to ask that question was that systemically the number has slowed down, you can see that in the numbers for the industry, and if the rates are cut, the competition for volumes is only going to go up. So, just from that perspective, I was thinking that if you either have to let go of growth or you will have to cut down on your pricing, either of the two, but your point is well noted that you're well prepared. So, that point is taken. The other question is in a scenario where growth has slowed down quite significantly for the economy, but

your LAP book has grown by 13% quarter -on-quarter. I know low bas e is one reason, but is there anything else to read into that, any kind of seasonality at play here?
Rupinder Singh: So, I think there's nothing much to read out here . Yes, there can be seasonality on account of Diwali . Generally, you always find there's a traction coming on the LAP side because most of these small segments of customers look for raising some amount to reinforce their requirements. So, that is some temporary blips you can find here.
Raghav Garg: Right, but that would have been there last year also, right, in Q3, but that is not the case. So, that just makes me wonder if there's anything else here? But you think it's just a seasonality, right?
Rupinder Singh: Largely, yes, you can say so.
Raghav Garg: Understood. And sir, last question, quarter -on-quarter growth in home loan portfolio, that's only 5%. If I look at the last several quarters, the sequential accretion has been 8%, 9%. So, why is the slowdown in sequential growth rate for the home loan boo k, is this more consumption -led where we are seeing trends slowing down or you have tightened your underwriting criteria or is it both factors at play here? That's my last question. Thank you.
Rupinder Singh: So, there are small tweaks we keep doing here and there. And if you see overall, we have to maintain, that is 60:40 ratio, right, that we are always consistent about . So, on quarter -on-quarter there may be small changes here and there. So, there is nothing we have changed for one product or we have not done about certain products. That's a very small uptick in there. You may find some changes happening in next quarter also. That is possible because

ultimately we have to maintain those parame ters and we are quite committed towards that.

Raghav Garg: Understood. Thank you and that's all.
Moderator: Thank you. The next question is from the line of Kushagra Goel from CLSA. Please go ahead.
Kushagra Goel: Yes, hi, thanks for taking my question. Congrats on a good set of numbers. Just coming back to asset quality, can you tell us what is the movement in your one plus DPD on a sequential basis? And if you could give some more color as to what improvement can we expect in 4Q?
Rupinder Singh: One plus is around 7% to 7.5%, and Q4 is better normally than the rest of the quarters and we also expect so, as we enter to the new quarter and spend almost 30, 35 days into that piece. So, we are optimistic about it, but let result comes, it's more on a ground that we have to work more than speaking.
Kushagra Goel: Okay. And can you tell us the increase in One Plus on a sequential basis?
Rupinder Singh: So, it has been increased by almost 100 bps if we see that from last one year basically.
Kushagra Goel: Okay. On YoY basis, up 100 basis points?
Rupinder Singh: Yes, YoY basis.
Kushagra Goel: Okay, okay. Sure. Yes. That's all. Thank you.
Moderator: Thank you. The next question is from the line of Varun from Kotak Securities. Please go ahead.
Varun: Hi, sir. Congrats on a good set of numbers. I had a few questions. I would like to start with the yield. So, if we look at our peers, many of them have reported yield pressure during the last two, three quarters and disbursal yields have been lower than the book yields. For us, you said that the disbursal yield is almost at par with the book yield at 14.9%, which appears a bit surprisingly especially given that we are moving from a fixed rate of floating rate and floating rate typically tends to be a bit lower in order to incentivize the customers. Can you help me understand this a bit?
Rupinder Singh: So, our fixed rate book is majorly in the home loan as I mentioned. The floating rate is being offered to the LAP customer earlier and recently we started for the floating rate for the home loan customers. Secondly, when we are adding new branches, we are going deep in geographies . Whatever the branches we added in last one year or so, that is in Tier-3 markets. So, there you always have the advantage to get a better edge. The third important factor that is more on a sourcing pattern. We largely try to source through a direct channel which is around 97%, 98% of in -house piece, there at least we have control on a customer as well as our drive basically. That also somewhere plays a role around that side.

Varun: My next question is on the portfolio in MP. So, last quarter you had highlighted that there was a exit in the team and that had led to heightened stress. Now, we are seeing that the AUM is down sequentially. So, have things not stabilized in that state or do we expect some more deterioration on what you call collections or on growth in that portfolio?
Rupinder Singh: So, we have had a new set of people in state. We are talking about Madhya Pradesh particularly. So, our new resource, the lead is there both in sales and collection. And yes, it will take some time to come to correct , but things are large in control. So, it's no further deterioration which is

coming from there. Coming back to the previous position, little time you have to give to them and we are confident we will bring that position back very soon.
Varun: Yes. Thanks for that. And I had one other question on the self -employed ratio. Self -employed ratio is coming down on book and again we don't see a reflection of that in the yields. So, why are you moving more to -?
Rupinder Singh: I think self -employed is increasing from year

-on-year basis; last year it was around 70%, 72%,
today it stands around 74% something in that piece. So, it is improving in that side.
Varun: And you are not finding any increased stress on the self -employed originations as opposed to salaried?
Rupinder Singh: So, when we see the ratio wise, there's no much difference between the two for us.
Varun: Okay. And with regard to other income , I am sorry, if you have clarified it earlier, but it appears to be low in the last two quarters, like 2Q and 3Q as opposed to the run rate you are doing in the last previous six quarters. Is there anything fundamental that has changed over there?
Ashish Gupta: No, there is no fundamental change, but so you need to club the other income and the fee income and then see it together. In Q1, we have got our corporate agency license. So, the income is flowing into the fees and commission now.
Varun: Okay. And one thing is on the employee expenses. Can you split your employee expenses between how much is spent at the corporate headquarter level, how much on the supervisory and in the field level?
Ashish Gupta: If you see breakdown the total, the manpower itself first, it is around 78% of the total manpower are in the form of executives which include our loan officers, our collection officers, our credit people and then we have about 15% to 18% in the supervisory layer who are there as a branch manager, area manager, regional manager, and then we have around 4% to 5% people sitting at head office who are adding various functions and doing the supervisory from there. And if you see the cost wise, it is slightly different, overall about 60% of the cost is coming from the field and remaining 40% is coming from the supervisory and the head office.

Varun: Okay. Thanks a lot.
Moderator: Thank you. Before we take the next question, a reminder to all the participants that you may press "*" and "1" to ask a question. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.
Shreepal Doshi: Hi, sir, thank you for giving me the opportunity. Sir, I don't know if you answered this question earlier because I joined it a little late. So, the question is on tightening of underwriting norms given the kind of noise that you're hearing in the segment that we operate or a notch below. So, have we tightened underwriting norms or looked at them again in terms of revisiting the same or the kind of LTV level that we are comfortable with?
Rupinder Singh: So, every quarter we review the credit norms, in fact, our credit backgrounds are reviewed month -on-month basis and this is a continuous process. So, instead of tightening a norm at a general Company level, we go a little deeper and we even try to understand what's happening in typical geographies even up to the branch level and then we take certain calls, which includes empowerment of the resources down the line, some changes between approval keeping in mind the particular challenges which is faced on ground , somewhere we have to add the people also. So, this is all an entire quarterly mechanism that we do keep doing it. So, this is nothing just because of scenario alone, but that's a continuous process for us. That's the beauty of data that we capture day in, day out from the activities that we are doing for so many years. And these tightening and releasing, it's a matter of how the quality portfolio is behaving and in those particular geographies. So, this is not something new, but it's a continuous process fo r us and we are doing it.
Shreepal Doshi: Got it. Sir, which are these locations? And what really was the parameter that probably pushed us to tighten or… I understand that it's a normal course of action. But still like what parameter do we closely monitor and which geography for example this qua rter that we are tight?
R

upinder Singh: So, in any zone there can be even the single branch there we have to change the certain mechanism basis of we find some loosening nods around that side, we have to tighten up, whether it's a best performing zone or whether it's an average performing zone. So, those typically we take care . So, there are actionable items we have taken care, not only by underwriting team, but rest of the folks which are sitting in head office. So, in most of the cases, if required, even the senior management also get involved into that side basically. So, if you talk about particularly, as I mentioned in previous call, we put some tightening measures in branches which came around was in MP and I think those things start giving the results now what we see in a very recent time, the things becoming little more stable there.

Shreepal Doshi: Got it, sir. This is helpful. Thank you so much for answering my questions.
Moderator: Thank you. The next question is from the line of Vishwa Teja from Falcon Capital Partners. Please go ahead.

Vishwa Teja: Hi, sir, great set of numbers. Sir, I just wanted to ask about the demand side situation like our guidance of AUM growth of more than 30%, 35% for the next five years , I just want to know where the extra set of growth is coming from?
Rupinder Singh: So, Vishwa, actually we have not given any guidance for the next five years particularly. So, this guidance was given last year that for next three years we have this range -bound and there's an advantage to us keeping in mind we have currently a low AUM size c ompared to the peers which you're talking about, which are currently at very large set of level. And secondly, our distribution network. So, we are operating in 15 states and not being a regional player we have advantage to pull the lev ers from wherever things are important and we feel that the scope is there basically. So, I feel that this distribution is playing very well across states irrespective of certain geographies and all. So, all levers since functioning in a right direction, I expect that things can very well be stabilized between 30%, 35% for the next couple of years also.
Vishwa Teja: Okay, sir. Sir, the second question is regarding the BT rate. So, a few of our peers having less than 2% and few players having less than 5% of the BT rate. So, what are the measures that we are taking to reduce the BT rate, sir?
Rupinder Singh: Our BT rates runs between 5% to 6% and this is a trend from not a year or so, but from pretty long time since we start getting recognition to an extent. And most of these customers, they move to the bigger institution and these BT generally happen in bigg er markets like a Tier-2 market for us in that case, because there's a more intensive competition in those places and customer generally look outside and being posed by third -party DSA for the other institutions and all. That is a trend. So, that we have very well put in our business plan accordingly that this is something which we have to keep in mind. Secondly, we have a n in-house mechanism where there's a separate team which engage the customer from the head office itself along with the support of branches. There we take a lot of data scrub and things around and try to engage this customer, and it is helpful in many ways basically. So, you can see the consistency in the BT rate also which is in a range of 5% to 6% , which happen in our case basically.
Vishwa Teja: Okay, sir. That's all from my side. All the best.
Moderator: Thank you. The next question is from the line of Darshan Deora from Invest Group. Please go ahead.
Darshan Deora: Hi, thanks for the opportunity for asking a question. So, regarding the experience that you had in MP, where I believe some of your staff was poached by competition, what changes have you all made in terms of your HR pol

icies or any steps you're taking to ensure that similar incidents don't get repeated in other states, are you guys extending some ESOPs or something to the supervisory layer or taking any other steps to prevent this sort of poaching happening in the future?

Rupinder Singh: Yes, good question, Darshan. Actually, if we see we have an elaborate ESOP policy to the large extent. So, earlier apart from frontliners which includes loan officers or collection officers, we were having some 10% of people covered under ESOP policy. That has been extended to now 25%, which is branch manager and above . And again, there are certain policies which can be driven, one is the ESOP obviously, then there are other engagement tools which we can engage with plus strengthening the team with a backup that is a second thought that we built up and that's working fine. So, it's always learning as you are on ground. So, a learning what we find out, we have implemented strongly in that sense.
Darshan Deora: Got it. Thank you. That's all from my side.
Moderator: Thank you. Next question is from the line of Shreya Shivani from CLSA. Please go ahead.
Shreya Shivani: Hi, thank you for the opportunity and congratulations on a good set of numbers. Just following up on this staff ESOP policy, etc., I wanted to understand that what has been the attrition rate for us per se employees who join us in the first one year and p ost that how much difference is there in the attrition rate that you have generally seen… and this is not particularly about MP, but for the Company largely? And my second question is that in the budget, there were certain PMAY -2.0 versions that has been announced, etc., Can you help us understand how much did we participate in those or how much portion of our disbursals in the earlier version till 2021, was from the PMAY Scheme and how much can we scale it up this time as well? Thank you.
Rupinder Singh: Shreya, resources which are under ESOP policies, we have seen the attrition level less than 10%

in those particular categories. So, that's always an advantage with these kinds of policies , though it has been extended to a pretty large set of people, but yet that is there. Now, if we talk about attrition, we identify in various aspects One is the front liner. The new joinees who take some time to adjust, and these are the ro les which is totally target -based. Typically, the loan officers will go into the field , get a new leads and get a new sourcing around. But if you see the attrition level overall of the Company , if it is 37%, 38%, if you break between less than six months and greater than six months, there's a drastic change. If you talk about greater than one year what you asked, I think that the attrition level is in the range of 15% to 17%.

Shreya Shivani: Perfect. Yes. And on the PMAY as well?

Rupinder Singh: Secondly, on a PMAY scheme, last time when this scheme came, our home loans particularly because this scheme is largely for home loan, so 18% to 20% of sourcing happened through the help of the scheme particularly when it came in 2021. On the recent scheme, w e have to come out with the numbers in a couple of quarters where we can explain how this scheme is working for us.

Shreya Shivani: Got it. Got it. So, the PMAY disbursals will start. I believe the industry has signed an MoU with the government, right, because disbursals should start in two quarters as well for the PMAY?

Ashish Gupta: So, our disbursement in the PMAY started, about 15%, 20% of the total home loan borrowers are eligible for the PMAY Scheme. But the data entry on the PMAY portal has just started. So, we have to see how much of the borrowers input their data on the PMAY Scheme, what is the success rate vis -à-vis Aadhaar number, i

s coming out from the PMAY portal. So, once that data will be there, next one quarter we will be able to present a better pict ure of the success of PMAY Scheme at that time.

Shreya Shivani: Got it. Very helpful. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Yes. So, just one question is on the geographies. As you mentioned on the stress pool, we have seen some rise in the one plus DPD on a YoY basis. So, any specific geographies or specific states where we are seeing a higher stress than the usual ones?

Rupinder Singh: I think the trend in market is currently not as easy as it was one year back. So, yes, there is a certain amount of stress which you can find across. This is across geographies you'll find some things going little up because of the macro scenario what is we all understand that piece. Objective is to curtail that. So, action is thorough on that side. And what we look as we close the number the thing should improve particularly in Q4 which is always better than Q3, that's what history talks ab out.

Chintan Shah: Sure. Sir, just as we say Q4 be better, so what are the early signs in terms of January – how has been the collection in January as compared to December -- has it held up or hasn't been better than December, any thoughts there?

Rupinder Singh: So, exactly on that basis, I am giving this confidence because when January is better than December, then only we can give this kind of indication. But these are the early indications as we see that. Still there two months and I think we are positive about the progress around that time.

Chintan Shah: Sure, sure. And sir, lastly on the BT out, so what percentage of customers…we said 5.5% to 6% is the BT out run rate, but typically, how many customers ask for the BT run rate and then how much percentage of them are we able to contain and how much percen tage are we able to let go, any percentage on that will be useful?

Rupinder Singh: When generally customer approach us, he doesn't reveal about the BT out particularly, he only look for a foreclosure in that case. So, we don't distinguish between the customer who is going for BT or a customer who is closing from own source. So, as far a s possible, we try to curtail that. But, yes, when the customer is persistent, we as a compliant Company , we have to oblige that piece. During that engagement, if a customer is mentioning that he's going for BT out, then we give them an idea of the pros and cons and try to retain them on our books basically. So, this

is a philosophy that we run around. See, we don't differentiate this is a BT out customer, this is closing from own funds, engagement is required across basically.

Chintan Shah: Sure, sure. This is very helpful. That's it from my side. Thank you and all the best.

Rupinder Singh: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Rupinder Singh from India Shelter Finance Corporation Limited for

closing comments.
Rupinder Singh: Thank you, everyone for taking your valuable time for attending our earning call. And audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to hosting you all in the next quarter. Further, if you ha ve any questions or require additional information, please feel free to reach us out. Thank you so much.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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February 13, 2025

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra Kurla
Complex, Bandra (E),
Mumbai – 400 051
NSE Symbol: INDIASHLTR

Sub: Transcript s of the Earnings Conference Call for the quarter ended December 31, 202 4

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcript s of the earnings conference call for the quarter ended December 31, 202 4, held on February 06, 2025, is available on the website of the Company.

The transcripts can be accessed from the link given below :

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

You are requested to take the same on record.

Thanking you.
Yours faithfully,

For India Shelter Finance Corporation Limited

Mukti Chaplot
Company Secretary and Compliance Officer
Mem. No. 38326

“India Shelter Finance Corporation Limited Q3FY25
Earnings Conference Call ”

February 07 , 202 5

MANAGEMENT : MR. RUPINDER SINGH – MD & CEO
MR. ASHISH GUPTA - CFO
MR. RAHUL RAJAGOPALAN - HEAD, INVESTOR RELATIONS

MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES

This is a transcription of the earnings call conducted on 7th February 2025. The audio recording can be accessed using the following link, https://www.indiashelter.in/investor -relations
DISCLAIMER :
Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Moderator: Ladies and gentlemen, good day and welcome to the India Shelter Finance Corporation Limited Q3FY25 Earnings Conference Call hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Chintan Shah from ICICI Securities Limited. Thank you and over to you, sir.
Chintan Shah: Thank you, Tejal. Good morning, everyone, and welcome to the Q3FY25 Earnings Conference Call for India Shelter Finance Corporation. I would like to congratulate the Management for good set of numbers and giving us the opportunity to host the quarterly earnings call.
We have with us from the Management , Mr. Rupinder Singh – M.D. & CEO, Mr. Ashish Gupta – CFO and Mr. Rahul Rajagopalan – Head, IR.
So, now without further delay, I would now like to hand over the floor to the Management .
Thank you. And over to you, Rupinder, sir.
Rupinder Singh: Thank you, Chintan. A very good morning, everyone and wishing you all a very happy new year. On behalf of the Company , I extend a warm welcome to all of you. Thank you for joining us on the call today.
We hosted our first earnings call around same time last year post listing and we stayed committed to our words. We remain steadfast on our focused approach of providing home loans and mortgages in Tier 2 and Tier 3 geographies.
Let me reiterate what we communicated during our IPO , in our First Earning Call and our current state.
• We shared how we have done our horizontal expansion and focus on deepening our presence in existing geographies. I am happy to hear that we are progressing as per the plan.
• We guided for 40 to 45 branches each year for the next few years , on that note, we opened 42 new branches in the first nine months of this financial year.
• We g uided for an AUM growth of 30% to 35% for the next few years and continue to grow as per the plan.
• There is a reduction in Opex to AUM and it currently stands at 4.3% for Q3 FY25.
• On the asset quality front, we guided for a credit cost in a range of 40 to 50 bps and is maintained at this level.
• Our spread continues to remain in the range of 6% as per the guidance.

• I am happy to share that in the last one year, we got a rating upgrade and in the rising interest rate environment, where bank s hiked MCLR and there was no rate cuts we were able to contain our cost -of-funds at a similar level. Further, we were able to reduce the gap in our cost of fund versus peers from 0.7% in Q3 FY24 to 0.4% in Q3FY25.
On that note, let me move towards some broader updates.
• We continue to see strong growth potential in Tier -2 and Tier -3 cities particularly for home loans and mortgages because of various government initiatives like PMAY II.
• We continue to monitor the situation on ground and are keeping close tab on our customer behavior.
• We witnessed a marginal uptick in 30 + to 3.7% in Q3 FY25, f orward flow stabilized

in December and traction looks positive going forward.
Moving on to the quarterly updates .
We are pleased to announce that the Company delivered strong performance in Q3FY25 driven by strong demand environment in an affordable housing sector.
• Our AUM crossed Rs. 7,600 crores .
• Our N etworth crossed Rs. 2,500 crores .
• We continue to source internally with in-house sourcing of 97% to 98%.
• 100% of the book is secured.
• Basis our conservative approach LTV on the book stands at 52% .
• 90% of AUM comes from Tier-2,

Tier-3 cities .
• Average ticket size continues to be in a range of Rs. 10 lakhs.
Moving to the results for the quarter , we are pleased to report an AUM growth of 36% YoY to Rs. 7,619 crores supported by disbursement growth of 29%, this quarter, we clocked Rs. 879 crores of disbursement.
In this quarter, our branch network expanded to 265 branches by adding five new branches in this quarter itself.
On profitability metrics, PAT came in at Rs. 96 crores, registering a growth of 54% YoY , RoA stands at 5.5% and RoE further improved to 15.1% in this quarter.
We continue to maintain our guidance what we indicated during our previous calls .
• Branch addition of around 40 -45 for the year.
• Maintain margins at around 6% .
• Credit cost in a range of 40 to 50 bps .

• Loan growth in a range of 30% to 35%.
Now I would like to hand over call to Ashish Gupta – our CFO, to take you through the Financial Metrics. Over to you, Ashish ji.
Ashish Gupta: Thanks, Rupinder ji. Good morning, friends.
Let me take you through the "Key Financial Numbers."
AUM as on December '24 is at Rs. 7,619 crores, a YoY growth of 36%, while QoQ growth in AUM is 8%. Total income for the quarter is up by 39% YoY , largely driven by growth in AUM. Total income is up by 7% QoQ. The portfolio yield is at 14.9%, YoY up by 10 basis points, our disbursement yield is running at 15%. Our cost of fund is stable at 8.8% in spite of increase of about 30 basis points in the MCLR by banks in the last 12 months. Our marginal cost of funds for the quarter is 8.8%. We have an undrawn sanction of Rs. 450 crores from National Housing Bank as well. Our margins are consistently above 6% in line with our guidance for the medium term.
Opex to AUM is down by 10 basis points QoQ , while for nine months it is down by 20 basis points. Credit cost for the quarter is stable at 50 basis points, which is broadly in line with our guidance. DPD 30 is at 3.7%. Stage -III is stable at 1.2%. PCR for Stage -III assets is stable at 25%. Our total ECL provision is Rs. 61 crores against the regulatory threshold of Rs. 37 crores. We have adequate provisioning buffer is in place.
PAT for the quarter is Rs. 96 crores YoY up by 54%, QoQ up by 7%. The ROA for the quarter is stable at 5.5%. ROE for the quarter is 15.1% at a leverage of 2.8 times. It is up by 40 basis points QoQ .
With this, I conclude and now we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press "*" and "1" on their touch tone telephone. If you wish to remove yourself from the queue, you may press "*" and "2" . Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.
V Ramakrishnan: Sir, congratulations on steady performance. My questions are on asset quality. You said you are watchful of your customer segment and the 30 DPD has gone up and of course in the market now overleveraging is the theme of the day. So, I want to know how is your customer behavior there , do you see any trouble spots and is the LAP as well as home loan portfolio behaving in line with the path of where the extra 30 DPD is coming from?

Rupinder Singh: Good morning, Vivek. Yes, I think you mentioned very clearly this is a flavor of the time when we talk about asset quality largely. So, when we see in a market the propensity of calls has increased towards the customer side to follow up more than what used to be say a year back in terms of collection and all. So, there's a 10 bps higher when compared to the last quarter.

But
what we see, things are not beyond control. That is the first thing. This is a tough time for the entire industry larg ely, but seeing the process that we put on, the collection mechanism that we put on, I think that's working decently well. So, this blip I think not for long days anymore. I think we'll be able to control in the coming quarters. So, normally you have seen that Q4 is better than Q3 and we can see the traction coming around. So, yes, this is a time where everyone has to be on toes, we are also there and closely watching each and every activity at the branch level . Wherever we need to take a certain action, we are taking it so that everything is steadfast.
V Ramakrishnan: Sure, sir. Are LAP and home loans exhibiting the same behavior?
Rupinder Singh: They are largely exhibiting same behavior, the same trend what used to be a one year back we see, no difference around that piece basically.
V Ramakrishnan: Excellent, sir. And I wish you all the best.
Rupinder Singh: Thank you, Vivek.
Moderator: Thank you. The next question is from the line of Sonal from Asian Market Securities. Please go ahead.
Sonal: Yes. Congrats on the steady performance, sir. I had a couple of questions. So, the first one was in fee income and other income. So, your disbursements have grown broadly 6% QoQ, but the increase in fee income and other income is higher. So, just wanted to understand how do we see this line item going ahead and how should we build it as percentage of disbursals or as percentage of AUM?
Ashish Gupta: So, if you look at the overall fee and commission income, so broadly it remains at around 1.7% to 1.8% of the total average AUM, and it broadly consists of three, four parameters which include cross -sell, foreclosure income or loan servicing income and loan ap plication fees, and it is well distributed across all these four heads. So, as you are aware that we have got our corporate agency license in Q1, and as the process and products are getting stabilized, our income for Q3 is slightly higher than Q2. Secondly, our co -lending arrangement with banks are gradually picking up. So, our co -lending disbursement is about 8% of the total disbursement. So, as that particular business is picking up, that has higher proportion of fees to the India Shelter. So, that is also contributing to the growth in fees income. I believe that in Q3 and Q4, this income percentage should get stabilized at around 1.7% of the AUM and should continue there for some time.

Sonal: Sure. Also, if you could just let me know what is the write -off for the quarter, and any change in the write -off policy? And again, a related question would be, what would be the overlap like what proportion of our customers would also have MFI loans, if you could just give out those numbers?
Ashish Gupta: We have a very consistent write -off policy that whenever an NPA account crosses the age of two years, we do a technical write -off, while our recovery actions continue. So, during the nine month period, we have done a technical write -off of about Rs. 6-odd crores and parallelly we have also recovered about Rs. 4 crores from the NPAs that we have written off in earlier years. So, largely, the credit cost is driven by the incremental provisions that we have made.
Sonal: Okay. And sir, the repayment rates, I think across the industry the repayment rates have come down. So, if you could quantify what is the BT out rate for the quarter and how should we look at it going ahead?
Rupinder Singh: So, BT rate remains the range of 5.5%. That is consistent from quite a few quarters and that looks trends as of now basically. So, most of these BTs are going to the large Financial Institutions and some time to banks also . So, that is a trend what we observed.
Sonal: And any divergence on your on -book yield and incr

emental yield, because some players alluded
that the on -book yield is higher than incremental yield, so anything that you're seeing and how do you see your spreads would kind of remain over the next two, th ree years?
Rupinder Singh: We are in a range of 14.9% to 15%. At least for a year or so, we feel that we are going to maintain it. But as time keeps changing, there may be rate cuts or things around that piece. So, we can tweak out. But we consistently try to maintain spreads of 6% .
Sonal: Sir, data keeping questions. Fixed and floating rate books on asset and on borrowing side?
Ashish Gupta: So, on asset side, we have around 40% of the book at variable rate and if you look at our borrowing profile, about 90% of our borrowings are variable rate. So, there is some gap of overall variable rate book in terms of borrowing and asset, but largely that ga p is filled by the equity at this point of time. But still there is a gap of around 15%, 20% that is unfulfilled at this point of time. So, we are gradually doing incremental disbursement in variable rate product. If

you look at our curre nt disbursement run rate, around 85% to 90% of the monthly disbursement
are happening in variable rate book. Given the high growth rate, that book is increasing at a
steeper pace, and we should be able to fulfill this 15%, 20% gap .
Sonal: Okay. And so say two years down the line, should we expect that 30% would be fixed rate and
70% would be on floating rate, is that a fair assumption?
Ashish Gupta: At this point of time, 50% fixed rate, down the line 12 months, you can expect that we should
be able to bring down the fixed rate book to around 40%.

Sonal: Okay. Okay. And sir just in case if a repo rate comes in, how do you expect the benefit on your
cost of funds say over the next three months and six months?
Ashish Gupta: I believe as the repo rate down comes in, so we will have to wait for the reaction of the banks
how they react to it, how much benefit they like ultimately pass on to us. So, if you look at our
borrowing profile, around one -third of the total borrowings are linked to repo rate, which may
come down in a quarter period of time. But the larger part of the borrowing is linked to MCLR
wherein we will have to remain dependent on when the bank will pass it on and what kind of
frequency we have in ter ms of reset. So, if you see a larger part of the MCLR linked borrowing
is at a one year reset. So, that will have some lag in terms of the rate cut benefit that we'll have.
So, down the line six to eight months kind of period of time, we can expect there will be some
benefit that we can see in terms of whatever the repo benefit will come, will start getting reflected
in the cost of fund.
Sonal: Will you be able to quantify like how much is linked to six months MCLR, how much is linked
to one year MCLR?
Ashish Gupta: Quantification will depend on how the banks will pass on the repo cut in the form of MCLR cut.
So, if the RBI cut repo rate say like by 25 basis points, banks will cut the MCLR by only 10, 15
basis points gradually over the period of time, then obviously the benefit that will come will be
delayed and it is tough to quantify at this point in time.
Sonal: Okay, okay, sir, that answers. Thank you so much.
Moderator: Thank you. The next question is from the line of Raghav Garg from Ambit Capital. Please go
ahead.
Raghav Garg: Sir, I wanted to ask about this fixed rate book which is 60% of the total. This would be entirely
the home loan pieces, is that understanding correct?
Ashish Gupta: So, you are right, like the larger portion of this is coming from the housing loan book, but if you
look at about two years back, we were doing entirely home loan and LAP book at fixed rate. So,
we have started gradually doing variable rates starting from LAP book and then moved on to the

housing loan book as well. So, obviously, the proportion of fixed rate book is there larger in
housing loan and slightly lesser in non -housing loan.
Raghav Garg: Assuming that there is a rate cut, do you think that your customers could come in or from a
balance transfer point of view at least from the larger ticket size loan say threshold is 15 lakhs
where you have 15 lakhs or above where your exposure is about 25 % of the total book, do you
think that in case of a rate cut scenario, your customers could come and ask for a BT unless you
lower your rates?

Rupinder Singh: Well, Raghav, our major chunk of customer that lies in the range of between 5 to 25 lacs ticket
size, which is more than 95% customers . Secondly, when we talk about the book which we
created in loan against property in the last two years, that is largely variable basically. That's
almost all these cases are in variable category if we talk about loan against property. There if
you also hav e a scope of cutting the rate back, that is a one piece. Plus, we have an internal
mechanism which takes care of engagement with the customer. You might have seen that on
quarter -on-quarter basis our BT rates are consistently in the same range -bound and this is not a
story of a quarter or two quarters, this is what we are executing from last almost 10 -12 quar ters.
So, anything which is happening in the market , we always have a caution around that piece , and
we accordingly raise our bars to evade that thing. So, if anything happens, we are very well
prepared.
Raghav Garg: Understood. No, sir, my only reason to ask that question was that systemically the number has
slowed down, you can see that in the numbers for the industry, and if the rates are cut, the
competition for volumes is only going to go up. So, just from that perspective, I was thinking
that if you either have to let go of growth or you will have to cut down on your pricing, either of
the two, but your point is well noted that you're well prepared. So, that point is taken. The other
question is in a scenario where growth has slowed down quite significantly for the economy, but

your LAP book has grown by 13% quarter -on-quarter. I know low bas e is one reason, but is
there anything else to read into that, any kind of seasonality at play here?
Rupinder Singh: So, I think there's nothing much to read out here . Yes, there can be seasonality on account of
Diwali . Generally, you always find there's a traction coming on the LAP side because most of
these small segments of customers look for raising some amount to reinforce their requirements.
So, that is some temporary blips you can find here.
Raghav Garg: Right, but that would have been there last year also, right, in Q3, but that is not the case. So, that
just makes me wonder if there's anything else here? But you think it's just a seasonality, right?
Rupinder Singh: Largely, yes, you can say so.
Raghav Garg: Understood. And sir, last question, quarter -on-quarter growth in home loan portfolio, that's only
5%. If I look at the last several quarters, the sequential accretion has been 8%, 9%. So, why is
the slowdown in sequential growth rate for the home loan boo k, is this more consumption -led
where we are seeing trends slowing down or you have tightened your underwriting criteria or is
it both factors at play here? That's my last question. Thank you.
Rupinder Singh: So, there are small tweaks we keep doing here and there. And if you see overall, we have to
maintain, that is 60:40 ratio, right, that we are always consistent about . So, on quarter -on-quarter
there may be small changes here and there. So, there is nothing we have changed for one product
or we have not done about certain products. That's a very small uptick in there. You may find
some changes happening in next quarter also. That is possible because

ultimately we have to
maintain those parame ters and we are quite committed towards that.

Raghav Garg: Understood. Thank you and that's all.
Moderator: Thank you. The next question is from the line of Kushagra Goel from CLSA. Please go ahead.
Kushagra Goel: Yes, hi, thanks for taking my question. Congrats on a good set of numbers. Just coming back to
asset quality, can you tell us what is the movement in your one plus DPD on a sequential basis?
And if you could give some more color as to what improvement can we expect in 4Q?
Rupinder Singh: One plus is around 7% to 7.5%, and Q4 is better normally than the rest of the quarters and we
also expect so, as we enter to the new quarter and spend almost 30, 35 days into that piece. So,
we are optimistic about it, but let result comes, it's more on a ground that we have to work more
than speaking.
Kushagra Goel: Okay. And can you tell us the increase in One Plus on a sequential basis?
Rupinder Singh: So, it has been increased by almost 100 bps if we see that from last one year basically.
Kushagra Goel: Okay. On YoY basis, up 100 basis points?
Rupinder Singh: Yes, YoY basis.
Kushagra Goel: Okay, okay. Sure. Yes. That's all. Thank you.
Moderator: Thank you. The next question is from the line of Varun from Kotak Securities. Please go ahead.
Varun: Hi, sir. Congrats on a good set of numbers. I had a few questions. I would like to start with the
yield. So, if we look at our peers, many of them have reported yield pressure during the last two,
three quarters and disbursal yields have been lower than the book yields. For us, you said that
the disbursal yield is almost at par with the book yield at 14.9%, which appears a bit surprisingly
especially given that we are moving from a fixed rate of floating rate and floating rate typically
tends to be a bit lower in order to incentivize the customers. Can you help me understand this a
bit?
Rupinder Singh: So, our fixed rate book is majorly in the home loan as I mentioned. The floating rate is being
offered to the LAP customer earlier and recently we started for the floating rate for the home
loan customers. Secondly, when we are adding new branches, we are going deep in geographies .
Whatever the branches we added in last one year or so, that is in Tier-3 markets. So, there you
always have the advantage to get a better edge. The third important factor that is more on a
sourcing pattern. We largely try to source through a direct channel which is around 97%, 98%
of in -house piece, there at least we have control on a customer as well as our drive basically.
That also somewhere plays a role around that side.

Varun: My next question is on the portfolio in MP. So, last quarter you had highlighted that there was a
exit in the team and that had led to heightened stress. Now, we are seeing that the AUM is down
sequentially. So, have things not stabilized in that state or do we expect some more deterioration
on what you call collections or on growth in that portfolio?
Rupinder Singh: So, we have had a new set of people in state. We are talking about Madhya Pradesh particularly.
So, our new resource, the lead is there both in sales and collection. And yes, it will take some
time to come to correct , but things are large in control. So, it's no further deterioration which is

coming from there. Coming back to the previous position, little time you have to give to them and we are confident we will bring that position back very soon.
Varun: Yes. Thanks for that. And I had one other question on the self -employed ratio. Self -employed ratio is coming down on book and again we don't see a reflection of that in the yields. So, why are you moving more to -?
Rupinder Singh: I think self -employed is increasing from year

-on-year basis; last year it was around 70%, 72%,
today it stands around 74% something in that piece. So, it is improving in that side.
Varun: And you are not finding any increased stress on the self -employed originations as opposed to salaried?
Rupinder Singh: So, when we see the ratio wise, there's no much difference between the two for us.
Varun: Okay. And with regard to other income , I am sorry, if you have clarified it earlier, but it appears to be low in the last two quarters, like 2Q and 3Q as opposed to the run rate you are doing in the last previous six quarters. Is there anything fundamental that has changed over there?
Ashish Gupta: No, there is no fundamental change, but so you need to club the other income and the fee income and then see it together. In Q1, we have got our corporate agency license. So, the income is flowing into the fees and commission now.
Varun: Okay. And one thing is on the employee expenses. Can you split your employee expenses between how much is spent at the corporate headquarter level, how much on the supervisory and in the field level?
Ashish Gupta: If you see breakdown the total, the manpower itself first, it is around 78% of the total manpower are in the form of executives which include our loan officers, our collection officers, our credit people and then we have about 15% to 18% in the supervisory layer who are there as a branch manager, area manager, regional manager, and then we have around 4% to 5% people sitting at head office who are adding various functions and doing the supervisory from there. And if you see the cost wise, it is slightly different, overall about 60% of the cost is coming from the field and remaining 40% is coming from the supervisory and the head office.

Varun: Okay. Thanks a lot.
Moderator: Thank you. Before we take the next question, a reminder to all the participants that you may press "*" and "1" to ask a question. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.
Shreepal Doshi: Hi, sir, thank you for giving me the opportunity. Sir, I don't know if you answered this question earlier because I joined it a little late. So, the question is on tightening of underwriting norms given the kind of noise that you're hearing in the segment that we operate or a notch below. So, have we tightened underwriting norms or looked at them again in terms of revisiting the same or the kind of LTV level that we are comfortable with?
Rupinder Singh: So, every quarter we review the credit norms, in fact, our credit backgrounds are reviewed month -on-month basis and this is a continuous process. So, instead of tightening a norm at a general Company level, we go a little deeper and we even try to understand what's happening in typical geographies even up to the branch level and then we take certain calls, which includes empowerment of the resources down the line, some changes between approval keeping in mind the particular challenges which is faced on ground , somewhere we have to add the people also. So, this is all an entire quarterly mechanism that we do keep doing it. So, this is nothing just because of scenario alone, but that's a continuous process for us. That's the beauty of data that we capture day in, day out from the activities that we are doing for so many years. And these tightening and releasing, it's a matter of how the quality portfolio is behaving and in those particular geographies. So, this is not something new, but it's a continuous process fo r us and we are doing it.
Shreepal Doshi: Got it. Sir, which are these locations? And what really was the parameter that probably pushed us to tighten or… I understand that it's a normal course of action. But still like what parameter do we closely monitor and which geography for example this qua rter that we are tight?
R

upinder Singh: So, in any zone there can be even the single branch there we have to change the certain mechanism basis of we find some loosening nods around that side, we have to tighten up, whether it's a best performing zone or whether it's an average performing zone. So, those typically we take care . So, there are actionable items we have taken care, not only by underwriting team, but rest of the folks which are sitting in head office. So, in most of the cases, if required, even the senior management also get involved into that side basically. So, if you talk about particularly, as I mentioned in previous call, we put some tightening measures in branches which came around was in MP and I think those things start giving the results now what we see in a very recent time, the things becoming little more stable there.

Shreepal Doshi: Got it, sir. This is helpful. Thank you so much for answering my questions.
Moderator: Thank you. The next question is from the line of Vishwa Teja from Falcon Capital Partners. Please go ahead.

Vishwa Teja: Hi, sir, great set of numbers. Sir, I just wanted to ask about the demand side situation like our guidance of AUM growth of more than 30%, 35% for the next five years , I just want to know where the extra set of growth is coming from?
Rupinder Singh: So, Vishwa, actually we have not given any guidance for the next five years particularly. So, this guidance was given last year that for next three years we have this range -bound and there's an advantage to us keeping in mind we have currently a low AUM size c ompared to the peers which you're talking about, which are currently at very large set of level. And secondly, our distribution network. So, we are operating in 15 states and not being a regional player we have advantage to pull the lev ers from wherever things are important and we feel that the scope is there basically. So, I feel that this distribution is playing very well across states irrespective of certain geographies and all. So, all levers since functioning in a right direction, I expect that things can very well be stabilized between 30%, 35% for the next couple of years also.
Vishwa Teja: Okay, sir. Sir, the second question is regarding the BT rate. So, a few of our peers having less than 2% and few players having less than 5% of the BT rate. So, what are the measures that we are taking to reduce the BT rate, sir?
Rupinder Singh: Our BT rates runs between 5% to 6% and this is a trend from not a year or so, but from pretty long time since we start getting recognition to an extent. And most of these customers, they move to the bigger institution and these BT generally happen in bigg er markets like a Tier-2 market for us in that case, because there's a more intensive competition in those places and customer generally look outside and being posed by third -party DSA for the other institutions and all. That is a trend. So, that we have very well put in our business plan accordingly that this is something which we have to keep in mind. Secondly, we have a n in-house mechanism where there's a separate team which engage the customer from the head office itself along with the support of branches. There we take a lot of data scrub and things around and try to engage this customer, and it is helpful in many ways basically. So, you can see the consistency in the BT rate also which is in a range of 5% to 6% , which happen in our case basically.
Vishwa Teja: Okay, sir. That's all from my side. All the best.
Moderator: Thank you. The next question is from the line of Darshan Deora from Invest Group. Please go ahead.
Darshan Deora: Hi, thanks for the opportunity for asking a question. So, regarding the experience that you had in MP, where I believe some of your staff was poached by competition, what changes have you all made in terms of your HR pol

icies or any steps you're taking to ensure that similar incidents don't get repeated in other states, are you guys extending some ESOPs or something to the supervisory layer or taking any other steps to prevent this sort of poaching happening in the future?

Rupinder Singh: Yes, good question, Darshan. Actually, if we see we have an elaborate ESOP policy to the large extent. So, earlier apart from frontliners which includes loan officers or collection officers, we were having some 10% of people covered under ESOP policy. That has been extended to now 25%, which is branch manager and above . And again, there are certain policies which can be driven, one is the ESOP obviously, then there are other engagement tools which we can engage with plus strengthening the team with a backup that is a second thought that we built up and that's working fine. So, it's always learning as you are on ground. So, a learning what we find out, we have implemented strongly in that sense.
Darshan Deora: Got it. Thank you. That's all from my side.
Moderator: Thank you. Next question is from the line of Shreya Shivani from CLSA. Please go ahead.
Shreya Shivani: Hi, thank you for the opportunity and congratulations on a good set of numbers. Just following up on this staff ESOP policy, etc., I wanted to understand that what has been the attrition rate for us per se employees who join us in the first one year and p ost that how much difference is there in the attrition rate that you have generally seen… and this is not particularly about MP, but for the Company largely? And my second question is that in the budget, there were certain PMAY -2.0 versions that has been announced, etc., Can you help us understand how much did we participate in those or how much portion of our disbursals in the earlier version till 2021, was from the PMAY Scheme and how much can we scale it up this time as well? Thank you.
Rupinder Singh: Shreya, resources which are under ESOP policies, we have seen the attrition level less than 10%

in those particular categories. So, that's always an advantage with these kinds of policies , though
it has been extended to a pretty large set of people, but yet that is there. Now, if we talk about
attrition, we identify in various aspects One is the front liner. The new joinees who take some
time to adjust, and these are the ro les which is totally target -based. Typically, the loan officers
will go into the field , get a new leads and get a new sourcing around. But if you see the attrition
level overall of the Company , if it is 37%, 38%, if you break between less than six months and
greater than six months, there's a drastic change. If you talk about greater than one year what
you asked, I think that the attrition level is in the range of 15% to 17%.
Shreya Shivani: Perfect. Yes. And on the PMAY as well?
Rupinder Singh: Secondly, on a PMAY scheme, last time when this scheme came, our home loans particularly
because this scheme is largely for home loan, so 18% to 20% of sourcing happened through the
help of the scheme particularly when it came in 2021. On the recent scheme, w e have to come
out with the numbers in a couple of quarters where we can explain how this scheme is working
for us.
Shreya Shivani: Got it. Got it. So, the PMAY disbursals will start. I believe the industry has signed an MoU with
the government, right, because disbursals should start in two quarters as well for the PMAY?

Ashish Gupta: So, our disbursement in the PMAY started, about 15%, 20% of the total home loan borrowers
are eligible for the PMAY Scheme. But the data entry on the PMAY portal has just started. So,
we have to see how much of the borrowers input their data on the PMAY Scheme, what is the
success rate vis -à-vis Aadhaar number, i

s coming out from the PMAY portal. So, once that data
will be there, next one quarter we will be able to present a better pict ure of the success of PMAY
Scheme at that time.
Shreya Shivani: Got it. Very helpful. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Chintan Shah from ICICI Securities. Please go
ahead.
Chintan Shah: Yes. So, just one question is on the geographies. As you mentioned on the stress pool, we have
seen some rise in the one plus DPD on a YoY basis. So, any specific geographies or specific
states where we are seeing a higher stress than the usual ones?
Rupinder Singh: I think the trend in market is currently not as easy as it was one year back. So, yes, there is a
certain amount of stress which you can find across. This is across geographies you'll find some
things going little up because of the macro scenario what is we all understand that piece.
Objective is to curtail that. So, action is thorough on that side. And what we look as we close the
number the thing should improve particularly in Q4 which is always better than Q3, that's what
history talks ab out.
Chintan Shah: Sure. Sir, just as we say Q4 be better, so what are the early signs in terms of January – how has
been the collection in January as compared to December -- has it held up or hasn't been better
than December, any thoughts there?
Rupinder Singh: So, exactly on that basis, I am giving this confidence because when January is better than
December, then only we can give this kind of indication. But these are the early indications as
we see that. Still there two months and I think we are positive about the progress around that
time.
Chintan Shah: Sure, sure. And sir, lastly on the BT out, so what percentage of customers…we said 5.5% to 6%
is the BT out run rate, but typically, how many customers ask for the BT run rate and then how
much percentage of them are we able to contain and how much percen tage are we able to let go,
any percentage on that will be useful?
Rupinder Singh: When generally customer approach us, he doesn't reveal about the BT out particularly, he only
look for a foreclosure in that case. So, we don't distinguish between the customer who is going
for BT or a customer who is closing from own source. So, as far a s possible, we try to curtail
that. But, yes, when the customer is persistent, we as a compliant Company , we have to oblige
that piece. During that engagement, if a customer is mentioning that he's going for BT out, then
we give them an idea of the pros and cons and try to retain them on our books basically. So, this

is a philosophy that we run around. See, we don't differentiate this is a BT out customer, this is
closing from own funds, engagement is required across basically.
Chintan Shah: Sure, sure. This is very helpful. That's it from my side. Thank you and all the best.
Rupinder Singh: Thank you.
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the
conference over to Mr. Rupinder Singh from India Shelter Finance Corporation Limited for

closing comments.
Rupinder Singh: Thank you, everyone for taking your valuable time for attending our earning call. And audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to hosting you all in the next quarter. Further, if you ha ve any questions or require additional information, please feel free to reach us out. Thank you so much.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Sub: Transcript s of the Earnings Conference Call for the quarter and year ended March 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcript s of the earnings conference call for the quarter and year ended March 31, 2025 , held on May 12, 2025, is available on the website of the Company.

The transcripts can be accessed from the link given below :

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

You are requested to take the same on record.

Thanking you.
Yours faithfully,

For India Shelter Finance Corporation Limited

Mukti Chaplot
Company Secretary and Compliance Officer
Mem. No. 38326

"India Shelter Finance Corporation Limited Q4FY25
Earnings Conference Call "
May 12, 202 5

MANAGEMENT : MR. RUPINDER SINGH – MD & CEO
MR. ASHISH GUPTA - CFO
MR. RAHUL RAJAGOPALAN - HEAD, INVESTOR RELATIONS

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES

This is a transcription of the earnings call conducted on 12th May 2025. The audio recording can be accessed using the following link, https://www.indiashelter.in/investor -relations
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Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Moderator: Ladies and gentlemen, good day, and welcome to the India Shelter Finance Corporation Limited Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Renish Bhuva from ICICI Securities Limited. Thank you, and over to you, sir.
Renish Bhuva: Yes. Thank you. Good morning, everyone. Welcome to India Shelter Q4 FY25 Earnings Call. I will now hand over the call to Mr. Rahul for the management introduction. Over to you, Rahul.
Rahul Rajagopalan: Thank you, Renish. Good morning, everyone. I take this opportunity to thank ICICI Securities for hosting our call today. I extend a warm welcome to all the participants on our Q4FY25 earnings conference call. I hope everybody had an opportunity to go throu gh our investor presentation and press release uploaded on the Stock Exchanges . We have also uploaded the Excel fact sheet on our website.
With me today, I have Mr. Rupinder Singh, MD and CEO; Mr. Ashish Gupta:, our CFO. I now request Mr. Rupinder Singh, our MD and CEO, to brief you all about the company's performance. Thank you, and over to you, sir.
Rupinder Singh: Thank you, Rahul ji. A very good morning, everyone. On behalf of the company, I extend a warm welcome to all of you. Thank you for joining us on the call today. Looking back at the past year, I take immense pride in sharing our progress and achievements that have marked our journey towards responsible growth. India remains a land of boundless opportunities, where rising aspirations for homeownership and increasing financial inclusion are shaping the affordable housing finance sector.
As a company committed to making homeownership accessible to underserved communities, we have reinforced our foundation by fostering trust, driving efficiencies and creating meaningful impact. Demand for affordable housing finance continues to accelerate a cross Tier 2, Tier 3 and fast -growing micro markets. Rising disposable income driven by expanding job opportunities in various sectors are reshaping consumer aspiration in these regions.
On that note, let me move towards the quarterly update. We are pleased to announce that the company delivered strong operational performance in the fourth quarter of financial year '25, driven by demand environment in affordable housing segment. We deliver ed an AUM growth of 35% year -on-year, reaching an AUM of Rs. 8,189 crores. In quarter 4 financial year '25, we disbursed Rs. 933 crores, registering a growth of 25% year -on-year, whereas in financial year '25, we disbursed Rs. 3,335 crores, registering a growth of 25% year -on-year. During the quarter, our branch network expanded to 266 branches in total and during the year, we added 43 new branches as per the plan.

On profitability metrics, PAT for the quarter came in at Rs. 108 crores, registering a growth of 39% year -on-year. It's the first time that we achieved PAT of more than Rs. 100 crores in a single quarter. Return on assets came in at 5.8% and return on equity further improve d to 16.3% , this is the first quarter post listing, where we delivered the ROE above 16%. Our net worth now stands at Rs. 2,709 crores.
We continue to maintain a guidance of :
• Branch addition of 40 to 45 for the year
• Margins of around 6%

• Credit cost of around 40 to 50 bps
• Loan growth of around 3 0% to 35% to reach AUM of Rs. 30,000 crores by March 2030

Lastly, as we remain committed towards sustainabl

e finance, the Board has approved the ESG policy. Through the implementation of this policy, we seek to achieve a sustainable future for our stakeholders and future generations.

Now I would like to hand over call to Mr. Ashish Gupta, our CFO, to take you through the financial metrics. Over to you, Ashish ji.

Ashish Gupta: Thanks, Rupinder ji. Good morning, friends. Let me take you through the key financial numbers.

AUM as on March '25 is Rs. 8,189 crores. Year -on-year growth in AUM is 35%, in line with our guidance. Quarter -on-quarter growth in AUM is 7%. Total income for quarter is up by 34% year-on-year, largely driven by 35% growth in AUM. Quarter -on-quarter, total income is up by 8%.

Our portfolio yield is stable at 14.9%. Disbursement yield for the year is 15% versus 14.9% in previous year. Our bucket cost of fund is down by 10 basis points in Q4 to 8.7%, driven by lower marginal cost of fund at 8.6% in Q4 and reset in few of our borr owing linked to repo rate.

Share of NHB funding is stable at 15% year -on-year. We have undrawn sanction of Rs. 200 crores to be drawn in Q1FY26. With this, our lending margins are up by 10 basis points to 6.2% and are consistently above 6%, in line with our guidance for medium term.

On liquidity side, we are comfortably placed with liquidity of Rs. 1,480 crores, including undrawn sanction of about Rs. 900 crores. Our ALM is positive across all the buckets.

Net income for the quarter is up by 33% year -on-year basis and 6% up on quarter -on-quarter basis. On interest rate risk side, we have been able to bring down the percentage of fixed rate portfolio funded by variable rate liabilities from about 45% last yea r to about 18% this year. We are committed to further reduce this in coming 12 to 18 month's time .

Coming to opex, our year -on-year growth in opex is lower than growth in AUM, resulting in better cost ratios. Opex to AUM for the quarter is down by 10 basis points quarter -on-quarter and down by 20 bps year -on-year.

On asset quality side, DPD 30 is at 3.1%, down by 60 basis points quarter -on-quarter. Stage 3 is at 1%, down by 20 bps quarter -on- quarter. With improvement in asset quality, credit cost for the quarter is 20 basis points and for the year, it is at 40 basi s points, which is in line with our guidance. PCR for Stage 3 asset is stable at 25%. Our total ECL is Rs. 64 crores against the regulatory threshold of Rs. 37 crores. Adequate provisioning buffers are in place.

If you look at our B T out rate , it is stable below 6%. On PAT, we have crossed the important milestone of Rs. 100 crores a quarter on the back of strong volumes, margins and credit cost.

PAT for the quarter is Rs. 108 crores year -on-year up by 39%, quarter -on- quarter up by 12%.

PAT for the year is Rs. 378 crores year -on-year up by 53%.

RoA for the quarter is 5.8% and R oA for the full year is 5.6%. R oE for the full year is 15.1%.

During the quarter, we have crossed the milestone of 16% ROE for the first-time post IPO and ended the quarter with R oE of 16.3% at a leverage of 2.9x.

With this, I conclude, and now we can open the floor for Q&A.

Moderator: The first question comes from the line of Varun from Kotak Securities.

Varun: Congrats on a good set of numbers. I had a couple of questions. The first one is regard to the Karnataka portfolio. There appears to be a decline in the portfolio in 4Q. Is it because the e - khata issue has not been settled yet? Or are there any other issue s you're seeing?

The second is with regard to collections, while overall collections are good and you have reported significant decline in stressed assets, a re there any trends you're seeing in Karnataka, Tamil Nadu or MP, these particular states, whether the collections have improved, where they are up compared to last year or last quarter?

And third, I had a data

keeping question, but you've already given the breakup of fixed and floating loans on borrowing side. Just wanted to break up on the benchmark that they are linked to?

Rupinder Singh: Thank you, Varun, for the questions. I'll go one by one.

About Karnataka, we have portfolio of around 6 .3%, there is a slight dip of some 20 bps, 30 bps. Obviously, these are the reasons which you know very well in the market. Thankfully, India Shelter distribution portfolio has been spread across country since the very formative years , so that there is no impact in any case . So yes, these are a few challenges which are obviously going to come when you're in the operational business. But otherwise, there's no major impact on that side.

So I think we'll be able to cover, as the time keeps building up in the future also. So today, we are at around 6.3% of portfolio in Karnataka.
Varun: Yes. Just that overall collections are looking fine, but are you seeing any issues in Karnataka or Tamil Nadu or MP, especially given that Karnataka and Tamil Nadu have this ordinance of bill coming into effect?
Rupinder Singh: This Tamil Nadu piece came very recently. Even in Karnataka, if you see overall, there is a decent traction . Yes, they may have missed a little bit of target here and there because there's always challenges, which does happen when any shift happens in the operational activity. But accordingly, we keep preparing ourselves and growing around. So nothing to worry on that side. Like Karnataka, where we have a 6% of portfolio. Same in Tamil Nadu, we have around 6% of portfolio. So we doesn't think there is anything, which is challenging and worrisome for us around that side.
Ashish Gupta: And coming to your question on this benchmark about the portfolio, our portfolio is linked to our PLR, which is variable rate. And coming to the liabilities, on liability side, 30% of our liabilities are linked to RBI repo rate or the T -Bill and then about 55% of the borrowings are linked to MCLR. Out of the total 55%, 20% is linked to 3 months and remaining 80% is linked to the 1 year or 6 - month MCLR and remaining about 15% is fixed.
Moderator: The next question comes from the line of Raghav Garg from Ambit Capital.
Raghav Garg: Congrats on this quarter's numbers. Just three questions from my side. One is on the fee income part. So apart from the processing fee, if I look at the other fees and commission line item, that has grown quite substantially this year. So what is driving that?
Ashish Gupta: So Raghav the processing fees that we get on our loan disbursement get amortized over the period of the loan and comes under the head of interest income. Coming to the rest of the fee and commission income, the larger portion of the income is coming by way of cross -sell on the insurance. And then part of the income is coming from foreclosure of loans and then and there's the routine servicing of the loan. So as you may be aware that during the Q1, we have got our corporate agency license. So a s the license income has got stabilized now, so you are seeing some spike in the overall commission income.
Raghav Garg: Understood. The second question is on assignment margin, so it appears that the assignment margin dipped this quarter on a quarter - on-quarter basis. Is that because you may have done more of HL assignment this quarter than non -HL -- or there's something e lse to it?
Ashish Gupta: So as a matter of policy, we only do LAP direct assignment transactions. But the margins depend on various factors that what is the residual tenure of the loan that we have sold, what is the seasoning and what is the ROI of that underlying loan. So basis t hat the margin income comes up. So it completely depends on the underlying pool. But there is no change certainly in HL and LAP.

Raghav Garg: Understood. And what's your expectation of reduction in funding costs on a full year basis in FY '26 versus '25?
Ashish Gupta: So as we have said that about 30% of our total funding is linked to the repo rate and T -bill. For that, we will keep getting the rate benefit on an immediate basis. But for the rest of the larger portion of the borrowing, which is linked to MCLR, the benef it will keep coming in a staggering manner, and it will depend on how much the pass on that the bank will do on the MCLR cut. So if the 50 basis point rate cut has already happened, we have already got a 10 basis point cut. So maybe another 1 0 basis points may be there in 3 to 6 months kind of time and rest will be dependent on the cut in MCLR.
Raghav Garg: Understood. When you say 30% linked to repo or T -bill, you are saying including assignment, right, the fee -- funding mix that you gave in the presentation? Or is it the on -book mix only?
Ashish Gupta: Generally , it is similar on the on -book and the DA side.
Moderator: The next question comes from the line of Shreya Shivani from CLSA.
Shreya Shivani: Sir, my question is on the new branch addition, and you also give out a metric on AUM per branch of your vintage up to 1 year, 1 to 3 years and all of that. So clearly, the new branches that you've been adding, the AUM per branch has picked up quite a bit over there, particularly in 4Q. Is this more of a function of the new branches that you've opened are more in Tier 1, 2 cities than in smaller cities? And also , so the reason I'm asking this is because the 1 -year AUM per

branch has sort of moved -- remained range bound in the past 6 quarters of numbers that you've given out, but the new branch addition seems to have much better AUM outlook. Can you help us understand that?
Rupinder Singh: Yes. So as an experiment, what we did last year, most of our branches got opened in the first quarter itself. That I think if you see go back on the data side also, quarter 1, we tried to open the branch as per the plan that time. And by the time we covered 3 quarters, I think that has picked up. There's no strategy about opening branches in Tier 1. We still not very gung -ho about the Tier 1 market, typically when we talk about affordable housing the segments that we are getting around that side. It's only that we preponed the plan instead of staggering across the year, we did this experiment last y ear, and I think it worked a little bit and that's helpful on that side.
Shreya Shivani: Sure. Understood. So the new 40 to 45 branch addition guidance that you've given, that also you'll do in a similar manner going ahead?
Rupinder Singh: No, this year, we are making some different changes. Every time you have to see some ways how it can be more effective. That's the internal strategy. But overall, this year, again, we're going to open around 43 to 45 branches. So a different way of setting it. So it's not like last year, but maybe we come up with a better idea this time. We'll probably convey as time progress es.
Moderator: The next question comes from the line of Aman from PhillipCapital.

Aman: Yes. So sir, congrats on a good set of numbers. So one question is on the repayment rates. So if I look at your repayments rate, they have climbed up sequentially, right? And you also mentioned of some foreclosures. So could you give us a sense on as to wh y -- I mean, is it because of some competitive intensity that we are seeing in -- I mean, is it something also of seasonality? Some clarity on that would be really helpful.
Ashish Gupta: While calculating the amortization rate, you might not have been considering the impact of co - lending that we have done. So co -lending portfolio that we like originate for the banks, we don't consider this as a part of AUM. So we will

have to factor in from the disbursement number, while computing the amortization rate. It is better than last year.
Aman: Okay. Got it. And sir, secondly would be on the co -lending part of our book. So we are at 57% housing loans on a portfolio level and about 43% on the loan again property, right, LAP. And that is where we, I assume, do most of our DA business, direct assign ment. Now isn't this a bit aggressive from a housing finance company standpoint? I mean, is that something of a risk that we see down the line, where an RBI might come down on you that, okay, you're being too aggressive in the LAP portfolio?
Ashish Gupta: So if you look at our overall AUM, yes you are right that our housing loan portfolio is at 57%. But if you look at the on -balance sheet portfolio, so as you have rightly said that for direct assignment, we do it for LAP portfolio. So at the on -book balance sheet level, the proportion of housing loan is at ab out 67%. So we are well compliant with the RBI regulation on this particular PBC criteria.
Aman: Sir, any plans on maybe running down this book a bit or maybe slowing down disbursements in the LAP portfolio?
Rupinder Singh: Instead of slowing down LAP portfolio, we'd always insist of taking up our HL portfolio. So this 57% eventually would tweak to respected level of some 60%, 61%. So that things are very well taken care of in full threshold form. So we're not pulling down LAP, but we definitely will take up our HL. We have a plan around that side. So as the quarter progress, you'll see it progressing.
Aman: And sir, one last question, if I may. So my last question would be on the competitive intensity, right? So we have seen a lot of your bigger players also getting into the affordable market, right? So how do you see that affecting you? Or maybe if you could just elaborate a bit more on what is our right to win in such competitive markets? I mean, Rajasthan being one of them. So just some clarity on that would be helpful ? Thank you.
Rupinder Singh: Well, we are a player of Tier 2, Tier 3 markets, basically, which is a deep down into geography. Maintaining our ticket size of around Rs. 10 -11 lakhs a nd sourcing is through our direct team instead of depending upon third -party channels. And this is a quite operational expensive activity around that side.

So to build this DNA, you require thousands of people, hundreds of branches and then focusing on this market. So large players do have a tendency to take the business to next level instantly if they do. So replicating this model becomes a little difficult. So the way we serve, you require to come to this level around that side. We are into business from last 15 years and so many players keep coming around, big and small, all kind of that. Everyone has to find their own forte accordingly.

Moderator: The next question comes from the line of Adityapal Jaggi from MSA Capital Partners.

Adityapal Jaggi : Sir, great set of performance. Just wanted to quickly get a few data keeping questions. That is how much would be our 1+ DPD ? And what would be our total gross write -off for FY25 and for this quarter and the collections of our earlier write -offs for this year and this quarter?

Rupinder Singh: So if you look at our DPD 1, it is at about 7%, and we have done a write -off of about Rs. 8 crores this year. But however, we have parallelly recovered about Rs. 6 crores from the loans that we have written off in the previous years. So there is no material impact of write -offs in the credit cost this particular year.

Adityapal Jaggi : Understood. And sir, so Andhra Pradesh and Telangana for the last 3 years have really performed well for us. So what is the strategy or what is working for us over there? And how do you think about this market, say, in the subsequent years? And another question on this strate

gy is that how are you thinking about state -wise AUM growth for FY26?

Rupinder Singh : So it's not a one state specific focus we have. We are spread across the 15 states. Being a new geographies for us, Andhra Pradesh, Telangana compared to the other one like Rajasthan or Maharashtra or MP, I think being a small base, that looks good output in that sense. If you see in South, we are spread across 4 states, AP, Telangana, Karnataka and Tamil Nadu. Karnataka. Telangana, we are having some AUM of 6% and 4%. So with time, you will see the progress across there basically. It is not a state specific. Yes, there is a good productivity, which is coming from AP, Telangana also.

Adityapal Jaggi : Understood. And sir, what would be a district penetration in states, Rajasthan, Maharashtra, Madhya Pradesh? And then what would be our market share in these geographies?

Rupinder Singh : Look, we don't compare it in terms of what is my market share and all. Reason being mortgage finance is a humongous business, which is staggered into various ticket size, various forms in that sense. We play in a ticket size of Rs. 10 lakh to Rs. 11 lakh. There are competition, which are in affordable playing between the other set of ticket size simultaneously. So we see our continuous growth. And as we see compared to the last year, there's a continuous growth in Rajasthan and the rest of t he states also. Rajasthan, we still have the highest AUM of 31%.

Adityapal Jaggi : Got it. And sir, just last question. So our Stage 2 plus the GNPA does not match a 30 -plus DPD. So intuitively, the 30 -plus DPD should match our Stage 2 and GNPA.

Ashish Gupta: Yes, you are right. So there is some impact of the restructured loan that we have done during the COVID 1 and 2 schemes. So impact of the same is about 15 basis points to 20 basis points between the 30 plus Stage 2 plus Stage 3.

Adityapal Jaggi : So that is the delta that is, I mean, that is the restructured book.

Ashish Gupta : Yes, which is actually Stage 1 asset, but this is a conservative philosophy. We have considered slightly higher provision on that and consider that as a Stage 2 asset. But that book is doing fine now.

Adityapal Jaggi : All right. All right. And sir, what would be a difference between unique customer collection? I -- you've given overall collection. What would be a unique customer collection.

Ashish Gupta : So unique customer collection is at about 97% plus.

Moderator: The next question comes from the line of Shreepal Doshi from Equirus Capital.

Shreepal Doshi : Congrats on a good quarter and really appreciate the detailed presentation. My question was on GS3 coverage. So if you look at that number is closer to 25%. However, as we deepen our penetration in the existing and the newer states, do you see this 25% inc hing upward? Because if you look at some of the larger guys are having a much better PCR on GS3 ranging between 50 to 60%, 65%. So do you see this 25% inching upward? And what is the credit cost that we are comfortable with ?

Ashish Gupta : So you need to differentiate between us and any other prime housing finance company. So while we underwrite the loan, we underwrite the loan only against the self -occupied residential property and average LTV of the portfolio is close to 52%. So if you go over the historical numbers, which are available for more than 12 years now, so the L GD that we have seen on our portfolio is close to 11%, 12%, including principal and interest. So the PCR of 25% that you are seeing on Stage 3 assets is actually 2x of what the actual pr ovision is required.

So basis on the management overlays and all that, we have been able to pull up this PCR to about 25% that we feel is sufficient for this kind of business that we are doing. And on the overall credit cost, including the like growth on the Stage 1, Stage 2, Stage 3 a

sset, which is currently
running at about 30%, 35% we are comfortable with about Rs. 40 to Rs. 45 paisa on the overall credit cost on the P&L.

Shreepal Doshi : Got it. But sir, I mean, your L GD of 11% is -- I mean, seems much controlled than some of the peers. But the idea is that as we scale up and deepen our penetration, do you see this inching up or as a business model, you believe that this is what it should be closer to 25%.

Ashish Gupta : So we have seen the last 5 to 7-year trend in the L GD, this remain broadly in the range of 10% to 12%. So in case the actual trend reflects some uptick, then probably we will increase our ECL provision as well. But in case not, then probably we will continue with the current numbers.

Shreepal Doshi : Got it. And sir, have we -- in terms of customer profiles, have we sort of -- when we add newer branches, are we also able to see newer customer profiles being onboarded in our system in terms of underwriting them or in terms of filtering yes and no in tho se customer profiles?

Rupinder Singh : We are largely catering the self -employed customer in these markets of Tier 2, Tier 3 and which includes all set of gamut on the customers, who are serving this vicinity. Obviously, we also have a list of negative profile, which we don't want to touch basi cally and that you can get as and when you want. So this is a matter of policy for us. So we are very clear this is the market which we have to serve it. If you see, we have not changed any large ticket size or things on that side. We conti nue to work between Rs. 5 to Rs. 30 lakh of ticket size and majorly into affordable mortgages. So it's nothing new that which has come up around that basically because the set of customers, who should have a collateral or property to offer in the same vicinity. So I think that gives a cle ar cut visualization of the questions that you are asking for.

Moderator: The next question comes from the line of Miten Lathia from Fractal Capital Investments.

Miten Lathia : In the broader cohort that you mentioned sticking to Tier 2, Tier 3, maintaining a Rs. 10 lakh ticket size , direct sourcing, is that maintainable all the way to Rs. 30,000 crores of AUM? Or do you think along the way, we'll have to tweak this to get to that number?

Rupinder Singh: So as the market is growing, your inflation is growing, the cost of construction is going. This Rs. 10 lakhs will obviously go up, but step by step. It's not an overnight change of shift or gear on that side. If you see 6 to 7 years back the ticket size used to Rs. 6 lakhs, Rs. 7 lakhs, today, it is Rs. 10 lakh. As we reach towards this another 4 to 5 years, you can see that this is going up. And by that time this may go up to Rs. 14 lakhs, Rs. 15 lakh of ticket size also. But yes, we want to continue to work in the affordable housing segment. Any new opportunity in terms of product opening, we always welcome into that piece. But it has to be very well taken care of risk adjustment business, not like just for the sake of doi ng it. So we'll be cautious, but yes, we'll be eager for going up there.

Miten Lathia : So sorry to reemphasize, but up to Rs. 30,000, it will still be a direct sourcing model. You don't see a need to change that.

Rupinder Singh: That will be our prime model. In case if you have to come with the new models, then definitely, we'll not be able to disturb the current one basically. We're not going to overload our current set of teams, who will be shifting from a direct sourcing model to some new models because of the expertise which this team has developed to with time .

Moderator: The next question comes from the line of Sonal from Asian Market Securities.

Sonal: Congrats on a good set of numbers. So I have two questions. One is on this fee and commission income. So if I look at it as a percentage of assets or

on disbursements, this number has inched
up quite significantly. Now just a few questions here. If you could just help us with the breakup, how much is the insurance income in this fee and commission income?

And second is how many insurance companies have you tied up with? Do you also provide any insurance loan to the end customer? That is my first question. And second is with focus shifting to floating rate advances, how do you see yields moving from here?

Ashish Gupta: Yes, Sonal. So if you look at the breakup of the total other income or the fee and commission income, so about 50% of the income is coming by way of cross -sell. And while giving the insurance, we also fund the customer loan in case we want to do that.

And remaining about 20% of the income come by way of foreclosure charges on the loan and remaining 20% comes on the loan servicing fees in the form of bounce charges, cash handling charges, etc. And remaining 10% of the income comes from the co -lending fees that we are doing. So on the co -lending loans, we get upfront fees share on the processing fees that we charge from the customer.

Sonal: Sure. And sir, just one more clarification here. So you said that 50% income is coming from cross -sell of insurance. So I mean, whatever loans we disbursed during 4Q. So if you could just indicate how many customers or borrowers have kind of opted for insu rance and probably how many of them have we funded during the quarter?
Ashish Gupta: Sure. So we do primarily 2 types of insurance. One is property insurance, wherein we see a good penetration rate wherein more than 90% of the customer go for the insurance. And another is credit life insurance, wherein we see a penetration of upward of 80% , wherein customer go for the credit life insurance for about 5 to 7 year basis their behavioral expectation of the loan. And coming back to your old question, so we are working with about 4 insurance companies for the life and the property i nsurance.
Sonal: Got it. And sir, on the floating rate advances, I understand you'll be able to maintain your 6% plus spreads, but how do you see the yields moving from here?
Ashish Gupta: So floating rate loan that we have said that is constituting about 45% of the portfolio. So on that portfolio, there is a structure that the loan is like semi -variable kind of structure wherein it is fixed for some initial 3 years period and then it is var iable. So these loans are linked to our own PLR basis the cost of fund and the opex of the company. So as and when that will change in the future, probably we may pass on some benefit to the customer as well.
Sonal: But sir, the initiation of the contract, could you just help me with the difference between what will be charged during the fixed rate period and what will be charged during when it becomes floating rate or variable rate.
Ashish Gupta: So the rate is similar. It's not a teaser loan kind of product where the initial rate is slightly lower and the subsequent rate will be higher. It's a flat rate of product wherein customer rate remains fixed for initial 3 years. And this is the moment afte r 3 years, the customer rate might change in future.
Moderator: The next question comes from the line of Jainis Chheda from Kemfin Family Office.

Jainis Chheda: Congrats on the good set of numbers. Sir, when you talk about this Rs. 30,000 crores AUM by March 30, what will be the ROA by then since on scale, do we expect a dip in the others?
Ashish Gupta: Yes. So our ROA is currently is about 5.6% for the year, but our leverage is close to 2.9x. So as the leverage will increase from here, our ROA will moderate from there. So we expect that down the line, 2 years from here, we will be touching close to 4x kind of leverage. At that point of time, you will see some moderation in ROA close to 4.5% that you could expect.
Jainis Chheda: Okay. And I'm assuming this Rs. 30,000 crores will not require any additional equity raise?
Rupinder Singh: It would require eventually, I think, but I think it will take another 3 years to reach there. We're talking about Rs. 30,000 crores in 5 years of time.
Moderator: The next question comes from the line of Rohit, an Individual Investor.
Rohit: Yes. Congratulations on a great set of numbers. I had just one question. What can be the trajectory of ROE going forward, sir, for the next two financial years, FY26 and FY27? That's my question.
Ashish Gupta: So as we have said that -- so in the previous question that currently, our R oA is at about 5.6%. This is the low leverage of the company. So R oE is a function of ROA and the leverage. So as we will progress, our leverage will be increasing, and ROA will be moderating. But as we have ended the Q4 with about 16% plus ROE, you can expect a similar trajectory or the upward trajectory in the coming qu arters.
Moderator: The next question comes from the line of Renish Bhuva: from ICICI Securities.
Renish Bhuva: Just two questions from my side. So one on this LAP portfolio, right? So of course, you've been growing this portfolio at almost 30%, 35% plus over the last 2 to 3 years. And given this ordinance in TN and Karnataka, do you foresee any disturbance in collection in LAP portfolio at least as of now?
Rupinder Singh : I think not exactly as of now . We are just taking stock of situation regularly on that side. So if you see current state of affair, we can't see instantly some kind of jittery on that side. But yes, we are cautious about if anything happens, we'll be first to come back to you on this.
Renish Bhuva: Okay. And sir, would you like to share the overlap of LAP portfolio with MFI customers?
Rupinder Singh : I think it's around 3.5%, 4%, but this is a very old customers we are talking about. We did do our scrub a quarter back or so and largely, when we see the delinquency ratio also, there's no very large spurt on that side. It's a range bound again.
Renish Bhuva: Okay. So 3.5% to 4% of LAP book or total book?
Rupinder Singh : It is total book.

Renish Bhuva: Okay. It is of total book. Okay. Got it. And sir, secondly, in this next phase of growth, wherein we are sort of planning to reach Rs. 30.000 -odd crores by March 30. And when we look at the geographical concentration or presence, we are still 30% plus in Rajasthan. So going ahead, which are the key states which will sort of drive the growth for us? And where do you see the share of Rajast han settling maybe over next 2 to 3 years?
Rupinder Singh : I think with the progress of time, every state starts performing in that sense. And Rajasthan is still a flagship zone for us and delivering a wonderful numbers in that sense. Though they'll continue to maintain their momentum typically on the disbursement side, but that's definitely because of the impact of other states growing and they're settling down, there will be more growth coming from those states. I feel this will start settling down and another 4, 5 years, they will come less than 25%, if you talk about Rajasthan per se basically. If you ask the other states, which is coming around, I feel good scope in South, all 4 markets typically, right, as we see that. Consistency, you can see with -- both in Maharashtra and MP. And new things, green shoot you can see coming from other states like UP or Haryana .
Renish Bhuva: But -- okay. So would you like to spell out any, let's say, 2, 3 markets, where we are focusing more incrementally?
Rupinder Singh : I think we should not discuss because of we are focusing in one market or the other. For us, all are being clear shot distinction. We chose the market, keeping in mind

the objective of giving
this affordable housing. Obviously, quarter -on-quarter we will be sharing the numbers. And because of that, when we focus it, if you see the India Shelter philosophy always is there, any branch which has to be opened, it should be very well controlled from the centralized team. So we have spread our dis tribution in such a way. And the system works in such a way that there should not be any distinction between the two markets because of the reasons that we feel that this is a good market, or the people are not good or something like that.
Renish Bhuva: Got it. And just a last bookkeeping question. Sir, what is the disbursement yield and incremental cost of fund?
Ashish Gupta: Disbursement yield are currently at about 15% and our incremental cost of fund for Q4 was about 8.6%. So that was having some element of NHB funding as well. But on a stable state, you can say that our incremental cost of fund is also at about 8.7%, exclud ing NHB, which is similar to our average cost of fund.
Renish Bhuva: Got it. Got it. And maybe just the last question on the sourcing side. So sir, let's say, as on March, what percentage of disbursement is through branch sourcing and what percentage would be non - branch sourcing? When I say non -branch it's basically Connector, DSA, digital marketing, etcetera.
Rupinder Singh: So if you see entire thing , servicing of customers happens via the branch. T he traction of digital is going up since we keep working the venues. But ultimately, all these leads and customers is been passed on to branches So branches are there to serve the customer. So digital sourcing is

picking up for us , where there are newer venues and still are in the experimental phase. So we have not commented much on the numbers around that side.
Renish Bhuva: And DSA co nnector is practically zero for us as of now, right?
Rupinder Singh: So from branch side, it is not. But yes, through digital, we have a certain aggregator, who are providing the lead that helps us out someway basically.
Moderator: The next question comes from the line of Mona Khetan from Dolat Capital.
Mona Khetan: Congratulations on a strong set of numbers. I have 2, 3 clarifications. So firstly, what is the share of cash salary if at all we have any exposure there?
Rupinder Singh : I think the recent disbursement of cash salary is quite minimal. But overall, if you see among the salaried profile of 20% that we have , around 8%, 9% constitute cash salary But as of now, we are majorly focused on formal salary wherever we are doing in the smaller markets also.
Mona Khetan: Okay. So 8%, 9% of the AUM ?
Rupinder Singh : Of the salar ied profile
Mona Khetan: Okay. Of the 25% of salaried?
Rupinder Singh : Yes, yes.
Mona Khetan: Okay. Got it. And secondly, just on the co -lending, so just wanted to understand this piece a little more. So the 20% of the book that comes at your end, is it yield dilutive? Or is it at the same yield? And also, on the opex, does the entire opex for the 100% of the loan come at the NBFC's end? Or how is it sort of distributed?
Ashish Gupta: So in case of co -lending, we are doing like CLM -2, wherein the customer is getting the same yield as we are doing it on our on book loans. But having said this, we are booking only 20% of

the loan portion, wherein we are getting slightly higher interest income. So -- but one side, there is a higher interest income. But correspondingly, on the expenses side, we are also getting the expenses to the extent of 100% of the share. So that is matching at the PAT level. So the PAT is similar, whether we do the co -lending or whether we not do the co -lending. It's one of the avenue of funding that we do. So at this point of time, co -lending is at about 4% of our total AUM. So that's how the position is.
Mona Khetan: Sure. And so,

the effective yield, I understand it's higher than the overall, but the effective yield, is it higher than your 14% or so of yield on the book? Or is it lower?
Ashish Gupta: So we do only the LAP loan under co-lending product. So our average LAP yield is at about say like 15.5%. And the LAP yield to the co -lending loan also will be in the similar range of 15% to 15.5%.

Mona Khetan: Got it. And just finally, in your loan mix, what percentage of loans will have above 80% kind of LTV?
Ashish Gupta: We don't do 80% like above LTV. So there will not be any loan wherein the sanctioned LTV is above 80%.
Mona Khetan: Okay. So it's almost nil or so at your end ?
Ashish Gupta: Yes.
Moderator: The next question comes from the line of Chinmay Nema from Prescient Capital.
Chinmay Nema : I just wanted to follow up on the previous question related to leverage. You guided that leverage could go up to 4x in 2 years' time. I just wanted to understand if there can be any regulatory challenges in increasing the leverage. And also from a long -term perspective, how do you see leverage increasing? Or where do you see it peaking out, as the AUM grows?
Ashish Gupta: So there is no regulatory challenge on the leverage side. Regulation allows you to maintain 15% CRAR. That effectively means leverage upward of 9x as such. But when we speak to the credit rating agencies, the bankers and all that, they are comfortable with the leverage up to 5x kind of number. So our brief thought process is that once we start touching 4x kind of leverage, then we start working on like equity raise and probably try to close the equity before touching the 5x kind of leverage.
Moderator: The next question comes from the line of Raghav Garg: from Ambit Capital.
Raghav Garg: Just two more questions. One is on attrition. How was it for you in FY25? Has it come down compared to last few years? Or is it still a problem? And what are you doing to control it?
Rupinder Singh: So compared to last year, there is an improvement in attrition, but not to our level of satisfaction. That is one thing. Attrition is still a challenge on that side. Particularly for controlling this attrition, I think Board has been kind enough. They have just approved the next tranche of stock options, which is going to cover the large set of people. And to the extent, earlier it used to cover 25% of the employees excluding frontline staff and now this will take to the next level. So this is something Board has come up, and we'll bring this as a traction for the people to run long with us. So we are just going to formalize it. And once it is done, we'll also convey you around that side.
Raghav Garg: Understood. And I'm also trying to understand your branch expansion and hiring strategy. So when I look at FY24, right, these activities appear to have been spread out through the year. In FY25, you seem to have upfronted branch openings and hiring during the year in the first half. Can you share some thoughts on how you'll execute in FY26 and why you believe it's a better strategy?

Rupinder Singh: I think since it hasn’t been executed yet I won't say better strategy or not. I simply said that there will be new experimentation, and we’ll come back to you once done. So, we are just in the process. As it completes, we'll definitely showcase ourselves how it works, like as what we did etc. But yes, that's what I can assure is we'll be again opening around 40 to 45 branches .
Raghav Garg: Just one more follow -up to the previous question on attrition. So you said you plan to give ESOPs at the branch level. Is it an effective retention tool you think? Because I would assume generally salaries and something which is more tangible appeals more to the staff at the ground level than ESOPs

, but happy to share your thoughts on this ?
Rupinder Singh: So looking at the best practices followed by stalwarts of the industry , I think this has been a good

tool for retention typically for the quality resources in the system. I think that worked well in the past. That has a history towards it. So yes, retention is something which you can't ignore it, and you can't say simply that it can be used at one point of time. But these are the tools, which actually definitely pull the right set of people, the quality people, who look for a long term and can align with the vision of company. So this is an important piece. This is one of the important tool, what we feel confident about that should help us some way. But one side, the Board is also kind enough and other side, and as we receive feedback from the employees on the line, and we try to align together. I think let's see how it turns out b ut we are optimistic as of now .

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Rupinder Singh for the closing remarks.

Rupinder Singh: Thank you, everyone, for taking your valuable time for attending our earnings call. An audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to hosting you all in the next quarter. If you have any fu rther questions or require additional information, please feel free to reach out to us. Thank you so much, and have a nice day.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. You may now disconnect your lines.

Call: Aug 2025

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August 13, 2025

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
NSE Symbol: INDIASHLTR
ISIN: INE922K01024
: INE922K07104 ISIN: INE922K01024

Sub: Transcript s of the Earnings Conference Call for the quarter ended June 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcript s of the earnings conference call for the quarter ended June 30 , 2025 , held on August 08 , 2025, is available on the website of the Company.

The transcripts can be accessed from the link given below :

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

You are requested to take the same on record.

Thanking you.
Yours faithfully,

For India Shelter Finance Corporation Limited

Mukti Chaplot
Company Secretary and Compliance Officer
Mem. No. 38326

India Shelter Finance Corporation Limited Q1FY26
Earnings Conference Call
August 08, 202 5

MANAGEMENT : MR. RUPINDER SINGH – MD & CEO
MR. ASHISH GUPTA – CFO
MR. RAHUL RAJAGOPALAN – HEAD, INVESTOR RELATIONS

MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES LIMITED

This is a transcription of the earnings call conducted on 8th August 2025. The audio recording can be accessed using the following link, https://www.indiashelter.in/investor -relations
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Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Moderator: Ladies and gentlemen, good day, and welcome to the India Shelter Q1FY26 Earnings Conference Call hoste d by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this call is being recorded.
With this, I now hand the conference over to Mr. Chintan Shah from ICICI Securities. Thank you, and over to you, sir.
Chintan Shah: Yes. Thank you, Samya. Good morning, everyone, and welcome to the Q1FY26 Results Conference Call for India Shelter Finance Corporation. So first of all, I would like to thank the company for giving us the opportunity to host this call and congratulate them on a good set of numbers.
From the management, we have Mr. Rupinder Singh, MD and CEO; Mr. Ashish Gupta, CFO; and Mr. Rahul Rajagopalan, Head, Investor Relations. So without further ado, I would now like to hand over the call to Rupinder, sir, for opening remarks, followed by Q&A. Thank you, and over to you, sir.
Rupinder Singh: Thank you, Chintan. Good morning, everyone. On behalf of the company, I extend a warm welcome to all of you. Thank you for joining us for the call today. Before we delve into the highlights of the quarter, I would like to share an overview of the current macroeconomic scenario and the sectoral outlook as we are witnessing.
In the recent months, several consumer demand indicators have demonstrated some softness. In the first quarter of financial '26, we observed a slowdown in UPI transaction volumes, contraction in passenger vehicle sales and decreasing two -wheeler registrati ons. In urban areas, wage growth has been subdued and continues to lag behind other segment, contributing to slower -than-expected recovery in urban demand.
Despite these headwinds, inflationary pressure has continued to ease, notably headline CPI inflation, reached a six -year low of 2.1% in June 2025, providing a stable backdrop for consumer and business alike.
Turning now to the positive developments, rural India has shown remarkable resilience. The success of the Rabi harvest and timely widespread monsoon rains have resulted in strong rural cash flows and optimist sentiment. These factors have already led to a noticeable uptake in the rural consumption with FMCG volumes in rural market also beginning to rise.
Meanwhile, capital expenditure has gained momentum in sectors such as steel and cement, reflecting the increased capital expenditure initiatives by both state and central governments. This uptick in infrastructure spending is expected to create favorable c onditions for broad -based consumption growth moving forward.

The Reserve Bank of India has also played an instrumental role, reducing policy rates and implementing a suite of liquidity measures in the previous quarter. These actions have resulted in surplus liquidity within the financial system, ensuring faster and more efficient transmission of monetary policy to credit markets.
So, as we look ahead, there are many reasons to remain optimistic: demand is showing signs of strengthening; policy is both prudent and supportive; and the potential for credit growth in our economy is immense. Together, these elements create a story —our s tory—of a nation poised for sustained progress, steady renewal, and shared prosperity. While we have undoubtedly faced a few hiccups along the way, the challenges we discussed only make our recent progress more meaningful and affirm that the future looks e ven brighter from here.
Moving to the sector al update .
Affordable Housing in India

continues to gain momentum, supported by urbanization, rising
incomes, government programs like Pradhan Mantri Awas Yojana. As per ICRA estimates, the affordable housing finance loan portfolio stood at Rs. 1.4 lakh crores as of March 2025 and the affordable housing companies loan portfolio is expected to reach Rs. 2.5 lakh crores by FY28 , growing at a CAGR of 20 -22%.

On that note, let me move towards the quarterly update.

We are pleased to announce that company delivered strong operational performance in the first quarter of financial '26, driven by a strong demand environment in affordable housing segment. We delivered AUM growth of 34% year -on-year, reaching an AUM of Rs. 8,712 crores. In Q1FY26 , we disbursed Rs. 887 , registering a growth of 24% year -on-year. In Q1FY26, we added 24 new branches as per the branch expansion strategy , geographic presence stood at 290 branches as of 30th June 2025.

On profitability metrics, PAT for the quarter came in at Rs. 119 crores, registering a growth of 43% year -on-year and 10% quarter -on-quarter. Return on equity further improved to 17.2%. ROE crossed 17% for the first time post listing. And our net worth now stands at Rs. 2,836 crores.

We continue to maintain our guidance of :

• Branch addition of around 40 to 45 for the year,
• Maintain spread s of more than 6% in the medium term
• Credit cost of around 40 to 50 bps
• Loan growth of around 30%, 35%

Before I hand over the call to our CFO, let me also highlight a few of the recent tech initiatives that we have undertaken to further enhance our tech capabilities. Technology is significantly transforming operations by automating key processes, improving risk assessment, enabling

faster and fairer credit decisions and eventually enhancing customer experiences. Few of the initiatives that we have implemented are as follows:

• Aadhar -based instant e -KYC level, enabling faster onboarding, promoting paperless process, enhancing security and fraud preventions at the same time providing a cost - effective and scalable process.
• Machine learning -based credit origination score card to analyze financial behavior, digital payments, cash flow and nontraditional data to assess borrower risk.

These are the few important objectives that we took a couple of quarters back and are able to complete it by the end of this quarter.

Now I would like to hand over call to Ashish Gupta, our CFO, to take you through the financial metrics. Over to Ashish.

Ashish Gupta: Thanks, Rupinder ji. Good morning, friends. Let me take you through key financial numbers. We have ended the quarter June '25 with AUM of Rs. 8,712 crores , year-on-year growth in AUM is 34% while quarter -on-quarter growth is 6%. Total income for the quarter is up by 39% year - on-year. Our portfolio yield is at 15%. Marginal uptick in the yield is driven by improvement in spread of co -lending loans due to reduction in CLM cost of funds, which is linked to the repo rate. Our disbursement yield is stable at 15%. Our bucket cost of fund is further down by 10 basis points in Q1 to 8.6%, driven by lower marginal cost of funds and reset of our borrowing linked to repo rate. Our marginal cost of fund is at 8.5% for quarter and is down by 30 basis point year -on-year. In the last 4 months, we have seen 20 bps reduction in our bucket cost of fund, and we expect another 20 bps cut by the year -end. With this, our lending margins are up by 20 bps to 6.4% and are consistently above 6%, in line with our guidance.

Net interest income has gone up by 34% year -on-year and 8% quarter -on-quarter due to growth in AUM and expansion in spreads. In terms of percentage, NIM is stable at 9% year -on-year in spite of improvement in leverage from 2.6x to 2.9x.

Coming to Opex , our year -on-year growth in Opex is lower than growth in AUM, resulting

in
better cost ratios. Opex to AUM for the quarter is at 4.2%, down by 20 bps year -on-year.

On asset quality side. Stage 3 is at 1.2%, up by 10 basis point year -on-year. Credit cost for the quarter is at 0.5% which is in line with our guidance for medium term. Net Stage 3 asset is stable at 0.9%. Provision coverage ratio for Stage 3 asset is stable at 25%. Our total ECL is Rs. 67 crores against the regulatory threshold of Rs. 40 crores. We have adequate provisioning in buffers in place.

Profit after tax for the quarter is Rs. 119 crores, up by 43% year -on-year basis, up by 10% quarter -on-quarter basis, driven by growth in volumes, improvement in productivity, expansion in margins and stable credit costs.

ROA for the quarter is 6%, up by 20 bps quarter -on-quarter. ROE for the quarter is 17.2% on an annualized basis with a leverage of 2.9x. On liquidity side, we are comfortably placed with a liquidity of Rs. 650 crores plus and undrawn sanction of Rs. 560 crores. Our ALM is positive across all the buckets.
With this, I conclude, and now we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Varun from Kotak Securities. Please go ahead.
Varun: If I heard it right, you said that there's already a 20 bps moderation in cost of funds and you expect another 20 bps in the next 9 months. So, if you can break down your overall borrowings into how much is floating? And of that, how m uch has already seen re -pricing a nd how much you expect to flo w through in the next 9 months a nd what's the proportion of NCDs that are going to mature? That would be helpful.
And following that would be if you're planning any PLR cuts, when are you going to implement it or when are you going to take a call on that? These are my questions with regard to margin. And if you can also highlight what is the reason for the gross Stage 2 rise that we see in this quarter?
Ashish Gupta: Sure, Varun . To start with the borrowing mix, 90% of our borrowings are linked to variable rate. And if you look at within the variable rate, about 35% of the borrowings are linked to repo rate, wherein we have already seen the benefit of repo rate cut. And then rema ining variable rate - linked borro wings are linked to banks MCLR. Wherein we have yet to see the pricing cut from banks and whenever the reset will come on these MCLR -linked borrowings. So remaining 10% of the borrowings are at fixed rate.
Coming to the pass on of the benefit. So, if you recall, when the repo has gone up by about 250 basis points, we have not passed on the impact to the customer like to the same extent. So we will hold back till Q3. Once we have a reasonable cost of fund reduction, we will think of passing on the rate reduction to our customers. But having said this, it is worthwhile to note that out of the total loan assets that we have only 15% a re linked to the variable rate then remaining 85% is fixed rate or semi -fixed r ate, wherein the loan rates are fixed for initial 3 years, then it will become variable.
On asset quality side, if you see, our DPD 30 -plus has gone up by about 100 basis points. So partially this is on account of seasonality, you have seen earlier as well in Q1, Q2, generally, delinquencies go up. And partially it is on account of macro positioning that you are seeing across the industry.
Varun: Okay. On that front, are you witnessing any particular sta tes which see a rise in stress a nd the reason I'm asking is because Karnataka, growth has also been weak for us. It's onl y about 15% year-on-year and that ordinance had created a -- what do you call it, a flutter or some kind of

negative on the collections front. So, are we s

eeing that still sus taining? Is it long to run out o r
is it normalized in Karnataka? And are there any other states like MP, where we have seen stress that it has again shown up stress?
Rupinder Singh: So, Karnataka, purposely, we have not expa nded in last year or so. And the plan is to again sustain whatever the numbers which we have for some more time before taking to the next level. The delinquency what has increased in a couple of quarters back , I think, 6 months back in Jan, Feb when Karnataka issue arises. After that, we try to have a control on that side. And largely, it has been there. It's not like something has gone out of hand , but yes there is always an uptick when you see the quarter one numbers. That is across, it's not only the Karnataka, but also in most of the places and that we are taking a stock of that regularly. And we are aware of that as the things are settling down, there is definitely going to be an improvement as the quarter progress. Quarter one is generally weak, this time because of macro factors there is more inch up, but what we see as we see the progress in month of July, the 30 DPD remains almost same number, what was in quarter one. And if we maintain that this quarter, then there is optimism in terms of next couple of quarters coming arou nd. So, it's not because of only Karnataka , overall, we see that there's a little uptick on that.
Moderator: Thank you. Th e next question comes from the line of Soumil Jain from Lucky Investments. Please go ahead.
Soumil Jain: Hi, sir. Thank you for the opportunity and c ongratulations on a great set of numbers. I had a follow -up question on the asset quality. 30 -plus DPD bucket is about 4.5%. Even accounting for the seasonally weak quarter that 1Q is, this is significantly up from the last year's DPD numbers.

So, are you seeing that transmit into higher credit costs going forward? Are you sticking in the 40 bps, 50 bps credit cost guidance that you mentioned? How is the trend of those 30 -plus DPD buckets in, let's say, moving int o quarter 2?
Rupinder Singh: So, we are going to maintain our projection on 40 bps to 50 bps when we talk about credit cost . July month in terms of 30 DPD looks almost same number what was is in quarter one. So, they may be 2 bps lower, but not upper side. Since t here's 2 months for this quarter left, I think giving exact number will be a little difficult. But what we see that as the time progress; we're also strengthening ourselves accordingly. This should not be a challenge. So, we are giving the same guidance of 40 to 50 bps of credit cost for the year.
Soumil Jain : Got it. And secondly, just if you could reiterate on the cost of funds trend. Sorry, I missed it in the last question. You mentioned 90% of your book is floating rate on the borrowing side?
Ashish Gupta: Yes. On the borrowing side, 90% of our liabilities are variable rate. And out of that, about one-third is linked to MCLR and rest is – one-third is linked to repo rate and two-third is linked to MCLR.
Soumil Jain : And you expect a further 20 bps reduction in cost of funds only?

Ashish Gupta: Yes.
Soumil Jain : Okay. And on branch addition, we have added about 24 branches this quarter, a ny full year guidance?
Rupinder Singh: We plan to open around 40 to 45 branches for the year, and w e'll stick to that plan. Out of that 24 has been opened in the first quarter itself.
Soumil Jain : Okay. All right. That’s it from my side. Thank you and all the best.
Moderator: Thank you. Th e next question com es from the line of Darshan Deora from Indvest Group . Please go ahead.
Darshan Deora : Yes. Firstly, congratulations, Rupinder and entire India Shelter team, fantastic all -round performance. The question I had was regarding on the cost of total assets. This quarter we have brought it down a bit to 4.2

%, which is an improvement from the past quarters. But some of our peers are operating below 3%. So, what is our long -term aspirational cost to assets that we can achieve as a business on a steady -state basis?
Rupinder Singh: So, this is a continuous journey, and we always keep maintaining the stance that year -on-year, you'll find it is coming down 15 to 20 bps, and we stick to that. We feel whatever the state it is, we need to have a scope of improvement, and we will continue to work in that direction. So, a lot of things happen in terms of technology changes so there is no stable state that we have in mind. There has to be a continuous improvement and that's our philosophy of taking it further down. In fact, in Q3FY23 it was 4.8% and today, we are at 4.2%. So , we feel in this financial year, again, as we keep moving around, there is a scope of reducing by 15 bps, 2 0 bps and eventually in the coming years. It 's a long sustainable business. S o, it's not about for a year or 2 years. Let it be continuous proces s for coming years and coming times basically.
Darshan Deora : Got it. And question was regarding employee productivity. So , any insights you can share on currently what is our employee productivity, ho wever, the company measures it a nd what has been the trend and what is the future expectation, whether it is files per loan officer or AUM per employee or disbursement per employee, how ever you would like to measure it?
Rupinder Singh: So normally what we see, as we keep saying that most of our sourcing comes directly, we don't depend upon the DSAs and third party. So , we have a large set of teams for sales. Today, there are more than 1,700 loan officers which work for us in these 290 -plus branches. There in terms of productivity what we measure is in terms of number of files that they are disbursing, not on the volume particularly because again, our ticket size is consistently stable, if you might have seen in last many quarters. So, what we feel that if an employee is able to cross 2 files with this direct sourcing in terms of disbursement and not in terms of login then the things are just justifiable. So, as we closed the last financial year, that no has crossed beyond 2 files also b ut quarter 1 is normally little lean and you add up many people around since you opened 24 branches . So, it has slightly come down to less than two. But we are confident as we keep

improving on this side, this should defini tely beat the last year number. In fact, quarter -on-quarter compared to the last year, this quarter was better in terms of employee productivity.
Darshan Deora : Got it. And an aspirational target for this figure would be?
Rupinder Singh: So, we try to improve every year by 10% at least. And we don't say that this is a large, fixed

target on that piece. We put a lot of thoughts on the technology and ease of doing business. That's a continuous process and every year; you'll find the improvement in the productivity that we can assure you.
Darshan Deora: Got it. That's all from my side and all the best.
Moderator: Thank you. T he next question co mes from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.
Shubhranshu Mishra: Good morning, Rupinder. S hubhranshu here. So , two or three questions. First, that we've been hearing about asset quality stress in LAP. And especially a ticket size of around Rs. 10 lakhs to Rs. 20 lakhs. How are we faring in this LAP? Any extra comfort we are taking in terms of collaterals o r decreasing the LTVs and incremental disbursements?
Second is that we still are running at a higher capital adequacy ratio. How do we plan to deploy this over the period of next 2 -odd years?
And what would be our disbursement guidance for this year, if you can allude to the guidance in '27 as well? And what will be the

split between home loan and LAP in that mix?
Rupinder Singh: Thank you, Shubhranshu Mishra ji. Basically , on Stage 3 side, we don't see difference between LAP and HL. The number remains same between the two. But yes, on 30 -plus side, LAP is a little higher than the HL. If we are at 4.5% of 30 plus, then you can assume that HL is 30 to 40 bps lower than 4.5% and LAP is around 30 bps higher than 4.5%. These are the normal trends, what we can see that. Beauty of this product is since LTVs are low, we are maintaining LTVs around 45% to 47%. Whenever this customer moves to Stage 3, we definitely have a capability of using tools like SARFAESI and thus the recover y is quite faster in that sense , and t his is the reason between the two categories of HL and LAP. When you talk about Stage 3, there is no difference around it, that has been same in terms of NP As. On the collateral side, we have all been prudent, keeping in mind that LAP has to be purely on a self -occupied residential property. Today, we are maintaining 99% on the AUM side. But if you see on disbursement, then it is 100%. Anyway, we're not taking any calls from last many quarters when it's about LAP apart from SORP.
If we talk about going forward, we have given projections of around 30% to 35% of growth. From last six quarters, we are maintaining that , and we feel there is a lot of scope going forward also and this should be a continuous journey for many quarters going forward .

And on your question about capital adequacy ratio, because today, leverage is 2.9, capital adequacy is around 57% to 58%, we feel we should be back in market somewhere after financial year '28 closure for the next round. That's what we look forward. Once you are at a 4.5x leverage, I think you are good to go is what our understanding is.
On the HL LAP ratio query of yours, s o, at the LAP ratio, we want to maintain a split of 60-40 that is going to be our trend going forward. As our process, our mechanism, the market which we operate, the set of customers we are targeting, we are quite comfortable on that side. We are not going to change much around that piece.
Yes, for a position's sake, we always look forward to increase by 1% or 2%, that is the progress which we have to continue to take here, though we are not able to get it as of now. But that is the only progression that we have to take it up in future, particularly. So, it'll be a little bit here and there, but you can continue to think about the ratio of 60 -40. 1%, 2% upper side .
Shubhranshu Mishra: And just one last question, if I can slip in. Given the fact that we would be assessing our customers' cash flows on various other things apart from the income, so it's basically an assessed income. What are the ranges of FOIR at the point of onboarding fo r home loans? And what are the various mechanisms that we deploy, especially quantitative mechanisms during the tenure of the loan?
Rupinder Singh: So FOIR generally remains for us in the range of 50% to 55%, irrespective of whether the customer is a home loan customer or loan against property, because we deal in the same vicinity . There, if you see the tenure for the loan against property's average coming around 10 years to 11 years. And for home loan, it is around 15 years . What we have seen is that the monthly income for these set of customers start somewhere from Rs. 30,000 to Rs. 32,000 and goes up to Rs. 65,000 . So, these are the aspects that we look into . What is important for us is where we try to fund in the smaller markets of Tier 3, Tier 2, where these set of customers have their own stability in terms of their work, their past experience or maybe the collateral what they are acquiring or what they alre ady have. So , these are few, three, four important items quantifiable that we always look forward in overall macroscopic w

ay while underwriting .
Shubhranshu Mishra: Thank you so much. This was very helpful. Thanks.

Moderator: Thank you. The next question comes from the line of Shreepal Doshi from Equirus . Please go ahead.
Shreepal Doshi: Good morning and thanks for giving me the opportunity. Sir, my question was again on the LAP segment. So , could you please give us some color as to what would be the end use for this category of loans for customers, as in like, is it more towards MSME or is it more towards, let's say, some emergency needs of the customers? That's the question number one.
Rupinder Singh: So, the market, what we are serving, these customers should be a part of that ecosystem and servicing his activities to serve that market particularly. They can be in the form of small

retailers, cloth merchants, sweet marts, grocery shops, small manufacturers and all that kind of customer, which is, his income starts somewhere from Rs. 32,000 or something and have a vintage in those markets of at least three years, four years . And now have an aspiration to go to the next level in life, whether by further acquiring some shops, whether stocking up products in his business, since maybe sometimes they're small manufacturers, they want to put some machines and all, all that kind of customer, because more than 95% of these customers are MSMEs, self -employed in this market. But yes, being a LAP profile, what we make sure that we don't compromise on the collateral, and there we make sure that we are taking a self -occupied residential property with LTVs of less than 50%. That is always a key that we have to keep in mind, and that helps us out also . Like everyone, we also see a lot of noises in market that MSME customers are in pain. But with this kind of security, we have seen that when you execute your process around that piece, you're able to get back this required recoverable amount that we look forward in this kind of set of customers in time of difficulty. So , this is the way the business works.
Shreepal Doshi: Got it. Got it. So that's a very detailed answer. Thank you for that. Sir, the second question was like, I think, you highlighted that closer to 35% of our bank borrowing or liabilities are linked to repo and 20 -basis -point benefit is what we expect for th e full year. So, what is the benefit that we are expecting on the spreads or margin front, because we've not yet passed on any benefit to the end customer. So, for full year, are we looking at any benefit or that will not broadly be different?
Ashish Gupta: So, as we have already said that in terms of our asset profile, like, about 85% of our total assets are at fixed rate or semi -fixed rate and 15% are at variable rate. So even if we think of passing some benefit in the month of, say, like December 2025, say, l ike 25 basis points, even in that scenario, it will not be having a material impact on the overall yield at the portfolio level. So, we don't think that there will be any impact on the overall yields this year with respect to the benefit t o the customer.
Shreepal Doshi: Got it. So, nothing on the spread and NIM side as well, right?
Ashish Gupta: So, as we have given a guidance that the spreads will improve by about 20 basis points further this year. And on the NIM side, NIM is a function of your leverage as well. So , as the leverage will go up spread and leverage will offset each other. So , it will remain broadly stable at about 9%.
Shreepal Doshi: Got it. Got it. Sir, I just had the last question, which is on PMAY CLSS 2. So , are we seeing like how is the momentum in that segment with respect to approvals, eligibility, how many cases have we seen being approved or how many are in pipeline? If you could just give some sense on that? Thank you.
Rupinder Singh: Yes. I think month -on-month traction is coming on PMAY s

cheme. Initially, there were hiccups because of the process and new process being laid out. And this time, the process has to be more on the tech integration and on when that money has to be passed on to the end customer. So

today, there are almost 1,500 applications that were being processed. And quite a large chunk of that is in position to get a PMAY scheme. Almost 500 to 700 applications are still in process , and we expect outcome very soon around that side. As we speak today, more than 200 customers have already received the first tranche of subsidy for which we applied to the regulatory bodies . So, we feel this is a continuous process. And as the time progress, with the ease of this process and more customers getting aware, we have a plan to go in these geographies deeper to have a marketing activity and convey these customers the right message which the government want s to pass on where they can also get a benefit on that side. So that's the process. Now we are more comfortable putting around. But till now, the more action was to make the process more quicker and smoother which is now picking up . So, you can see fair traction. With 200 numbers, it is still very low. So , for the first couple of months, I think, this you can be satisfied with this b ut I think there's a lot of scope going forward around this.

Shreepal Doshi: Right sir. Got it. Thank you so much for the reply and good luck for the next quarter.

Moderator: Thank you. The next question comes from the line of Varun Bang from Bandhan Life Insurance.

Varun Bang: Yes. Thanks for the opportunity and congrats for the good set of numbers. Just two questions. Firstly, how do you see competition on the ground and how it is impacting us and the industry? And do you sense that the quality of underwriting is deteriorating for industry or at least in some cases? Some thoughts would be helpful.

Rupinder Singh: Market is enormous as we keep saying that and we are still too small as a player to feel the heat of that large competition of the bigger players around that side. We have stated our own niche, targeting this Tier 3, Tier 2 market. We believe our productiv ity numbers are yet to get further improved and we are working on that side. And when we go to market to source our customers, we don't find some kind of undercutting or customer pressure to get moving from one point to other point in terms of what happens in the larger or prime ticket size. Since set of players who are focused on this side is still limited. The same set of players are operating from last 10 years, 12 years, those serious players. We don't see much of action in terms of undercutting or push - pull around the customers. Yes, there is always competition in terms of poaching employees from one company to other company, which we also face a heat around that side. That is one side particular what we see.

On the other side, you said that underwriting quality is going down or something like that. That's a philosophy of any organization or they want to take it up. There are short -term and long -term goals. The people which exist from decades and continue to give performance, I think , know the value of the success potency. We don't find any challenges there, but some new companies, some new players, if they want to play around that, that is their way of thinking about particular.

For us, we are very clear that this is a journey which has to be successful for many, many years going forward and that's the potential we want to take it up next level. So, there's many things happening in the industry. There are many companies which do c ome as home for that piece, but that's not a focus area for us.

Varun Bang: Understood. But from an industry perspective, it is right to say that the quality of underwriting is sort of getting impacted negatively to some extent.

Rupinder Singh: Overall macro scenario, as well as seasonality factors, there was definitely a challenge. You have seen the situation happening in MFI, the situation happening with unsecured. Definitely, it does come for this set of also, since market trend is like that. So, that set of pieces is definitely there, but you have to wear your lens accordingly and take it to the next level.

Varun Bang: Yes. The second question is on the attrition rate. How is the attrition rate in the sales team, and let's say, versus last year, how it is evolving?

Rupinder Singh: So, we have always divided attrition rate into two pieces. One is regrettable and one is non - regrettable. And yes, non -regrettable is always higher than regrettable. When we compare to the last year, attrition rate has slightly improved, but not so much sa tisfaction. There's no doubt of improvement compared to the last year. When we see the attrition rate. So, I give a data point, quarter four to quarter one, there's improvement around 10% when we talk about attrition rate, particularly.

Again, to make sure to felicitate our set of employees and to engage more and to make sure that they look for a long strategic career, Board has been very kind to support the company particularly with ESOP currently around 25% of employees are covered under the stock option plan which will go beyond 50% . So, all performing employees, we are trying to rope up under the domain of employee’s stock option. So, today we have around 350 employees, which are under this program, which will go up to the level of 800 in this quarter itself. That is the thing that we're doing And thanks to Board and thanks to our investors that have been so kind in terms of supporting this mission, what we're building around.

Varun Bang: That is helpful. And if I just may know the percentage attrition rate in the sales team?

Rupinder Singh: For non -regrettable side, it is very heavy. For regrettable side, it is around 20% to 23%.

Varun Bang: Got it. Got it. Thank you.

Moderator: Thank you. The next question comes from the line of Umang Shah from Kotak Mahindra AMC. Please go ahead.

Umang Shah: Yes. Hi. Good morning. Thanks for taking my question and c ongratulations to the team on a good quarter. I have two questions. One is on, if you could help me, what's our asset mix split in terms of fixed, variable and partly fixed -income cum variable?

Ashish Gupta: So, in terms of overall asset profile, about 15% of the portfolio is variable rate. Then about 30%

of the portfolio is semi -variable kind of rate, wherein initial three years is fixed . So, we started this product about 18 months back. So still 18 months of fixed rate journey is left in those loans. And then remaining 55% is completely fixed.

Umang Shah: Okay. And could you help me with the fact that how much have we passed on the variable rate portfolio? Or as you mentioned at the beginning of the call that we'll wait for the cost of funds to come down and probably then pass on reductions on the variable rate book?
Ashish Gupta : So, as we have said that we have not passed on the entire repo -rise benefit as well , when the repo rate was rising. And in fact, at this point of time, we are still yet to see the full benefit on the cost of funds side because the larger part of the borrowing is linked to MCLR, wherein banks MCLR has come down by about 10, 15 basis points only. And the benefit of that will come to us when the reset happens for those borrowings. So , we believe that some sizable benefit on the cost of fund will come by Q3 and then probably we will evaluate that how much we need to pass on those 15% variable rate assets.
Umang Shah: Okay. And -- got it. And sir, on the semi -variable piece, right, if you co

uld help us that even on an incremental basis, the proportion of semi -variable loans would be largely similar in terms of origination, or it would be lower?
Ashish Gupta : So, on the incremental basis, if you look at the breakup of the total disbursement that is happening, around 50% to 60% of the incremental disbursement is happening on a semi -variable rate structure. So, two year down the line , we have an aspiration to have 65% of our total assets are linked to variable or semi -variable rate and remaining 35% get funded by a fixed rate or equity.
Umang Shah: But typically, do you really believe that whenever the semi -variable rate loans become fully variable, right, which is typically after a period of initial 3 years, does that create some sort of a volatility in margins? Or you think on a proactive basis, ca n the management, depending on the rate environment at that point of time, can look at repricing these loans vis -a-vis competition?
Rupinder Singh : Umang ji, when we took this call particularly, there was two thoughts on basis of data points which were available. We have observed the customer which are stick ing to us for more than 30 months, they continue to run with us for a pretty long time. The maximum foreclosure, the maximum balance transfer, which happens is in the first 24 to 30 months . So, this is one of the factors that become a key driver, particularly.
Yes, we have to maintain variable fixed proportion also, keeping in mind how is our liability franchisee. You have to always be prepared for the rainy season. And because of that reason, we come up with that fact. And when you have a customer which is enga ged with us and you're giving good service, then at least you can engage for long. So , I think till now, and we hope in future also, this strategy should work. That is our thought. And on basis of that, we are working towards this.
Ashish Gupta : And just to clarify like, Umang, that these semi -variable rate loans are not a teaser loan kind of structure. The customer is having a regular rate of interest at this point of time, which is fixed rate. And after that, that kind of rate of interest will j ust become variable.

Umang Shah: Sure, sure. That helps. Sir, my second question is on asset quality. Now what we have seen is that clearly, there is a bit of a seasonality in the business, right? So -- but if I just zoom out and take a slightly longer view, I mean, our 30 DPD, let's say, in last 3 years has moved up from, let's say, 2.5% to, let's say, 4.5% today. And typically, we do see the pullback from 1Q to 4Q happening. So , I'm just comparing 1Q numbers over last 3 years, right? But now I understand that there is a bit o f a book seasoning, which has happened and also the environment has changed quite a bit compared to last 2 years. So , I just wanted to understand that on a risk -adjusted basis, right, the kind of spreads that we are making and with the kind of customer segment that we are dealing with, how should we look at 30 DPD and Stage 2 numbers, right? I mean the Stage 2 numbers ar e still not as high. So I'm saying that should we see these movements as some bit of sort of a mean reversion on the upside? Or you think t hat even in the current environment, you think you can pull it back to lower levels and it will sustain at those levels? Yes, that's my question.
Rupinder Singh: 2.5% is the rock -bottom at the best of time, which happens largely in quarter 4, which happened 2 years back. This year, it was around 3.1%, 3.2%, even quarter 4 ending result particularly, right . Even those times we used to say that number which looks 2.5% is even a pleasant surprise

for everyone, including us, particularly . What is the number today sustaining? Yes, we are not only hopeful but are confident about that they're going to come back because this will be

a time
which has been impacted by multipl e things, not only seasonality, but macro environments and things that we are hearing across. We feel that this number is going to come and sustain around 3.2%, 3.3% as we close this financial year. But yes, for this quarter, particularly, if you want to understand, I think you can find this number is going to be maybe around the same number, a little bit on the lower side. That is something what we feel around as we see the July progression. But we h ave 2 months to come out and see how the things stand aro und that side.
Umang Shah: Right. Yes. But Rupinder, sir, my question was not from, let's say, next two-quarter perspective or three -quarter perspective. What I was trying to understand is that for the business that we are running and the customer segment that we are into, should one assume that a 30 -plus, a more normalized rate is run rate, let's say, on a steady -state basis is between 4%, 4. 5% and maybe Stage 2 is anywhere between 3% to 4%. Is that a fair assumption to make? And I completely understand that 2.5% and 3% numbers are sort of outliers, right? I mean that's an outcome of a very benign asset quality environment. But -- and rather, should we be alarmed at 4%, 4.5% or that should be more like a steady state? That is what I was trying to understand.
Rupinder Singh: We should not allow as a team overlooking the businesses, we should always look for the positive things. But directionally, what you are thinking looks practical when we see in the market. Our prerogative is not to allow this. Our prerogative is always to keep pushing and reducing it as far as possible. We'll use further tools which are available today and how to make sure that others can also improve around that side. So, allowance is not there, but on your thinking I largely eco with that.

Umang Shah: Understood. Yes, I think I got the answer. And sir, just last point in terms of credit cost, right, I mean, 40 to 50 basis points is what we have reiterated as a more steady state credit cost number, right?
Rupinder Singh: Yes, absolutely.
Umang Shah: Okay. All right. Perfect. Perfect. Thank you and wish you all the best for future quarters.
Rupinder Singh: Thank you, Umang Bhai.
Moderator: Thank you. The next question comes from the line of Mayank Agarwal from TRUST Mutual Fund. Please go ahead.
Mayank Agarwal: Hello. Thanks for the opportunity. Congrats on a good set of numbers. Sir, can you throw some color on the industries which are facing the stress, the geographies which are facing the stress? Is it urban, semi -urban, rural? What kind of customer segments are facing the stress? Is it agri related, non -agri related? Some color on that? And also, what gives you the confidence that will -- this stress will reverse from next quarter? Yes, that's the question from my side.
Rupinder Singh: So, this is a trend what we are seeing from last many years. That quarter 1 are normally weak and quarter 2 try to remain stable around that side and the things starts progressing from quarter 3 onwards. And when we compare apple -to-apple, we see, yes, there's a little uptick on that side. But we also see how the rollbacks are happening and how things are acting in a field play, particular ly, how the teams are getting response and things like that. On basis of that, we are able to give tentative projections for the future that is there. If you talk about -- this is not a phenomenon in one particular state and all. Yes, there are certain sta tes, for example, for us, MP is a little higher than the rest of these, which we always keep mentioning and discussing and we have tweaked few things there particularly , but has not come down to the level of our expectation as of now. That will take some more time . But otherwise, I don't think there is a much difference betwee

n one state to other state across country, right? For us, outlier is definitely MP. But rest of the states also have spike this quarter. That's what we have observed across.
If you talk about the particular businesses that we have to pivot around that piece, again, there's a trend market to market. In some markets, certain businesses may have some clause or certain set of customers may have a certain clause. So that we keep bu ilding, evaluating on our underwriting side, and we keep focusing on how to tweak it.
End of the day, this is a customer which is definitely at the outer ring of the competitive environment basically. Most of them come with a certain income size , some maybe NTC and maybe someone maybe earning on a daily basis for their living , all those kinds of customers are available there particularly. So, there's no trend like there's some orders got cancelled or some SME got stuck out because of some macro conditions, which is happening at global level.
Overall, there is a heat in the environment. And because of that, there is some suppression around that side.

Mayank Agarwal: Thanks. Thanks a lot, sir. Best of luck. That's all from my side.
Rupinder Singh: Thank you. Thank you.
Moderator: Thank you. The next question comes from the line of Shweta from Elara. Please go ahead.
Shweta : Thank you, sir for the opportunity and congratulations on a good quarter. Sir, a couple of questions. I'll begin with asset quality only. Sir, while you fairly answered the question on the Stage 2 spike and the 30 DPD spike, but the reason that it has remained slightly unusual and also now this is a new normal is what I understand. So why hasn't our ECL provisioning or PCR sort of seen any changes? So , if you could just throw some color on assumptions on PDs and LGDs and how are you factoring the ma cro headwinds? That's my first question.
Ashish Gupta : While computing the PD and LGDs, we take the data of about the last 12 years, which is briefly two cycles on a behavioural basis for these set of loans. So , while computing the LGD, we consider macro factors, say, like GDP, housing price index, inflation, interest rates. And we find that over the period, our LGDs and PDs have a positive correlation with the market interest rates. So, we have seen that, say, like in the time of COVID, demonetization , when the rate of interest goes down, probability of default rises. So , factoring these macro factors into our ECL calculation, we compute our PD and LGDs. And basis that we calculate our ECL. So, over the period, w e have seen that PD has slightly gone up because of these macro factors. But correspondingly, as the resolutions are increasing, we have seen a dip in the overall LGD backed by the strong LTVs and the strong collateral we have in the form of self -occupied properties, our LGDs remain quite under control. So historically, on an average, while doing the resolution of about 2,500 -odd properties, we have seen an LGD of about 11% historically. So collectively, by multiplying the PD and LGD, we are arriving at thi s kind of provision. And we feel that we have built enough buffer while applying the management overlay while computing the ECL.
Shweta: Okay. I was also coming from the fact that because the book seasoning is happening now, so maybe if there were any changes in those variables. But yes, nonetheless, I think you've fairly answered.
Sir, second question is, although you did explain on Karnataka challenges, so a little bit more there. So is it that Q2 will be the last quarter wherein Karnataka challenges, be it on credit volumes or credit quality, that things will be behind because I b elieve it's already peaked out. So that's one on Karnataka.
Second, UP, MP, Tamil Nadu. So , these are the other three states where we have a fair presence and concentration. Even thes

e three states have thrown some negative signals. So , could you just allude how is your experience around these three geographies? Thank you.
Rupinder Singh : So, we hope that this thing should settle down, Karnataka piece particularly. Yes, we have built certain teams in collection also, and they're also giving a positive response as we added the

resources particularly. And I echo with you that you also believe in Q2, it's going to settle down, and we also believe largely to that extent. So, let's hope for the best around that side.
Talking about the rest of the states like, TN, UP and MP. MP is definitely; we are trying to resolve it as early as possible. Though it has not shoot up beyond that peak, it is around that side, little uptick definitely in month of quarter 1, but we are hopeful that things should come up. The new leadership is settling down and t he leadership has a decent understanding and background of collections, and they are actually quite a ctive in the field particularly.
About UP and Tamil Nadu, UP, in fact, we have one of the lowest delinquencies across country among all the states. Yes, book is new. What we learned through the developments which happened in the last 10, 12 years, we are trying to employ in UP, keeping in mind the past tracks and trends around that piece, though market is responding well in that side.
TN, a slight uptick is there, but things look largely under control as we see going forward. And this slight uptick is more aligned with the same what is happening across country. It is not something bizarre or out of the control in that sense. So , since you asked about state by state, I tried to give us some colour around that side. So yes, there's multiple aspects which have come together this time. And I think it is the time to bounce back, for which we are ready.
Shweta : Sure. Sir, that's very helpful. And last question, if I may squeeze in. Sir, in your LAP portfolio or across segments, whatever the spike we have seen this particular quarter, be it soft bucket or hard bucket, do you also attribute this to multiple loan ex posures at the borrower level? Is that also something which is bothering you from your customer persp ective? That's my last question?

Rupinder Singh: So, generally if these kind of set of customers have multiple loans also, but normally they have one single asset which they have to rely on. And this is a trend that we have seen in the LAP particularly. The customers which are having multiple loans, but as t hey become a delinquency and you execute the process around that piece, there's an impact of a rollback instantly. And this is the reason between LAP and HL. A s I mentioned in earlier answer to the question, the GNPA number remains largely same basically. If it is 1.2% in HL, then is 1.2% in LAP. There's no t much of difference between the two particularly. So , there's definitely a lot of loan distribution happened in the last 4, 5 years that it is definitely there for the set of customers. But we are confident on the basis of that the underlying collateral and the rules and mechanism that we have created around that side. So , I think our worry is not about whether get our money back or whether to roll forward. Point is how early we can come back. That is the point.

Shweta : Sure. Noted sir. Thank you so much.

Moderator: Thank you. T he next question comes from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani : Good morning and thank you for the opportunity. S o, most of my questions have been answered. Just a couple of -- one question and one clarification. So , could you throw some light on how the loan utilization has been, how we are mon itoring that post disbursement a nd has there been any chan

ge or any colour on that front?

Moderator: Sorry to interrupt, there is some background noise. Can you please use the handset.

Shailesh Kanani : Yes, sure. So , my question was can you shed some light on how the loan utilization has been from the client's perspective? Is there any post disbu rsement monitoring of the same a nd has there been any change in that?

Rupinder Singh: So definitely, today, in a world when so much data is available throu gh bureau, the markets and all. T he data science team main core job is to assess that and give instant feedback to management which has to percolate further to the ground particularly. That's a continuous activity and that will become more rigorous whenever the times are a little here and there basically.

So that's a continuous process around that piece, whether it's a bureau, what kind of set of customers there are, how many are having a microfinance customer, all stuff that we take it up and accordingly, we'll keep tweaking it. That's a normal process. An d it's for all kind of t imes. This is existing from last 3 years, the data science team, which is quite proactive on that side, giving the feedback.

Shailesh Kanani : Fair enough. And second, just a clarification, when you said the LGDs are 11%, what is the denominator in that? That is including accrued interest, I'm assuming, ri ght, everything included?

Ashish Gupta: Shailesh, while we conclude our LGD, we consider both the principal and the interest. So technically, if the SARFAESI process is taking about 9 to 12 months kind of time, then we are recovering entire principal and part of the interest.

Shailesh Kanani : Okay, fair enough. That’s all from my end.

Moderator: Thank you. Th e next question comes from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Hi, c ongratulations. So firstly, when you look at it overall in terms of 30 -plus DPD, so when you look at it, like generally in 2Q also, we see some kind of further deterioration that happens on 30-plus. But you indicated that in July, maybe we have seen an imp rovement. So how should we expect the trends as well in next couple of quarters? Maybe earlier, you indicated that eventually you would see it settling slightly higher at 3.2%, 3.3% compared to that of last year. But would the larger part of the pullback would be towards the fourth quarter? And generally, the trends which we have seen in the last two quarters would continue and would that be at an accelerated pace the way we saw it in the first quarter as well?

Rupinder Singh: So, Kunal ji, we feel this quarter should largely remain stable. That is our understanding in the past time, as you mentioned, particularly. Our focus is quarter 3 has to be better than quarter 2, obviously. That's the way going forward. If quarter 2 remains like what is quarter 1, I think we are confident then quarter 3 will be going to be positive. And that's the first indication that we are driving around. So obviously, quarter 4 normally is down if that happens because of all th e factor s work together. Entire universe works for you. So, only objective is can we bring quarter

2 better than quarter 1? That is something we -- that's our core prerogative and that's what we're working around. But what see is quarter 2 is going to remain stable largely in quarter 1, if you see on the conservati ve side.
Kunal Shah: Okay. And if that doesn't happen, then it would be more likely macro conditions, which would largely reflect in terms of the collection efficiency, yes?
Rupinder Singh: So, when we are having so much of discussion on that piece that means so much of work might be going on the field also. We have to put the things on a little more alert. Today, we are working with the x efficiency, then we have to drive the efficiency at 1. 2x in that term, whether it's receiv

able, un -receivable.
Kunal Shah: So that we are doing it any which way, that's what you indicated. Okay. Perfect. And secondly, what is the incremental yields currently compared to the reported yields that we have now?
Rupinder Singh: It's same. There's no t much change into that.
Kunal Shah: So, as you mentioned, like you have not tweaked the rate, so it still continues to be similar. So incremental yields are not really lower than the book yields at this point in time?
Rupinder Singh: It's same, 15.0%. And frankly as we progress, we may like to pass on some amount, maybe 5, 10 bps to that piece because we are gettin g a benefit around that side. Help into developing further business, that's a little bit tweaking strategy for the positive side, nothing else.
Kunal Shah: Sure. And getting on to the state specific, so MP, you clearly indicated there was an issue and maybe now it seems to be like almost peaking out and the rundown might not be that high in terms of the proportion. But when we look at maybe in terms of, say, Gujarat and Uttarakhand, would it be more like industry -wide phenomena in terms of lower credit demand compar ed to that of the other states o r is it like more company -specific measures wherein the proportion is actually coming down?
Rupinder Singh: So, MP is definitely, as I mentioned and you also pointed out rightly. But for rest of the states, we do not find something going here and there in terms of when you're picking up a new set of customers or we are dealing the earlier set of customers. Yes, in last couple of quarters or in fact three , four quarters this is a little strange when it's about getting a collection and all. But we're sorting out in our own ways. And you can see that result in quarter 4. Quarter 1 definitely picked up. And I'm hopeful, this we're going to call on time as we progress particularly.

Kunal Shah: No, I was just talking with respect to the growth. So maybe growth when you look at it in terms of Gujarat, Uttarakhand and MP, that's growing at a relatively slower pace compared to that of the overall AUM growth. So , I just wanted to understand, maybe MP, there is a specific issue, but Gujarat and Uttarakhand more -- is it more industry -specific to local credit demand or is it more company -specific, maybe either the attrition issue or we going slow?
Rupinder Singh: So, we're going slow in Gujarat because we like to always maintain the spread of 6% that we realize that we still need to build the capabilities around that side. So , there is no point when entire nation if we are able to get a 6% and we're not able to get it in Gujarat particularly. So that is there. And Uttarakhand being a hilly region, there are certain set of branches which we can open, which we opened quite a long time back and we are maintaining that. We are not expanding there particularly. So , there's a limitation around tha t side.
Kunal Shah: Yes. Like -- yes. Like six branches in the past few quarters.
Rupinder Singh: Yes.
Kunal Shah: Okay. Got it. Perfect. Yes. Thanks. Thanks a lot.
Moderator: Thank you. The next question comes from the line of Aman from Phillip Capital . Please go ahead.
Aman: Yes. Sir, congrats on good set of numbers. I just have one question which is on your direct assignments. So , if I look at your direct assignment income for this quarter it's relatively high and also on the AUM side if I look at it your direct assignment, the LAP product and has increased to 43% of the total. As I understand , you do major direct assignments in the LAP products. So , is that a trend that we should see continuing for the medium -term?
Ashish Gupta: Yes. So , like you are right that we are doing direct assignment only on the LAP product. So , while you may be seeing increase on the quarter -on-quarter basis, but if you see the direct assignm

ent income as a percentage of average total asset year -on-year basis, so like last time it was last Q1FY25 it was at about 1.7%, now this is at about 1.8%. So probably if you look at direct assignment as a percentage of AUM, it remains range bound between 15% to 17% and it depends on at the time at which quarter you need slightly higher funding, and at which quarter you are not. So , some modulation remains because of that.
Aman: Okay. Sir is it fair to assume it was mainly because year end, and of course, you would also have

to do some hygiene checks on your portfolio. You would have moved more assets off your balance sheet this quarter then?
Ashish Gupta: So can you please, like, come again, so we didn't get the question.
Aman: Yes. So , my question was, so is it a seasonal thing that you have seen major income this quarter and maybe you will see some moderation going forward?

Ashish Gupta: No. So, like, so it's not that much seasonal -- seasonality impact is there. It is more of the market funding that like how it remains. Like in Q4 generally say, like, bank funding comes up and you do lower DA, but then at the Q1 generally term loan funding proposal takes slightly longer time and then you avail DA. So , it may remain at the same level, so generally you will see around 30%, 35% growth in the DA on a year -on-year basis.
Aman: Okay.
Management: But as a percentage of AUM will remain in the range of 15% to 17%.
Aman: Okay. Thank you. That helped. That clarifies. Thank you.
Moderator: Thank you. The next question comes from the line of Miten Lathia from Fractal Capital Investments . Please go ahead.
Miten Lathia: Good morning, sir. Looking at the repayment rates we have had a steady improvement in the repayment rates over the years and that continues. If you could sort of break that down and what is exactly getting us this better repayment rates over time?
Ashish Gupta: So, like repayment rate remain a function of your prepayments, balance transfer that happen. So , over the last 12 to 18 months, we have seen that BT out remains under control. It is briefly ranging between 5% to 6%. So as currently it is at the lower end of the range. So , your run-down rate is reflecting the benefit of the same.
Miten Lathia: Have you also increased the tenor of the loan on an average or that remains the same broadly?
Ashish Gupta: No. Contractual tenor for LAP is at about 10 years, for home loan, it is at about 15 years. But the real meaning is about the behavior al tenor , how it is not a prepayment . So that is briefly consistent at about six years , for LAP loan, seven years for home loan.
Miten Lathia: Great, sir. Thank you.
Moderator: Thank you. The next question comes from the line of Sakshi Goenka from Sohum Asset Manager. Please go ahead.
Sakshi Goenka: Yes. Thank you, sir, for giving me the opportunity and congrats for a good set of numbers. Sir, I just have a couple of questions. Sir, we've seen for the last three quarters, our AUM growth in the LAP segment has been materially higher than our growth in the home loan segment. Now given the soft commentary around micro LAP, do you think it would be prudent to slow down growth here an d focus back on the home loan segment?
Rupinder Singh: So, quarter four has been better than quarter one, quarter two of the last financial year when it about the percentage growth into home loan, right? And yes, there is a prerogative that we are taking because ultimately on the PBC side also we have to maintain 60 -40. So , it is not something that we are looking in terms of that this is a risky, this is a non -risky product, but it is a balancing

it that you have to maintain it. So, our focus is to that 60 -40, which we are missing slightly, today it 57

-43. So, yes, we are seeing certain progress that 57% goes beyond 60%.
Sakshi Goenka: Sure, sir. And sir, just one more thing. Like, obviously, this quarter across lenders, you've seen commentary being soft around SME. So you think this is a recent phenomenon sometime in the last quarter, Jan, Feb, were any of the internal indicators suggesting that things are looking a little soft? Or do you think this is more -- obviously, there is one seasonality and more, this seems like more recent phenomenon rather than we could have spotted these thr ee months to four months back?
Rupinder Singh: SME has largely been divided into two set of customers. One is SME where a lot of unsecured loans being given and maybe quasi loans have been given with some path of mortgage, some may not be, something like that. We have only two products, which is loan against property and home loan. In both of the categories, we make sure that collateral is very intact and has been given to SME particularly. When we have seen a spike going up, we also realize the spike between the two, which is HL and LAP , is not much of difference . So, between the HL and LAP, whatever the difference used to be, that's going to remain same. And in fact, the GNP A ratio between the two, both remain same.
So technically, if SME loan what we are giving that with the right collateral, then you are better

placed than if you don't have any collateral at all. So those are the things that we could experience in last eight years, nine years of underwriting, whether it was demonetization and COVID. And the situation like that, this looks not as heavy as it used to be earlier, but these things are working out well basically. That is our understanding .

Sakshi Goenka: Got it, sir. Thank you so much and congrats again. Thank you .

Rupinder Singh: Thank you, madam.

Moderator: Thank you. The next question comes from the line of Vatsal Nagelia from Astral Mind Capital . Please go ahead.

Vatsal Nagelia : Hi. Good morning. I wanted to know about if you want to maintain your ROE guidance. Is there any ROE guidance? And also like for the quarter two, do we expect Stage 3 of around 1.5 % since we have seen an uptick in Stage 2 this quarter?

Ashish Gupta: So, in terms of our ROE guidance, briefly we have given that, by like FY28 down the line three years from here, we will start touching a leverage of about 4x. At that point of time, RO A will be about 4.5% that briefly results into ROE of about 18%. So that is guidance for medium -term, and we continue to maintain that.

Vatsal Nagelia : Okay. And on the Stage 3 for the quarter two, do we expect around 1.5% since we have seen higher Stage 2 this quarter?

Rupinder Singh: We would always like to have a lower than what is in quarter one. That's a positive and we are working towards that. Still two months to go, should not come out openly that this is our expectation or not. But July, when we see typically on 30 DPD, right? 3 0 DPD looks almost at the same level. What only I can give an indication around this side.

Vatsal Nagelia : Okay. Okay. Sure. Thanks. That’s it. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question for today. I would now hand the conference over to the management for closing comments.

Rupinder Singh: Thank you, everyone, for taking your valuable time for attending our earnings call. An audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to hosting you all in the next quarter. Further, if you ha ve any questions or require additional information, please feel free to reach us out. Thank you so much. Jai Hind.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2025

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November 11, 2025

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
NSE Symbol: INDIASHLTR
ISIN: INE922K01024
: INE922K07104 ISIN: INE922K01024

Sub: Transcript s of the Earnings Conference Call for the quarter ended September 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcript s of the earnings conference call for the quarter ended September 30, 2025 , held on November 04 , 2025, is available on the website of the Company.

The transcripts can be accessed from the link given below :

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

You are requested to take the same on record.

Thanking you.
Yours faithfully,

For India Shelter Finance Corporation Limited

Mukti Chaplot
Company Secretary and Compliance Officer
Mem. No. 38326

"India Shelter Finance Corporation Limited Q2 FY'26
Earnings Conference Call"

November 04 , 2025

MANAGEMENT : MR. RUPINDER SINGH – MD & CEO
MR. ASHISH GUPTA – CFO
MR. RAHUL RAJAGOPALAN – HEAD, INVESTOR RELATIONS

MODERATORS : MR. RINESH BHUVA – ICICI SECURITIES

This is a transcription of the earnings call conducted on 4th November 2025. The audio recording can be accessed using the following link, https://www.indiashelter.in/investor -relations
DISCLAIMER :
Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Moderator : Ladies and gentlemen, good day and welcome to the India Shelter Limited Q2 FY26 Earnings Conference Call hosted by ICICI Securities.
As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R inesh Bhuva from ICICI Securities. Thank you and over to you.
Rinesh Bhuva : Thank you . Good evening, everyone. Welcome to India Shelter Q2 FY26 Earnings Call. On behalf of ICICI Securities, I would like to thank the India Shelter Management Team for giving us the opportunity to host this call.
Today, we have with us the Top Management Team of India Shelter re presented by Mr. Rupinder Singh - MD and CEO ; Mr. A shish Gupta - CFO and Mr. Rahul Rajag opalan - Head, Investor Relations.
I will now hand over the call to Mr. Rupinder for his opening remarks and then we will open the floor for Q&A. Over to you, sir.
Rupinder Singh : Thank you , Rineshji . Good evening, everyone. On behalf of the company, I extend a warm welcome to all of you. Thank you so much fo r joining us on the call today.
Let me start with some broad macro updates :
Headline inflation is expected to stay towards the lower end of RBI's target band in 2025 -26 after experiencing significant mode ration during H1 Financial Year ' 26, mostly as a result of sharp correction in food prices. Despite flooding brought by excessive rainfall in a number of states, the prospects for the agricultural industry remain positive. Adequate reservoir levels, helpful policy actions, and above normal monsoons in the majority of regions all contribute to this promising outlook. With si gnificant increase in sales of fast -moving consumer items in rural regions and positive sales of tractors and motorcycles, rural demand is expected to stay solid.
GST 2.0 reforms are expected to further boost private consumption and domestic demand. High festive sales volume and consumer emotions already indicate a revival in household discretionary spending in both rural and urban areas, which should help credit expansion in upcoming quarters.
The growth outlook is supported by reduced inflation, increased capacity utilization, favorable financial conditions. In the short run, the government's persistent emphasis on capital spending, GST changes, and bettering lending conditions should increase aggregate demand and support

the sector's strong momentum with robust loan demand. On that note, let me move towards the quarterly update :
We are pleased to announce that the company delivered another quarter of sustained performance. We delivered an AUM growth of 31% year -on-year, reaching an AUM of Rs. 9,252 crores. In quarter 2 Financial Year ' 26, we disbursed Rs. 931 crores, registering a growth of 12%. In quarter 2 Financial Year ' 26, we added 9 new branches as part of the branch expansion strategy. Geographic presence stood at 29 9 branches as of 30 th September 2025.
Gross Stage -3 and net Stage -3 came at 1.2% and 0.9% as of 30 th September 2025, as against 1.2% and 0.9% same year last year, 30 th September 2024.
On profitability metrics , PAT for the quarter came in at Rs. 122 crores, registering a growth of 35% year -on-year and 2% quarter -on-quarter. Return on equity stood at 17%. Our net worth now stands at Rs. 2,914 crores.
We continue to see demand and growth potential in the affordable housing market in Tier-2 and Tier-3 cities, supported by government policies.
Our guidance remains the same, i.e. branch addition of around 40

-45 year -on-year, of which we
already opened 33 in this Financial Year, i.e. H1 . Mainta in spread s of more than 6% in the medium term, credit costs around 40 -50 bps and loan growth of 30 -35%.

Now , I would like to hand over the call to Ashish Gupta – our CFO, to take you through the financial matrix. Over to Ashishji .

Ashish Gupta : Thank you, Rupinderji. Good evening, friends.

Let me take you through the key financial numbers :

We have ended the quarter of September 25 with AUM of Rs. 9,252 crores , Year -on-year growth in AUM is 31%, quarter -on-quarter growth is 6%. Total income for the quarter is up by 30% year-on-year, largely driven by 31% growth in AUM. Our portfolio yield is at 14.9% which is stable year -on-year basis. Our disbursement yield is also running at same level.

On the funding side , we have diversified borrowing at more than 30 counter parties. Average borrowing tenure is at about 8 years. Our bucket cost of fund is down by 10 basis points in Q2 to 8.5%. Total reduction in cost of fund in last 9 months is 30 basis points. Our marginal cost of fund for Q2 is at 8.1%. Thus, we expect to see another 20 basis point reduction in our bucket cost of fund by year end. We have received sanction of Rs. 550 crores from National Housing Bank, which we expect to draw in next 2 quarters. Further, we have received a sanction of Rs. 500 crores from SIDBI for the first time. This will help us to further diversify our sources of fund.

Our lending margin are consistent above 6% in line with our guidance for medium term. Net interest income is up by 33% year-on-year, 5% quarter -on-quarter on the back of growth in our AUM and improvement in spread.

Coming to O pex, our year-on-year growth in OPEX is lower than growth in AUM resulting in better cost ratios. OPEX to AUM for the quarter is at 4.1% down by 30 basis points year -on-year. Cost to income for the quarter is at 35%, down by 170 bps year -on-year.

On asset quality side, Stage -3 is stable at 1.2%. Our credit cost for the quarter is stable at 0.5% in line with our guidance for medium term. Net Stage -3 asset is stable at 0.9%. PCR for Stage -3 asset is stable at 25%. Our total ECL is Rs. 73 crores against the regulatory threshold of Rs. 43 crores . Thus , we have adequate buffers in place.

PAT for the quarter is at Rs. 122 crores, year -on-year up by 35%. ROA for the quarter is 5.8%, up by 20 basis points year -on-year. ROE for the quarter is 17% on annualized basis with a leverage of 2.9 times.

On liquidity side, we are comfortably placed with the liquidity of Rs. 580 crores and undrawn sanction of about Rs. 1,500 crores. Our ALM is positive across all the buckets.

With this, I conclude and now we can open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. We will take t he first question from the line of Raghav from Ambit Capital. Please go ahead.

Raghav : Hi, good evening and thank you for giving me the opportunity. I just have two questions. One is, what is your bounce rate for the quarter and if you can give a split by housing and non -housing book?

Rupinder Singh : So, bounce rate is in the tune of 20% -22%. Sometimes, if there is a weekend Sunday or something, it spikes by 1% or 2%. Otherwise, it ranges between 20% -21%.

Raghav : And what was the split between housing and non -housing, in terms of bounce rate?

Ashish Gupta : So, there is no difference between bounce rate between the HL and LAP. So, broadly, we are catering to self -employed segment in both the loan product category. So, there is no much difference between the two.

Raghav : Understood. Second question is couple of affordable housing finance companies which have reported yet have shown slippages come through. What are your thoughts on the industry collections and asset qua lity given t

hat even your Stage -II ratios have gone up. Some of your thoughts would be very helpful?

Rupinder Singh : So, I think last one to one and a half years this discussi on has been running around and largely it is because of the overall industry if you see not only affordable housing, when we talk about rest of the products, that is MFI sector which is unsecured, there is hea t around that side. So if there is heat around one sector you will always find that in some or the other way it does impact the overall ecosystem . So, there is a slight shift. But having said so, affordable housing companies, do have one stro ng support in terms of getting col lection fast and quicker and this is the reason that even if customers slips and move to further stage , which is 90 DPD and above GNPA level, the opportunity with the affordable housing company, they are always there to bring it back. So, little bit up and down that keep coming, it is a long -term business, so at least every quarter it cannot remain that way , but yes, I think most of them are in the range -bound basically.

Raghav : Just about second half, what kind of disbursements are you budgeting, second quarter disbursement growth is only 12%, it was trending at 25 -%30% before this. So, how are you thinking about disbursement in the second half and then will you still stick to a 30% plus growth guidance on AUMs for the year?

Rupinder Singh : Yes, I mentioned during opening remarks that we will be maintaining this growth rate of 30 %-35%. This quarter due to rains , GST coming in late and people trying to hold back anything, there are so many answers that can be given around. But as I said, a month here and there won't impact as the prospect of business and the momentum that has been built, that will continue. So, 30%-35% of AUM growth, you can easily consider that happening .

Raghav : That is all from my side . Thank you.

Moderator : Thank you. We will take our next question from the line of Darshan Deora from Invest Group. Please go ahead.

Darshan Deora : Firstly, congratulations on a great set of results. Actually, the question I also had was on disbursements. I think you already answered that. So, hopefully the disbursements will pick up in the second half?

Rupinder Singh : So, this normally trend which has been seen in history also, for not only myself but most of the companies around, H2 is always considered to be optimist when compared to the H1. H1 has many factors, seasonality factors, streamlining those things. So, effectively, as we are in the middle of the quarter, almost there, we can see that this traction is coming back as the numbers keep building around . But I think it will be more like a forward -looking statement. But always H2 you will find better than H1 in that sense.

Darshan Deora : Appreciate that. Thank you. And again, great set of results and congratulations to the entire team.

Moderator : Thank you. We will take our next question from the line of Sonal from Amsec. Please go ahead.

Sonal : Hi. Thanks for the opportunity. So, I just wanted to check how the connection trend was in October? And also, disbursements were slightly slow, not just for you, but for the entire industry. So, how is the demand, per se? Is there any challenge in demand? You just answered that, partially saying that towards is better, but anything that we are seeing on the demand side and also, if you could talk a bit about the rejection rates, how they were in 2Q this year and how was it in the previous year?

Rupinder Singh : So, if you talk about demand, which comes in form of new customers coming for logins and all, I don't think any challenges coming around . But as last 1-1/2 years, everyone has tried to stringent their norms. Definitely, that has red

uced certain amount in terms of conversion rates for me, as well as most of the people, which we keep also sharing along with you guys . Going forward, as we see th e trend it looks like things are going to come back. Because August was not a great month to have, basically, if you ask me. Bu t as we see September coming up decently well, that was the quarter. This is the beginning of next quarter. So, I think we will be able to come back as for the trend, what we have seen this year or 2 years or 3 years back .

Moderator : Thank you. Next question is from the line of Shweta from Elara. Please go ahead.

Shweta : Thank you, sir, for the opportunity. A couple of questions. S ir, could you throw some light on the LAP portfolio? How has been the FOIR now? And how are we distinct vis-a-vis industry ? Second is also, you sort of alluded to this, but still, just don't mind me h arping on it. So, 30 DPD has spiked to 4.7%. Even Stage -2 has spiked. But we have not seen much of a movement in our PCR or ECL provisioning. So, if you can provide color there and also any sort of customer cohort or ticket size or region specific challenges. I remember last quarter you sort of pointed out Gujarat, Uttarakhand growing slower and certain sort of challenges in particular markets. So, if you can just throw some color t here. And lastly, just a data keeping sort of a question like what is the attrition rate?

Rupinder Singh : So, if you talk about LAP per se, the norms are not very different. With FOIR in terms of 50 %-55% and LTVs are lower than 50%. That is for the LAP portfolio. Our focus largely in this Tier-2, Tier-3 market, that continue to remain for the self -employed segment, m ost of them who are generating their own incomes in those markets by serving those vicinities and all . So, if you talk about month -on-month, we are seeing, observing that in some months there is a spike which is coming, some months it is dull, and there can be various factors around that. Sometimes it is a monsoon, sometimes multiple things. But our thought is not to go break into month -on-month basis . It is ultimately to continue to remain in that segment of 30 %-35% growth. That we are committed and that we are focusing on directly per se.

Shweta : Sir, b oth 30 DPD as well as Stage -2 saw some material spike, right? And we have been seeing this trend formation like over a year now. So, any customer cohort, any specific ticket size or any geographic challenge, you want to attribute this to?

Rupinder Singh : Yes, there is a 20% spike than the previous quarter. Obviously, this is spike, which is there particularly. But as we see the traction coming in month of September back, as I mentioned, August was literally not as a great month. But as we have seen that, we feel that there is going to be a sticky around this piece, little bit more, maybe 4.7% may come to 4.5% or so. That is what we feel so in coming time. But let us see how the things turn around So, we don't see things going out of proportion or something that we have to worry about it.
Shweta : Sir, lastly on the attrition rates ?
Rupinder Singh : Attrition remains constant in same range, what we are observing in last year or 2 years. In fact, today Board has been kind enough to approve the numbers, what we discussed last time, to include all the Branch Managers under the ESOP scheme. So, almost 13 lakhs of stock options will be given to the Branch Manager level. They will be going to include almost 500 new employees in the ESOP pool, which is a pretty large sum to cover them under that scheme, which are normally the frontline staff, which includes Branch Managers and Branch Collection Managers . So, I think these are the some tools that we are using and we are hopeful they should go into support in one way or other way for the attrition side also.
Shw

eta : Perfect, sir. Thank you so much and congratulations on a good quarter.
Moderator : Thank you. We will take our next question from the line of R inesh Bhuva from ICICI Securities. Please go ahead.
Rinesh Bhuva : Yes. Hi, sir. Congratulations o n a good set of numbers, especially during current time. So, my question is actually related to that thing. So, we have more than 40% share between Rs. 5 and Rs. 10 lakh ticket size and most of the players, especially in the LAP segment or a few of them from the affordable housing segment as well , highlighting stress or they have ch anged their strategy to disburse on the stop below Rs. 7 lakh ticket size loans , which essentially means that the stress in that segm ent is relatively higher. So, what is the asset quality performance of this particular pool and also how confident you are that over next 2-3 quarters, this segment should not sort of result in a high er credit cost of what the rate is currently ?
Rupinder Singh : So, Rinesh bhai, if we compare the same quarter compared to the last year, typically in this ticket size, what we are talking about 5 -10 lacs, our numbers largely remain same . I can understand that few of the institutions which are not, may not be part of housing finance company , they might be finding this problem because this is a point of discussion which happened many times in past also that if you don't have SARFESI right then there is always a scope of struggling . So, I think that challenge does come because those rights are not for the institution which are not housing finance company or the Bank. So, there they find this kind of challenge while doing that piece. So, fortunately, as a housing finance company, there are some role which has been played by the SARFESI that way to curtail that piece. So, that remains almost same when we compare year-on-year. Same September numbers continue to remain the same number .

Rinesh Bhuva : So, concluding this, we don't foresee any risk from this pool in coming quarters ?
Rupinder Singh : So, we are continuing with this pool. We are not stopping it because we get a better yield and in the market where we operate Tier-3, Tier-4, self -construction houses, someone who want to extend his own , there is quite a few cases where we get this opportunity wrong.
Rinesh Bhuva : Got it. And just a last question on the return on equity front, right? So, we are already touching 17% and have been sustaining that number from last 2 quarters. And now, given your growth guidance of 30 %-35%, with increasing leverage, where are you going to see ROE settling in near term?
Rupinder Singh : I think there are many aspects to that piece. So, the guidance remains safe on the typical 3 -4 points. And you can easily calculate it. It is not difficult to make it up. So, we want to continue where credit costs remain in the same segm ent of 40 -50 bps . That is our thought and again, going with the loan growth of 30 %-35%. So, more than focus, our objective is more on the operation side. But what is running around, I think that is something which doesn't look out of scope that is quite manageable. So, we don't want to comment on ROE per se .
Moderator : Thank you. We will take our next question from the line of Shr eepal Doshi from Equirus. Please go ahead.
Shreepal Doshi : Hi, sir. Thank you for giving me the opportunity. My question was pertaining to the BT out rate for the quarter if you could give that detail?
Rupinder Singh : Yes, Shripalji. I think when you see the market trends are little tough, you always find there are some green shoots also. And I think BT out rate is one of that. What we realize in BT out rate is

curtailed well, decent in the range bond . Currently it is in the range of 4%-4.5% , which is comparatively slightly better than what it was a year back or 2 years back.
Shree

pal Doshi : Got it. And sir, on the cost of fund side, so how do you see that number ending for FY '26? And what percent of our bank borrowing is linked to repo and T -bill? So, how do you see that benefit flowing in on the cost of fund side a nd where do you see it ending for the full year?
Ashish Gupta : So, on the borrowing side, about 32% of the borrowing is linked to repo rate or T -bill, wherein largely the benefit has already flowed in. And remaining borrowing, about 15% of the borrowings are at fixed rate and rest of the borrowings are linked to MCLR rate , wherein the benefit is coming in a very gradual form. But the good part here is that if we see our bucket cost of fund that is at 8.5%, incremental borrowings are running at about 8.1%. So, the blend of the new borrowing and the old borrowing will keep c hanging. So, we expect that by year -end, we should be having another 20 basis point reduction in our overall bucket cost of fund.
Moderator : Thank you. We'll take our next question from the line of S hubranshu Mishra from Phillip Capital. Please go ahead.

Shubranshu Mishra : Just wanted to check on the BT out. What is the percentage of the AUM that goes up in a monthly basis? What is the total?
Ashish Gupta : Yes, Shubranshu, so BT out as a percentage of average AUM is in the range of about 4.5% - 5% briefly. And that is consistent in the last 2 quarters. But if you compare it year-on-year level, it is down by about 100 basis point s.
Shubranshu Mishra : And do we have a dedicated team to address this attrition?
Ashish Gupta : Yes. So, we have a centralized team, who is engaged in the customer retention. So, whenever we come to know that customer is looking out for loan, our team, proactively connect with the customer and try and retain the customer.
Shubranshu Mishra : And what is the major reason of still the people who are going out? Is it just the drop in interest rate b ecause they again have to pay fees anyway for the loan, right?
Rupinder Singh : Very difficult to judge that at the moment when it is moving out basically. But largely, one is going for higher loan amount. And yes, obviously, rate drop is also the option which is there. And when you are operating these markets, there are nationalized banks and all, which does offer that very lucrative rate. So, irrespective of paying fees again and all, that looks lucrative to move out sometime.
Shubranshu Mishra : And given the fact that you spoke about nationalized banks, are these guys also chasing us in treasury to take up loans or coming up with cheaper pricing for us? What is the translation of the cuts till now for us?
Ashish Gupta : So, far if we talk about the PSU banks specifically, so PSU banks, if you see the borrowings are linked to MCLR, and there is not much movement in the MCLR of PSU banks at this point of time. So, the benefit of rate cut from PSU bank is limited to about 20 basis point till date. But we expect that as their deposit ratio between the new and old will keep changing, the benefit will keep coming gradually over the year end. So, as and when the reset of those borrowing will come, the benefit will keep coming on that borrowing.
Shubranshu Mishra : Right. And both PSU and private banks, have they become more aggressive towards our treasury?
Ashish Gupta : So, liquidity in the overall market is quite good at this point of time. So, everybody is looking for quality lending. So, we are seeing like good aggression from the bank side to fund at this point of time.
Moderator : Thank you. Next question is from the line of Abhij it Tibrewal from Motilal Oswal. Please go ahead. Abhijeet, the line is unmuted. Yes, please go ahead.

Abhijit Tibrewal : Good evening, everyone. Thank you for taking my question. S

o, just two things I wanted to understand. One is, a lot of participants in this call have already asked about asset quality, the fact that Stage -2 is inching up. And we are seeing that across some of the other affordable housing finance players as well. Again, pardon me, but I don't thin k this is just a seasonality indeed we are seeing today, because somewhere there is an acknowledgement that in addition to seasonality, which is about maybe rains in the second quarter, there is also some spillover that is being seen from MFI, Micro LAP into affordable. Somewhere we see an acknowledgement that, hey, there are pockets like maybe Chennai, Surat, Tirupur, right, which are exhibiting some localized stress, again, primarily because of tariffs. So, I understand, like in last year, right, but

pulled back very strongly in the 4th quarter. But this year, is it looking like any different or you
think that this is just H1 deterioration and things will definitely get better once we move into the
second half?
Rupinder Singh : Thank you, Abhij it. I think we answered this question, but yes, we have not only said seasonality,
we said when overall industry is impacted, so some heat gets purged into entire ecosystem and
that does affect a little bit. But what we have to see, what are the guardrails ? And how we are
reacting to that piece ? That is an important piece. Fortunately, the market where we operate, the
ticket size , where we can apply various norms and this is the reason, though there are certain
slippage in certain buckets, but when you talk about overall numbers, whether it is a credit cost
or this thing, we are able to maintain. So, dynamics keep changing month -on-month, quarter -
on-quarter , that is bound to happen when you are running a long -run business. So, does it going
to affect it? It is only helping to prepare better. That is our thought that is our philosophy working
around that piece. You have seen, since you appreciated the last quarter of previous year and I
think that was the obvious reason that preparation has to do that side. So, I think that keeps
building our capacity and appetite to face these kind of changes which is happening and which
are very dynamic particularly. So, I don't think that we have to overly co ncerned about it, but
yes, operationally how to execute, that is more important that we are on the job. And maybe that
is why this set of customer, if it moves to 90 plus, bringing them also become easier because the
tools which are avai lable in form of SARFAESI or in form of LTVs and all, and they are being
used very effectively. And you can see also, even if there is some inching which happen in
certain buckets, but if you see the GNP A is very well in control, that happens particularly that
way. So, instead of going month -on-month basis o r quarter -on-quarter basis, there may be little
flip here and there, but our focus is more on execution and we are confident on that .
Abhijit Tibrewal : Got it, sir. And then the last question I have is, earlier in the call I saw that we continue to guide
for that 30 %-35% year -over-year growth in the AUM, I think which is a very good thing. And I
think that at our current size, which is about Rs. 9,200 crores of AUM , maybe we should do that.
Having said that, so don't you think even that, at the overall industry level, if there are some
concerns emerging, maybe, and also because we have a good exposure to the self -employed
customer segment as well, don't you think, it will be maybe little prud ent to slow down a little
bit, see how things evolve and then kind of maybe grow strongly after things have settled down.
So, just wanted to hear your views on how we are approaching this, given that I, for one thing

that the self -employed customer segment right , in case some of the things that we have seen in
the last

6 months, they continue for some more time, will ex hibit vulnerability going ahead?
Rupinder Singh : So, I think we are into this business for many years together. I think the company from day 1,
when incepted, the focus always remained to self -employed because they feel the market where
we operate, the product what we are into that that suits maximum in that term particularly. And
while you are exhibiting that side, you also hone a skill for underwriting those set of customers
and how to deal in t erms of problems and challenges which has happened. So, the company has
faced Covid, Demonetization and how the tools has been developed. So, one side, there is a
mechanism which is on the underwriting side, other side, then there is a mechanism of collection
and on dealing side also basically. So, on basis of that only, we project in terms of the going
forward guidance and all and that remains same. And that is the reason when we say that those
is going to remain around in tune of 30 %-35% and credit cost is going to be around between 40 -
50 bps. That we are focused on and they wi ll keep doing it. And as I men tioned, when you see
the business, it should not be seen a business on a monthly basis or a couple of month basis. It
is for a long range and your guardrails should work keeping in mind that you get the right officer
on that piece. So, we are on the job. We have a job on the field in terms of operation as well as
execution. Both sides while making sure that l ending is prudent and other side ensuring that the
collection is very well intact that way. That is going to remain there basically.
Abhijit Tibrewal : Got it. And s ir, just one follow up on that. I am just trying to understand, in this repo rate cut
cycle, we have not seen any affordable housing finance companies cut their PLR rates as yet.
Won't it be more prudent that in an environment like this, maybe cut PLR a little bit, take better
credit quality customers b ecause at the same time, while RBTs have not inched up, like you said,
it is still in the range of 4.5 %-5%, BT outs at the industry level are going up. So, maybe with
slightly l ower pricing, which would mean slightly lower profitability, cater to a better customer
segment during the environment that we are in today ?
Rupinder Singh : Our model is where we deal with a ticket size of Rs. 10 lakhs . And again, the market where we
operate particularly. What are you saying , that may be applicable to someone, some different
ticket size, some different set of markets where the competition is very different way and format
around that piece. And I think largely, the guardrails has been created, as I mentioned, to cover
those things basically. But yes, as new customer comes, we definitely pass on what needs to be

passed as per the system mechanism. There our business rule engine work around that side and give them that output particularly. So, that path will come accordingly with time.

Moderator : Thank you. We will take our next question from the line of Saptarsh ee Chatterjee from Grow w AMC. Please go ahead.

Saptarshee Chaterjee : Yes. Thank you so much, sir. And thank you for the opportunity and congratulations on good numbers in a difficult time. Sorry for harping again on the asset quality piece. Just to understand that fundamentally, whenever there is a problem in the environment, it happens sharply. And then it takes a couple of quarters to repair the damage. But generally, as you were mentioning

and other players are also mentioning that it should be better in a couple of months. So, what is giving that confidence or any on -the-ground insights that is giving us confidence that it should be better in a couple of months in that way?

Rupinder Singh : So, what happens generally when a customer moves from one bucket to another bucket , you have to wait for a couple of

months to realize t hat it comes back . So, if it is in Bucket -2, Bucket -3. So, customers have two options, either to pay back and become normalized or another option, if he is not able to do that, then he will move to the next bucket, which is the NPA bucket basically. So, as the cu stomer mo ves to the NPA bucket then definitely the triggers come into play whether acquisition of property, using the tools around that piece of SARFAESI and all. So, there then customer reaches the level of taking a conclusion and right decision basically. And those decisions are to close the loan on various basis. Either he will try to dispose this asset and settle it down because he also knows that at the end of the day, he has to pay interest and principal to the institution back. So, that decision moment becomes more effective in that way. And in case if it doesn't happen, th en obviously another 6-7 months, sometime it 8-9 months that we were able to possess and sell the property in the market. So, the decision making point, because everyone knows that it is my asset, which he has to keep it intact. He knows that as far as possible he can manage it, let me try to manage it out. So, those decision points come at a certain level. So, many of the customers, they do come back after being into those buckets for a couple of months. And if that doesn't happen, then your tool gets triggered basically. So, this leads to some kind of output in that way. And on basis of the trends, past trends and what data says, people are able to give you an idea that couple of quarters or couple of months, they should be able to track it back. Since you asked a question about why in industry what happens, so I thought to give you more as a broader ans wer on that. I hope this helps.

Saptarshee Chatterjee : Very helpful. And for us, any customer level color? Like, is it happening on any customer profiles where income is impacted or any vintage of loans where that delinquency is happening or any regional level problems? Any color on those asset quality?

Rupinder Singh : So, slight here and there keeps coming, basically. And it is not because of current times or specific times. This is a trend. So, if we are maintaining the GNP A of 1.2 -1.3, what we are showing it from last so many years, it is not that during that time everything was neat and clean and suddenly something has happened. So, when you are operating in 300 branches, executing this kind of set of customers, every time you find some challenges and trouble around that speed, for those set of custome rs, then you have to have very clear understanding what are the tools need to be applied at what time. That is the learning that we learn by underwriting 2 lakhs of customers in the last 10 years.

Saptarshee Chatterjee : And last piece is in terms of competitive intensity versus 1 or 2 quarters back, is it higher or similar or lower ? Any color on the competitive intensity part?

Rupinder Singh : That remains almost same. I didn't find much of change. It has not increased or decreased, but almost remains same. There are set of competitors which are always existing, co -exist together

and there is always a push and pull effect to certain level. And I spoke this thing last time also, more than a customer, the intensity is more about pushing the people from one company to another. That is the more role which competition plays around. This is the trend which has been observed.

Saptarshee Chatterjee : Great. Thank you so much and all the best for future.

Moderator : Thank you. We will take our next question from the line of Vaibhav Lohia from CFM. Please go ahead.

Vaibhav Lohia : Hi. Thanks for the opportunity. S ir, I just wanted to understand what is the aspiration for the next 3 -5 years? Like before we have grown around 40% CAGR for the past 3 -5 years. So, like

where do you see yourself in the next 3 -5 years? I have only these question s.
Rupinder Singh : So, next couple of years what we feel, we want to grow in the range of 30 %-35%. That is our thought and that is the way we are trying to build our model businesses and our structure accordingly. So, this is something what we are looking for next couple of years.
Vaibhav Lohia : That is helpful, sir. Thank you so much.
Moderator : Thank you. We will take our next question from the line of Sidharth Chandrasekar from SJN Securities. Please go ahead.
Sidharth Chandrasekar : So, my first question is about our LAP business. So, what is the maximum and minimum interest rate that we charge to the customer and wh at is the LGD of that portfolio, historical LGD?
Rupinder Singh : Our t icket size remains 10 lakhs and rate what we are charging is anywhere 13 % to 16.5 %-17%. Again, depending upon risk -based model basically, risk -based pricing, how it works around that means.
Ashish Gupta : So, on the PD -LGD side for this LAP customer, so generally, historically, we have seen PD of this customer remain higher by about 20 -30 basis point. But given the fact that they have a quite lower LTV, so our LTVs for LAP loan is at average about 45%. So, we have seen that LGD remains lower than the home loan cases. So, on a net -net basis, credit cost between home loan and LAP is pretty much similar when we apply both the PD and LGD.
Sidharth Chandrasekhar : Sir, when it comes to that once portfolio move to an NPA, right, where is the maximum probability like, it get recovered, right? Is it because you are selling the property or doing a settlement? How it usually happens?
Ashish Gupta : So, generally, given the fact that we have access to th e SARFAESI , we have seen historically that if the customer moving into an NPA bucket, so we like invoke our SARFAESI process, wherein customer generally comes out for a set tlement, they call their friends, family and like

offer further settlement. And generally, this trend remains further about 85% of the total NPA cases. And remaining 15 cases, we have to go for auction and like close the loans.
Sidharth Chandrasekhar : Sir, usually this happens, right? So, we usually value some metrics to some value to one property. But when it comes to the au ctioning of these things, right, w e might not get the actual value, right?
Ashish Gupta : If the customer is coming for settlement, then the losses remain lower in the range of 9 %-10%. But in the rare cases, wherein the settlement couldn't be concluded and we have to go for auction and those are very rare cases because of some family dispute with the customer, wherein he is not able to sell the property. Losses got slightly higher in the range of 22 %-25%. But at a blended level, since the cases of auction are very limited, to the tune of about 12 %-15%, the overall LGD remain in the range of 11 %-12%.
Sidharth Chandrasekhar : That is helpful. Sir, the second question is about our off -book strategy. So, what is the spread that we earn from our off -book, whenever we do the co -lending or assignment?
Ashish Gupta : So, in off -balance sheet strategy, we generally do our LAP loans only, both in DA and the co - lending. So, our average yield on the LAP portfolio is close to 15.5%, while average cost of fund is about 8.5% for the LAP book. So, broadly, it is about 7% margin that we get on this off - balance sheet portfolio.
Sidharth Chandrasekhar : And on -balance sheet also, we do the same?
Ashish Gupta : On-balance sheet is also same, but it includes both the home loans and LAP . So, obviously, on the home loan book, the margins are lower and the LAP , the margins are similar at 7%.
Sidharth Chandrasekhar : Sir, is there any thought process that you have given, basically like our capital adequacy, right? So,

right now, it is beyond 50%, right? So, is there any thought process put behind, for the time being, slowing down the off -book strategy and using a better capital, then we expand this, right? Any thought process on this?
Ashish Gupta : So, off-balance sheet strategy is not a function of CRAR exactly. So, it is a function of various funding sources that the company need to bank upon. So, as a matter of diversifying our funding sources, we have devised a strategy that we will keep a part of book in the form of off -balance sheet and that strategy says that briefly in form of DA, we will raise about 16% -18% of our total funding. Co-lending, we will go up to 10% of the total book at this point of time, our thought processes. So, these off-balance sheet sources give you a very long -term funding which you generally don't get in the form of term loan. So, that is how, it is always good to keep a blend of both on -book and off -book.
Sidharth Chandrasekhar : So, just a last question. So, any update on the rating upgrades?

Ashish Gupta : So, our last rating upgrade has happened somewhere in July 2024 and we have not even concluded about 2 years from the last rating upgrade. So, we expect that once we conclude the

vintage of briefly about 18 -24 months from the last rating upgrade, we will be in position to pitch the rating agency for like another rating upgrade. We will wait for a quarter or so before like pitching to the rating agency for that.
Sidharth Chandrasekhar : Yes, thanks for answering this question.
Moderator : Thank you. We wi ll take our next question from the line of Aditya pal from MSA Capital Partners. Please go ahead.
Adityapal : Hi, sir. Thank you so much for the opportunity. Great set of results. So, when I look at you r 30 plus Stage -2 and your GNPA, 30 plus in Stage -2 have increased, but GNPA has not increased that much. So, what is it that we are doing that we are arresting the slippage and not letting it fall in the higher bucket?
Ashish Gupta : So, in Stage -2 as we have said that the customer remains generally sticky. If the customer has missed one or two EMI, they are generally not able to, they are not in position to pay a couple of EMIs together and come out of the Stage -2. And while moving to Stage -3, everybody has that concern that if they move to Stage -3, then then the company will invoke the SARFAESI process. And the company is also very strong in terms of recovering money out of the overall NPAs. So, that is why you are seeing some accumulation happening in Stage -2 for the time being. But the moment the overall scenario will improve, either these cases will go to the like standard assets or in case they move to the NPA stage, we will be quickly invoking our legal recovery process and do the resolution of the same.
Adityapal : Sir, just one last point. Have we taken any write -offs in first half of 2026?
Ashish Gupta : So, we have very stated write -off policy since last 4 -5 years that any account which move into NPA bucket for more than 2 years, then we do a write -off. So, in this last quarter Q2, we have written off about Rs. 5 crore of such NPAs. But parallel ly, we have recovered about Rs. 3 crore of NPAs that we have written off earlier. So, that is a regular churning that keep happening between NPA bucket and recovery out of these write -off accounts.
Adityapal : Understood. And sir, last year in FY '25 Q2, we had said that we had some leadership transition in our Madhya Pradesh state that the State Head and Branch Head had moved out and we were facing some difficulty and because of which asset quality has spiked up at that point. Do we see that the issue with that state has been resolved and we can expect now moving forward a resumed growth rate what we are seeing no w?
Rupinder Singh : Yes, around 7 -8 months we were able to hire a new leader

. And I think he is picking up. Yes, we have given gestation period to that gentleman and it looks the things are on track and we are

optimist about the future, the way NPA looks going forward in terms of output . That we look forward. So, the team is stable now largely .
Moderator : Thank you. We will take our next question from the line of Meghna Luthra from Incred Equities . Please go ahead.
Meghna Luthra : Yes, hi. Thank you for the opportunity. And just taking the previous question ahead, can you give some color on the process of recovery that starts once an asset is in Stage -2? And my second question is, with an AUM growth of around 30%, do you expect the LAP proportion to change or would it be at a similar level?
Rupinder Singh : I think we have an intent to continue with the 60 -40 ratio, though there is a slight gap between 60-40. We are 58-42. So, we have an intent to continue with the 60 -40 ratio where 60 is the housing and 40 is the LAP. That is the intent going forward also. This is the way the model has been created and the markets where we operate around particularly.
So, once customers move to NPA, it is basically SARFAESI invocation which happens from 13-2 notice and then give a round 60 days or something. Then 13 -4 notice and then we go for a DM order and acquisition of property. But, it has been observed more than 80% -85% of customers, once you invoke the SARFAESI rights, they try faster to settle the loan amount. So, the entire process, which takes normally 8 -9 months, only 20% of customers reach to that level where you have to reach to that extent and then some part of that you have to possess and sell it off of them.
Meghna Luthra : That is very helpful. Thank you, sir. That is all from my side.
Moderator : Thank you. We will take our next question from the line of Sonal from A msec . Please go ahead.
Sonal : Sir, just, sir if you could just highlight a bit on credit filters that you have applied during Q2. Also if you could just give out some data on how the delinquency trend is moving in home loans and LAP any segment that you see where the delinquencies are higher within the team ? Similarly, on the self -employed and the salaried customer segment. And when do we do ECL reset every year?
Rupinder Singh : Between HL and LAP , I think there is, if we are at 1.2 %, then LAP will be around 1.3 % and HL will be 1.1 % in terms of these numbers. So, there is around 18 -20 bps of gap which does remain between HL and LAP when you talk about the numbers around that piece particularly. As for

the tweaks that we keep doing it, that is a continuous process which happens in our BRE, business rule engine, while curtailing this customer. So, irrespective of timing and all, wherever we find that some branches we need to tweak in terms of BRE, we try to make it up. There is a mechanism internally where we use our data science team to give an output on the basis that BREs are upgraded. And on the basis of that, those tweaks happen in terms of, in those markets, how the things has to be tweaked and whether in terms of FOIR, whether in terms of certain

segments or geographies, all those things that we have to keep in mind. That is an underwriting tool that works in that particularly.

Ashish Gupta : Our ECL model which we are running since last 5 years and this model is behaving well. So, whenever like COVID situation have happened, we have done some tweaking, built in some like assumption to compute higher ECL. But since last 3 years, we are seeing the model is behaving well and there is no change in assumption which is required briefly and we compute ECL every quarter , re-compute every quarter.

Sonal : Sir, just another question was, what is your fixed rate book currently on the as

set side? And how
do you see spreads evolving? Because we spoke about probably exit, Q4 exit, the cost of borrowings will go down to 8.2%. So, our spreads would ideally, logical ly, they should go to about 6.6% -6.7%. So, some commentary around that and how do you see yields moving from here?

Ashish Gupta : So, about 15% of ou r loan book is at a variable rate and then we have about 35% of the book which is at a semi -variable rate wherein the reset will fall, start doing in from FY '27 and then remaining 50% of the book is at a complete fixed rate. On the liability side , as we have said that there will be there will be some reduction in the cost of fund which will flow to us in the tune of about 20 basis points. So, we expect that by year end, we should be reaching overall cost of fund at about 8. 3%. That is how we are. So, there will be some temporary expansion in the margin. You are right to that extent.

Sonal : Thank you, sir.

Moderator : Thank you. We will take our next question from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani : Yes. Good evening , everyone and thanks for the opportunity. I have three questions predominantly on growth and demand. So, the first question is some peers have kind of called out macro softness impacting disbursements. So, we have posted decent growth, right? So, any qualitative differentiation you can talk about in terms of our customer base or any geographies or something on that? Second question is with respect to have you observed any moderation in lead conversion section to disbursement ratios or approval turnaround times in recent months? And third, is the de mand strength you are witnessing more in urban -centric or broad -based across semi -urban and rural areas?

Rupinder Singh : So, we are spread largely into Tier-3, Tier-4 market. Our most strategy is not in urban market but those markets which are semi -urban. That is the focus area and areas around that piece. And that again catering the segment which is more on self -employed who are dealing into those vicinity. They may be small cloth shop, cloth merchant, sweet mart , small mechanical shop, whatever it is basically. And these are the businesses which generate income on weekly, monthly, even daily basis basically. So, that is the way their income generates on that piece. And

their ecosystem is very stagnated to those vicinity where they are operating it. They are not something which going to get infected by situation like trade wars or exporters of that piece basically since they are all self -employed in that category. And most of them they are something who are not being a part of a strong banking ecosystem particularly. Instead of segment of customer who want to have their own house or take a small loan to fulfill their needs and requirement of that working capital. Those thi ngs are the set of customer we try to operate that piece. So, we find this is a huge humongous market. And as we go deeper , there is a scope of improving that piece. There are some challenges which does come on the basis of sometimes seasonality or something which is not picking up. And that piece moving month -on-month or sometime quarter -on-quarter , zone by zone basically. Because we are spread across 15 states in a country. So, those things you do face when you are into the operational activity per se. But when you see overall output I think we don't find much of challenge on that piece. Yes, when there is a heat around , you always have there is a scope of something missing off here and there. Because market is not booming particularly. But we are not affected because of what is happening around basically. There is a small impact on that which keeps happening particularly.

So, this is the trend which you keep finding. Not only dur ing this time but any good and bad
t

ime across basically , when you have expanded operations across so many geographies.
Shailesh Kanani : Sir, anything we have seen moderation in terms of lead conversion or sanction to disbursement ratio or any turnaround time?
Rupinder Singh : Our logins remain almost as per the plan. Yes, you keep picking the tools of your underwriting at that time. You will always find that you try to churn around those things. But sanction to disbursement is also equally good that way. So, little up shoots and heat coming around that piece but nothing which we have to be concerned about or we would change strategy on that side.
Shailesh Kanani : And sir , in terms of demand strength , it is broad -based right? That is a fair assumption across states when we cooperate?
Rupinder Singh : Yes.
Shailesh Kanani : Thanks a lot , sir and best of luck , sir.
Moderator : Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to management for closing comments. Over to you.
Rupinder Singh : Thank you, everyone for taking your valuable time for attending our earning call. Also an audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to hosting you all in the next quarter. Further, if you have any questions or require additional information, please feel free to reach us out. Thank you so much and good night.
Thank you.

Moderator : Thank you, members of the management. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

India Shelter Finance Corporation Limited
Registered office – 6th Floor, Plot No 15, Institutional Area, Sector 44, Gurgaon, Haryana -122002
CIN: L65922HR1998PL C042782, Phone No +91 -124-4131800
E-mail: customer.care@indiashelter.in , Website: www.indiashelter.in

February 12, 2026

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra Kurla
Complex, Bandra (E),
Mumbai – 400 051
NSE Symbol: INDIASHLTR
ISIN: INE922K01024
: INE922K07104
: INE922K07112 ISIN: INE922K01024

Subject: Transcripts of the Earnings Conference Call for the quarter ended December 31 , 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we would like to inform you that the transcripts of the earnings conference call for the quarter ended December 31 , 2025, held on February 09 , 2026, is available on the website of the Company.

The transcripts can be accessed from the link given below:

https://www.indiashelter.in/investor -relations

Further, we confirm that no unpublished price sensitive information was shared/discussed in the meeting.

Request you to take the above information on records.

Thanking you,
Yours faithfully,

For India Shelter Finance Corporation Limite d

Mukti Chaplot
Company Secretary and Compliance Officer
M. No.: 38326

"India Shelter Finance Corporation Limited Q3FY 26
Earnings Conference Call "

February 0 9, 202 6

MANAGEMENT : MR. RUPINDER SINGH – MD & CEO
MR. ASHISH GUPTA – CFO
MR. RAHUL RAJAGOPALAN – HEAD, INVESTOR RELATIONS

This is a transcription of the earnings call conducted on 9th February 2026. The audio recording can be accessed using the following link, https://www.indiashelter.in/investor -relations
DISCLAIMER :
Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Operator : Ladies and gentlemen, good day, and welcome to India Shelter Q3FY26 Earnings Conference Call, hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch - tone phone. Please note that this conference call is recorded.
I now hand the conference over to Mr. Renish Bhuva from ICICI Securities. Thank you, and over to you, sir.
Renish Bhuva : Yes. Thank you, Subham. Good morning, everyone, and welcome to India Shelter Q3FY26 Earnings Call. On behalf of ICICI Securities, I would like to thank India Shelter Management Team for giving us the opportunity to host this call.
Today, we have with us the entire top Management Team of India Shelter represented by Mr. Rupinder Singh – MD and CEO; Mr. Ashish Gupta – CFO; and Mr. Rahul Rajagopalan – Head, Investor Relations.
I will now hand over the call to Mr. Rupinder for his opening remarks, and then we will open the floor for Q&A. Over to you, sir.
Rupinder Singh: Thank you, Renish . Thank you, everyone. Good morning. On behalf of the company, I extend a warm welcome to all of you. Thank you for joining us on the call today. I am pleased to share our Quarter 3 and Nine Months Financial Year ' 26 performance update, along with a brief overview of industry developments.
During the quarter, the RB I announced a further 25 bps reduction in the repo rate, bringing it down to 5.25% with immediate effect. This takes the cumulative rate cuts in 2025 itself to 125 bps, making one of the most significant easing cycle in the recent years. We view this move a s clearly supportive of the financial service sector as we approach year -end.
The latest rate cuts builds on an early reduction and improves housing affordability, particularly in affordable and mid -income segments. Lower EMIs are expected to bring back hesitant buyers and helping sustain demand momentum. Lower financing costs, sust ained buyer confidence, and steady microeconomic conditions together place the housing market in a good position as we head into 2026, particularly.
Moving now to the performance of the company :
Annual growth remains in the guided range with the gross managed assets growing at 31% to Rs. 10,365 crores. In Quarter 3 Financial Year ' 26, we disbursed Rs. 977 crores, registering a

growth of 11% year -on-year. Assets and disbursement growth have been at a softer end as we continue to monitor the situation on the ground with respect to improvement in asset quality trends. Affordable housing market continues to remain robust as visible from early indicators like log -in rates, log -in continues to grow month -on-month.
In this quarter, we added two new branches , we will add another four to five branches in Quarter 4, in line with our branch expansion strategy of 4 0 to 45 branches each year.
Further, we have introduced digital sourcing as one of the additional channels. This will help us advance in our digital journey. Currently, around 4% to 5% of disbursements are coming from this digital channel. And going forward, our plan is to reach to 10% of disbursement.
On asset quality metrics, gross Stage -3 and net Stage -3 came in at 1.5% and 1.2% as of 31st December , 2025.
On profitability metrics, profit after tax for the quarter came in at Rs. 128 crores, registering a growth of 33% year -on-year and 5% quarter -on-quarter. Return on Equity stood at 17.1%. Net worth now stands at Rs. 3,048 crores, crossing the Rs. 3,000 crores mark.
The PMAY 2.0 scheme saw further traction. As on December 25, more than 2,000

customers
have already received the subsidy, and the journey looks more effective now. The scheme is expected to pick up traction with an increase in customer awareness and streamlining of the process.
On that, let me reiterate the guidance that we provided earlier :
• Branch opening 40 to 45 for the year, of which we had already opened 35
• Maintaining spreads of more than 6% in the medium -term
• Credit cost for the year to be around 40 to 50 bps
• Loan growth, which we have projected at 30%, 35% , our intent is to close this year around 30%, though it was a muted year if we see the particular last two quarter of results
Now I would like to hand over the call to Ashish ji – our CFO, to take you through the financial metrics. Over to you, Ashish .
Ashish Gupta: Thanks, Rupinder ji. Good morning, friends. Let me take you through key financial numbers.
We have ended Q3 with gross managed assets of Rs. 10,365 crores. Year -on-year growth is 31%, quarter -on-quarter growth is 7%. Our portfolio yield is 14.9%, which is stable year -on-year basis. Our disbursement yield in Q3 was 14.6%.

On funding side, we have diversified borrowing with more than 30 counterparties. Average borrowing tenure is about eight years. Our bucket cost of fund is down by 20 basis points in Q3 to 8.3%. It is down by 50 basis points year -on-year basis. Our marginal cost of fund in Q3 is 8.1%, down by 70 bps year -on-year basis. We had undrawn sanction of Rs. 550 crores from NHB at the end of Q3. We have drawn two-third of the same in Q4, and we will draw the balance amount in Q1 next financial year. Cost of funds from NHB is lower by about 60 basis points as compared to the bank funding. Our lending margins at portfolio level and disbursement level are consistently above 6%, in line with our guidance for medium -term. Net interest income for quarter is up by 31% year -on-year on the back of strong growth in our managed assets and improvement in spreads.
Coming to Opex, our year-on-year growth in YTD OPEX , excluding onetime impact of labor code is 26%, which is lower than the growth in our managed assets. Same is resulting in better cost ratios. OPEX to managed assets without impact of labor code for the quarter is at 4%, down by 20 bps year -on-year.
On asset quality side , our Stage -3 is at 1.5%. Our credit cost for nine months is at 0.5%, in line with our guidance for medium -term. PCR for Stage -3 is stable at 25%. Our total ECL is Rs. 79 crores against the regulatory threshold of Rs. 48 crores.
Our BT-out rate is down by 4.3%. Our focused data -driven approach for customer retention is helping us to maintain BT-out even in declining interest rate scenario.
PAT for the quarter without impact of labor code is at Rs. 128 crores, year -on-year up by 33%.
ROA for the quarter is at 5.8%, up by 30 bps year -on-year basis. ROE for the quarter is at 17.1%, up by 200 basis points year -on-year.
On liquidity side, we are comfortably placed with liquidity of Rs. 486 crores and undrawn sanction of Rs. 1,300 crores plus. Our ALM is positive across all the buckets.
With this, I conclude, and we can open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Varun Palacharla from Kotak Securities. Please go ahead.
Varun Palacharla: Hi, sir. I had a question regarding the asset quality metric. So, there's a sharp rise in gross Stage -3 loans this quarter , is there any pocket of stress that we are seeing, especially because our growth is slow in MP and Karnataka? Are those portfolios showing any stress?
Second, last quarter you had highlighted that 85% of the NPAs get resolved through an agreement with the borrower instead of going for an auction, which leads to lower losses. Are we waiting for the resolu

tion process and that's why the gross Stage -3 has increased? Or has

there been any change? And with regard to LAP versus home loan, is there any sharp difference in how the delinquencies are playing out over there? This is my question.
Rupinder Singh: Okay. Fine. I will start from the last question that you asked. Between HL and LAP, there is no sharp difference. If you see our numbers, the NPA numbers for both LAP and HL remains within the same range. In fact, there is a hardly a gap of 1 or 2 bps between the two. When we talk about the geography per se, I feel we have seen certain trends which were happening in the last couple of quarters. We were trying to hold it in various buckets. But at a certain juncture we realized that when the customer is not able to pay more than one EMI and creating a trouble at

the last bucket of 60 or 90, either you get it rolled back or take a relief by ensuring that you can go for the next step of legal action against that piece if it is not getting resolved. Unless and until we move to the next bucket, the legal action doesn't come into force for us to enforce SARFAESI . So, this was not initial thought to implement but seeing that the bucket is bulging at that time and customer has not pa id that, I think then there is some harsh call which has been taken to let it go to the next bucket. So, that pressure starts coming up.

If we see data, November was the month when it has peaked out. November was at a certain level, which has slightly come down in December. So, I think now going forward we will see the traction will come up after the action which we start taking November onwards on the set of accounts particularly. So, it will take a couple of months to come on a table and settle it down , and very few will continue to remain there till the time we possess the property. So, this has been more like a thought where we have to not continue with that piece, which is getting stuck at certain level and giving a more trouble in collecting and ensuring that becomes stabilized. So, we felt that it is the right time to take it up because if it swells in Quarter 4 then it becomes more difficult . In fact, if we not have taken this approach then the stage 3 would have gone up by maybe 10 to 15 bps. But with this action, it has gone by 25 to 30 bps. So, this was a thought on that basis, which we have taken action.

Going forward, we feel the Quarter 4 should definitely give a better result as we see we are almost 40 days in this quarter and as we are seeing the result particularly. So, I hope and I am sure that the effort the team s are putting as such will be able to get to the result that is expected by market as well as the organization ’s management .

If you talk about states, there are inch up in most of the geographies. I would not say that it's a one geography which has burnt out, which was the case, say, two years back in MP. In fact, MP NPA ratio is little improved by 5 to 7 bps compared to what it was, say, three quarters back or four quarters back. In every geography, there are at least three or four branches, which are a little troublesome. There we are putting our control; our impetus is to control t he flow and to make sure that there the things are getting normalized. So, this is the overall scenario on the ground. And we are looking forward to see credit cost in the range of 40 to 50 bps and stage 3 at 1.2% to 1.3% as we close the March quarter.

Varun Palacharla: Yes, you answered the question. And the NII growth , our interest income growth has been a bit lower than our overall AUM growth in that sense. Is this just that ending balance or ending the business was pushed a lot to end of the quarter? Or has there been any lower yields or shift in mix that

has impacted o verall yield s?

Rupinder Singh: So, basically, when situation is set on ground, we have to monitor and we need to put a lot of controls around that piece. So there's a dip of this 2 % to 3%, which has come up in terms of AUM growth, what normally used to have a this around 32%, 33%, it is hovering around 30%. So, that is the impact altogether. But as we see, after GST implementation, Diwali is also gone, as we see the December numbers picking up compared to the previous month number, I feel this is going to keep building momentum now. I would say, now there are certain green shoots which are giv ing some kind of confidence that going forward you will find the traction around that side. And this is the reason though with a muted two quarters that happened in the last couple of quarters, we feel that we should be able to come back in Quarter 4 itself instead of waiting further.

Varun Palacharla: Look, AUM growth quarter -on-quarter if I look at it, is about 6%, but your interest income growth is only 4%. So, it appears in terms of calculated yields, there's a decline. So, has there been any reduction in yields that we have taken in terms of PLR cuts? Or are the incremental rates that we are offering a bit lower than what we were doing earlier? Is there any impact of that?

Rupinder Singh: So, we try to maintain the spread which is more than 6%, and we maintain the spread of 6.6%. Our cost of fund has also come decently low . And this is something which we always keep mentioning that as the cost of fund comes down, for the new set of customers , we definitely pass on certain bps around that side. So, see the cost of fund has come down from 8.8% to 8.3% and when we talk about disbursement yield for the quarter, it is 14.6% so incrementally too we are at a spread of above 6% which we continue to maintain.

Moderator: Thank you. T he next question comes from the line of Sonal Gandhi from Asian Markets Securities. Please go ahead.

Sonal Gandhi: Hi, thanks for the opportunity. Sir, if you could just give us some sense on how is the 1+DPD trending currently? And if you could , you have also mentioned that things kind of peaked out in November and December and which was doing better then. So, if you could just let us know what is the current collection efficiency, since you already had a chance?

Rupinder Singh: 1+ DPD remains the same , that is around 8.7 to 8.8% a nd there is no difference in 1+ DPD. Our challenge is always there , this kind of customer when they move into the higher bucket, bringing them back is actually takes a lot of time. And unless and until we initiate legal action it become s a little difficult and start s getting delayed. So, if you talk about collection efficiency, that's also range bound , at around same level in last three to four quarters . In fact, if you talk about collection efficiency in fresh bucket, that is even better than the previous month because in the

higher bucket where the customer is regularly defaulting , there the things are a little difficult , because of which we have taken action. Otherwise in the fresh bucket, the collection efficiency is better.

Sonal Gandhi: And sir, any trend that you could give between salaried and self -employed or just across the customer cohort?

Rupinder Singh: So, our maximum customer is self -employed. More than 80% customer is self -employed. So, the trend remains same for us . So, no much difference between the two. That's for the reason when someone asked me that how the GNPA behavior between HL and LAP , so there the behavior remains same for us, not much of a difference, because people distinguish that HL is being taken by salaried employed and LAP is taken by self -employed. In our case, we did not find much of the difference around that side. In fact, there is a dot -to-dot compar

ison between LAP and HL when you talk about NPAs of these two categories.

Sonal Gandhi: And sir, just wanted to understand if you could just give us some disbursement trend in January? And how do we see Q4 and FY '27 panning out in terms of disbursement s?

Rupinder Singh: I mentioned that in November we peaked out in terms of delinquency. And obviously, when there is a green shoot, that also give s trends after GST and things getting improved. December was much better than October, November, and September, in fact. And as we move into new quarter, January, though it's first month of the quarter, January is better than December. This is the indication which I can give it, right? So, between October, November, December, if we see in October, November we were aro und Rs. 300 crores to Rs. 310 crores of disbursement, whereas in December we were around Rs. 355 crores to Rs. 360 crores of disbursement. That was the thing which has come up. And January is better than that basically. So, as we go into the next financial year, I do not think that there should be a ny challenge , because if things are settling down and we have also put our course correction that way so it will give a good relief in the next financial year. And we will remain in the same range bound of 30% to 31% for the next financial year. That is our plan, that is our thought, which we will keep working o n.

Sonal Gandhi: Thank you and all the best.

Moderator: Thank you. T he next question comes from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra : Good morning, Rupinder. So, I am not sure if this question has been asked before , just wanted to understand what is our guidance for disbursement as well as AUM growth for '27? And how do we split it between LAP and home loans? Also, have we done any exercise to understand what is the overlap of microfinance customers with our customers across LAP and home loans? Thanks.

Rupinder Singh: So, well, HL to LAP ratio, which we always plan to do 60 -40%, that is going to remain the same way. And the factor between them, in our case, the behavior of both side of customers, there is no much difference between the two. And I do not know, Shubhranshu, you were there or not, this is the question being asked by one of the analysts, and I mentioned that the NPA number in our case remains same between the both of these categories. So, for us, there's no differential. In fact, LAP is always better in terms of giving a better yield on that side. So, we are not going to change some trends on that piece. We continue to remain there, focused. That is one piece. And if we talk about microfinance piece, earlier it used to be around 5%, it is slowly coming down because we have also taken some proactive actions around that piece . So, you still assume that it is around 4% to 5% of microfinance piece, which is a part of our overall book, which may be LAP and HL both in that case particularly. So, going forward, if you talk about our guidance on the loan growth for next financial year particularly, we are targeting ourselves for 30% growth around on the AUM side.

Shubhranshu Mishra : Right. 30% on the AUM, and disbursement how much?

Rupinder Singh: Look, disbursement can move here and there , because you have to keep in mind the trends, how it's impacting the market, what is the situation. There's seasonal factors also. But yes, we will reach there is what is more important. Our major prerogative is by 2030 to reach a Rs. 30,000 crores of AUM . So, that thing is very well in line. And we do not see that we have to deviate

from that in the current set of scenario. That is a very clear thought.
Shubhranshu Mishra : Understood. And if I can just ask one last question. What is the FOIR that we maintain in our HL and LAP at origination?
Rupinder Singh:

So, FOIR, both products for us also remains same because it's a self -employed customers. We do not differentiate that way. So, 50% to 55% of FOIR is there in both of the categories. What is the differential between the two is the LTVs. On the LTV side, home loan is around 55% to 57% and LAP is around 47% to 48%. That is the point of differential between us.
Shubhranshu Mishra : Understood. Thank you so much. This was really helpful. I will come back in the queue.
Moderator: Thank you. T he next question comes from the line of Adityapal from MSA Capital Partners. Please go ahead.
Adityapal Singh Jaggi: Thank you so much for the opportunity . Good set of numbers. A lot of my questions have already been answered. But just wanted some nuances on the collection efficiency in the DPD book. So, now we have seen a 30 basis points increase in NPA and we have also seen a 30 basis points increase in our 30+ DPD. You have already answered that there's no geographical or product nuances. But if I were to look at from a month on -board nuances, which are those vintages that are not behaving well f or us?

Rupinder Singh: If we see on the fresh side, our collection efficiency is, in fact, improving, we see the Quarter 1 to Quarter 3 or Quarter 2 to Quarter 3 . In the fresh side, there's a slight improvement . This is a point which is giving us confidence to convey a message that now things look a little more improved. We try to curtail this piece and that's why Quarter 1 , Quarter 2 remain muted at 1.2%. But we realize d that since this 30+ is moving on and that is creating a good pressure on entire system , so it's a point that you take a certain call, either to allow it to move or bring it back. Bringing it back was finding it a little difficult, because customer is very clear that one EMI you can take, but not beyond that piece. That was always finding a challenge. And at one point of time, we did not have a choice but to raise the bar to let it move out of the first funnel and let act around that side. So, this was the point particularly. If you see typically, efficiency, which remains to be 98%, 99%, there is no major change around that piece.
Adityapal Singh Jaggi: No, no. Sir, my question is more to do , I understand that what is the situation now. It is a macro situation , that also I understand. And you all will come outside of it, that also I understand. But I am just trying to understand, is there a particular book that we would have raised maybe, say, 18, 24 months back that particular cohort of customers are not behaving well. That is what I am trying to understand.
Rupinder Singh: So, more than a cohort, we have realized that the ticket size where the impact is more than the cohort. So, lower ticket size is definitely a more impact than the average ticket size of which is Rs. 10 lakh, Rs. 15 lakh basically. So, we see the buckets of 1 to 5, 5 to 10, 10 to 15, and 15 and above. Obviously, our range is anywhere majorly around INR 10 lakhs , so up to INR 5 lakh has definitely a little more problem in terms of increasing delinquency particularly. If you talk about cohort on the basis of MOBs, then there is no much difference around that piece. Definitely, the first 12 months the cohort looks very, very different and it looks very positive picture. But the cohort between 18 to 24 or 24 to 30, ther e's not much difference between the two.
Adityapal Singh Jaggi: Understood. So, there's no particular behavioral differences that should be called out between the cohorts.
Rupinder Singh: That is ticket size what I mentioned basically. There you find definitely a difference between the two.
Adityapal Singh Jaggi: Understood. And also now that we know that there is a structural issue going on in the sub Rs. 5 lakhs. So, I would even say sub Rs. 10 lakhs. Do we see our average ticket

size moving
upwards from Rs. 10 lakhs going towards, say, maybe Rs. 12 lakhs, Rs. 12 lakhs to Rs. 13 lakhs in next two to three years?
Rupinder Singh: So, we will focus on improving the quality. Basically, when you have a certain set of customer in that particular cohort, you also go check how we can improve there basically. So, in this category of cohort we will improve the scorecard a little higher , Business Rule Engine will work in that effectiveness. It is not that we are going to leave this customer. This is a customer which gives a very good yield also. This customer bring almost 200 bps of advantage compared to the

rest of the customers. So, instead of leaving that cohort entirely or something like that, we will be a little more choosy and keeping sure that we maintain the scorecard more or less the best of prudency is on that side. So, that will be the action that we have taken, which we already started a couple of months back.

Adityapal Singh Jaggi: Understood. Just one last question before I come back in the queue. Sir, you mentioned that you are seeing a good turnaround in Jan and December exit, and you are calling November to be the asset quality peak in terms of the worsening impact. But I am just trying to understand that what gives us the comfort that we are seeing the turn? Is it a momentary turn? Or is it a structural turn on the ground? Because a lot of people had called that the credit cycle has turned a couple of quart ers back. But it's evidently so it is not the case. There are a lot of asset quality issues panning out in other companies' balance sheet. So, just trying to understand that what gives us that this is a structural turn and this is here to stay now.

Rupinder Singh: So, if you see, there is always a matter of timing for whatever how you control it. We were always very hard and sure that we have to make sure that these are remain controlled and the intensity of collections follow -up that remains strong across . We did not wait for that even two quarters back. But we realized that which is bulging out, there is no point of holding it and ensuring a cunning pressure on us. That's why release it. That is one piece.

Secondly, what gives you confidence, even in fresh efficiency, we had a certain improvement which is coming . That gives us a confidence.

Plus, when we do the analysis of a log -in particularly, the percentage of logins which were coming earlier at a bad score is not coming down.

Now it is log -ins which are coming at a little improved and better scores. And if your log -in is improving to that extent, automatically, the output is also going to improve accordingly. So, these are the two, three parameters, which give you some dip check around before thinking about it. And anyway, we have not changed the BRE rule in fact for the month of December or something, that remains same. So, for us, it is a situation where, say, earlier if you are logging a 100 files and out of 100, 50 were coming back and getting rejected. Today that 50 is coming down automatically by virtue of selection to the level of 40, 45 and that's the improvement which is coming up according.

Adityapal Singh Jaggi: Understood. Makes sense. Wishing you and the team all the very best. Thank you sir for answering all my questions.

Moderator: Thank you. T he next question comes from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Hi, sir. Sir, a few questions. Firstly, on the overall now PD assumption, you mentioned that there have been challenges in terms of pulling back from maybe the higher bucket. So, would that

eventually lead to some kind of a change in PD assumption and a slightly higher Stage 2 provisioning compared to where we are currently at 3.4 -odd-perc

ent? Would that happen with this kind of a challenge which is coming up?

Ashish Gupta: So, the overall ECL front, if you look at the PD calculations, one factor is obviously a historical trend. And another factor is macroeconomic overlays that we apply to that. So, if you look at the macroeconomic overlay that we apply to our PD is the interest rate. So, our PD has an inverse co-relationship with the overall interest rate environment. If the interest rate goes down, PD slightly goes up and that we have seen historically during demonetization, during COVID, GST cycles, and all of that. So, as the interest rate cycle is coming down, our ECL model is showing slightly hi gher PD, which is getting factored in our overall ECL provisions that we are making.

Kunal Shah: Okay. But incrementally, this trend, which was reflected in terms of GS3, that wouldn't change much in terms of our PD assumption?

Ashish Gupta: So, if you look at the overall LGD model, so our actual LGDs are close to 11%, 12%, while the management overlay is close to 25%. So, Stage -3 will not be reflecting the actual LGD, which is there on the ground. It is because it is with the management overlay that is there.

Kunal Shah: Okay. Got it. And secondly, with respect to employees, so almost 400 -odd employees addition during the quarter. So, is it more of upfronting or we have strengthened the collection infrastructure? What is happening? Is it more on the collection side, we have added more people?

Rupinder Singh: Yes, these people largely start coming from Quarter 2 onwards. And as time progress, we also realize that that's an important thing that we have to be always preemptive on these kind of actions. So, most of the people joined majorly into the collection side. Yes, there were certain other departments where the people joined. For them, it's like as per the plan that we planned for the year particularly. But additional resource on the higher side, which we realize that it's more on a collection in the field parti cularly.

Kunal Shah: So, almost like 200, 250 people got added on to collections?

Rupinder Singh: Approximately 200 collection staff, yes.

Kunal Shah: 200-plus. Okay. Got it. And lastly, maybe on the previous question, whether you have actually changed or tweaked the lending rates? I understand in terms of your guidance on spread of 6%

plus, but any revision to lending rates either on home loan and LAP for e xisting or for incremental loans that you have done?
Rupinder Singh: So, point is we keep mentioning that if we are getting a benefit of rate , we will give certain rate benefits to the customer. So, our lending rate is coming down, which has done, thanks to what happened in the last one year in terms of rate cut. So, we have passed for acquisition of new set of customers. Again, between the two home loan and LAP, home loan definitely get a little more

advantage around that side particularly. So, that is where we are going to pass on. And that is the reason which we used to disburse at 14.8%, 14.9% earlier, that has come down to 14.6% in average.
Ashish Gupta: And like even if you see that our cost of funds, which is the marginal cost of fund is at 8.1%. So, incrementally, we are onboarding about 6.5% spread on the fresh disbursement. So, we are not divesting on the spread.
Kunal Shah: Yes. No, no, that I understand in terms of we are not compromising on spreads. But just wanted to check, so we would have revised the lending rates by 25, 30 basis points till date. And any further rate cuts, maybe obviously, if you get the further advanta ge on the funding cost side, you might further tweak it. But on existing, there is no change. Only on incremental, we have done by 25, 30.
Rupinder Singh: We have a f ixed rate of book , and to that extent we are not required to cut rates in that case particu

larly.
Kunal Shah: Yes. Okay, got it.
Moderator: Thank you. T he next question comes from the line of Mayank Mistry from Antique Stock Broking. Please go ahead.
Mayank Mistry: Thanks for the opportunity. So, sir, my question is mostly on a long -term view. Now today, if you look at our peers who are having a size of around more than Rs. 13,000 crores, their growth has slowed down to 25% around. So, should we consider the same in your case? Or should we see it as like a more scalable and sustainable model of 30% AUM growth? That's one. And secondly, what are the planning on the geographical expansion side? We are present right now in 15 states. So, any expansion plans there? And just last question on the OPEX side. So, our OPEX to AUM is ringing around 4.2% today. What are the efforts we are taking to improve this?
Ashish Gupta: So, on the OPEX side, as you have seen that gradually, so like every year, we are adding about 40 to 45-odd branches. And the proportion of new branches that are coming is gradually like reducing. So, that will help us bringing down the overall OPEX ratio. And secondly, as we have mentioned in the very initial commentary that we are focusing on the digital sourcing of leads now. So, as of now, about 4% to 5% of our leads are coming by way of digital means. And we are looking forward to increase this proportion to about 10%, 12% from here. So, this will further help us to bring down the overall OPEX . So, we feel that in terms of overall OPEX to AUM ratio, we will continue with our guidance of 15 to 20 basis point reduction year -on-year basis from here as well.
Rupinder Singh: And anyway adding to 40 to 45 branches remain same. That will be the plan. Last year, in one of the Investor Day presentation, we mentioned to investor body that our plan is to take it to

AUM at Rs. 30,000 crores by 2030. That again remains same . There will be no change around that side. And on the OPEX side, yes, 15, 20 bps, as Ashish ji mentioned, that is the progress in going forward. And we are taking the necessary steps that keep improving later on.
Ashish Gupta: In terms of state -wise geographical spread, we are already there in 15 states, which contribute about more than 90% of the total housing finance market. So, at this point of time, in the medium -term, we are not looking to add any further states.
Mayank Mistry: Okay, sir. Thank you so much.
Moderator: Thank you. T he next question comes from the line of Bunty Chawla from ASK. Please go ahead.
Bunty Chawla: Thank you for giving me the opportunity. Just one clarification. You said gross NPA should decline in Q4 to 1.4% versus 1.5%. Is it right?
Rupinder Singh: I think we are more optimistic, Bunty.
Bunty Chawla: Okay. So, on that basis, what should be the credit cost? Because as we have seen the credit cost has inched up in Q3 versus Q2. So, how one should see the Q4 credit cost?
Rupinder Singh: So, that will be, again, as per our guidance, it is going to remain around 50 bps, 40 to 50 bps somewhere between for the year.
Bunty Chawla: Okay. So, that remains same for FY '27 as well?

Rupinder Singh: Yes, that's the focus.
Bunty Chawla: Right. So, secondly, on the disbursement, as you have slightly given the throughput by improvement in December and January. But if I see, if we are still sticking to 30% AUM growth, so it seems to be a tall task in Q4 disbursement of 30% plus kind of a growth on a Y -o-Y basis. So, are you still confident that we will be able to achieve seeing the run rate in December as well as in the January?
Rupinder Singh: Quarter 2, Quarter 3 largely was muted . In Quarter 3 , only the traction starts coming in month of December . January is again better ; I am giving you some indication that has improved further basically. That is giving a confidence that this should no

w coming to the situation that is as per the expectation. So, we are expecting between 29% to 31% . It should not be beyond that at least, because we just completed the month of January. But that looks more clearer now as we are progressing basically. So, one percentage here and there is ok. I am not in a position because we just completed January. But as we see the logins trend coming in first few days of February, that is also giving a good positive indication.

Bunty Chawla: Okay. That was very helpful, sir. Just a data point comparison, what we were seeing 30 DPD plus, it seems to be Stage 2 plus Stage -3 coming towards 30+ DPD. But if I see the increment or I add both the two, it's coming to 5.2% versus you have reported 5%. Is calculation something I am missing in this part?
Ashish Gupta: So, like during the COVID period, so we have restructured about 1% of the total portfolio at that point of time. And as per the RBI guidance and the ECL methodology, we have classified the entire portfolio into Stage 2 category. Though the DPD may be like 0 DP D, 1 DPD. So, that's why that portfolio is still running on the balance sheet. And overall, exposure to that restructured assets is about 0.15% of the total AUM. So, if you add the 30+ as well as this 0.15%, you will get a similar number.
Bunty Chawla: Okay. That is the calculation. I understood that part. Lastly from my side, provision coverage ratio, which has slightly increased from 24.6% to 25%, on a sustainable run rate for FY '27, what should be the provision coverage ratio we should assume for Stage -3?
Ashish Gupta: So, Stage -3 provision, our provision coverage ratio is like pretty much consistent in the last two to three years that we have seen. That's our historical trend, and it will continue in a similar direction of about 24%, 25%.
Bunty Chawla: Okay. That was very helpful. Thank you and best of luck, sir.
Moderator: Thank you. T he next question comes from the line of Meghna Luthra from InCred Equities. Please go ahead.
Meghna Luthra: Sir, I just wanted to understand how has our login to sanction ratio and the sanction to disbursement ratio moved from November and, say, in January or February since we are seeing an improvement?
Rupinder Singh: So, earlier, the log -in to sanction ratio fall drastically down because BRE was curtailing most of this customer, whichever have a bad bureau score . But I think with time, two things has happened. One, behavior of customer improving as economy improves , things are looking a little better on that side. That gives some kind of traction. So, you can see slight improvement around that side. So, which was falling month -on-month has now start going up in month of December and slight improvement has come in month of January. So, that is what we can see that piece. So, login to sanction ratio, which f ell down to the level of, say, 45% is coming back to around 50%.
Meghna Luthra: Okay. And the sanction to disbursement ratio, sir, how would that be?
Rupinder Singh: Sanction to disbursement ratio for us is around 70%. So, that keeps moving 70% to 71% because main challenge is always getting a right sanction basically, right? And sanction at the time of disbursement, most of the customer, sometimes they could not finalize the property or sometimes

they change their plan of getting a loan or something, that keeps happening around. But that is 70% to 71% which is more or less consistent .
Meghna Luthra: Understood. And sir, you mentioned that we will be increasing our digital sourcing. Sir, can we highlight how are we working around that?
Rupinder Singh: So, we have set up an in -house digital team at the Head Office with the senior leader on that side, who is expert into getting leads by social me

dia impact and various alternates, which can give a quality leads. So, we started this activity few quarters back. But what we are realizing now, it starts picking up, because some initial days, it was more on setting up the entire system process around that side. And now these are set of leads, which are start ing to build up and t he conversions are also improving. So last quarter, it has contributed to around 4% to 5% and what we feel the way the pipeline is getting built up, I think in a couple of quarters, we should be touching around 9% to 10%. So, this will give more boost in terms of improvement in productivity of employees on the field. So, we have a team of around 40, 50 people who are totally dedicated across the country. And this is purely in -house sourcing.

Meghna Luthra: Okay. Got it. That's helpful. And lastly, sir, a little on the macro front. What would be our PMAY contribution? And how is it that we are moving on the PMAY side?

Rupinder Singh: So, PMAY schemes got implemented last year in October. Initial pe riod was majorly for the system improvement by both sides, by MoHUA and company side . But it starts picking somewhere at the end of Quarter 1 . And if you see the last 2 quarters, Quarter 2 , Quarter 3 , it has actually picked up well. And in both of the quarters, we have disbursed more than 500 to 600 customers each in a quarter. And today, we have more than 2,000 customers where we have funded and they have received the PMAY subsidy and this pipeline is building up. The message is going on the ground. There is further scope around this, which I think MoHUA is well committed. And I think shortly, they should be able to solve those problems in terms of technicalities. And I think it should give some better traction as we move into the new financial year.

Meghna Luthra: Got it. Those were my questions. Thank you.

Moderator: Thank you. T he next question comes from the line of Lalitabh Shrivastawa from ISEC PMS . Please go ahead.

Lalitabh Shrivastawa: Thanks for giving me the opportunity. Just wanted to understand, sir, in the current scenario where it seems that the rate cut cycle might have bottomed out. What is your outlook on the cost of funds and the margins going forward? And it seems that our overall GS 3 has slightly beginning inching up. What is our assessment of the situation? And what is your outlook on the normalization on the asset quality? Those are my questions.

Ashish Gupta: So, like on the overall cost of fund side, say, if you see our bucket cost of fund is at about 8.3%, while our margin cost of fund is 8.1%. So, though we have seen about 50 basis point reduction in the last 12 -month period, but still our cost of fund is slightly higher than our peer. And this is purely a function of the scale as well as credit rating that we have currently. So, we feel that basis our FY 26 financial results, we will be approaching to the rating agencies like for a rating upgrade. And we feel that if we get a rating upgrade, there will be a scope of further reduction in the cost of fund from here by about 20 basis points. So, we are looking forward to that. Hopefully, the overall financial performance is justifying a rating upgrade. We look forward to the favor of rating agencies as well.

Lalitabh Shrivastawa: So, just to understand it better, sir, assuming that there is still some time for us to get that rating upgrade. What is the outlook that you have on the margins for, say, FY '27?

Ashish Gupta: So, if you see that, so like our marginal cost of fund is at about 8.1% and bucket cost is 8.3%. So, even if we go on that particular pace, there is a scope of improvement in cost of fund by about 10 to 15 basis points in next three to six months kind of period. So, as you have seen that we are already on the fresh disbursement, we are onboarding a spr

ead of about 6.5%. We feel that we will continue to do the same over this current interest rate cycle.

Lalitabh Shrivastawa: Yes. Okay, sir. And maybe on the asset quality and the growth outlook, sir.

Ashish Gupta: So, on the Stage -3 asset, as we have said that like Stage -3 have largely peaked out in the month of November. And December and January, we have seen some positive improvement in that. We feel that by end of Q4, we should be again bringing it back, may not be like to the normal level of 1%, but so like close to 1. 4% to 1.3%.

Lalitabh Shrivastawa: And what is our assessment of how things should pan out in FY '27 in terms of asset quality? What are the normalized levels that we are looking for '27?

Rupinder Singh: We normally take a target of around 1.2%, 1.25%. That is the target we normally take . So, I think that is not going to change for the next Financial Year ‘ 27 also for us.

Lalitabh Shrivastawa: Okay, sir. Thanks a lot for taking my questions.

Moderator: Thank you. T he next question comes from the line of Aman Soni from Nvest Analytics Advisory. Please go ahead.

Aman Soni: Sir, we have observed that the company's GNPA has increased from 1.2% to 1.5% and NNPA has risen from 0.9% to 1.2% during the same period. Could you please explain the primary reasons behind the increase at the group level? Are customers facing any specific pre payment challenges or stress that is leading to higher delinquencies?

Rupinder Singh: So, I think you have seen the trends which were in market and typically last one year. There's a challenging market. And typically for the segment of customer, we deal into, there is always some heat around that side, which we also find out that the customer even moving to next bucket, which is taking a lot of time to come back to the normative position.
Because of this scenario, giving two EMIs or more than two EMIs was a little challenging around that piece. So, that is a typical challenge. Though on the fresh side, the collection efficiency remains intact, particularly. But the way the behavior was, say, one year or two years back where the customers move to the next bucket, can easily come back to the bucket 1 with a little effort around that piece. That is not a scenario as of now. It's a tough situation, which the market was facing.
So, that's why once it moved into this bucket . So, we have option either to bring it back or to take some legal course action around that side, so that we neutralize it . So, we try to tweak between the two. And here, instead of allowing only sitting at there and that bucket keep budging it, we took this decision to flow a little 20, 30 bps around that piece. And now action also starts happening around that piece particularly. And as we see, I think we will be able to get the results out what is expected from this kind of situation particularly.
Aman Soni: Understood sir. Thank you. That’s all from my side.
Moderator: Thank you. T he next question comes from the line of Adityapal from MSA Capital Partners. Please go ahead.
Adityapal Singh Jaggi: Thank you so much for the opportunity. Thank you so much for taking my follow -up. Just one bookkeeping question, sir. If you can help me, over the last four quarters, how have the attrition rate trends been for us? And if you can call out certain geographies where there are anomalies that you are facing?
Rupinder Singh: So, attrition, we normally split into two pieces. One is regrettable and one is a non -regrettable attrition.
Adityapal Singh Jaggi: I only want the branch attrition.
Rupinder Singh: So, branch attrition is around 35% for us basically, which is recorded, 35%, 34.8% that keep hovering quarter -to-quarter basically, this is range bound particularly. And that remains almost same level basically. Every quarter, we find a gap of 0.5% to 1% her

e and there. Some quarter,
you will find it's coming to 34.5%, some quarter, maybe 35.5%, 36%. No drastic change around that piece.
Adityapal Singh Jaggi: And any geographical nuance to that, that certain geographies have higher attrition, certain geographies have low attrition? The geographies that are having low attrition, what is the attribute that they have low attrition, something of this kind?

Rupinder Singh: Geographies which have a more vintage, definitely, the attrition is low, because employees get set, very well set into the system. They understand process, technology very well, and that gives them boost and their productivity starts building around that p iece. And that can happen in any of the geographies with a vintage branch particularly. Where the vintage branch is new and the young guys, they feel that they are not getting set into that piece, then they like to move on basically. And here also, as you start a new branch, there's always a focus and drive on the productivity to meet the parameters of the existing one. So, definitely, those parameters also try to put more drive and easily curve between regrettable and non -regrettable there. And accordingly, the non -regrettable start moving out earlier than the other one, because there the vintage and scope, they definitely s upport employees to continue with us, basically.
Adityapal Singh Jaggi: Understood. And the Madhya Pradesh branch last year that our team had moved out, it has now come up and performing well and the asset quality issues that we were facing over there has been completely cleaned?
Rupinder Singh: It is not completely clean. Otherwise, I think the number would have been a little more better. But yes, compared to last year, whereas rest of the geographies have gone up, Madhya Pradesh is the exception where that remains same. And even in month of Dece mber, they reduced by some 10 bps basically around that side. But yes, for complete cleaning, I think it will take some more time for which I think team is on the job.
Adityapal Singh Jaggi: Perfect. Thank you and all the very best.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Rupinder Singh: Thank you, everyone, for taking your valuable time for attending our earnings call. An audio recording and the transcript of this call will be uploaded on our website in the due course.
Looking forward to hosting you all in the next quarter. If you have an y questions or queries or require any additional information, please feel free to reach us out. Thank you so much, and have

a great day. Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines. Thank you.

Call: May 2026

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May 07, 2026

To,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400001
Scrip Code: 544044 To,
National Stock Exchange of India Limited,
Exchange Plaza, C -1, Block G, Bandra Kurla
Complex, Bandra (E),
Mumbai – 400 051
NSE Symbol: INDIASHLTR
ISIN: INE922K01024
: INE922K07104
: INE922K07112 ISIN: INE922K01024

Subject: Transcripts of the Earnings Conference Call on the Audited Financial Results for the quarter and financial year ended March 31, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcripts of the Earnings Conference Call on the Audited Financial Results for the quarter and financial year ended March 31, 2026, held on May 04, 2026. The same have also been made available on the website of the Company.

The transcripts can be accessed at the following link:

https://www.indiashelter.in/investor -relations

Kindly take the above information on records.

Thanking you,
Yours faithfully,

For India Shelter Finance Corporation Limite d

Mukti Chaplot
Company Secretary and Compliance Officer
M. No.: 38326

"India Shelter Finance Corporation Limited Q4FY26
Earnings Conference Call"

May 04, 2026

MANAGEMENT : MR. RUPINDER SINGH – MD & CEO
MR. ASHISH GUPTA – CFO
MR. RAHUL RAJAGOPALAN – HEAD, INVESTOR RELATIONS

This is a transcription of the earnings call conducted on 4th May 2025. The audio recording can be accessed using the following
link, https://www.indiashelter.in/investor -relations
DISCLAIMER :
Transcript may contain transcription errors. The transcript has been edited for clarity, readability, etc. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. In case of discrepancy, the audio recording will prevail.

Operator: Ladies and gentlemen, good day, and welcome to India Shelter Q 4FY26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen - only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch -tone phone. Please note that this conference call is recorded.
I now hand the conference over to Mr. Renish Bhuva from ICICI Securities. Thank you, and over to you, sir.
Renish Bhuva : Hi, thank you, Good morning, everyone. Welcome to India Shelter Q4 FY26 Earnings Call . On behalf of ICICI Securities, I would like to thank India Shelter Management Team for giving us the opportunity to host this call.
Today, we have with us the entire top management team of India Shelter represented by Mr. Rupinder Singh – MD and CEO ; Mr. Ashish Gupta – CFO ; Mr. Rahul Rajagopalan, Head, Investor Relations .
I will now hand over the call to Rupinderji for his opening remarks and then we will open the floor for Q&A. Over to you, sir.
Rupinder Singh: Thank you, Renishji . Good morning, everyone. On behalf of the Company , I extend a warm welcome to all of you. Thank you for joining us on our 10th Earnings Call . Last 10 quarters have been satisfying in terms of our journey, post -listing particularly.
Before we discuss our quarterly and annual performance, let me briefly touch upon the broader macroeconomic environment, the operating landscape and some of the strategic priorities shaping our businesses.
For the past year, the Indian economy has continued to demonstrate resilience despite an increasing ly uncertain global and domestic back drop. Global markets have been impacted by geopolitical tensions due to the ongoing war, supply chain disruptions and slowing growth across developed economies. Ongoing geopolitical uncertainty and volatility in commodity markets have also created pressure on ho usehold spending patterns and overall consumer sentiments.
On the domestic side, rural and semi -urban markets have faced temporary stress from uneven and abnormal monsoon patterns across certain regions, impacting agricultural cash flows and informal income segments. Recent LPG supply disruptions and related availability issues in some markets created short -term operating challenges for households and small businesses.
That said, India continues to remain one of the fastest -growing major economies, supported by strong domestic consumption, infrastructure -led growth, formalization of credit and the long - term structural demand for housing.

At the broader level, several high -frequency indicators continue to reflect the underlying strength of the economy.
• GST collections have remained robust, consistently averaging around Rs. 1.7 lakh crores to Rs. 1.8 lakh crores per month, indicating sustained formalization and consumption momentum.

• Digital payments continue to scale rapidly, with UPI transactions now exceeding Rs. 18–20 lakh crore monthly, reflecting deepening financial inclusion and formalization across urban as well as semi -urban markets.

• In addition, system credit growth remains healthy, supported by demand across retail segments, including housing finance.
These trends provide support for sustained economic activity and reinforce confidence in long -

term prospects.
In such an environment, the key differentiators remain prudent underwriting, strong collections, granular market expansion, and consistent focus on return ratios rather than growth alone.
I am pleased to share that we have delivered another year of strong and consistent performance, with significant milestones in this f

inancial year such as:
• We crossed Rs. 10,000 crore AUM in this financial year.
• We crossed 300 plus branches in existing geographies.
• In this year consistent ly deliver ed ROE above 17% .
• Annual profitability crossed Rs. 500 crores for the company.
For us, annual growth remains in a guided range, with the AUM growing at 29% year -on-year to Rs. 11,044 crores. In Q4FY26 , for the first time, our disbursement crossed Rs. 1,000 crores. In this quarter, we added 6 new branches and for the year, we have added 41 branches, in line with our branch expansion strategy of adding 40 to 45 branches each year.
On asset quality metrics, 30 + has improved by 100 bps, quarter -on-quarter to 4%. Gross Stage -3 improved by 29 bps, quarter -on-quarter to 1.2%. And net Stage -3 improved further by 23 bps to 0.9%.
On profitability metrics, PA T for the quarter came at Rs. 138 crores, registering a growth of 27% year-on-year and 11% quarter -on-quarter. Return on equity further improved to 17.6% in this quarter. Our net worth now stands at Rs. 3,198 crores.

On that note, let me share the guidance for the coming times :
• Branch addition of around 40 to 45 for the year .
• Maintaining the spreads of more than 6% in the medium term.
• Credit cost to remain between 40 to 50 bps .
• Loan growth of 25 % to 30% for next 3 years, with a clear goal of reaching Rs. 30,000 crores AUM by 2030.
Now, I would like to hand over the call to Ashishji , our CFO, to take you through the financial metrics. Over to you.
Ashish Gupta: Thanks, Rupinderji. Good morning, friends.
Let me take you through key financial numbers :
We have ended the FY26 with AUM of more than Rs. 11,000 crores . Year -on-year growth in AUM is 29%. Quarter -on-quarter growth is 7%. Our portfolio yield is 14.8% , down by 10 basis points year -on-year basis. Our disbursement yield in Q4 was 14.6%.
Our bucket cost of fund is 8.2%, while our marginal cost of fund in Q4 was 7.9%. Thus our margin at bucket level and incremental level are well above our guided level of 6%. We had drawdown Rs. 378 crore s from National Housing Bank in Q4 at 7.5% and still we have a balance of more than Rs. 300 crore s for drawdown in Q1. Our borrowing profile continues to be diversified with more than 30 counterparties. Share of NH B funding is stable at 15%. Average borrowing tenure is more than 8 years.
Net interest income for quarter is up by 31% year -on-year on the back of strong growth in our AUM and improvement in spreads.
Our year-on-year growth in OPEX is 26%, which is lower than the growth in total AUM. Same is resulting in better cost ratios . OPEX to AUM for the quarter and year is down by 20 basis points year -on-year in line with our guidance. Cost to income for the quarter and year is at 36%, down by about 100 basis points year -on-year.
Stage -3 is at 1.2%, down by 30 b asis points , quarter -on-quarter. PCR for Stage -3 asset is stable at 25%. Our total ECL is Rs. 87 crores against the regulatory threshold of Rs. 47 crores. Considering overall macroeconomic environment, we have applied management overlay of additional 2% provision on Stage -2 assets. Same has impacted our credit cost by Rs. 5 crores in Q4. Including this, our credit cost for the quarter and year is 30 basis points and 50 basis points respectively, in line with our guidance for medium term.

BT-out for the year is down to 4.5%, down by about 80 basis points year-on-year. Our focused, data-driven approach of customer retention is helping us to contain BT -out, even in a declining interest rate scenario.
On interest rate risk side, we have been able to bring down the percentage of fixed -rate portfolio funded by variable rate liabilities from about 33% in March '24 to about 8% this y

ear. We are
committed to further bring this down to about 5% in FY '27.
On liquidity side, we are comfortably placed with liquidity of more than Rs. 600 crores and undrawn sanction of Rs. 1,400 crores. Our ALM is positive across all buckets.
With this, I conclude , and now we can open the floor for Q &A.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Adityapal from MSA Cap ital Partners. Please go ahead.
Adityapal: Sir, congratulations, great performance, delivered whatever you all committed last quarter. Just wanted to know how are we looking at things on the ground because there is so much news on shortages. Is it impacting credit behavior because of these negative news that is going on?
Rupinder Singh: So, I think last year was a year which started with India -Pakistan war and ended with the war again that was again in the Middle East, which we all know about it. And typically, Middle East war has led to the LPG shortage, which we all are aware of. So, keeping those things, we are generally observing the trends typically in quite a few markets where the commercial gas supply are disrupted . Now, we see upon the set of customers who are there, instantly we don't feel that there is any impact in terms of their behavior particularly, but still we feel it's a watchful situation basically because within a month you can't find any particular patte rn coming around that piece. So, every day there is a different set of news which are coming from globally and sentiments also keep coming up and down. Government push whatever they are trying to do, they are trying to do their bit, whatever they can do in certain circumstances. But as of now, typically as we close the March month, we didn't find much of the difficulty in terms of customers. But yes, it is a cautious environment. This quarter is going to play, give output in terms of that piece. So, we are constantly in touch with the ground realities and seeing how the things can be taken care of in kind of any situation that is there.
Hopefully, the way the news are coming up , you might have seen today morning 's news also where some proposals are coming on the table. If things work out, it can be wonderful for everyone around. But yes, we have to keep our fingers crossed and have a tap on the market in India . Instead, if you ask me that there is some media reaction or something happened in terms of delinquency, I would say instantly today we don't have answer for that piece. Things look okay till the month of March.

Adityapal: All right. And sir, this quarter, there was a bit of softness in the DA drawdown during the period and Q4 is typically heavy.
Rupinder Singh: So, that is our internal strategy basically that we keep working upon depending upon the situation. For us, DA is majorly for our PBC requirement s, and I think we are holding at 64% of PBC. So, we want to be in the range of 15 % to 18% of DA and we are maintaining that 15 %-16%. That is sufficient for us.
Adityapal: Makes sense. Thank you so much and wishing you and the team all the very best. Great set of performance , sir.
Moderator: The next question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: So, firstly on the guidance. So, earlier we indicated 30 %-35% maybe over the medium term. Now, we are suggesting that it will be 25 % to 30% next year with again a goal to reach like Rs. 30,000 crores by 2030 which suggests like another like 28 %-29% over next three years. So, in this, what is the kind of disbursement growth that we are looking at how we should see it stacking up maybe last quarter it's been at 11 odd percent. So, what is the outlook on that?
Rupinder Singh: So, the reason for what we are finding the environment to be little cautionary . Yo

u have to be
optimal on the all aspects basically. But yes, we know these times are quite temporary that way. Our teams, our energy synergies are lying very well.
In fact, our logins are increasing day by day. But our business rule engine, the credit engine that has to function that isn't titled up purposely keeping mind all the aspects which is happening there. So, we have been a little cauti ous in that way. That is why we are talking about in a range bound of 25 % to 30 %. We are not saying it is going to 25 %. We only will look forward that it should be touching around 30%. So, that is our thought process particularly. But in the environment, we don't want to be something ignoring those aspects. Having said so, as we progress in our journey , so as the time came back in a conducive form, I think we should be able to pick up quickly. Our branch expansion model , that continue to remain in that piece. Our objective of getting a productivity that has to be remained continued in that piece and our focus into these two products , that continue to remain in that piece . So, we are positive in the long run that we would be able to maintain this Rs. 30,000 crores. So, even if we maintain this 27 %-28% of growth for next 3-4 years, we will be able to achieve that Rs. 30,000 crores.
Kunal Shah: Yes, 27% to 28 % CAGR suggests that we can reach RS. 30,000 crores by FY '30 .
Rupinder Singh: Yes. Yes. And that is exactly, two years back, we came with a strategy. That looks very well in line, even in today's environment also. And we are quite confident about that.

Kunal Shah: Yes. So, in terms of rejection rates, if you can highlight how much could be the, in terms of rejection, how much it would have gone, maybe gone up compared to that of maybe log -in. So,

overall, maybe disbursements to log -in ratio, how it would have changed, that would also be helpful. And overall, any particular number of disbursement growth that we are targeting over maybe in the medium term, next 12 to 24 months?
Rupinder Singh: Absolutely. So, if you talk about log -in to sanction ratio, during normal days, it used to be around 55%-58%. That used to be the range that depends upon seasonality qua rter and how the business is prospecting in that form.
Today, that is less than 50 %. It had even bottomed down to the level of 40 % to 43 %. But that is all what the BRE works on, give the right input instead of having any bias towards the human understanding. So, that is there which we rely on. So, irrespective of those logins are going up, we cut in that piece to be little conservative on that side. So, that 43 %-45%, which has in month of this quarter, particularly has slightly inch ed up to 45 %-47%. But in normal circumstances, it should be around 55 %. So, I think even if we are able to disperse, say, 20 % of growth in terms of disbursement here, we will be able to achieve the numbers what we are talking about in terms of the 27%-28% AUM growth.
Kunal Shah: And the other question is on co -lending. So, I believe because of the change in the regulations, we have hardly seen any co -lending. But how do we pursue it now? When do we see it coming back? How long would it take? Because, again, co-lending growth was maybe that is something which we were targeting to scale it up. So, if you can just provide the outlook on that, ye s.
Rupinder Singh: Kunalji, from beginning, we never had a very clear -cut focus on a co-lending particularly. In 2, 2.5 years of our business around co -lending, we created a book size of around Rs. 450-460 crore s of overall piece what we have it, which is around approximately 4 % of business. And the purpose was basically just to try and test a new set of products . And we felt that this is also with changing time, we should be very well adapted to those, adapted to that piece. But in typical s

cenario,
what we see that between CLM 1, CLM 2 models, we adopted CLM 2. For CLM1, I think we have to wait some more time. If you ask me exact timeline, it will be difficult at this juncture. But we are closely discussing with few of the institutions, banks around that type, how it can be taken to the next level. In our plan, in our budget, we are not including any of the numbers which is around the co -lending. It is again going to be testing piece for some time before we conclude to the real direction of business for us particularly. So, basically for us, it is not something which we have to worry around at all.
Moderator: The next question is from the line of Shubhranshu Mishra from Phil lipCapital. Please go ahead.
Shubhranshu Mishra: Hi, good morning , Rupinder . Thank you for the opportunity. So, the first question is, what is the split of the disbursement in FY '26 between LAP and home loans? And how do we see it growing in '27, if we can speak about each of the parts?
Second is that when I look at the LAP proportion, it's gone up from say 43 % to 44% versus home loans, although the home loans which is on book is much higher. I think that is more to do with

the P BC. However, how are we looking at the demand and if we can split this into two or three parts? First is the policy help from CLSS 2. Second is the actual demand, the actual down payment capability of the demographics of the customers that we cater to. And the supply from various developers, if they still find enough margin s to build these kind of affordable houses.
Rupinder Singh: Thank you, Shibaranshu ji. For our business, we first and foremost see our PBC requirement. And as we met fully PBC requirements, then we also realized that we have to maintain other optics, which is yield, productivity etc. So, 56 %, 57% or 1% is nothing, something which we can read between the lines that there is some sudden changes that come up around that piece. So, for us, the principle criteria remains important. So, as in earlier questions, someone asked why we have reduce d the DA, that has been the case also. And particularly here, if it is 57 %, 56%, it doesn't matter in much of the way, till the time we are maintaining all the optics, because same market, same way of sourcing it, almost same kind of customer will not worry in that terms. And it doesn't give an idea that there is some outtrend in terms of a housing uptake or housing coming down particularly. That is not the case at all.
Our productivity is largely in a self -construction and purchase cases, which we focus on. We don't have a tie up with the builders in terms of that affordable segment builder or something, unless if they are not supplying in market, so our demand is going to affect. For me, the markets of tier 3, tier 4 are extremely important, whe re the construction, self -construction, self -purchase that happens, that is my major portfolio.

In fact, most of the portfolio went up on the housing per se. So, that still is going as per the
normal standards that what we see in our last few years. Obviously, we have taken up the norms,
that may be the other aspect, but we don't find that things are on that side.
Reason, example, if you see the log -in ratio, the log -in numbers, that is going to pick up basically.
Otherwise, they should be a little dried up on that side. And those are the factors to keep in mind.
So, I don't think that because of those factors that builder is not supplying or something that way,
that is not the case with us.
Yes, I heard, keep looking for, hearing those things particularly, that because of builder supply,
there may be some disruption in some of the markets, but we are not available to those large
markets of tier 1 or tier 2 with a tie -up of the builder particularly. We are very well segregated,
focused into those granul

ar markets where self -construction and purchase cases are dominating
it.
Shubhranshu Mishra: Did you give the split of the disbursement for LAP and HL in '26 and how does you see each portion growing in '27?
Rupinder Singh: In fact, the HL percentage has slightly gone up because in Q uarter 2, Quarter 3, we were a little more focused on the HL, keeping in mind again the PBC guidelines. a nd going forward, we

continue to feel that there should not be much of difference between LAP and HL in Financial
Year '27 also. That is going to remain the same ratio.
Shubhranshu Mishra: What is the ratio is what I am trying to ask. That is possibly not in the PPT. Hence, I am asking what is the ratio between LAP and HL disbursement?
Rupinder Singh: It is 56 %-57% for HL and remaining is LAP. That is going to be the same range bound .
Shubhranshu Mishra: Understood. Thank you so much. This was very helpful and best of luck for next few quarters.
Moderator: The next question is from the line of Mayank Mistry from Antique Stock Broking . Please go
ahead.
Mayank Mistry: Sir, I have two questions. First of all, as you already guided for 40 to 45 branches each year and your OPEX to AUM currently lies at around 3.94%. So, what is the normal run rate we can
expect and what are the efforts you are currently putting in because across the year, it seems like
a higher number.
And secondly, on the asset quality front, the outcome during the quarter was significantly better.
So, in last quarter, we had led few slippages to take surprise action on few of the accounts. So,
this quarter seems like good improvement over that and even with the better credit cost this time.
So, where is this improvement come from? Has the recoveries come organically from these
accounts once they moved into Stage -3 or any other or maybe some write -offs from there? So,
these are my two questions.
Rupinder Singh: So, there are two set of questions you asked me. First is OPEX to AUM particularly. So, we feel there is always a scope of improvement and last 4 to 5 years, we have this trend improving year
on year. So, the first progressive which everyone was asking when you are going to bring back
less than 4% that this year we are tracking that piece. What is our objective? Every year, it should
come down by 15 to 20 bps and things look very well on track. So, earlier the 40 -45 branches,
we were opening on a smaller base. Now, on the base of 307 branches which we exist today, the
45 is hardly 13 %-14% which used to be , say, 18%-20% a few years back basically. So, this is
one of the aspects which is going to support in our journey typically on this side.
Yes, automatically focus on productivity also picks up as your AUM keeps improving on, and I
believe that getting to a 15 to 20 bps reduction in OPEX -to-AUM is not a trivial task which we
have to think twice around that. That is bound to happen particularly.
Second question which was more on a credit cost largely and how the GNP A has come down.
So, I think structurally when your NP A levels goes up at certain level which in our case which
was in Quarter 2 particularly, your SARFAESI action starts coming into picture and that is a
sometime of 6 to 8 months and as that reach that level, then you will realize that your reduction
starts happening. That is the beauty of this product which is a mortgage product and housing

finance product particularly. The tool which has been given provided by the ecosystem, the
government that helps very well into that side. So, most of these resolutions that is purely on
basis of that piece in an organic form.
Mayank Mistry: And one more question which I think it was partially answered that on the disbursement growth rate of what is disbursement growth rate that we e

xpect , but if we even consider around 15 % to
20% of disbursement growth, then your prepayment rate will have to go down significantly , right? So, how are you planning to grow at 5 % to 7% on a sequential basis that you guide quarterly and I mean , on the disbursements, I would just like to know your strategy on how do you plan to retain your customers a nd lower your BT -out so that your prepayment rate goes down.

Rupinder Singh: Thankfully, our BT out is reducing year -on-year. That's been a trend as in early commentary, our CFO mentioned that BT -out has been lowest among last 3 -4 years. So, our system what we have created on this set of customers , that is working well for us and that is going to continue work in that direction. In particular time when situation is always alarming and cautionary , which we can see across market, you always find for everyone BT -out is always normally on a lower side basically. That is also the case because every business, every company, they try to be little focused more on the non -BT cases. This has been a trend what we have observed basically. But having said so, the system that we have created, we feel that effective enough to curtail the customer in terms of engaging and ensuring that customer remains with us as far as possible. That is one piece.

In terms of disbursement, I feel that this year we will cross 20% of disbursement number which we are quite confident of and we will do anyway beyond that piece. We will be easily achieving 27%-28% of A UM growth. And our thought is to continuously ensure that numbers are very well around that piece . We have delivered in the past and there is not a something abrasion around that piece. Obviously, operating environment you have to keep in mind because to balance business.

Mayank Mistry: That answers my question and all the best for the coming year.

Moderator: The next question is from the line of Varun Palacharla from Kot ak Securit ies. Please go ahead.

Varun Palacharla: Just had two questions. First one is on the long -term growth guidance that you have given. I was just asking regarding the long -term growth guidance that you have given. So, that Rs. 30,000 crore s number, it is almost higher than what the largest affordable housing companies today stand at. So, are we finding any pockets or geographies where there is lower competition, where we are expecting to grow faster? Or is there something like other than the branch expansion, 40 - 50 branches which you have already been doing, something which drives this growth, like shift in ticket sizes, anything else which can explain this?

Another thing was regarding margins. So, we have seen, I think, a slight expansion of margins. Largely, it is cost of borrowings may not explain the full extent of it. Is there any difference in yields as well that we are seeing?

Rupinder Singh: So, recipe around, in terms of your market, how you have to grow up, it cannot be one single direction, particularly Varunji, like in terms of opening branches or meeting the competition. We exist in the same market where the rest of the folks are doing it . Our largest market continue s to remain Rajasthan, and the re the most of the competition , everyone knows . And we are very diligently, strongly maintaining our numbers around that piece.

Thankfully, our distribution is spread across 15 states. At this scale, at this level, very few companies have experimented to go into those markets at all. With time, the maturity is coming, that prudency is coming in terms of underwriting, as we keep creating our own vintage in these kind of states. So, today, if there is some kind of disruption, for example, if Karnataka is a disruption in South, then definitely AP, Telangana and Tamil Nadu is going to support. Same way, if there is some error which happens in some mark

ets like MP, then Rajasthan, UP and
Gujarat is there to support. So, that way distribution is very well spread, and that is firing well for us .

Additionally, the factors which are going to support, one is definitely branch opening of 40 -45 branches. Secondly, the productivity drive on which we want to focus on, per case, per employee, number of cases that has to keep improving on, that is the focus around that piece. The same set of geographies, they do exist.

Thirdly, we started with our digital journey, say , a year back, that is also showing a good positive returns in terms of that piece. So, a year or a year and a half back, we were disbursing those numbers in a single digit. Today, we are disbursing some Rs. 20 crores to Rs. 30 crores on the digital side. In India Shelter, we always believe into this technology and digital piece. I think this is something which is again going to fire positively in that sense. So, all these three, four items which you amalgamate together, that is the right recipe to come out with the output in terms of disbursement.

Thankfully, the team strength of 4, 800 with a strong collection in the quarter on that piece, network in a market which is distributed in terms of 307 branches, which is going to reach by 2030 up to 500 branches eventually, and that kind of technology process improvement has been done, and we wanted to do in that piece. These all thi ngs are going to help in improving the

disbursement and the journey going forward. So, the strategy is very well laid out with all the aspects very clearly broken between the three, four items, which is going to h elp us out.
Varun Palacharla: Yes, but on the margins, like, if you look at the reported margin number, it is kind of expanded from 9.1 to 9.5. And cost of borrowing is down maybe about 10 to 15 basis points. So, the other delta, where is it coming from?

Rupinder Singh: So, our first priority on the field, if you talk about operationally, is always to maintain the spread, which is beyond 6%. Thankfully, this has been a great year in terms of your cost of borrowing, because of market slashing down in terms of cost, and we get a benefit on that piece. But given the circumstances, we are committed to maintain the 6% of spread, this further populated to decent margins that we look into that time, and continue to maintain the journey for next few years. Obviously, this cut into rates that will work out to maintain those margins that you are talking about in the last few years.
Ashish Gupta: And Varun, just to add here, in Q4, generally, a lot of NPA resolution also happens. So, while doing the resolution of these NPA, we end up recovering a portion of interest, which we had not accrued earlier. So, this is also contributing to increase in the NIM growth from 9% to 9.5%. Hope this explains.
Moderator: The next question is from the line of Meghna Luthra from InCred Equities. Please go ahead.
Meghna Luthra: Sir, while you have indicated that we expect spreads to remain stable and growth to remain strong, there are a lot of conversations around the sharp rise in competition. And specifically, is there any state or any pockets that we are seeing a sharp rise in competition? And can you give some color which can impact our yield or growth? And which kind of lenders are these? Private banks, SFBs , housing financ e companies, or NB FC?
Rupinder Singh: Every market is being plundered by all kinds of competition, not now, but from the beginning, basically. But the serious players remain serious. If you see irrespective competition going and coming and going back, basically, the number of set of players who are consistent and continuous in that piece that remain there from last 5, 7, 8 years at least . So, any new player which is entering, they have their own hurdles around that piece to venture that

market. There
may be a small, temporary jolt which someone may get because of the other. But otherwise, I don't think this kind of business, which is consid ered to be complex in that terms, has to get impact because of some competition.
We are operating in all the competitive markets, which is considered to be competitive, not now, but from last many years, particularly. And performance coming around, that is not a point of concern, really. It is only your ability to execute in those marke ts that matters. And I think not only us, but any serious player, they know their way how to play around in those markets in terms of competition also.
So, it is not a point of concern at all. Every market, every region have a certain set of dominating players here and there. But that is always which is relevant. That is a business expertise built with the time. So, it is not a point of worry. That is only I can assure you.
Moderator: The next question is from the line of Miten Lathia from Fractal Capital Investment. Please go ahead.

Miten Lathia: Sir, we have grown almost 3.5x in the last 4 years and yet our concentration of Rajasthan continues to be 30 plus percent. Is that a very conscious thing or how should one really think about it going forward?
Rupinder Singh: So, going forward, Rajasthan concentration is going to ease down by virtue of other geographies, their delivery mechanics are going to go up basically. Though Rajasthan continues to remain the flagship zone for us and their disbursements continues to grow, but thankfully, the trend what we are seeing in the other geographies, that is giving a little more in terms of a percentage high growth. So, today Rajasthan which contributes , say, 30% will be , say, 5 years down the line, maybe 25 %-26%. That is what we look forward. And other states like for certain states in south or UP, you will find a better trend compared to in terms of percentage of A UM going up particularly in that case basically. This is I look if you talk about the long term aspects in terms of AUM ratios between the various states and all, particularly.
Miten Lathia: And very commendable performance on the reduction in the BT -out. Do you want to call out any specific measures that you might have taken to achieve that?
Rupinder Singh: I think the strategy in which team is able to put all together in engagin g the customer. Today we have a strong digital presence connect with the customer and continue to engage using their understanding whether they are looking out for any fresh loan or BT loan or some rate reduction .

That engagement is helping us out. The application, the app, customer app, which have now almost all the customers which is on our board , are available on this application. The engagement, the notifications, as well as centralized team, which is very well working with engaging this customer, that is helping us out into this piece.
Moderator: Next question is from the line of Prithviraj Patil from Investec. Please go ahead.
Prithviraj Patil: So, thanks for the opportunity. So, I just had one question on the PBC level that we are operating on because what I see is the home loan share is already reached around, dropped to around 57%. So, I just want to know what is the PBC level we are operating .
Ashish Gupta: So, on the PBC front, we are comfortably placed at about 64%. Though we have, at an AUM level, our home loan ratio is close to 56% , but we have a strategy to doing a lot of direct assignment transactions . We were having about 5% of the book in form of co -lending, which is primarily pertained to LAP only. So, all these measures to take LAP of book, helping us to maintain a fairly higher PBC , which is regulatory threshold is 60% and we are currently at 64%.
Moderator: The next question is from the line of Adityapal from MSA Capital Par

tners. Please go ahead.
Adityapal: Sir, two questions. One is a bookkeeping one and one is a more strategic question. So, you highlighted that you want to g row in the vicinity of 25% to 30%. Let's work with 27% to 28%. And today we are sitting at roughly 55% of capital adequacy. And we are doing a return on equity of 17.5%. And because we are in the secured asset class, the total assets, risk-weighted

assets is lower. So, how do you think in terms of consuming this capital o ver the next, say, till FY '30, your Rs. 30,000 crore A UM base?
Rupinder Singh: So, today leverage is 3x. I think we would like to go to the level of leverage around 4x and 4.5x times, basically, before thinking upon what to take a next course on that piece. So, journey remains in that direction, particularly. And our objective is today these times may be looking a little conservative in terms of the cautionary environment. But as the things comes in a better form, we have to take it up very fast in the s ide. That is always our thought. So, I think as we reach around 4.5x in terms of leverage, we will be then thinking about how to take it to the next level, whether to raise the funds, QIP or something , that we will work around that time.
Adityapal: And sir, this quarter Q4, I would say even for that matter the entirety of FY '26, we have seen a good growth in the 25 plus lakh bucket, and I would also say 15 to 25 lakh bucket in terms of ticket size. But yet our average ticket size that we show in our presentation, that has not budged above 10 lakhs over the last, say, four, five quarter s.
Rupinder Singh: So, we were not doing at all earlier, these above 25 lakhs and all. We tried to test these markets and that is working decently well. Because you see the growth on a very, very low base, almost negligible base, and that is why look a growth around that piece. But if you see on these particular ticket size, we have done the handful of cases particularly . So, our large A UM, our large disbursement still continue to remain the ticket size that we are into basically. So, there may be a slight improvement of some 10, 15 b ps in terms of average output in terms of ATS, what you are talking about.
Adityapal: That is what I am saying that the ATS should start looking closer to 10.2, 10.5 x.
Rupinder Singh: Probably this is something which will slightly go up in the coming days, basically, maybe coming quarters, not instantly now, basically. So, if there will be maybe consistent in the sum of volume we are talking about 25, which we have an intent to do, basically, because that is giving us decent confidence and decent output in that term. So, if that happens, maintaining all the optics, this is slightly inch up. So, what you are seeing 10 today, that may be 10 .5 in, say, 2, 3, 4 quarters beyond.
Adityapal: Understood. No, this was about it. This was about it.
Moderator: The next question is from the line of Satyam Kumar from JM Group. Please go ahead.
Satyam Kumar: So, I have a couple of questions. First is a bookkeeping question. Just wanted to understand what percentage of your LAP book is backed by SORP kind of collateral, number one.
And number two, just wanted to understand, as you have guided an AUM growth of around 25 % to 30% going forward, and disbursement you said it will be anywhere around 20%. So, just

wanted to understand how this gap will be bridged, like what will be the BT -out ratio or closures and how these numbers have historically been. So, if you can throw some color on it.
Rupinder Singh: So, LAP, we have almost 98% of SORP, self -occupied residential property, where we do the LAP. And this is improving as we progress in time, basically. That is all about the LAP book.
25% to 30% is the growth on AUM tha

t we expect. And in current scenario, we expect 20% and beyond in terms of the disbursement. But that doesn't mean this 20% is going to remain 20% forever. That is a lot of scope of improvement, even in the future, that we are quite optimistic about, seeing our past and as well as the same kind of synergies that we are building in terms of digital productivity and branch opening, basically. So, this is a cautionary environment that we are talking a little conservative around that piece. But as things progress, then we have to open it up again.

Because RS. 30,000 crores is the AUM target, even if you run at 26%, 27% of AUM growth, we will be able to achieve that piece. But our thought is, this disbursement growth, which is running around 20% of growth that we look forward, should automatically pick up as the time progress in terms of 25 % and beyond, basically.

Satyam Kumar: I completely understand. G rowing around 26%, 27%, we will reach that RS. 30,000 crore AUM . So, just a follow -up. Just for FY '27, if I look at, just wanted to understand the gap between disbursement and AUM growth. Just for FY '27, if we look, say, for example, our book is going around 25 %, 27%, 28%, whatever it is, and disbursement is going at 20 -odd percent. So, how this gap between disbursement and AUM growth will be bridged? Like new loans is g rowing at 20%. How book will grow at 27? Just wanted to understand from you how this will be bridged, basically.

Rupinder Singh: So, first and foremost, the B T-out percentage, which used to be higher earlier, that is coming down, thanks to the AUM which we have created , number one, that works around that piece, and all the mechanism which has worked around that piece. And particularly, when you are talking about 20% of disbursement growth, anything above 20% on that piece is going to stretch to the positivity in that pa rticularly.

Moderator: The next question is from the line of Sonal Gandhi from Asian Market Securities. Please go ahead.

Sonal Gandhi: Just two questions. I think the B T-out has been asked . Maybe if you could just help with those numbers, like, are there any repayment rates or what is the B T-out? What is the prepayment and what is the normal turnout and prepayments? And second is, if you could just help us with what proportion of your book is on fixed yields currently? What is any variable, any variable yield? And is it that because of the fixed book, we are seeing lower BT -outs or in general, the environment has become more conducive?

Ashish Gupta : So, if you talk about today, we have around 13 %-14% of book which is on floating. Rest remain into fixed or semi -fixed kind of product where the fixation is for three years technically. And that book is again now around 10 %-12%, which means approximately 70%, 65 %-70% book that continue to remain on the fixed particularly. And that is again one of the good sector s which support us in terms of BT -out. Thankfully, conservative environment also supports you. Typically, when the environment is a little cautionary, the BT -out trend normally goes down basically. So, these are the two factors definitely which is helping us out. And third important aspect, engagement of customer, which we put a unit around a year back , is also giving a good output in terms of continuing customer.

Sonal Gandhi: Sir, if I look at prepayment case, what would be proportion of BT -outs, normal turnout and prepayments that you are building in your experience?

Ashish Gupta: So out of the total prepayment, two -thirds goes in the form of BT -out and rest is own fund prepayment. And answering to your previous question that whether it is coming from variable rate book or fixed rate book, variable rate book is hardly about two -and-a-half, three -year-old. So it is too early to do that kind of analysi s. So once the bo

ok will start phasing and it will be a significant proportion of the total AUM, probably we will be able to do that analysis at that point of time.

Moderator: The next question is from the line of Darshan Deora from Indvest Group . Please go ahead.

Darshan Deora: Just wanted to recheck what the management said. So , to hit this Rs. 30,000 crore target, we will be sort of targeting a disbursement growth of about 20%. Is that what I heard?

Rupinder Singh: That is for the first year particularly. This can't be sustainable for long term. We have to definitely pull it up basically. Then someone asked me how you want to deal with this cautionary environment. And this is something that we want to maintain as of now. But as time progresses, that has to go up.

Darshan Deora: So, are we saying that Q4 FY '26 was sort of the bottom in terms of the disbursement growth? I think this quarter it was around 11%.

Rupinder Singh: So, I am talking about this year. We have to show the disbursement beyond 20%, which we are positive about basically. That is what I am saying , right . Please don't allow me to compare between Q4 and how the Q1 has to work on, basically that will give you some kind of forward looking. But yes, this is something what we are looking in terms of a long term.

Darshan Deora: And are you seeing the environment change enough? Because I believe that some part of the disbursement growth was curtailed intentionally because of the macro environment. So , have you seen the environment change enough?

Rupinder Singh: Absolutely. And that is what we are watching it very clearly. And we are prepared very well. As the environment changes, we should be ready to take it up to the next level.

Darshan Deora: Appreciate that.

Moderator: The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: I just wanted to reconfirm , you indicated that the increase in Stage -2 which is there and the entire provisioning that is more of a management overlay buffer of Rs. 5-odd crores. Maybe the ECL provisioning in Stage -2 is moving up from 10 to 15 odd crores. That is primarily the management overlay?

Ashish Gupta: Yes. Considering the overall macro environment and we have also gone through the RBI circular, it says that there should be minimum 1.5% for home loan and 2.5% for LAP loan should be the minimum base threshold for ECL. And considering the fact that we are primarily catering to self -employed people, tier 2, tier 3 geographies, it is good to keep a good buffer on Stage -2 assets.

Kunal Shah: So this overlay was only in Stage -2?

Ashish Gupta: Yes.

Kunal Shah: And do we plan to create further overlay or we are maybe given that now it is almost like more than 5% coverage on this. So , would there be some increase or catch up in the overlay getting into FY '2 7 and your guidance of 40 to 50 odd basis points? Does it take into account the overlay buffer as well?

Ashish Gupta: So frankly, we have reached to a stage wherein now we were waiting for the RBI guidelines on ECL. So , we have got those guidelines though they are not applicable to us. And we have created a briefly 2x buffer of what the regulatory threshold. And we have always kept that kind of threshold historically. So , now we have built those buffer. And in case future, like allow us a low credit cost regime is there, probably we may further take up our buffers. But frankly, at this point of time, we don't have any plans to further stack up the buffers.

Kunal Shah: And just one more clarification both on the asset and on the liability side in terms of the mix of fixed and floating. So last quarter, I think you indicated 84% of the borrowing was floating. This time, I heard maybe you mentioned like fixed rate has come down to 8 -odd percent and you plan to bring it down to 5 -odd percent

. Was it that related to the borrowing? And last time you indicated like almost 85% of the AUM was fixed. I think this time you commented almost like 65 to 70 -odd percent is fixed. So , if you can just clarify in terms of both on the asset and on the liability side, how much is the fixed versus floating?

Ashish Gupta: Let me reiterate how the overall AUM stacked up in terms of interest rate reset. So , about 15% of the AUM is there, which is variable rate. Then about 37% of the AUM is there, wherein the interest rate is like semi -variable structure fixed for initial three years and variable subsequently. Then about 48% of the book is there, which is the fixed rate book altogether.

So if you look at how we are funding this fixed rate book of 48%, so out of this 48%, about 25% is getting funded through our equity and remaining about 17% is getting funded through our fixed rate borrowings that we have on our book. Then remaining percentage is at about 7 %-8%, which is fixed rate book, which is funded by variable rate liabilities.

Moderator: That was the last question for today. I would now like to hand the conference over to the management for closing remarks.

Rupinder Singh: Thank you everyone for taking your valuable time for attending our earning call. An audio recording and the transcript of this call will be uploaded on our website in due course. Looking forward to hosting you all in the next quarter. If you have any further questions or require additional information, please feel free to reach us out. Thank you so much and have a great day. Thank you.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your line.